January 2010 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Definition of barter

Define the term 'barter'. (2 marks)

Barter is a method of trade in which goods and services are exchanged directly for other goods and services without the use of money. For example, a fisherman may swap a basket of fish with a farmer in return for a bag of yams.

1(a)(ii) Problems with barter

State TWO problems associated with barter. (4 marks)

Lack of double coincidence of wants
For barter to take place, each person must have what the other person wants and must want what the other person has, at the same time. This is very hard to find, so traders may waste a lot of time searching for a suitable partner before any trade can happen.

Difficulty in fixing a fair rate of exchange
There is no common measure of value under barter, so it is hard to decide how many of one item are worth a single unit of another. For example, the two parties may argue for a long time over how many yams should be given for one goat, which makes trading slow and unfair.

1(a)(iii) How money overcomes the problems of barter

Explain TWO ways in which the use of money can overcome the problems associated with barter. (4 marks)

Money acts as a medium of exchange
Because money is accepted by everyone in the country, a seller can sell goods for money and then use that money to buy whatever else he or she needs. This removes the need for a double coincidence of wants and makes trade much faster and easier.

Money acts as a measure of value
Money allows the price of every good and service to be stated in the same units, such as dollars and cents. This means that buyers and sellers can quickly compare prices and agree on a fair rate of exchange without long arguments.

1(b) Comparing private and public sector

Compare the private sector with the public sector in terms of the following: (i) Ownership and control; (ii) Objective or motive; (iii) Source of capital. (6 marks)

Ownership and control

The private sector is owned and controlled by private individuals or groups of individuals through sole traders, partnerships and companies. The public sector, on the other hand, is owned and controlled by the government on behalf of the citizens of the country, through ministries and state-owned enterprises.

Objective or motive

The main objective of private sector businesses is to earn a profit for the owners by selling goods and services. The main objective of the public sector is to provide essential services such as health, education and security for the welfare of all citizens, even when no profit is made.

Source of capital

Private sector capital comes from the personal savings of the owners, loans from banks, and the sale of shares to investors. Public sector capital comes mainly from taxes paid by citizens and businesses, loans from local and foreign agencies, and grants from foreign governments.

1(c) Free market vs planned economy

Outline TWO ways in which a free market economy differs from a planned or command economy. (4 marks)

Ownership of resources

In a free market economy, the resources of the country such as land, factories and machines are owned by private individuals and businesses. In a planned or command economy, almost all resources are owned and controlled by the government on behalf of the people.

How decisions about production are made

In a free market economy, decisions about what to produce, how to produce and for whom are made by private producers and consumers through the price system. In a planned economy, these decisions are made mainly by central government planners who decide what will be produced and how it will be shared among the people.

Question 2

2(a) Functions of departments

State TWO functions of EACH of the following departments of a business: (i) Marketing; (ii) Finance. (8 marks)

(a)(i) Marketing

Researching the market and the customers

The marketing department finds out who the customers are, what they want and how much they are willing to pay. This information is used to design products and prices that will sell well.

Promoting and selling the product

The marketing department plans advertising, sales promotion and personal selling so that customers come to know about the product and are persuaded to buy it. This helps the business to increase its sales and profits.

(a)(ii) Finance

Recording all money coming in and going out

The finance department keeps proper books of account showing every sale, purchase and expense of the business. These records are used to prepare the final accounts and to calculate the profit or loss for the period.

Preparing budgets and arranging finance

The finance department prepares budgets that show how much money the business expects to earn and spend in the future. It also arranges loans, manages cash flow and pays workers and suppliers on time so that the business can continue to operate.

2(b) Reasons individuals start their own business

State TWO reasons why individuals may decide to start their own business. (2 marks)

- To be their own boss and have the freedom to make their own decisions instead of working for someone else.
- To earn a higher income by keeping the profits of the business rather than receiving only a fixed wage or salary.

2(c) Long-term vs short-term planning

Explain TWO differences between long-term planning and short-term planning. (4 marks)

Length of time covered

Long-term planning covers a period of about three to ten years and looks at the wider future of the business, such as opening new branches or entering new markets. Short-term planning covers a much shorter period, usually up to one year, and deals with day-to-day matters such as monthly sales targets.

Level of detail and who prepares it

Long-term plans are prepared by top management and tend to be broad and general because the future is uncertain. Short-term plans are prepared by middle and lower managers and contain detailed targets, such as how many units to produce each week, that are used to guide daily work.

2(d) Advantages of a private limited company

State THREE advantages of a private limited company. (6 marks)

Limited liability for the shareholders

If the company runs into debt, the shareholders can only lose the money they put into the company. Their personal property such as houses and cars cannot be taken to pay the company's debts, which makes investing in the company much safer.

Easier to raise capital

A private limited company can sell shares to up to fifty members and can also borrow from banks more easily than a sole trader or partnership. This means that more money is available to expand the business.

Continuity of existence

A private limited company is a separate legal person from its owners. If a shareholder dies or sells his or

her shares, the company continues to operate as normal, which gives stability to workers, suppliers and customers.

Question 3

3(a) Factors influencing choice of location

Ms. Vanessa operates a bike rental business from her home, but is contemplating opening a rental office on Main Street in the city. Identify FOUR factors that should influence Ms. Vanessa's choice of a business location. (4 marks)

- Closeness to her customers, since a Main Street location would give her many passers-by who may want to rent a bike.
- The cost of the rent, taxes and utilities at the new location compared with what she can afford.
- The availability of parking, security and good roads for her customers to collect and return the bikes safely.
- The amount of competition from other bike rental or transport businesses already operating in the area.

3(b) Advantages of operating a small business

State TWO advantages of operating a small business. (4 marks)

Easy and cheap to set up
A small business needs only a small amount of capital to start and there are very few legal formalities. This means that almost any person with a useful skill and modest savings can start a small business.

Personal contact with customers
Because the owner deals directly with customers, he or she gets to know their likes and dislikes and can adjust the goods or services to suit them. This builds strong customer loyalty and repeat business.

3(c) Disadvantages of business expansion

State TWO disadvantages that may result from business expansion. (4 marks)

Loss of personal control by the owner
As the business grows, the owner can no longer supervise every part of it personally and has to depend on managers and workers. Mistakes and dishonesty among staff may go unnoticed and the quality of the service may fall.

Higher costs and greater risk
Expansion usually means renting bigger premises, buying more equipment and hiring more workers, all of which increase fixed costs. If sales do not grow as expected, the business may struggle to pay these costs and could even run at a loss.

3(d) Forms of technology essential for business

Identify TWO forms of technology that are essential for operating a business. (2 marks)

- Computers with internet access for record-keeping, research and email communication.
- Point-of-sale systems and electronic payment machines for processing sales and receiving card payments.

3(e) Benefits of using technology in business

Describe THREE benefits of using technology in business. (6 marks)

Faster and more accurate work
Computers and modern machines carry out tasks such as preparing invoices and recording sales much faster than people, and with very few mistakes. This means that customers are served more quickly and the business saves money on wasted material and corrections.

Better communication with customers and suppliers
Email, websites and mobile phones allow the business to send messages, take orders and reply to questions in seconds, even across long distances. This improves customer service and helps the business to get supplies on time.

Easier storage and use of information
Computer systems can store huge amounts of records about sales, stock and customers in a small space. Managers can call up this information at any time to make better decisions about pricing, ordering and staffing.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Sources of income

Identify TWO sources of income for EACH of the following: (i) Individuals; (ii) Businesses. (4 marks)

(a)(i) Individuals

- Wages and salaries earned from working for an employer.
- Interest earned from savings in a bank or rent earned from property.

(a)(ii) Businesses

- Sales revenue earned from selling goods and services to customers.
- Interest, rent and dividends earned from investments made by the business.

4(b) Services of commercial banks

Identify FOUR types of services provided by commercial banks. (4 marks)

- Accepting deposits from customers into savings, current and fixed deposit accounts.
- Lending money to customers in the form of loans, overdrafts and mortgages.
- Providing money transfer services such as standing orders, direct debits and online transfers.
- Offering foreign exchange, safe deposit boxes and credit and debit card services.

4(c) Characteristics of a credit union

Outline THREE characteristics of a credit union. (6 marks)

Owned by its members

A credit union is a co-operative financial organisation that is owned and controlled by the members themselves. Each member buys at least one share, and the members elect a committee to run the union on their behalf.

Common bond among members

All members of a credit union must share a common bond, such as working for the same employer, belonging to the same church or living in the same community. This common bond helps to build trust between members and the union.

Not for profit and one member, one vote

A credit union does not exist to make profit for outside owners. Any surplus is paid back to members as dividends or used to lower loan rates. Each member has only one vote at the annual general meeting, no matter how many shares are held.

4(d) Budgeting

(i) Define the term 'budgeting'. (2 marks); (ii) State TWO purposes of budgeting. (4 marks)

(d)(i) Definition of budgeting

Budgeting is the process of preparing a written plan that sets out, in advance, the expected income and expected expenditure of a person, household or business over a period of time, usually a month or a year.

(d)(ii) Purposes of budgeting

To plan the use of money

A budget shows clearly how much money is expected to come in and how it will be spent on different items. This helps the person or business to live within their means and to set aside money for important goals such as savings.

To control spending and avoid waste

Once a budget has been prepared, actual spending can be checked against it. If too much is being spent in one area, the person can cut back, which prevents debt and encourages careful use of money.

Question 5

5(a) Definitions

Define EACH of the following terms: (i) Human resources; (ii) Productivity. (4 marks)

(a)(i) Human resources

Human resources are the people who work in a business or country, together with their skills, knowledge, experience and abilities. They are the workers and managers who use the other resources to produce goods and services.

(a)(ii) Productivity

Productivity is a measure of how much output is produced in relation to the amount of inputs used. It is often calculated as output per worker or output per hour, and it shows how efficiently the resources of the business are being used.

5(b) Levels of production

Describe the following levels of production: (i) Subsistence; (ii) Domestic; (iii) Surplus. (6 marks)

Subsistence

Subsistence production is when a person or family produces only enough goods, such as food and basic items, to satisfy their own personal needs. Nothing is left over to sell, so there is no income from the activity.

Domestic

Domestic production is when goods and services are produced in larger quantities to supply the people of the local community or country. Some output is sold within the country, but the production is not aimed at foreign markets.

Surplus

Surplus production is when a country or business produces more than is needed for local use. The extra output, called surplus, is sold to other countries as exports, which earns foreign exchange and brings in extra income.

5(c) Improving the efficiency of labour

State TWO ways in which the efficiency of labour can be improved. (4 marks)

Training and education

When workers are trained in better methods and given more education, they learn to use machines properly and to make fewer mistakes. This raises the quantity and quality of work that each worker can do in a given time.

Better working conditions and motivation

Providing workers with safe, clean and well-equipped workplaces, fair wages, bonuses and chances for promotion makes them more willing to work hard. Happy and motivated workers produce more output of better quality.

5(d) Factors that impact negatively on productivity

Discuss TWO factors that can impact negatively on the productivity of workers. (6 marks)

Poor working conditions

When workers have to operate in workplaces that are dirty, hot, unsafe or poorly lit, they become tired and unhappy very quickly. They take more breaks, make more mistakes and may even fall ill, which leads to absences from work. As a result, the amount and quality of output produced each day falls and the business loses money on wasted material and slow service.

Low wages and lack of motivation

If wages are low and workers feel that their effort is not being rewarded with bonuses, promotion or recognition, they lose interest in their jobs. Such workers may do only the bare minimum, take long breaks or look for jobs elsewhere. The result is low productivity, high staff turnover and extra cost to the business in hiring and training new staff.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a)(i) Definition of standard of living

Define the term 'standard of living'. (2 marks)

Standard of living is a measure of the quality of life enjoyed by the people of a country. It looks at the amount and quality of goods and services that the average person can afford, as well as access to things such as good health, education, housing and a clean environment.

6(a)(ii) Indicators of standard of living

Identify TWO indicators of standard of living. (2 marks)

- Real per capita income, which is the average income per person after adjusting for inflation.
- Access to social services such as the number of doctors per thousand people, school enrolment rates and life expectancy at birth.

6(b) Economic growth vs economic development

Distinguish between 'economic growth' and 'economc development', giving TWO examples of EACH. (8 marks)

Economic growth

Economic growth is the increase in the total output of goods and services produced by a country over a period of time, usually shown as a rise in real Gross Domestic Product. It is mainly about producing more, not about how that extra output is shared. Examples of economic growth are an increase in the country's GDP from one year to the next, and an increase in the volume of exports of goods such as bananas or oil.

Economic development

Economic development is a wider idea that includes economic growth but also looks at how the lives of ordinary citizens improve. It includes better health, education, housing, less poverty and a cleaner environment. Examples of economic development are a fall in the rate of poverty and infant mortality, and an increase in the number of citizens with access to clean water, electricity and secondary education.

6(c)(i) Definition of balance of payment

Define the term 'balance of payment'. (2 marks)

The balance of payments is a record of all the money flows between one country and the rest of the world over a period of time, usually one year. It includes payments for imports and exports of goods and services as well as flows of money for investment, loans and gifts.

6(c)(ii) Measures to address balance of payments problem

Discuss TWO measures that a country may adopt to address its balance of payments problem. (6 marks)

Devaluation of the currency

When a country devalues its currency, the value of its money falls in terms of foreign currencies. This makes the country's exports cheaper for foreigners and imports more expensive for citizens, so exports tend to rise and imports tend to fall. As a result, the balance of payments deficit gets smaller because more foreign exchange is earned and less is spent on imports.

Import controls such as tariffs and quotas

The government can place a tax (tariff) on imported goods or set a quota that limits the quantity of certain goods that may be brought in. This makes imports more expensive or harder to find, so citizens buy fewer imports and more locally made goods. The drop in import spending helps to improve the balance of payments.

Question 7

7(a) Definition of foreign direct investment

Define the term 'foreign direct investment' (FDI). (2 marks)

Foreign direct investment, or FDI, is the investment of money by individuals, companies or governments from one country into business operations in another country. The investor usually buys factories, hotels or land, or sets up a branch of a company, in order to earn profit and have direct control over the operations.

7(b) Factors that discourage FDI

Outline THREE factors that could discourage FDI from coming to the Caribbean. (6 marks)

Political instability and crime

When a country has frequent changes of government, riots or a high level of crime, foreign investors fear that their property may be damaged or seized. This makes them choose to invest in safer countries instead.

High taxes and unfriendly business laws

If company taxes are very high and the laws make it hard to bring in equipment, repatriate profits or hire foreign managers, foreign companies feel that they will not earn a fair return. They will then put their money in countries with simpler and friendlier rules.

Poor infrastructure and small market size

Bad roads, an unreliable electricity supply, slow ports and poor internet make it expensive to do business

in the Caribbean. The small population also means that local sales may be too low to cover the cost of a big factory, so investors look elsewhere.

7(c) Ways to attract FDI

State THREE ways in which FDI may be attracted to the Caribbean. (6 marks)

Offering tax holidays and other incentives

Caribbean governments can give foreign companies several years free of company tax, as well as duty-free entry of equipment and raw materials. This lowers the cost of doing business and makes the country more attractive than its rivals.

Improving infrastructure

Building good roads, modern ports, reliable electricity, water supply and internet networks makes it cheaper and easier for foreign firms to set up and operate. Investors are then more willing to bring in their money.

Maintaining political stability and a skilled workforce

When the country has peaceful elections, low crime and a workforce that is well educated and trained, foreign investors feel that their money is safe and that they can find suitable workers. This greatly increases the flow of FDI into the region.

7(d) Benefits of foreign investment

Discuss TWO ways in which Caribbean countries benefit from foreign investments. (6 marks)

Creation of jobs and transfer of technology

Foreign companies that set up hotels, factories or call centres in the Caribbean employ many local workers, which reduces unemployment and raises household incomes. The local workers also learn to use modern equipment and management methods, which improves the skills of the workforce and can be used in other businesses.

Increase in foreign exchange and government revenue

Foreign investors bring in foreign currency such as US dollars, which is used to pay for imports and to repay foreign loans. The new businesses also pay company tax, import duties and licence fees to the government, giving it more money to spend on schools, hospitals and roads, all of which support economic development.

May/June 2010 Paper 02

Section I (Compulsory)

Question 1

1(a) Definition of business plan

Define the term 'business plan'. (2 marks)

A business plan is a written document prepared by the owner of a business that sets out the goals of the business and explains in detail how the business intends to achieve those goals. It usually covers what the business will produce or sell, who its customers will be, how it will be run and how it will be financed over the first few years of operation.

1(b) Elements of a business plan

Describe the following elements of a business plan: (i) Business Identification; (ii) Product or Service Description; (iii) Market Strategy; (iv) Organization or Management. (8 marks)

Business Identification

This section gives the basic details that identify the business, including the name of the business, the physical and mailing address, the names of the owners, the type of legal organisation (sole trader, partnership or company) and the type of industry the business belongs to. It allows any reader of the plan to know exactly what business is being described and how to contact the owners.

Product or Service Description

This section describes the goods or services that the business intends to offer for sale. It explains the main features of each product, the quality standards, how the product is different from those of competitors and what need or want it will satisfy for customers. This shows the reader what the business is actually selling and why customers would want to buy it.

Market Strategy

This section explains how the business plans to attract and keep customers. It identifies the target market, the price the business will charge, where the goods will be sold and how the business will promote its products through advertising, sales promotion or personal selling. It shows that the owner has thought carefully about how to compete in the market.

Organization or Management

This section sets out how the business will be organised and managed on a day-to-day basis. It includes an organisation chart showing the different departments and the lines of authority, the names and qualifications of the key managers, the number of workers needed and how they will be supervised. This tells the reader who will be running the business and whether they have the experience to make it succeed.

1(c) Elements of the Executive Summary

Identify FOUR elements which the Executive Summary should contain. (4 marks)

Four elements that the Executive Summary should contain are:

- The name of the business and a brief description of what it does.
- The mission and main objectives of the business.
- A short description of the products or services offered and the target market.
- The amount of finance needed and how the funds will be used.

1(d) Reasons a business plan is necessary

State THREE reasons why a business plan is necessary. (6 marks)

To act as a guide for running the business

A business plan gives the owner a clear set of goals and a step-by-step plan for reaching them. This helps the owner to make better day-to-day decisions and to measure how well the business is actually doing compared with what was planned.

To help obtain finance from banks and investors

Banks and other lenders will not usually lend money to a business unless they can see exactly how the money will be used and how it will be repaid. A well-prepared business plan provides this information and makes it much easier for the owner to convince a bank or an investor to provide the needed funds.

To reduce the risk of failure

Writing a business plan forces the owner to think carefully about every part of the business before any money is spent. This helps to spot weaknesses and problems in advance, so that they can be fixed early rather than after the business has already started losing money.

Question 2

2(a) Simple contract vs mere agreement

State the difference between a simple contract and a 'mere agreement'. (4 marks)

Simple contract

A simple contract is an agreement between two or more persons that is recognised and enforced by law. It can be made in writing, by spoken word or even by the conduct of the parties, and once all the requirements of a valid contract are present, either party can take the other to court if the agreement is broken.

Mere agreement

A mere agreement is simply an understanding between two or more persons to do or not to do something, but it does not have the legal backing of a contract. Because one or more of the requirements of a valid contract is missing (often the intention to create legal relations or consideration), neither party can use the courts to force the other to keep the agreement.

2(b) Requirements of a valid contract

List FOUR requirements of a valid contract. (4 marks)

Four requirements of a valid contract are:

- Offer and acceptance, where one party makes a clear offer and the other party accepts the offer in the same terms.
- Consideration, which means that each party must give something of value, such as money, goods or a service, in exchange for what the other party is giving.
- Intention to create legal relations, meaning that both parties must intend the agreement to be legally binding.
- Capacity to contract, which means that both parties must be of legal age and of sound mind, and not disqualified by law from making the contract.

2(c) John Pebbles and Albert Rock case

John Pebbles requested Albert Rock to transport a group of young people to a concert. The agreed cost of the trip was $5000. John made a down payment of $100. However, the group felt that the price was too much, and decided to cancel the trip. Albert was not informed about the change of plans so he presented his transport at the appointed time to take the group to the concert. John Pebbles then told Albert that he was very sorry that the group had changed its plans. Albert demanded that John pay him immediately or face the courts. John refused to pay on the grounds that he received no service from Albert. (i) Based on the information in the case, justify why the arrangement between John and Albert can be considered a valid contract. (2 marks); (ii) Using information from the case, determine whether there was a 'breach of contract'. Justify your answer. (4 marks); (iii) Identify TWO remedies that a court can award for breach of contract. (2 marks)

(c)(i) Why this is a valid contract

The arrangement between John and Albert can be considered a valid contract because all the main requirements of a contract are present. There was a clear offer by John for Albert to transport the group, an acceptance by Albert of that offer, and consideration in the form of the agreed price of $5000, of which John actually paid $100 as a down payment. By making and accepting the down payment, both parties also showed that they intended the agreement to be legally binding.

(c)(ii) Whether there was a breach of contract

Yes, there was a breach of contract on the part of John Pebbles. A breach of contract happens when one party fails to do what was promised under the contract without a lawful reason. John and his group cancelled the trip and refused to pay the rest of the agreed price, even though Albert had carried out his part of the agreement by presenting his transport at the appointed time. Because John did not give Albert any notice of the cancellation and did not pay him as agreed, John is the party in breach.

(c)(iii) TWO remedies a court can award

- Damages, which is a sum of money paid by the party in breach to compensate the other party for the loss suffered.
- Specific performance, which is a court order forcing the party in breach to actually carry out the duties promised in the contract.

2(d) Other ways a contract may be terminated

Outline TWO ways (apart from breach) by which a contract may be terminated or discharged. (4 marks)

By performance

A contract is discharged by performance when both parties fully carry out the duties they agreed to do under the contract. Once each party has done what was promised, for example the buyer has paid and the seller has delivered the goods, the contract comes to a natural end and neither party owes anything further.

By mutual agreement

A contract can also be ended when both parties freely agree to cancel it before all the duties have been carried out. As long as both sides accept the cancellation, the contract is discharged and neither party can later sue the other for not completing the original agreement.

Question 3

3(a) Advantages of small businesses

State TWO advantages of small businesses. (4 marks)

Easy and cheap to set up

A small business usually needs only a small amount of capital to start, and there are very few legal formalities compared with large companies. This means that almost any person with a useful skill and a small amount of savings can become his or her own boss.

Quick decision-making and personal service

Because the owner is often in direct contact with the customers and the workers, decisions can be made quickly without going through layers of management. The owner also gets to know customers personally and can adjust the products and service to suit their needs, which builds strong customer loyalty.

3(b) Relationships between cottage industries and small businesses

Identify TWO relationships that exist between cottage industries and small businesses. (4 marks)

- Cottage industries are themselves a type of small business, since they use a small amount of capital, employ only a few workers (usually members of the household) and serve a limited market.
- Cottage industries often supply small businesses with handmade goods such as craft items, baked goods or clothing, which the small businesses then sell on to the wider public, so the two depend on each other for their success.

3(c) Benefits of operating cottage industries

Outline THREE benefits of operating cottage industries. (6 marks)

Provides employment and income for households

Cottage industries are run from the home and use family labour, so they create jobs and earn extra income

for members of the household, including women and young people who might not easily find work outside the home.

Uses local raw materials and skills

Cottage industries usually depend on local raw materials such as straw, clay, wood or fruit, and on traditional skills passed down through the family. This helps to keep local crafts and culture alive while making good use of resources that would otherwise be wasted.

Earns foreign exchange through tourism and exports

Many cottage industry products, such as handmade craft and food items, are bought by tourists or sold abroad. This brings foreign currency into the country and helps to improve the balance of payments.

3(d) How small businesses contribute to Caribbean economies

Discuss TWO ways in which small businesses contribute to Caribbean economies. (6 marks)

Creation of jobs and reduction of unemployment

Small businesses make up the majority of all businesses in the Caribbean and they employ a large share of the workforce. Because they are spread across both town and country areas, they provide jobs for people who might not be able to travel to large cities to work. This reduces unemployment, increases household incomes and helps to lower poverty in the region.

Contribution to government revenue and economic growth

Small businesses pay taxes such as income tax, business tax and value added tax, which give the government money to spend on schools, health and roads. They also produce goods and services that add to the Gross Domestic Product of the country, and they encourage the development of local entrepreneurs who reinvest their profits in the economy.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Capital intensive vs labour intensive production

Distinguish between capital intensive production and labour intensive production, giving ONE example of EACH form of production. (6 marks)

Capital intensive production

Capital intensive production is a method of production in which a large amount of machinery, equipment and technology is used compared with the number of workers. The cost of buying and running the machines is far greater than the cost of labour, but output per worker is usually very high. An example is an oil refinery, where most of the work is done by computer-controlled equipment and only a small number of trained operators are needed.

Labour intensive production

Labour intensive production is a method of production in which a large amount of human labour is used compared with the amount of machinery and equipment. Wages make up most of the production cost and

output per worker is usually lower. An example is a small banana farm, where workers do most of the planting, weeding and harvesting by hand.

4(b) Technological competencies for today's employees

Employees must be technologically competent to succeed in today's workplace. List FOUR technological competencies that today's employees need. (4 marks)

- The ability to use a computer and common operating systems such as Windows.
- The ability to use word processing and spreadsheet software such as Microsoft Word and Excel.
- The ability to use the internet and email for research and communication.
- The ability to use specialised software relevant to their job, such as accounting, design or point-of-sale software.

4(c) Disadvantages of modern technology

State TWO disadvantages of modern technology. (4 marks)

High cost of buying and maintaining equipment

Modern computers, machinery and software are expensive to buy and have to be repaired, upgraded and replaced regularly. Small businesses in particular may find it hard to keep up with these costs.

Loss of jobs and need for retraining

When machines and computers take over tasks that were once done by people, many workers can be laid off. The workers who stay on the job often need to be retrained, which costs the business time and money and can cause stress for the employees.

4(d) How modern technology can improve efficiency

Discuss TWO ways by which modern technology can improve the efficiency of businesses. (6 marks)

Faster and more accurate processing of work

Computers and modern machinery can carry out tasks such as preparing invoices, recording sales and producing goods much faster than human workers, and with far fewer mistakes. This means that the business can serve more customers in less time, reduce waste from errors and lower the cost of producing each item.

Better communication and decision making

Tools such as email, video conferencing and management information systems allow managers to share information quickly with branches, suppliers and customers in different locations. Because managers can get up-to-date sales, stock and financial figures at the click of a button, they can make better decisions about pricing, ordering and staffing, which improves the overall performance of the business.

Question 5

5(a) Branding and packaging

(i) Define the term 'branding'. (2 marks); (ii) State TWO ways in which branding influences the packaging of a product. (4 marks)

(a)(i) Definition of branding

Branding is the marketing activity in which a business gives its product a unique identity, made up of a name, logo, design and image, so that customers can easily recognise the product and tell it apart from other similar products on the market.

(a)(ii) TWO ways branding influences packaging

The brand name and logo must appear clearly on the package

Because customers identify the product by the brand, the package has to be designed so that the brand name and logo are large, clear and visible from a distance on the supermarket shelf. The package therefore has to use the colours, fonts and pictures that match the brand.

The quality of the package must match the quality of the brand

If the brand is positioned as a high-quality or luxury product, the package must be made of strong, attractive material, with neat printing and good finishing. A cheap or untidy package would damage the image of the brand and confuse customers about what to expect from the product.

5(b) Reasons for branding a product

Discuss TWO reasons for branding a product. (6 marks)

To make the product easy to recognise and remember

A strong brand name, logo and design help customers to pick out the product quickly from many other similar products on the shelf. Once customers have tried the product and liked it, the brand acts as a memory aid that allows them to find and buy the same product again, which builds repeat sales and customer loyalty.

To allow the business to charge a higher price

A well-known brand creates trust in the mind of the customer, who comes to believe that the branded product is of better quality than unbranded alternatives. Because of this trust, the business can charge a higher price than it would for an unbranded product, which increases the profit margin and helps the business to grow.

5(c) Factors that influence consumer behaviour

Identify FOUR factors that influence consumer behaviour. (4 marks)

- The level of income of the consumer, which affects how much he or she can spend.
- The price of the product compared with the prices of competing products.
- Personal taste, age, lifestyle and culture of the consumer.
- Advertising, sales promotion and the influence of family and friends.

5(d) Preventing products from being reproduced

Outline TWO ways by which producers can prevent their products from being reproduced by unauthorized persons. (4 marks)

Registering trademarks and patents

The producer can register the brand name, logo and any unique invention as a trademark or patent at the intellectual property office. Once registered, no other person is allowed by law to copy or use them, and anyone who does so can be taken to court.

Using special packaging features and serial numbers

Producers can add features to their packaging that are very hard to copy, such as holograms, special seals, watermarks and unique serial numbers. This makes it easy for customers and inspectors to tell the genuine product from a fake one and discourages people from trying to reproduce the product.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Indicators of economic growth

Identify TWO indicators of economic growth. (2 marks)

- An increase in the country's Gross Domestic Product (GDP) from one year to the next.
- An increase in real per capita income, meaning the average income per person after adjusting for inflation.

6(b) Economic growth vs economic development

State ONE difference between economic growth and economic development. (3 marks)

Economic growth refers only to the increase in the total output of goods and services produced in a country over a period of time, usually measured by the rise in real GDP. Economic development is a wider idea that includes economic growth but also looks at improvements in the quality of life of citizens, such as better health care, higher levels of education, less poverty and a cleaner environment. So a country may have economic growth without true economic development if the extra output does not improve the lives of ordinary people.

6(c) Benefits to society from rules and regulations

Describe THREE ways in which a society benefits from rules and regulations enforced by government. (6 marks)

Protection of consumers

Rules such as food and drug standards and weights and measures laws make sure that the goods sold to the public are safe, properly labelled and sold in the correct quantity. This protects citizens from being cheated or harmed by sellers.

Protection of workers

Labour laws set out minimum wages, safe working conditions, hours of work and the right to join a trade union. These rules protect workers from being treated unfairly or being made to work in dangerous conditions, and they help to keep peace between workers and employers.

Protection of the environment and public order

Environmental rules control pollution, the dumping of waste and the use of natural resources, while traffic and public order laws keep the streets safe. Together they protect the health and safety of all members of society and preserve the environment for future generations.

6(d) Ways to achieve positive economic growth

Discuss THREE ways in which a country can achieve positive economic growth. (9 marks)

Investment in education and training

When a country spends more on schools, technical colleges and on-the-job training, its workers become more skilled and more productive. Better-trained workers can produce more goods and services of better quality in the same amount of time, which raises the country's GDP and supports steady economic growth.

Encouraging local and foreign investment

The government can attract investment by offering tax holidays, building good roads, ports and electricity supply, and keeping interest rates and inflation under control. New factories, hotels and farms financed by these investments create jobs, increase output and bring in foreign exchange, all of which add to economic growth.

Diversifying the economy and expanding exports

A country that depends on only one or two products is at risk if world prices fall. By developing new industries such as tourism, financial services, agro-processing and information technology, and by selling more of these to overseas markets, a country can earn more foreign exchange and grow its economy more steadily over time.

Question 7

7(a) Benefits of international trade

Outline THREE benefits that a country may gain from engaging in international trade. (6 marks)

Access to goods that the country cannot produce

Through international trade, a country can import goods and services that it cannot produce itself or cannot produce in large enough amounts, such as machinery, medicines or certain foods. This raises the standard of living of the citizens by giving them a wider variety of products to choose from.

Earning of foreign exchange from exports

By selling its own goods and services to other countries, a country earns foreign currency such as US dollars or pounds sterling. This foreign exchange is then used to pay for needed imports and to repay foreign loans, which helps to keep the economy stable.

Creation of jobs and economic growth

Producing goods for export creates jobs in farming, manufacturing, transport, banking and tourism. As output and incomes rise, the GDP grows and the government collects more tax, which it can use to provide better public services.

7(b) Balance of trade vs balance of payments

Distinguish between balance of trade and balance of payments and illustrate with the use of an example, how EACH is calculated. (8 marks)

Balance of trade

The balance of trade is the difference between the value of a country's visible exports (goods sold to other countries) and the value of its visible imports (goods bought from other countries) over a period of time. It deals only with physical goods. For example, if a country exports goods worth $500 million and imports goods worth $400 million, the balance of trade is $500 million minus $400 million, giving a favourable balance of trade of $100 million.

Balance of payments

The balance of payments is a much wider record that includes the balance of trade plus the balance of trade in services (such as tourism, shipping and banking) and the flow of money for investment, loans, gifts and grants between the country and the rest of the world. For example, if the balance of trade is $100 million favourable, the balance of trade in services is $50 million favourable and there is a net outflow of $200 million on capital and transfers, the balance of payments is $100 million plus $50 million minus $200 million, giving an unfavourable balance of $50 million.

7(c) Quality of education and economic growth

Discuss TWO ways in which an improvement in the quality of education can affect economic growth and development. (6 marks)

Higher productivity of the workforce

Better quality education produces workers who can read, write, calculate and use technology to a higher standard. These workers can do their jobs faster and with fewer mistakes, can take on more skilled work and can adapt more easily to new methods and machines. As a result, output per worker rises, businesses become more competitive and the economy grows more quickly.

More entrepreneurship and innovation

When citizens are better educated, more of them have the knowledge and confidence to start their own businesses and to invent new products and ways of doing things. New businesses and new ideas create jobs, expand exports and bring in new technology, all of which support both economic growth and the wider development of the country, including better health, lower poverty and improved quality of life.

January 2011 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Characteristics of a partnership

State FOUR characteristics of a: (i) Partnership. (4 marks)

- A partnership is owned by between two and twenty persons who join together to run a business for profit.
- The partners share the capital, the profits and the losses of the business according to the terms of a partnership agreement called a deed of partnership.
- The partners have unlimited liability, which means that their personal property can be used to pay the debts of the business if the business cannot pay them.
- Each partner is an agent of the firm, so any contract signed by one partner in the name of the business is binding on all the other partners.

1(a)(ii) Characteristics of a private limited company

State FOUR characteristics of a: (ii) Private limited company. (4 marks)

- A private limited company is owned by between two and fifty shareholders who buy shares in the company.
- It is a separate legal person from its owners, so the company itself can own property, sue and be sued in its own name.
- The shareholders enjoy limited liability, so they can only lose the money they have put into the company and not their personal assets.
- Shares cannot be sold to the general public on the stock exchange and can only be transferred with the agreement of the other shareholders.

1(b) Advantages of converting from partnership to private limited company

Discuss TWO advantages a business would enjoy by converting from a partnership to a private limited company. (6 marks)

Limited liability for the owners

In a partnership, the partners have unlimited liability and can lose their personal property if the business fails. Once the business is converted into a private limited company, the shareholders can only lose the money they put into the company. This protects the personal homes, cars and savings of the owners and encourages them to invest more confidently in the business.

Easier to raise more capital and continuity of existence

A private limited company can sell shares to up to fifty members and can borrow more easily from banks than a partnership. This means more money is available to expand the business by buying machinery or

opening new branches. Also, since the company is a separate legal person, the death or withdrawal of one shareholder does not bring the business to an end, which gives steady employment to workers and confidence to suppliers.

1(c) Free market vs planned economy

Outline THREE ways in which a free market economy differs from a planned or command economy. (6 marks)

Ownership of resources

In a free market economy, the resources of the country such as land, factories and machines are owned by private individuals and businesses. In a planned or command economy, almost all the resources are owned and controlled by the government on behalf of the people.

How decisions are made about what to produce

In a free market economy, decisions about what to produce, how to produce and for whom are made by private producers and consumers through the price system. In a planned economy, these decisions are made by central government planners who decide what will be produced and how it will be shared among the people.

Role of profit and competition

In a free market, businesses compete for customers and the main motive is to make profit, which encourages variety and efficiency. In a planned economy, there is little or no competition because the government is the main producer, and the goal is to provide for everyone rather than to earn profit.

Question 2

2(a) Comparing private and public sector

Compare the private sector with the public sector in terms of the following: (i) Ownership and control; (ii) Objective; (iii) Source of capital. (6 marks)

Ownership and control

The private sector is owned and controlled by private individuals and groups through sole traders, partnerships and companies. The public sector is owned and controlled by the government on behalf of the citizens of the country, through ministries and state-owned enterprises.

Objective

The main objective of the private sector is to earn a profit for the owners by selling goods and services. The main objective of the public sector is to provide essential services such as health, education and security for the welfare of all citizens, even when no profit is made.

Source of capital

Private sector capital comes from the personal savings of the owners, loans from banks and the sale of shares to investors. Public sector capital comes mainly from taxes paid by citizens and businesses, loans from local and foreign agencies, and grants from foreign governments.

2(b) Benefits a business can provide

Outline TWO benefits a business can provide to EACH of the following: (i) A sole proprietor; (ii) The community. (8 marks)

(b)(i) A sole proprietor

Income and independence

Running a business gives the sole proprietor the profits of the business as personal income, which is often higher than what could be earned in a regular job. The owner also enjoys the freedom of being his or her own boss and making all the important decisions.

Personal satisfaction and skill development

The sole proprietor gets the satisfaction of seeing the business grow as a result of his or her own efforts. By running the business, the owner also builds management, financial and customer service skills that can be used in many other areas of life.

(b)(ii) The community

Provision of jobs and goods

A business provides employment to people in the community, which raises household incomes and reduces poverty. It also supplies goods and services that members of the community need, often within walking distance of their homes.

Support for community projects and government revenue

Businesses often sponsor sporting events, give scholarships and donate to community causes such as schools and clinics. They also pay taxes to the government, which uses the money to provide roads, water and other services for the whole community.

2(c) How government can promote business activity

Discuss TWO ways in which government can promote business activity. (6 marks)

Providing financial assistance and tax incentives

Government can set up special agencies that give grants, low-interest loans and training to small and medium-sized businesses. It can also offer tax holidays and reduced import duties on machinery and raw materials. Because these measures lower the cost of doing business, more people are willing to start businesses and existing firms are able to expand and create more jobs.

Building infrastructure and providing a stable environment

When government builds good roads, ports, electricity supply, water supply and internet networks, businesses can move goods quickly and operate at lower cost. By keeping crime low, inflation under control and the laws clear and fair, the government creates a safe environment in which both local and foreign investors are willing to put their money to work.

Question 3

3(a) Benefits of advertising

State THREE benefits a business may receive from advertising its goods or services. (6 marks)

Increased sales and profits
Advertising tells customers about the product, where it can be bought and why they should buy it. As more customers come to know about the product, sales rise and the business earns more profit.

Building a strong brand image
Repeated advertising helps to fix the brand name, logo and message in the minds of customers. Over time, the business builds a positive image and customers come to trust the brand, which leads to repeat purchases and customer loyalty.

Helping to compete with rival firms
Advertising allows the business to point out the special features and benefits of its products compared with those of its rivals. This helps the business to win customers from competitors and to keep its share of the market.

3(b) Advertising vs sales promotion

Distinguish between advertising and sales promotion, giving TWO examples of EACH. (8 marks)

Advertising
Advertising is any paid form of non-personal communication used to inform and persuade customers about a product, service or business. The message is usually carried by the mass media and is aimed at a large audience over a long period of time. Two examples of advertising are television commercials and billboards along the highway.

Sales promotion
Sales promotion is a set of short-term activities used to give customers an extra reason to buy a product right now. The activities are usually offered for a limited time and are aimed at boosting sales quickly rather than building long-term image. Two examples of sales promotion are 'buy one get one free' offers and the giving away of free samples in supermarkets.

3(c) Benefits of public relations

A supermarket awards ten scholarships to students each year for outstanding academic achievement. Discuss TWO benefits, to the supermarket, of this public relations activity. (6 marks)

Improved image and customer goodwill
By awarding scholarships to outstanding students, the supermarket shows that it cares about education and the future of young people in the community. This builds a positive image and makes customers feel proud to shop there. Customers who feel goodwill towards the supermarket are more likely to remain loyal and to recommend the store to family and friends, which raises long-term sales.

Free publicity and increased sales
The scholarship awards are usually covered by newspapers, radio and television as good news stories, which gives the supermarket free advertising worth far more than the cost of the scholarships. The increased exposure brings the supermarket name to the attention of new customers, which can lead to higher visits and sales, and also makes it easier to attract sponsors and good staff.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Sources of personal income

Identify FOUR sources of personal income. (4 marks)

- Wages and salaries earned from working for an employer.
- Profit earned from running one's own business.
- Interest earned from savings deposits in a bank or credit union.
- Rent earned from letting out property such as a house, room or land.

4(b) Budgeting

(i) Explain what is meant by the term 'budgeting'. (2 marks); (ii) State TWO advantages of budgeting. (4 marks)

(b)(i) Meaning of budgeting

Budgeting is the process of preparing a written plan that sets out, in advance, the expected income and the expected expenditure of a person, household or business over a period of time, such as a month or a year. It is used to guide spending and saving decisions.

(b)(ii) Advantages of budgeting

Helps to plan and control spending

A budget shows clearly how much money is expected to come in and how it will be spent on different items. This helps the person or business to live within their means, to avoid debt and to set aside money for important goals such as savings or new equipment.

Helps in setting and reaching goals

By writing down income and planned expenses, a person can see how much money is left for saving towards goals such as buying a car or paying school fees. The budget acts as a target, and comparing actual spending to the budget shows whether the goal is being met.

4(c) Factors when choosing a form of savings

State TWO factors that must be considered when choosing a form of savings. (4 marks)

The rate of interest paid

Different savings products such as savings accounts, fixed deposits and shares pay different rates of interest. A saver should choose the form that pays a higher and steadier rate of interest so that the money grows faster.

Safety and ease of access

The saver should consider how safe the institution is and how quickly the money can be withdrawn when needed. A young saver who may need the money in an emergency would choose an ordinary savings account, while someone saving for a long-term goal could lock the money in a fixed deposit that pays more interest but limits withdrawals.

4(d) Reasons for saving in a bank

Discuss TWO reasons for saving money in a bank as opposed to keeping it at home. (6 marks)

Safety from theft, fire and loss

Money kept at home can easily be stolen by thieves or destroyed by fire, flood or other accidents. When the same money is deposited in a bank, it is kept in strong vaults and is also protected by deposit insurance in many countries. This means the saver is far less likely to lose the money, which gives peace of mind.

Earning of interest and growth of savings

Money kept at home does not earn anything and may even lose value over time because of inflation. Money saved in a bank earns interest at a stated rate, so the savings grow over time even when the saver adds no extra deposits. The bank can also lend the money out to other customers, which helps to develop the wider economy.

Question 5

5(a) Five M's and traditional factors

In order to produce goods and services, the five M's of production - Men, Money, Materials, Machinery and Method - must be present. Identify the traditional factors of production that EACH of the five M's, in the above statement, represents. (5 marks)

- Men represents Labour, which is the human effort, both mental and physical, used to produce goods and services.
- Money represents Capital, which is the funds used to buy the equipment, raw materials and other items needed by the business.
- Materials represents Land, which covers all the natural resources, including raw materials, taken from nature for use in production.
- Machinery represents Capital, which includes all the man-made tools, machines and buildings used in the production process.
- Method represents Enterprise, which is the skill of the entrepreneur in organising the other factors and choosing the best way to produce.

5(b) Distinguishing pairs of terms

Distinguish between the following pairs of terms: (i) Primary production and tertiary production; (ii) Subsistence level production and domestic level production; (iii) Backward linkage and forward linkage. (9 marks)

(b)(i) Primary vs tertiary production

Primary production is the stage of production in which natural resources are taken from the earth, sea or air, such as in farming, fishing, mining and forestry. Tertiary production, on the other hand, is the stage that provides services rather than goods, such as banking, transport, tourism and education. So primary

production gives raw materials while tertiary production provides services that support producers and consumers.

(b)(ii) Subsistence vs domestic level production

Subsistence level production is when a family produces only enough for its own needs, with nothing left over to sell. Domestic level production is when goods and services are produced in larger amounts to supply the local community or country, so some of the output is sold within the country and the producer earns an income.

(b)(iii) Backward vs forward linkage

A backward linkage is when one industry depends on the output of another industry that comes before it in the production chain, for example a bakery that buys flour from a flour mill. A forward linkage is when an industry supplies its output to another industry that comes after it, for example the same flour mill supplying flour to bakeries and biscuit factories. So a backward linkage looks behind to suppliers while a forward linkage looks ahead to customers.

5(c) Factors when locating a large shopping mall

Discuss TWO factors that must be considered when selecting a location for a large shopping mall. (6 marks)

Closeness to a large population and good transport links

A shopping mall needs thousands of customers each day to be successful, so it must be located in or near a large town or city with a sizeable population. The site should also be on a main road and easy to reach by bus, taxi and private car. If a mall is built in a remote area or on a road with heavy traffic, customers will not visit and sales will be too low for tenants to pay their rent.

Availability of land, parking and utilities

A large mall needs a wide piece of flat land that is big enough for the building, parking spaces, loading bays and possible future expansion. The site should also have a reliable supply of electricity, water, telephone and internet services. Without enough parking and utilities, customers and tenants will be put off, no matter how attractive the building looks.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Social service and its impact

Identify ONE social service provided by the government of your country and evaluate its impact on the country. (4 marks)

One social service provided by the government is free public education from primary to secondary level. The government builds schools, pays teachers and provides textbooks so that all children can attend school no matter how poor their families are. The impact has been very positive: more young people are now able to read, write and use computers, and many go on to gain skills that allow them to find jobs or

start their own businesses. This raises the standard of living of households, lowers poverty and provides the country with a skilled workforce that supports economic growth.

6(b) Functions of government

Describe the following functions of government: (i) National security; (ii) Maintenance of safe environment for investors; (iii) Job security. (6 marks)

National security

National security is the duty of the government to protect the country and its citizens from outside attack, crime and disorder. The government does this by funding the army, the coast guard, the police and the fire service so that life and property are kept safe.

Maintenance of safe environment for investors

The government must keep crime low, the laws clear and fair and the economy stable so that local and foreign investors feel that their money is safe. It does this through good policing, courts that work properly, sound monetary policy and the protection of property rights.

Job security

Job security means that workers are protected from being unfairly dismissed and have certain rights at work. The government provides this through labour laws that set minimum wages, hours of work, sick leave and rules for fair dismissal, as well as schemes for retraining workers who lose their jobs.

6(c) Assistance offered by Caribbean governments

Outline TWO forms of assistance offered by Caribbean governments to businesses. (4 marks)

Tax holidays and concessions

Caribbean governments often allow new businesses, especially in tourism and manufacturing, to operate for several years without paying company tax. They also allow duty-free import of machinery and raw materials, which lowers start-up and running costs.

Financial and technical support through state agencies

Governments set up special agencies that lend money at low interest rates to small businesses and provide training in areas such as bookkeeping, marketing and quality control. This helps small businesses to start, grow and compete with larger firms.

6(d) Government actions to protect the environment

Discuss TWO actions the government of your country can take to protect the environment. (6 marks)

Passing and enforcing strong environmental laws

The government can pass laws that control the dumping of industrial waste, the cutting of trees and the burning of fuel. By giving an environmental agency the power to inspect factories, fine offenders and shut down illegal operations, the government makes sure that businesses and citizens treat the air, water and land with care. This protects public health and preserves the natural beauty of the country for tourism and for future generations.

Public education and recycling programmes
The government can run national campaigns through schools, radio and television to teach citizens about the harm caused by littering, overfishing and the misuse of plastic. It can also set up recycling programmes for paper, glass and bottles, and place recycling bins in public places. Once the public understands the issues and has the means to act, less waste reaches the rivers and the sea, and natural resources are used more wisely.

Question 7

7(a)(i) Definition of human resources

Define the term 'human resources'. (2 marks)

Human resources are the people who work in a country or business, together with their skills, knowledge, experience and abilities. They are the workers and managers who use the other resources of the country to produce the goods and services that people need.

7(a)(ii) Factors affecting human resource development

Outline THREE factors that affect human resource development in any named CARICOM country. (6 marks)

In Jamaica, three factors that affect human resource development are:

The quality and reach of the education system
When schools and training colleges are well funded, well staffed and accessible to all, more young people gain the literacy, numeracy and technical skills needed for modern jobs. Where schools are weak or fees are high, many citizens leave with poor skills and the workforce remains under-developed.

Health care services
Good health care, clean water and balanced nutrition keep workers strong and able to work for long, productive lives. Where health services are poor, workers fall sick more often, miss work and may die young, which reduces the size and quality of the workforce.

Migration of skilled workers
Many trained Jamaicans, such as nurses, teachers and engineers, leave the country to work in North America and Britain in search of higher wages. This 'brain drain' reduces the stock of skilled human resources at home and slows the development of the country.

7(b) Ways human resources can be developed

State TWO ways in which human resources can be developed in the country identified in (a) (ii) above. (4 marks)

Investment in education and training
The government can build more schools and technical colleges, give scholarships and provide on-the-job training. This raises the literacy and skills of the population so that workers can do more demanding and better-paying jobs.

Improving health care and working conditions

By providing more clinics, free vaccinations, clean water and laws that ensure safe workplaces, the government keeps workers healthy and productive. Healthy workers are absent less, work longer and contribute more to the economy.

7(c) Economic problems and measures

Identify TWO major economic problems facing Caribbean countries and discuss ONE measure that can be used to address EACH problem. (8 marks)

Problem: High unemployment, Measure: Encouraging investment and entrepreneurship

Many Caribbean countries have unemployment rates above 10 per cent, especially among young people. To address this, governments can offer tax holidays and grants to attract foreign investors and to support local entrepreneurs. New hotels, factories and small businesses then create jobs, raise household incomes and reduce the strain on welfare services.

Problem: Persistent balance of payments deficit, Measure: Promotion of exports and tourism

Caribbean countries import more than they export and so face balance of payments deficits. The government can address this by giving export support such as marketing assistance, low-interest loans for exporters and incentives to the tourism sector. As exports of goods and services grow, the country earns more foreign exchange, which closes the gap on the balance of payments.

May/June 2011 Paper 02

Section I (Compulsory)

Question 1

1(a) Characteristics of leadership styles

State TWO characteristics of EACH of the following types of leadership styles: (i) Democratic (4 marks); (ii) Autocratic (4 marks)

(a)(i) Democratic leadership

- The leader consults workers and allows them to share their ideas before making important decisions, so workers feel their views are valued.
- Authority and responsibility are shared between the leader and the workers, and the workers are given some freedom to plan and organise their own work.

(a)(ii) Autocratic leadership

- The leader makes all the decisions alone and gives orders to workers without asking for their opinions.
- Communication flows mainly downwards from the leader to the workers, and strict rules and close supervision are used to make sure orders are followed.

1(b) Essential characteristics of a good leader

State THREE essential characteristics of a good leader. (6 marks)

Good communication skills

A good leader must be able to speak and write clearly so that workers understand exactly what they have to do. The leader must also be a good listener, willing to hear the views and concerns of the workers.

Honesty and integrity

A good leader must be truthful and fair in dealing with workers, customers and owners. By keeping promises and acting in an ethical way, the leader earns the trust and respect of everyone in the organisation.

Confidence and the ability to motivate others

A good leader must have self-confidence and a clear vision of where the organisation is going, and must be able to encourage workers to give their best. Through praise, fair reward and a positive example, the leader inspires workers to work hard and to feel proud of their jobs.

1(c) How lack of these characteristics affects an organization

Discuss how the lack of TWO of the essential characteristics of good leadership identified in (b) above can affect an organization. (6 marks)

Lack of good communication skills

When a leader cannot communicate clearly, workers do not understand what is expected of them and they

may carry out tasks wrongly or leave them undone. Important information about goals, changes and problems is also not shared properly between management and workers, leading to confusion, mistakes and waste of time. Over time, productivity falls, customers become unhappy and the workplace fills with rumour and tension.

Lack of honesty and integrity

When a leader is dishonest or unfair, workers quickly lose trust and respect for the leader. Workers become unwilling to follow instructions, theft and indiscipline may increase and conflicts between staff and management can develop. The reputation of the organisation can also be damaged with customers and suppliers, leading to lost business and possible legal trouble.

Question 2

2(a) Definition of feasibility study

Define the term 'feasibility study'. (2 marks)

A feasibility study is an investigation carried out before a business or project is started, to find out whether the idea is workable and likely to be profitable. It examines areas such as the demand for the product, the cost of starting and running the business, the available resources and the possible risks, so that the owner can decide whether or not to go ahead with the project.

2(b) Instances where feasibility studies are useful

Outline THREE instances where feasibility studies are useful. (6 marks)

Before starting a new business

When an entrepreneur is thinking of opening a new business, a feasibility study helps to find out whether there are enough customers, whether the prices charged will cover costs and whether the owner has the skills and money to run the business. This helps the entrepreneur to avoid spending money on a business that is likely to fail.

Before introducing a new product or service

An existing business that wants to add a new product to its range can use a feasibility study to see whether customers want the product, what price they will pay and whether the business has the equipment and workers to produce it. The study helps the business to decide whether the new product will earn enough profit to be worth the trouble.

Before expanding into new locations or markets

When a business is thinking of opening a new branch or selling its products in a new country, a feasibility study examines the cost of the expansion, the level of competition, the laws of the new area and the demand for the product. This helps the owners to expand only into places where the chances of success are good.

2(c) Roles of an entrepreneur

State THREE roles of an entrepreneur. (6 marks)

Combining the factors of production
The entrepreneur brings together land, labour and capital to produce goods or services that satisfy the needs and wants of customers.

Bearing the risks of the business
The entrepreneur invests his or her own money and time in the business and accepts the risk that the business may make a loss or even fail completely. If the business succeeds, the entrepreneur takes the profit as a reward for that risk.

Making decisions and innovating
The entrepreneur decides what will be produced, how it will be produced and who it will be sold to. The entrepreneur also looks for new ideas, new products and new methods that will keep the business ahead of competitors.

2(d) How entrepreneurs contribute to development

Discuss TWO ways in which entrepreneurs contribute to the development of your country. (6 marks)

Creation of jobs and incomes
When entrepreneurs set up new businesses, they hire workers to help run them. These jobs provide wages and salaries that allow households to buy food, clothing, housing and education for their children. As more people earn incomes, poverty falls, the standard of living rises and the wider economy benefits because workers also pay taxes and spend in other shops.

Production of goods, services and tax revenue
Entrepreneurs produce a wide range of goods and services for the local market and for export, which raises the country's Gross Domestic Product. Their businesses also pay company tax, value added tax and other charges to the government. The government uses this tax money to build roads, schools, hospitals and other services that contribute to the development of the country.

Question 3

3(a) Savings

(i) Define the term 'savings'. (2 marks); (ii) List TWO methods of saving that are available to individuals. (2 marks)

(a)(i) Definition of savings
Savings is the part of a person's income that is not spent on current consumption but is set aside for use in the future. It is usually kept in a safe place, such as a bank account, where it can earn interest until the person decides to use it.

(a)(ii) TWO methods of saving

- Opening a savings account at a commercial bank or credit union, where the money earns interest and can be withdrawn when needed.
- Buying a fixed deposit or certificate of deposit, where money is locked away for an agreed period of time at a higher rate of interest.

3(b) Sources of short-term and long-term financing

Identify TWO sources of short-term financing and TWO sources of long-term financing. (4 marks)

Short-term financing

- Bank overdraft, where the bank allows the business to draw more money from its current account than it has, up to an agreed limit.
- Trade credit from suppliers, where suppliers allow the business to receive goods now and pay for them at a later date, usually within 30 to 90 days.

Long-term financing

- Long-term bank loans or mortgages, where money is borrowed for a number of years to buy buildings, land or heavy equipment.
- Issue of shares to the public by a limited company, where the company sells shares in exchange for permanent capital.

3(c) Role of the Central Bank

Explain the role of the Central Bank as (i) an advisor to the government (3 marks); (ii) a lender of last resort. (3 marks)

Advisor to the government

The Central Bank advises the government on matters such as monetary policy, interest rates, inflation and the management of the country's foreign reserves. Because it has experts in economics and finance, the Central Bank helps the government to plan the national budget, to control the money supply and to keep the value of the local currency stable.

Lender of last resort

The Central Bank acts as the lender of last resort by lending money to commercial banks that are facing a temporary shortage of cash and cannot borrow from anywhere else. By stepping in to lend, the Central Bank prevents commercial banks from collapsing and protects the savings of ordinary depositors, which keeps confidence in the whole banking system.

3(d) Cashless monetary transactions

Identify TWO types of monetary transactions that can be conducted within the banking system without the use of cash. Discuss how EACH transaction is performed. (6 marks)

Payment by cheque

A cheque is a written order from an account holder telling his or her bank to pay a stated sum of money to a named person or business. The person being paid takes the cheque to their own bank, which sends it through the clearing system to the payer's bank. The payer's account is then debited and the receiver's account is credited, all without any cash changing hands.

Electronic funds transfer (EFT)

EFT allows money to be moved from one bank account to another using a computer or mobile phone, through services such as online banking, standing orders and direct deposits. The customer logs into the

bank's website or app, enters the amount and the receiver's account details, and the bank moves the money electronically from the payer's account to the receiver's account, often within a few seconds.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Market vs marketing

Distinguish between the terms 'market' and 'marketing'. (4 marks)

Market

A market is any place or arrangement that brings together buyers and sellers of goods and services so that they can exchange them. The market does not have to be a physical place: it can also be an online platform such as a website or app where buyers and sellers meet and trade.

Marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs profitably. It includes researching the market, designing the product, deciding the price, getting the product to the customer and promoting it through advertising and other methods.

4(b) Reasons for conducting market research

State FOUR reasons for conducting market research. (4 marks)

- To find out the needs, wants and preferences of customers.
- To identify the size of the target market and the level of competition.
- To test new products and improve existing products before they are launched.
- To decide on the most suitable price, place and promotion for the product.

4(c) Monopoly and monopolistic competition

(i) Define the term 'monopoly'. (2 marks); (ii) State TWO features of monopolistic competition. (4 marks)

(c)(i) Definition of monopoly

A monopoly is a market situation in which there is only one seller of a particular good or service, and there are no close substitutes. Because the monopolist is the only supplier, it has a great deal of power over the price charged and the quantity supplied.

(c)(ii) TWO features of monopolistic competition

- There are many buyers and many sellers, and each seller offers a product that is similar but slightly different from the others, for example through brand name, packaging or quality.
- Because each product is slightly different, sellers spend money on advertising and branding to attract customers, and there is freedom for new firms to enter or leave the industry at any time.

4(d) Problems related to distribution of goods

Discuss ONE potential problem related to the distribution of goods (i) locally; (ii) internationally. (6 marks)

Local distribution: poor roads and transport

Within many Caribbean countries, local roads are narrow, full of potholes or affected by flooding, especially in rural areas. This makes it slow and expensive to deliver goods from the factory or port to the shops. Goods can be damaged on the journey, perishable items such as food can spoil, and shops may run out of stock, which leads to lost sales and unhappy customers.

International distribution: customs delays and high shipping costs

When goods are sent from one country to another, they have to pass through customs checks where documents are examined and duties are paid. Delays at the port, mistakes in the paperwork, strikes by dock workers or high shipping and insurance costs can all hold up the goods and increase the final price to the customer. For perishable goods such as fruit, even a few days of delay can mean that the entire shipment is spoilt.

Question 5

5(a) Credit methods provided by commercial banks

(i) Identify TWO types of credit methods provided by commercial banks. (2 marks); (ii) Explain how EACH of the TWO types of credit methods identified in (a)(i) works. (6 marks)

(a)(i) TWO credit methods

- Bank loan.
- Bank overdraft.

(a)(ii) How EACH method works

Bank loan

A bank loan is an agreed sum of money lent by the bank to a customer for a fixed period of time at a stated rate of interest. The full amount is usually paid into the customer's account at the start, and the customer repays it through equal monthly instalments that include both interest and part of the original amount borrowed. The customer may have to provide collateral, such as a house or a car, which the bank can sell if the loan is not repaid.

Bank overdraft

A bank overdraft allows the customer to withdraw more money from his or her current account than there is in the account, up to an agreed limit. Interest is charged only on the amount actually overdrawn and only for the days it is used, which makes it useful for short-term needs such as paying wages while waiting for customers to settle their bills. The overdraft is usually meant to be cleared within a short period and can be reviewed by the bank at any time.

5(b) Importance of business documents in international trade

State TWO reasons why business documents are important in international trade. (2 marks)

- They provide a legal record of the agreement between the buyer and the seller, which can be used in court if there is a dispute.
- They are needed to clear goods through customs, to claim insurance and to obtain payment from banks under arrangements such as letters of credit.

5(c) Credit note vs debit note

Distinguish between the terms 'credit note' and 'debit note'. (4 marks)

Credit note

A credit note is a document sent by the seller to the buyer to reduce the amount the buyer owes. It is issued when the buyer returns goods, when the buyer has been overcharged on the original invoice, or when an allowance is being given for damaged goods. A credit note is usually printed in red.

Debit note

A debit note is a document sent by the seller to the buyer to increase the amount the buyer owes. It is issued when the buyer has been undercharged on the original invoice or when extra goods have been delivered that were not included in the first invoice. A debit note has the effect of adding to the buyer's bill.

5(d) Reasons for using a pro forma invoice

Discuss TWO reasons why a supplier may use a 'pro forma invoice'. (6 marks)

To give the buyer a quotation before a sale is made

A supplier may send a pro forma invoice to a possible buyer to show in advance what the goods will cost, including the price, quantity, packing, freight and insurance charges. The buyer can then decide whether the price is acceptable before placing a firm order. This protects both sides because the buyer knows exactly what will be charged and the supplier knows the buyer is serious before going to the trouble of supplying the goods.

To request payment in advance for goods

When the supplier does not know the buyer well, especially in international trade, the supplier may send a pro forma invoice and ask the buyer to pay before the goods are shipped. The pro forma also helps the buyer to arrange foreign exchange, an import licence or a letter of credit at the bank, because it gives the bank all the information needed about the goods and their value.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Government as a regulator of business

Explain what is meant by the statement 'government is a regulator of business', giving TWO examples to support your explanation. (5 marks)

The statement 'government is a regulator of business' means that the government uses laws, rules and regulations to control how businesses operate, in order to protect consumers, workers, the environment

and the wider economy. Businesses are not free to do whatever they want; they must follow the standards set by the government and can be fined or shut down if they break the rules.

- Example 1: The government passes consumer protection laws, such as food and drug standards, that force businesses to make sure that the goods they sell are safe, properly labelled and of the correct quantity.
- Example 2: The government uses the Ministry of Labour and the Factories Act to control working conditions in businesses, setting rules on hours of work, minimum wages and safety on the job to protect workers.

6(b) Purposes of taxation

State THREE purposes of taxation. For EACH of the purposes stated, explain how the government in your country uses the taxes collected. (9 marks)

To raise revenue to fund public services

The main purpose of taxation is to provide the government with money to run the country. The government uses tax revenue to pay for public services such as schools, hospitals, the police and the army, road repairs and the salaries of public officers. Without these tax dollars, citizens would have to pay directly for services that are now provided free or at low cost.

To redistribute income from the rich to the poor

Taxes are also used to reduce the gap between rich and poor citizens. The government charges higher rates of income tax on people who earn more, and uses some of the revenue to pay for old age pensions, public assistance, school feeding programmes and subsidised housing for low-income households.

To control the economy and discourage harmful activities

The government uses taxes to manage the level of spending in the economy and to discourage certain activities. For example, high taxes are placed on cigarettes, alcohol and gambling to reduce the harm they cause, while heavy import duties may be charged on luxury goods so that more foreign exchange is saved for needed imports.

6(c) Consumer protection legislation

Discuss EACH of the following consumer protection legislations showing how EACH benefits consumers. (i) Food and drug standards; (ii) Hire purchase laws. (6 marks)

Food and drug standards

Food and drug standards are laws that set out the quality, ingredients, hygiene and labelling rules that food and medicine sold to the public must meet. Inspectors from the Ministry of Health visit factories, shops and restaurants to test products and check conditions, and any business found breaking the rules can be fined or have its licence taken away. Consumers benefit because they can be sure that the food and medicine they buy are safe to consume, that the contents and expiry date are clearly shown on the label, and that they will not be sold contaminated or fake products.

Hire purchase laws

Hire purchase laws govern the buying of goods on credit, where the buyer pays a deposit and then makes

regular payments before becoming the owner of the goods. The laws force sellers to give the buyer a written agreement that shows the cash price, the total hire purchase price, the rate of interest and the number of payments to be made. Consumers benefit because they cannot be tricked by hidden charges, they have a 'cooling-off' period in which they can change their minds, and the seller cannot just take the goods back without following proper legal steps if the buyer falls behind on payments.

Question 7

7(a) Methods of measuring national income

Explain how the national income of a country is measured using EACH of the following methods: (i) Income; (ii) Expenditure; (iii) Output. (6 marks)

Income method

The income method measures national income by adding up all the incomes earned by the factors of production within the country during a year. This includes wages and salaries earned by workers, rent earned by landowners, interest earned on capital and profits earned by businesses. The total of all these incomes gives the national income.

Expenditure method

The expenditure method measures national income by adding up all the spending on the country's finished goods and services during a year. This includes spending by households on consumer goods, spending by firms on investment such as machinery and buildings, spending by the government on public services and net spending by foreigners (exports minus imports). The total of all this spending gives the national income.

Output method

The output method measures national income by adding up the value of all the goods and services produced in the country during a year, after taking away the cost of raw materials so that the same value is not counted twice. The output of the agriculture, manufacturing, mining, tourism and other sectors is added together to give the total national income.

7(b) Functions of regional and international organizations

Explain ONE function of EACH of the following organizations: (i) Caribbean Development Bank; (ii) World Bank; (iii) International Monetary Fund. (6 marks)

Caribbean Development Bank (CDB)

One function of the CDB is to provide loans and grants to its member countries in the Caribbean to help them finance development projects such as roads, ports, schools, hospitals and water systems. The CDB also gives technical advice on how to plan and run these projects so that they bring lasting benefits to the people of the region.

World Bank

One function of the World Bank is to lend money at low rates of interest to developing countries to help them reduce poverty and build up their economies. The loans are used for major projects such as building

schools, improving health services, expanding agriculture and providing clean water and electricity to poor communities.

International Monetary Fund (IMF)

One function of the IMF is to lend short-term funds to member countries that are facing serious balance of payments problems, so that they can pay their import bills and meet other foreign obligations. In return, the country usually has to agree to follow certain economic policies set by the IMF, such as cutting government spending, controlling inflation and managing the exchange rate, in order to put the economy back on a healthy footing.

7(c) Meaning of CSME

Explain what is meant by CSME. (2 marks)

CSME stands for the Caribbean Single Market and Economy. It is an arrangement among CARICOM member countries that allows the free movement of goods, services, capital and certain categories of skilled workers across the region, with the aim of creating one large Caribbean market and one Caribbean economy.

7(d) How CSME assists in economic development

Discuss TWO ways in which the CSME can assist in the economic development of Caribbean countries. (6 marks)

Creation of a larger market for Caribbean goods and services

Under the CSME, goods and services produced in any member country can be sold in other member countries without paying customs duties. This gives Caribbean businesses a much larger market than their own small home country, allowing them to produce on a bigger scale, lower their unit costs and become more competitive. The result is more sales, more jobs and higher incomes for citizens across the region.

Free movement of skilled workers and capital

The CSME allows certain groups of skilled workers, such as university graduates, teachers, nurses and artistes, to live and work freely in any other member country, and it lets investors move capital from one country to another. This means that countries facing shortages of certain skills can fill them quickly, and money flows to where it is most needed. Together this builds up the productive capacity of the region and supports long-term economic development.

January 2012 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Functions of a business

Outline TWO functions of a business. (4 marks)

Production of goods and services

A business combines resources such as land, labour, capital and enterprise to produce goods or services that satisfy the wants of consumers. For example, a bakery uses flour, ovens and skilled bakers to produce bread that families buy for their daily meals.

Creation of jobs and income

By hiring workers and paying suppliers, a business gives people the chance to earn wages and salaries. The owners themselves earn profit, while the government earns tax revenue from the business, all of which raises the standard of living in the community.

1(a)(ii) Sole proprietorship vs partnership

State TWO ways in which a 'sole proprietorship' is different from a 'partnership'. (4 marks)

Number of owners

A sole proprietorship is owned by only one person who supplies the capital and runs the business. A partnership is owned by between two and twenty persons who pool their capital and skills together to run the business.

Sharing of profits and decisions

In a sole proprietorship, all profits and losses belong to the one owner, who also makes all the decisions. In a partnership, profits, losses and decision-making are shared among the partners according to the partnership agreement.

1(b)(i) Definition of franchise

Define the term 'franchise'. (2 marks)

A franchise is a business arrangement in which one person or company (the franchisee) is given permission, in return for a fee, to use the name, trademarks, products and business system of another well-known company (the franchisor) to operate his or her own branch of that business.

1(b)(ii) Popular franchises

Identify FOUR popular franchises. (4 marks)

- KFC (Kentucky Fried Chicken).
- McDonald's.
- Subway.

- Burger King.

1(c) Advantages of operating a franchise

Discuss TWO advantages of operating a franchise. (6 marks)

Use of an established brand and customer base

When a person opens a franchise of a well-known company such as KFC, the business already has a famous name, logo and a loyal group of customers who recognise and trust the brand. This means that customers begin to come from the very first day, sales are high from the start and the franchisee does not have to spend many years building a reputation, which greatly reduces the risk of failure.

Training and ongoing support from the franchisor

The franchisor provides the franchisee with full training in how to run the business, including production methods, customer service, accounting and marketing. The franchisor also gives ongoing help with advertising, supplies and quality control. Because the franchisee benefits from the experience and proven systems of the parent company, mistakes are avoided and the business can be run more profitably than a brand new one started from scratch.

Question 2

2(a)(i) Reasons for documenting transactions

Mr Jones bought five hours of scuba instructions from Sun and Sand Resort using the Internet. Mr Jones paid by credit card, and Sun and Sand Resort confirmed receipt of payment by e-mail. State FOUR reasons for documenting business transactions. (4 marks)

- To provide written proof that the transaction took place in case of any dispute between the parties.
- To allow the business to keep accurate records that can be used to prepare the final accounts and calculate profit or loss.
- To meet legal requirements such as the keeping of records for income tax and VAT inspection.
- To help managers track sales, payments and stock so that better decisions can be made about ordering and pricing.

2(a)(ii) Instruments of payment

Identify THREE instruments of payment, other than a credit card. (3 marks)

- Cash (notes and coins).
- Cheques drawn on a current account.
- Debit cards used at the point of sale.

2(b)(i) Definition of contract

Define the term 'contract'. (2 marks)

A contract is an agreement between two or more persons that is recognised and enforced by law. Once all the requirements of a valid contract are present, either party can take the other to court if the agreement is broken.

2(b)(ii) Type of contract

Identify the type of contract entered into by Sun and Sand Resort, and Mr Jones. (1 mark)

The type of contract entered into is a simple contract made through the internet, which is a written contract formed online by the offer made by Sun and Sand Resort, the acceptance and payment by Mr Jones, and the e-mail confirmation from the resort.

2(b)(iii) Ways the contract may be terminated

State FOUR ways in which the contract between Sun and Sand Resort, and Mr Jones may be terminated. (4 marks)

By performance
The contract ends when Sun and Sand Resort has provided all five hours of scuba instructions and Mr Jones has paid the full price, so both parties have done what was promised.

By mutual agreement
Both parties may freely agree to cancel the contract before it is fully carried out, for example if Mr Jones cannot attend and the resort agrees to refund the payment.

By breach of contract
If either party fails to do what was agreed without a lawful reason, such as the resort refusing to provide the lessons, the contract is brought to an end and the other party can sue for damages.

By frustration or impossibility
If something happens after the contract is made that makes it impossible to carry out, such as a hurricane that destroys the resort, the contract is discharged because neither party can perform.

2(c) Legal concepts

With reference to the relationship between Mr Jones, and Sun and Sand Resort outlined above, explain the following legal concepts: (i) Offer and acceptance; (ii) Consideration. (4 marks; 2 marks)

(c)(i) Offer and acceptance

Offer is a clear statement by one party that he or she is willing to enter into a contract on certain terms. Acceptance is the unconditional agreement of the other party to those exact terms. In this case, Sun and Sand Resort made an offer on its website to provide five hours of scuba instructions for a stated price. Mr Jones accepted that offer when he placed the order over the internet and paid by credit card. The e-mail confirmation from the resort showed that the offer and acceptance had taken place, so a binding contract was formed.

(c)(ii) Consideration

Consideration is something of value that each party gives to the other in exchange for what is being received. In this case, the consideration provided by Mr Jones is the money paid by credit card, while the consideration provided by Sun and Sand Resort is the promise to deliver five hours of scuba instructions.

Question 3

3(a) Definition of resources

Sally Brown has the potential to be a very good entrepreneur. She is making arrangements to start a business using local resources. Define the term 'resources'. (2 marks)

Resources are the inputs or factors of production that a business uses to produce goods and services. They include natural resources (land), human resources (labour), man-made resources (capital) and the entrepreneurial skill needed to combine them.

3(b)(i) Types of resources for Sally

Identify TWO types of resources that are important to Sally Brown in starting her business. (2 marks)

- Capital, such as money, equipment and tools used to set up and run the business.
- Human resources, such as Sally herself and any workers she may hire.

3(b)(ii) Importance of each resource

Explain the importance of EACH resource to the business. (4 marks)

Importance of capital

Sally needs capital to buy the premises, equipment, raw materials and stock that the business will use. Without enough capital, she cannot start operations or pay her bills in the early months before sales build up.

Importance of human resources

Sally and any workers she hires are the people who actually produce the goods and serve the customers. Skilled and motivated human resources will produce better quality and more output, while poor staff will lead to errors, complaints and lost sales.

3(c) Factors when choosing a location

Outline THREE factors that Sally should consider when choosing a location for her business. (6 marks)

Closeness to customers and good transport

The site should be near the people who will buy from Sally, on a busy road that is easy to reach by bus or car. A location with steady foot traffic will bring in more customers and make daily deliveries easier and cheaper.

Cost of rent, taxes and utilities

Sally needs to compare the cost of rent, property tax, electricity and water at different sites with what her

business can afford. A site that is too expensive will eat up her profits, while a cheaper but suitable site will keep costs under control.

Closeness to suppliers and raw materials

If Sally locates close to her suppliers, she will save money on transport and can replenish stock quickly when needed. This is especially important if she is using local resources, since being near the source keeps the raw materials fresh and reduces waste.

3(d) How the country may benefit

Discuss TWO ways in which the country may benefit from the opening of Sally's new business. (6 marks)

Creation of jobs and reduction of unemployment

Sally's new business will hire workers to help with production, sales and delivery. The wages earned will allow these workers to support their families, which raises household incomes and reduces poverty. As more workers are pulled out of unemployment, the country saves money on welfare and benefits from a stronger workforce.

Increase in government revenue and economic growth

Sally's business will pay company tax, VAT, licence fees and other charges to the government, giving it more money to spend on schools, roads and health care. The goods produced add to the country's Gross Domestic Product, and if any are exported they bring in foreign exchange. All these effects help the economy to grow and develop.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a)(i) Customer satisfaction

Explain the term 'customer satisfaction'. (2 marks)

Customer satisfaction is the feeling of pleasure that a customer experiences when the goods or services received from a business meet or go beyond what was expected. A satisfied customer feels that he or she has received good value for money and is more likely to buy from the same business again.

4(a)(ii) Ways to ensure customer satisfaction

State TWO ways in which a firm can ensure customer satisfaction. (2 marks)

- Selling goods and services of high and consistent quality at a fair price.
- Providing courteous, well-trained staff who serve customers quickly and handle complaints fairly.

4(b) Responsibilities of management to customers

Outline THREE responsibilities of management to customers. (6 marks)

To provide safe and good quality products

Management has a duty to make sure that the goods and services sold to customers are safe to use and are

of the quality promised on the label or in the advertisement. This protects customers from harm and from being cheated.

To charge fair prices and give correct information

Management must set prices that match the value of the product and must give customers honest information about the features, ingredients and uses of the product. Misleading customers or charging unfair prices damages trust and the reputation of the business.

To handle complaints and provide after-sales service

When a customer is unhappy or a product develops a fault, management has a duty to listen, investigate and offer a fair solution such as a refund, replacement or repair. Good after-sales service builds customer loyalty and word-of-mouth recommendation.

4(c) Roles of consumer protection organisations

Explain the role of EACH of the following organizations in consumer protection: (i) Bureau of Standards; (ii) Consumer Affairs Commission. (4 marks)

(c)(i) Bureau of Standards

The Bureau of Standards sets and enforces national standards for the quality, safety and labelling of goods produced or imported into the country. It tests products such as foods, cosmetics, electrical items and building materials, and stops the sale of any goods that do not meet the standards. This protects consumers from buying unsafe or fake products.

(c)(ii) Consumer Affairs Commission

The Consumer Affairs Commission educates the public about their rights and duties as consumers and investigates complaints made against businesses. It helps consumers to get refunds, replacements or compensation when they have been mistreated and works with government to improve consumer protection laws.

4(d) Factors that influence consumer behaviour

Discuss TWO factors that influence consumer behaviour. (6 marks)

Income of the consumer

The amount of money that a consumer earns has a major effect on what and how much he or she buys. Consumers with high incomes can afford luxury goods and brand names, while those with low incomes spend most of their money on basic items such as food, shelter and clothing. When incomes rise, consumers tend to buy more goods and to switch to higher quality brands, which is why businesses adjust their products and prices to suit different income groups.

Advertising and influence of family and friends

Advertising on television, radio, billboards and social media tells consumers about new products and tries to persuade them to buy. Strong advertising can change attitudes and create wants for products that the consumer did not even know about. The opinions of family, friends and popular figures also influence what consumers buy, since people often want to fit in or to copy those they admire.

Question 5

5(a)(i) Reasons for closing a commercial bank

A Central Bank can 'close down' the operations of commercial banks for a number of reasons. Outline TWO reasons why a Central Bank may decide to 'close down' a commercial bank. (4 marks)

Failure to keep the required reserves

Every commercial bank must keep a minimum amount of cash on hand and on deposit at the central bank. If a commercial bank fails to keep these reserves, depositors may not be able to withdraw their money on demand. The central bank may close such a bank to protect depositors and the wider banking system.

Insolvency or fraud

If a commercial bank's losses become greater than its capital, or if it is found to be involved in fraud, money laundering or other illegal acts, the central bank may decide to close it down. This protects customers, the reputation of the financial system and the economy.

5(a)(ii) Actions to prevent closure

Explain THREE actions that a commercial bank could take in order to prevent closure by a Central Bank. (6 marks)

Maintain the required cash and capital reserves

The bank can carefully manage its cash, deposits and loans so that the legal minimum reserves are always kept at the central bank. By doing this, the bank stays within the rules and avoids the threat of being closed down.

Lend money carefully and recover bad debts

The bank should check the creditworthiness of every borrower before lending and should follow up to make sure that loans are repaid on time. Strong credit policies reduce bad debts, protect the bank's profit and keep it financially strong enough to continue operating.

Strengthen internal controls and follow regulations

The bank should put in place strict internal controls, audit checks and training for staff so that fraud, errors and money laundering are prevented. Following all the rules of the central bank and reporting honestly will keep the bank in good standing and avoid action being taken against it.

5(b) Sources of financing other than commercial banks

Identify FOUR sources, other than commercial banks, from which firms can acquire financing. (4 marks)

- Personal savings of the owners and contributions from family and friends.
- Credit unions and co-operatives that lend to their members at low interest rates.
- The stock market, where companies raise long-term capital by issuing shares to the public.
- Government agencies and development banks that provide grants and low-interest loans to small businesses.

5(c) How the stock market performs its role

Discuss TWO ways in which the stock market performs its role effectively. (6 marks)

Helping companies to raise long-term capital

The stock market provides a place where public limited companies can sell shares and bonds to a large number of investors. By doing this, companies are able to raise large sums of long-term capital that they can use to build factories, buy equipment or expand into new markets. Without the stock market, it would be very hard for big businesses to find this much money in one place, so the stock market is a key source of growth.

Allowing investors to buy and sell shares easily

The stock market provides a regulated place where existing shares can be bought and sold quickly between investors. This means that an investor who needs cash can sell shares and someone who wants to invest can buy shares without having to find a private buyer or seller. The fair pricing and openness of the market also gives investors confidence that the prices they pay or receive are based on current information about the companies.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Direct and indirect taxes

Explain the terms 'direct taxes' and 'indirect taxes', giving ONE example of EACH type of tax. (6 marks)

Direct taxes

A direct tax is a tax that is paid directly to the government by the person or business on whom it is charged. The taxpayer cannot easily pass the burden on to anyone else. Examples include income tax, which is taken out of a worker's salary, and company tax, which is paid by businesses on their profits.

Indirect taxes

An indirect tax is a tax that is charged on goods and services and is paid through an intermediary, usually the seller, who then passes the burden of the tax on to the final consumer in the form of higher prices. Examples include Value Added Tax (VAT) and customs duties on imported goods.

6(b) Purposes of taxation

State TWO purposes of taxation. (2 marks)

- To raise revenue for the government to provide public services such as health, education and roads.
- To redistribute income from the rich to the poor and to discourage the consumption of harmful goods such as alcohol and tobacco.

6(c)(i) Regressive vs progressive taxation

In a recent budget presentation, a Minister of Finance announced a decision to increase taxes on alcohol and tobacco. A leading financial commentator condemned this measure, claiming that such taxes are regressive. Distinguish between 'regressive taxation' and 'progressive taxation'. (4 marks)

Regressive taxation

Regressive taxation is a system in which the lower a person's income, the higher the share of that income paid in tax. Indirect taxes such as VAT and excise duties on alcohol and tobacco tend to be regressive because everyone pays the same amount per item, but that amount makes up a larger share of a poor person's income than of a rich person's income.

Progressive taxation

Progressive taxation is a system in which the higher a person's income, the higher the rate at which that income is taxed. Personal income tax with rising rate bands is the most common example, since people with very high salaries pay a larger share of their income in tax than those with low salaries.

6(c)(ii) Reason for progressive tax system

Outline the MAIN reason in favour of a progressive tax system. (2 marks)

The main reason in favour of a progressive tax system is that it is fair. People who earn high incomes have a greater ability to pay tax than those who earn low incomes, so they should contribute a larger share of their income. This also helps to reduce inequality, since the extra tax from the rich is used to provide services for the poor.

6(c)(iii) Reasons for taxing alcohol and tobacco

Discuss TWO reasons why government may impose taxes on alcohol and tobacco. (6 marks)

To discourage consumption of harmful goods

Alcohol and tobacco are harmful to health and lead to diseases such as cancer, liver damage and addiction. By placing high taxes on these goods, the government raises their prices, and consumers tend to buy less. Lower consumption protects the health of citizens and reduces the cost to the public health system, which has fewer cases of alcohol- and tobacco-related illness to treat.

To raise revenue for the government

Alcohol and tobacco have many heavy users who continue to buy these goods even when prices rise, so the demand is fairly inelastic. This means that taxes on these items earn the government large and steady amounts of revenue. The money raised can then be used to fund hospitals, schools and other public services that benefit the whole society.

Question 7

7(a) Reasons countries trade

State TWO reasons why countries trade with each other. (2 marks)

- To obtain goods and services that they cannot produce themselves or cannot produce in large enough quantities.
- To sell their surplus output to earn foreign exchange and to take advantage of the differences in resources, climate and skills between countries.

7(b) Definitions

Define EACH of the following terms: (i) Specialization; (ii) Balance of trade; (iii) Globalization. (6 marks)

Specialization

Specialization is the process by which a person, business or country concentrates on producing only those goods or services in which it is most efficient, and trades with others to obtain the items it does not produce. This raises total output and lowers cost.

Balance of trade

The balance of trade is the difference between the total value of a country's visible exports (goods sold to other countries) and the total value of its visible imports (goods bought from other countries) over a period of time. If exports are greater than imports, the balance is favourable; if imports are greater, the balance is unfavourable.

Globalization

Globalization is the process by which the economies, cultures and people of countries around the world are becoming more closely linked through trade, investment, travel, technology and communication. As a result, goods, money, ideas and people now move across borders much more easily than before.

7(c) Features of regional and international institutions

State TWO features of EACH of the following institutions: (i) Organization of Eastern Caribbean States (OECS); (ii) Caribbean Community (CARICOM); (iii) World Trade Organization (WTO). (6 marks)

(c)(i) Organization of Eastern Caribbean States (OECS)

- It is made up of nine small island states in the Eastern Caribbean such as St Lucia, Grenada, Dominica and St Vincent.
- Most of its members share a common currency, the Eastern Caribbean dollar, and a common central bank.

(c)(ii) Caribbean Community (CARICOM)

- It groups together the English-speaking Caribbean countries (and Suriname and Haiti) to promote economic integration through the CARICOM Single Market and Economy.
- It coordinates the foreign policy of member states and provides functional cooperation in areas such as health, education, disaster preparedness and culture.

(c)(iii) World Trade Organization (WTO)

- It is a global organisation with over 150 member countries that sets the rules for international trade in goods and services.

- It provides a place where member countries negotiate trade agreements and settle trade disputes through panels and an appeals body.

7(d) Challenges of a single market and economy

Discuss TWO challenges faced by Caribbean economies in creating a single market and economy. (6 marks)

Differences in the size and strength of member economies

The economies of CARICOM countries vary widely in size, structure and level of development. Larger countries such as Trinidad and Tobago and Jamaica have stronger industries, while smaller islands depend mainly on tourism and a few exports. Because of this gap, businesses in stronger countries can outsell those in weaker countries when trade barriers are removed. The smaller economies fear that they will lose jobs and tax revenue, which makes them slow to fully open their borders.

Free movement of skilled workers and capital

A true single market requires that workers and money be able to move freely from one member country to another. In practice, immigration laws, work permit rules and the fear of brain drain have made it hard to allow free movement of all skills. Concerns about loss of jobs and pressure on social services in the receiving country slow the process down. As a result, the benefits of a true single market have not yet been fully realised.

May/June 2012 Paper 02

Section I (Compulsory)

Question 1

1(a) Small businesses

(i) Identify THREE features of a small business. (3 marks); (ii) State THREE reasons why small businesses are important to a community. (3 marks)

(a)(i) THREE features of a small business

- It is owned and run by one person or a small group of people, often the members of one family.
- It uses a small amount of capital and only a few workers, usually less than ten employees.
- It serves a small local market and has a small share of the total sales in its industry.

(a)(ii) THREE reasons small businesses are important to a community

- They provide jobs for people in the local area, including young people and women who may not be able to travel far to work.
- They supply goods and services that the community needs, such as bread, hairdressing or repairs, often at convenient times and prices.
- They keep money circulating in the local community because the owner usually lives nearby and spends his or her income with other local businesses.

1(b) Effect of growth on a business

Explain the effect of growth on EACH of the following: (i) Scale of production; (ii) Potential for export. (4 marks)

Scale of production

As a business grows, it can produce a much larger quantity of goods or services than before. This means it can buy raw materials in bulk at a cheaper price, use bigger and more efficient machines and spread its fixed costs over more units. This larger scale of production lowers the cost of making each unit and helps the business to earn higher profits.

Potential for export

When a business grows, it produces more than the local market can absorb, so it must look for customers in other countries. The larger size also gives it the money to meet international quality standards and to pay for shipping and marketing abroad. As a result, a growing business has a much greater chance of selling its products overseas and earning foreign exchange.

1(c) Benefits of CAD for a fashion designer

A fashion designer would like to introduce Computer Aided Design (CAD) into her fashion designing business. Outline TWO benefits that she will enjoy from using CAD in her business. (4 marks)

Faster and more accurate designs

With CAD software, the designer can draw, change and store designs on the computer in a fraction of the time it would take to do them by hand. She can quickly try different colours, fabrics and shapes on the screen and print out neat, accurate patterns, which means she can produce more designs in less time and make fewer mistakes.

Easier sharing of designs and lower costs

Because the designs are stored as electronic files, the designer can email them to clients, suppliers and seamstresses anywhere in the world for quick approval. This saves the cost of paper, printing and travel, and reduces the waste of fabric that comes from cutting wrong samples by hand.

1(d) Disadvantages of using technology in a small business

Discuss TWO disadvantages of using technology in a small business. (6 marks)

High cost of buying and maintaining the technology

Computers, software, printers and specialised machines are expensive to buy and have to be repaired, upgraded and replaced regularly. A small business with limited capital may struggle to find the money for the initial purchase and for the ongoing cost of internet, electricity and technical support. This can put a serious strain on the cash flow of the business and reduce the profits left for the owner.

Need for training and risk of system failure

The owner and the few workers in a small business often do not have the skills to operate new technology, so the business has to spend time and money on training. If the system breaks down or is attacked by a virus, the business may not have its own technical staff to fix it quickly. This means orders, records and customer information can be lost and the business may have to close for a period, leading to lost sales and unhappy customers.

Question 2

2(a) Responsibilities of management

Outline TWO responsibilities of the management of a business to EACH of the following: (i) Society; (ii) Employees; (iii) Customers (6 marks)

(a)(i) TWO responsibilities to society

- To protect the environment by controlling pollution, disposing of waste properly and using natural resources carefully so that the community is not harmed by the activities of the business.
- To support community development by paying taxes honestly, sponsoring local events, sports teams or schools, and providing employment for people in the area.

(a)(ii) TWO responsibilities to employees

- To pay fair wages on time and to provide safe working conditions, proper tools and protective equipment so that workers do not get hurt or fall ill on the job.
- To provide training and chances for promotion so that workers can develop their skills and move up in the business as they gain experience.

(a)(iii) TWO responsibilities to customers

- To sell goods and services that are safe, of good quality and properly labelled, and to charge a fair price that matches the value of the product.
- To deal honestly with customers, give truthful information in advertising, honour warranties and handle complaints quickly and fairly.

2(b) Teamwork and leadership

(i) State FOUR ways in which managers can encourage teamwork within an organization. (4 marks); (ii) Describe TWO characteristics that would make a Prime Minister or President a good leader. (4 marks)

(b)(i) FOUR ways managers can encourage teamwork

- Holding regular meetings where every team member is encouraged to share ideas and opinions about the work.
- Setting common goals and rewarding the whole team when those goals are met, instead of rewarding only individuals.
- Organising training sessions, retreats and social events so that team members get to know and trust each other.
- Treating every member of the team with respect and dealing with conflicts quickly and fairly so that no one feels left out.

(b)(ii) TWO characteristics of a good Prime Minister or President

Honesty and integrity

A good Prime Minister or President must be truthful in dealing with the public and must keep the promises made to the people. When citizens know that their leader is honest and not corrupt, they are more willing to follow his or her decisions, pay their taxes and support government programmes, which makes the country easier to run.

Strong vision and good communication skills

A good leader must have a clear picture of where the country should be going and must be able to explain that vision to citizens, ministers and foreign partners in simple, convincing words. By inspiring people through speeches and actions, the leader can unite the country behind common goals such as reducing crime, growing the economy or improving education.

2(c) Reducing conflict from Steve's promotion

The manager of DXC Ltd wants to promote Steve, a junior employee, to a key position in the organization. There are several employees who are senior to Steve and are interested in the same position. Discuss TWO strategies which the management of DXC Ltd can employ to reduce conflict that may arise from this promotion. (6 marks)

Use a clear, fair selection process based on merit

Management should set out in writing the qualifications, experience and skills needed for the new position and should interview every interested employee, including the senior workers, against those same standards. By showing that Steve was chosen because he best met the criteria, and not because of

favouritism, management can help the senior employees to accept the decision and reduce feelings of unfairness.

Hold meetings with the senior employees and offer training or other rewards
Management should meet privately with the senior workers who applied, explain the reasons for the decision and listen to their concerns. The company can then offer them training, new responsibilities or other forms of recognition such as bonuses or future promotion opportunities, so that they feel valued and motivated to keep working hard rather than holding a grudge against Steve or the company.

Question 3

3(a) Definition of e-commerce

Maggie recently bought books, shoes and clothes from an online company. Define the term 'e-commerce'. (2 marks)

E-commerce, short for electronic commerce, is the buying and selling of goods and services over the internet. It includes activities such as ordering items from an online store, paying with a credit or debit card on a website, and having the goods delivered or downloaded to the customer.

3(b) Advantages and disadvantages of e-commerce

State TWO advantages and TWO disadvantages of 'e-commerce'. (4 marks)

Advantages

- Customers can shop from home at any time of the day or night, which saves travel time and gives them access to a much wider range of goods than is available in local stores.
- Businesses can reach customers all over the world without having to set up shops in every country, which lowers their costs and increases sales.

Disadvantages

- Customers cannot touch, smell or try on the product before buying, so they may receive items that do not match what was shown on the website.
- There is a risk of fraud and theft of credit card or personal information by hackers and dishonest websites, which can cause customers to lose money.

3(c) Reasons firms offer trade discounts

Outline TWO reasons why firms offer trade discounts. (4 marks)

To encourage customers to buy in large quantities
A trade discount is a reduction off the list price given by one business to another, usually for buying in bulk. By offering this discount, the seller encourages wholesalers and retailers to place bigger orders, which means the seller moves more stock quickly and lowers the cost of storage and transport per unit.

To build long-term relationships with regular customers
When a firm gives trade discounts to wholesalers and retailers who buy from it often, those customers feel

valued and are more likely to keep buying from the same supplier rather than switching to a competitor. This helps the firm to keep a steady level of sales and to plan production with confidence.

3(d) Maggie's refrigerator purchase

Maggie plans to buy a refrigerator from a local store. (i) Discuss any TWO of the following 'terms of sale' options that are available to her: a) Hire purchase; b) Lay away plan; c) Credit sale; d) Credit card. (6 marks); (ii) Given that Maggie buys the refrigerator and it stops working after one month. Advise her of TWO actions which she may take to get compensation from the store. (4 marks)

(d)(i) TWO terms of sale options

Hire purchase

With hire purchase, Maggie would pay a deposit and take the refrigerator home immediately, then pay the rest of the price in fixed monthly instalments that include interest. The refrigerator legally belongs to the store until the final instalment is paid, so if Maggie misses payments the store can repossess it. This option lets her enjoy the refrigerator straight away even if she does not have the full price in cash.

Lay away plan

With a lay away plan, Maggie would choose the refrigerator and pay a deposit, and the store would put the item aside for her. She then makes regular payments over a few weeks or months, and only takes the refrigerator home after the full price has been paid. There is usually no interest, but she has to wait until she finishes paying before she can use the refrigerator.

(d)(ii) TWO actions Maggie may take to get compensation

- Maggie should return to the store with her receipt and warranty and politely ask the store to repair or replace the refrigerator, or to give her a full refund, since the item was not of merchantable quality.
- If the store refuses, Maggie can make a written complaint to the consumer affairs commission or take the store to court under the Sale of Goods Act, where she can claim a refund or damages for the faulty item.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Reasons for establishing a business and sources of capital

(i) State THREE reasons for establishing a business. (3 marks); (ii) Identify THREE sources of capital used in financing a business. (3 marks)

(a)(i) THREE reasons for establishing a business

- To make a profit and provide income for the owner and the owner's family.
- To be one's own boss and have the freedom to make decisions, instead of working for someone else.
- To provide goods or services that are needed in the community and to create jobs for other people.

(a)(ii) THREE sources of capital

- Personal savings of the owner, which is money the owner has put aside over the years.
- Loans from commercial banks or credit unions, which the business has to repay with interest.
- Investment by partners or shareholders, who put money into the business in exchange for a share of the profits.

4(b) Collateral

(i) Define the term 'collateral' and give TWO examples of collateral that may be used in a business transaction. (4 marks); (ii) Outline TWO reasons why collateral is important to a borrower. (4 marks)

(b)(i) Definition and TWO examples

Collateral is something of value that a borrower offers to a lender as security for a loan. If the borrower fails to repay the loan as agreed, the lender has the legal right to take and sell the item of collateral to recover the money owed.

- Land or buildings owned by the borrower.
- Motor vehicles or fixed deposits held by the borrower at a bank.

(b)(ii) TWO reasons collateral is important to a borrower

It allows the borrower to get a larger loan

When a borrower offers collateral, the lender feels much safer because the loan is backed by something of real value. Because of this lower risk, the lender is willing to give the borrower a larger sum of money than would be possible without collateral, which helps the business to invest in bigger projects and grow faster.

It usually leads to lower interest rates and better repayment terms

Loans backed by collateral are seen as less risky, so banks and other lenders are willing to charge a lower interest rate and to give the borrower more time to repay. This reduces the total cost of the loan to the borrower and makes the monthly payments easier to manage out of business profits.

4(c) Importance of business plan elements

Discuss the importance of EACH of the following elements of a business plan: (i) Executive summary; (ii) Financial projections (6 marks)

Executive summary

The executive summary is a short overview placed at the front of the business plan that gives the reader a quick picture of the whole business in just one or two pages. It states the name of the business, what it does, the target market, the amount of finance needed and the expected returns. Because banks and investors are busy people, the executive summary is often the only part they read carefully, so it must be clear and convincing if the owner is to attract the funding and support needed to start or expand the business.

Financial projections

Financial projections show in figures how the business is expected to perform over the next few years,

including the projected sales, expenses, profits and cash flow. They are important because they tell the owner whether the business idea is likely to be profitable and whether it will have enough cash to pay its bills. Lenders and investors also rely on these figures to decide whether the business will be able to repay loans and provide a fair return on their money, so realistic and well-prepared projections are central to getting finance.

Question 5

5(a) Roles of commercial banks

State TWO roles of commercial banks. (2 marks)

- To accept deposits from individuals and businesses and to keep their money safe in current, savings and fixed deposit accounts.
- To lend money to individuals and businesses through loans, overdrafts and mortgages, charging interest on the amounts borrowed.

5(b) Differences between business terms

Outline the differences between EACH of the following pairs of business terms: (i) Money market and capital market; (ii) Crossed cheques and open cheques; (iii) Bull market and bear market (6 marks)

Money market and capital market

The money market is the part of the financial system that deals with short-term borrowing and lending, usually for periods of less than one year, through instruments such as Treasury bills and short-term commercial paper. The capital market deals with long-term funds, for periods of more than one year, through shares, bonds and long-term loans used to finance major projects such as factories or office buildings.

Crossed cheques and open cheques

A crossed cheque has two parallel lines drawn across its face and can only be paid into a bank account, which makes it safer because it cannot easily be cashed by a thief. An open cheque has no such lines and can be presented at the counter of the drawer's bank for cash payment to the person named or to the bearer, so it carries a higher risk if it is lost or stolen.

Bull market and bear market

A bull market is a period when share prices on the stock exchange are rising and investors feel confident about the future of the economy, so they are eager to buy shares. A bear market is the opposite, a period when share prices are falling and investors are nervous about the economy, so they tend to sell shares to avoid further losses.

5(c) Benefits of starting one's own business

Describe THREE benefits that an entrepreneur may enjoy from starting his own business as opposed to purchasing investments. (6 marks)

Full control over decisions

When the entrepreneur starts his own business, he is the boss and can decide what to produce, how to run

the business and how to spend the profits. With investments such as shares or bonds, he is only a small part-owner or lender and has little or no say in how the company is run.

Higher potential earnings

If the business does well, all the profits belong to the entrepreneur, and these profits can be much greater than the dividends or interest he would earn from buying investments. The value of the business itself also grows over time and can be sold later for a large sum, giving him a much bigger reward for his effort.

Personal satisfaction and skills development

Running his own business gives the entrepreneur the pride of building something with his own hands and the chance to use his own ideas and creativity. He also develops valuable skills in management, marketing, finance and dealing with people, which an investor sitting at home with shares would not gain in the same way.

5(d) Investment options for entrepreneurs

Discuss TWO types of investment options that are available to entrepreneurs. (6 marks)

Shares (equity) on the stock exchange

An entrepreneur can use part of his money to buy shares in companies listed on the stock exchange. As a shareholder, he becomes a part-owner of those companies and can earn money in two ways, through dividends paid out of the company's profits and through the rise in the price of the shares over time. Shares can give high returns when companies do well, but their value can also fall, so the entrepreneur must accept some risk.

Government bonds and treasury bills

An entrepreneur can also invest in government bonds and Treasury bills, which are loans made to the government for a fixed period at a fixed rate of interest. These are seen as very safe investments because the government is unlikely to fail to pay, and they provide a steady, predictable income. The returns are usually lower than on shares, but the lower risk makes them attractive when the entrepreneur wants to protect part of his money.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Government responsibilities and business growth

Describe how the maintenance of EACH of the following responsibilities of government may affect the development and growth of businesses: (i) Law and order; (ii) A safe environment for investors; (iii) Job security and other benefits for workers (6 marks)

Law and order

When the government keeps law and order through an effective police force and fair courts, businesses can operate without constant fear of robbery, vandalism or fraud. Owners are willing to open shops, factories and offices, and customers feel safe to come out and buy. This stable environment encourages businesses to invest, expand and create more jobs.

A safe environment for investors

When the government protects property rights, enforces contracts and keeps political and economic conditions stable, both local and foreign investors feel confident about putting their money into the country. This brings in more capital, new technology and more competition, which helps existing businesses to grow and new ones to start up.

Job security and other benefits for workers

When the government enforces labour laws on minimum wage, paid leave, pensions and protection against unfair dismissal, workers feel secure and are more willing to give their best effort. Happy and motivated workers are more productive and stay longer with their employers, which lowers the cost of hiring and training and helps businesses to grow steadily.

6(b) Actions to protect the environment

Outline TWO actions which businesses could take to protect the environment. (4 marks)

Treating waste before disposing of it

Businesses can install proper systems to clean and treat their liquid and solid waste before releasing it, so that harmful chemicals do not enter rivers, the sea or the air. Factories can also recycle materials such as paper, plastic and metal instead of dumping them, which reduces pollution and saves natural resources.

Using energy-efficient equipment and renewable resources

Businesses can switch to energy-saving lights, machines and vehicles, and can install solar panels or other renewable energy sources where possible. This reduces the amount of fossil fuel burned and lowers the harmful gases released into the atmosphere, helping to slow down climate change.

6(c) Encouraging private sector to invest in education

Suggest TWO ways in which governments could encourage the private sector to invest in the education of its employees. (4 marks)

Offer tax breaks for training expenses

The government can allow businesses to claim the money they spend on training and education as a tax-deductible expense, or even give an extra tax credit on top of the actual cost. This lowers the company's tax bill when it invests in education and makes training a much more attractive use of business funds.

Provide grants and partnership programmes

The government can set up training funds, scholarships and apprenticeship programmes that share the cost of educating workers with private companies. By matching the money put in by a business or paying part of the wages of trainees, the government makes it easier for firms, especially small ones, to send their workers for further studies.

6(d) Benefits of investing in education

Discuss TWO benefits that could result from BOTH government and private businesses investing in education. (6 marks)

A more skilled and productive workforce

When government and private businesses both spend on education and training, workers gain better reading, writing, technical and problem-solving skills. These skilled workers can produce more goods and services of higher quality in the same time, which raises productivity, lowers costs and helps both businesses and the country to compete with firms in other countries.

Higher incomes, lower poverty and stronger economic growth

Better-educated workers earn higher wages, which improves the standard of living of their families and lifts many people out of poverty. As more people earn and spend, businesses sell more, pay more taxes and create more jobs. This sets off a cycle of economic growth where rising incomes, more investment and improved social conditions support each other over the long term.

Question 7

7(a) Definition of international trade

Define the term 'international trade'. (2 marks)

International trade is the buying and selling of goods and services between people, businesses and governments of different countries. It includes both visible trade in physical goods, such as oil, bananas and machinery, and invisible trade in services, such as tourism, banking and shipping.

7(b) Benefits of international trade

State THREE benefits of international trade. (6 marks)

Access to a wider variety of goods and services

Through international trade, a country can import goods that it cannot produce itself, such as certain machines, medicines or out-of-season foods. This raises the standard of living of citizens by giving them more choice and better quality at fairer prices.

Earning of foreign exchange from exports

By selling its own goods and services to other countries, a country earns foreign currency such as US dollars or pounds sterling. This foreign exchange is then used to pay for needed imports and to repay foreign loans, which helps to keep the economy stable.

Creation of jobs and economic growth

Producing goods for export creates jobs in farming, manufacturing, transport, banking and tourism. As output and incomes rise, the GDP of the country grows and the government collects more tax, which it can use to provide better public services.

7(c) Measures to improve international trade

Outline ONE way in which countries may use EACH of the following measures to improve international trade: (i) Modern technology; (ii) Development of the manufacturing sector; (iii) Investment in research (6 marks)

Modern technology

A country can use modern technology such as computer-controlled machines, the internet and improved shipping systems to produce goods faster, more cheaply and to international quality standards. Online platforms also allow local businesses to advertise and sell directly to customers in foreign countries, which expands the market for exports.

Development of the manufacturing sector

By building up the manufacturing sector through tax incentives, training and improved infrastructure, a country can turn its raw materials into finished goods that earn much more on the world market than the raw materials alone. For example, instead of exporting only cocoa beans, the country can export chocolate, which increases foreign exchange earnings and creates more jobs.

Investment in research

When a country invests in research and development, scientists and businesses can find new products, better farming methods and more efficient production processes. These new ideas help local firms to make goods that are unique, of higher quality or cheaper than those of competitors abroad, which makes the country's exports more attractive on the world market.

7(d) Effects of measures used to restrict international trade

Discuss the effects of EACH of the following measures used by countries to restrict international trade: (i) Tariffs or custom duties; (ii) Quotas (6 marks)

Tariffs or custom duties

A tariff is a tax placed on goods coming into the country from abroad, which makes the imported goods more expensive in local shops. Because the prices rise, consumers tend to switch to cheaper local products, which protects local industries and the jobs they provide. Tariffs also bring in revenue for the government. However, they can lead to higher prices for consumers, less choice and the risk that other countries will charge tariffs in return on the country's own exports.

Quotas

A quota is a limit on the quantity of a particular good that can be imported into the country in a given period. By keeping out part of the foreign supply, a quota gives local producers a larger share of the home market, which helps them to grow and to keep workers employed. On the other hand, the smaller supply of imported goods often pushes up prices, gives consumers fewer choices and may also invite foreign countries to set quotas on the country's exports in return.

January 2013 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Definition of enterprise

Define the term 'enterprise'. (2 marks)

Enterprise is the willingness and ability of an entrepreneur to take risks, organise the other factors of production (land, labour and capital) and to start and run a business in the hope of making a profit.

1(a)(ii) Stakeholders of a business

Identify FOUR stakeholders of a business. (4 marks)

- The owners or shareholders of the business.
- The employees who work for the business.
- The customers who buy the goods or services.
- The government, suppliers and the wider community in which the business operates.

1(b) Reasons individuals start their own business

State FOUR reasons why individuals start their own business. (4 marks)

- To be their own boss and have the freedom to make their own decisions.
- To earn a higher income by keeping the profits of the business.
- To turn a hobby, talent or skill into a paying activity.
- To create employment for themselves and members of their family or community.

1(c) How businesses contribute to community development

Outline TWO ways in which businesses contribute to the development of their communities. (4 marks)

Provision of jobs and goods

Businesses hire local workers and provide them with wages and salaries that support their families. They also supply goods and services that members of the community need, often within easy reach of their homes.

Sponsorship and support of community activities

Many businesses sponsor sports teams, give scholarships, donate to schools and clinics and help with clean-up campaigns. These activities improve the quality of life of residents and help the community to develop in areas that government cannot reach alone.

1(d) Co-operative vs company

Distinguish between a 'co-operative' and a 'company' and give ONE example of EACH. (6 marks)

Co-operative

A co-operative is a business owned and controlled by its members, who share a common need or interest. The members buy shares, but each member has only one vote no matter how many shares are held, and any surplus is shared among members or used to improve the co-operative. The main aim is to serve the members rather than to maximise profit. An example is a credit union or a farmers' co-operative.

Company

A company is a business owned by shareholders who buy shares in the company. The number of votes a shareholder has at meetings depends on the number of shares held, and the main aim is to earn profit for the shareholders, paid out as dividends. The company is a separate legal person from its owners and the shareholders enjoy limited liability. An example is a private limited company such as a small family-owned firm, or a public limited company such as a bank listed on the stock exchange.

Question 2

2(a)(i) Organisational chart

'We Market For You' is a business that provides marketing services to the public. The business is headed by a general manager. There are also two supervisors, one for marketing and one for finance. There is one administrative assistant who assists the general manager and the two supervisors. Draw an organizational chart for 'We Market for You'. (4 marks)

The organisational chart for 'We Market For You' is as follows. At the top is the General Manager. Reporting directly to the General Manager are two Supervisors, side by side: the Marketing Supervisor on the left and the Finance Supervisor on the right. The Administrative Assistant is shown to the side of the General Manager (linked by a dotted line) because the Assistant supports the General Manager and both Supervisors.

- Top level: General Manager.
- Middle level (reporting to General Manager): Marketing Supervisor and Finance Supervisor.
- Support staff (linked to General Manager and both Supervisors): Administrative Assistant.

2(a)(ii) Functions of the general manager

Identify TWO functions of the general manager. (2 marks)

- Planning and setting the overall goals and policies of the business.
- Coordinating and supervising the work of the marketing and finance supervisors and ensuring that the business runs smoothly.

2(b) Sources of conflict within an organisation

Describe TWO possible sources of conflict within an organization. (4 marks)

Disagreements over wages, work hours and working conditions

Workers usually want higher wages, shorter hours and better conditions, while management wants to

control costs. When the two sides cannot agree, conflict arises in the form of grievances, slowdowns or strikes.

Personality clashes and unclear roles

Conflict can also come from differences in personality, poor communication or unclear job descriptions. When two workers have to share the same task without knowing who is responsible, or when one feels that another is being favoured by management, tension and arguments quickly develop.

2(c) Benefits of teamwork

Outline TWO benefits of teamwork to a business. (4 marks)

Better ideas and faster problem-solving

When workers join their skills and experience as a team, they can come up with more ideas and find solutions to problems faster than one person working alone. This leads to better decisions and to new and more creative ways of doing things.

Higher motivation and productivity

Working as a team makes workers feel valued and supported, which raises their morale. Team members encourage one another, share the workload and cover for each other when needed, so output rises and the quality of work improves.

2(d) Communication methods

Discuss ONE way in which 'We Market For You' can use EACH of the following methods to communicate with employees: (i) Text messages; (ii) Office memos. (6 marks)

(d)(i) Text messages

'We Market For You' can use text messages to send short, urgent information to employees who are away from the office, such as marketing staff who visit clients. For example, the General Manager can send a text to remind staff of an early-morning meeting, to inform them of a change in a client's schedule or to confirm that an important payment has been received. Because almost everyone carries a mobile phone, text messages reach employees within seconds, no matter where they are. This makes the business more responsive to clients and helps it to take advantage of opportunities quickly.

(d)(ii) Office memos

Office memos are short written notes that are passed within the business to inform staff about company matters. 'We Market For You' can use a memo, for example, to announce a new pricing policy for marketing services, to invite all staff to a training session or to remind staff of safety rules. Because the memo is written, every employee receives the same exact message and can refer back to it later if needed. This reduces the risk of misunderstanding and provides a written record of important instructions inside the office.

Question 3

3(a) Characteristics of a good salesperson

To succeed in business, firms must be conscious of their pricing and selling techniques. State FOUR characteristics of a good salesperson. (4 marks)

- Good knowledge of the product, including its features, benefits and how it compares with rival products.
- Good communication skills, with a clear voice, polite manner and the ability to listen to customers.
- A neat and pleasant appearance that gives a good first impression to customers.
- Honesty, patience and a positive attitude that helps to build trust and handle objections from customers.

3(b) Pricing techniques

Explain the following pricing techniques used by firms to increase sales. (i) Cost plus pricing; (ii) Penetration pricing. (4 marks)

(b)(i) Cost plus pricing

Cost plus pricing is a method in which the firm calculates the total cost of producing one unit of the product and then adds a fixed mark-up or percentage to obtain the selling price. For example, if it costs $50 to produce an item and the firm wants a 40 per cent mark-up, the selling price will be $70. This method is simple to use and ensures that all costs are covered and a profit is made on every sale.

(b)(ii) Penetration pricing

Penetration pricing is a method in which the firm sets a low price when launching a new product so that it can quickly attract customers and gain a large share of the market. Once the product is well known and many customers are buying it, the firm gradually raises the price closer to the level of competitors. This technique is useful for breaking into a market where there are already many similar products.

3(c) Terms of sales

Define EACH of the following terms of sales: (i) Cash discount; (ii) Trade discount; (iii) Hire purchase. (6 marks)

(c)(i) Cash discount

A cash discount is a small reduction in the price of goods given by a seller to a buyer who pays in cash or who pays the bill within an agreed short period of time. For example, a supplier may offer a 5 per cent discount if the buyer pays within 14 days, in order to encourage prompt payment.

(c)(ii) Trade discount

A trade discount is a reduction in the listed price of goods given by a manufacturer or wholesaler to another business such as a retailer that buys in large quantities for resale. The discount allows the retailer to add a profit margin and still sell at a competitive price to the final customer.

(c)(iii) Hire purchase

Hire purchase is a system of buying goods in which the buyer pays a deposit and then takes possession of the goods, with the rest of the price paid in agreed instalments over a period of time. The buyer becomes the legal owner only after the final instalment has been paid, and the seller can take back the goods if the buyer fails to keep up with the payments.

3(d) Justifying methods of selling insurance

Justify the use of EACH of the following methods as a means of increasing the sales of insurance products: (i) Personal selling; (ii) Advertising. (3 marks; 3 marks)

(d)(i) Personal selling

Personal selling is a strong method for insurance products because insurance is a complex service that customers do not fully understand. A trained salesperson can sit with the customer, explain how the policy works, answer questions and tailor the cover to the customer's needs and budget. Because the customer feels that he or she is getting personal attention and trustworthy advice, it is much easier to close the sale and build a long-term relationship with the customer.

(d)(ii) Advertising

Advertising is also useful for insurance because it reaches large numbers of people quickly through television, radio, newspapers and social media. Advertisements can highlight events such as accidents, illness or death and remind people of the need to protect themselves and their families. Once the public has been made aware of the insurance company and its products through advertising, customers are more willing to listen to a personal sales presentation, so the two methods work well together to increase sales.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Factors determining location

Ravi is a sole trader. He wants to expand the production of his special ice cream to two more outlets to meet the increase in demand. Identify FOUR factors that would determine where Ravi locates his business. (4 marks)

- Closeness to a large number of customers, such as a busy shopping area or main road.
- The cost of rent, taxes and utilities at the chosen site compared with what the business can afford.
- The availability of reliable electricity and water supply, which are needed to run freezers and ice cream machines.
- Closeness to suppliers of raw materials such as milk, sugar and fruit, and ease of transport for deliveries.

4(b) Backward and forward linkages

Explain how Ravi could use the following types of linkages with other businesses to ensure further growth of his business: (i) backward; (ii) forward. (4 marks)

(b)(i) Backward linkage

A backward linkage is a connection with a business that supplies inputs to Ravi. Ravi could form a backward linkage with local dairy farmers and fruit growers, who would supply him with milk, cream and fresh fruit at agreed prices. By securing a steady supply of good quality raw materials at a fair price, Ravi can keep his production going without delay and improve the quality of his ice cream, which supports growth.

(b)(ii) Forward linkage

A forward linkage is a connection with a business that buys Ravi's output to sell to its own customers. Ravi could supply his ice cream wholesale to supermarkets, restaurants and hotels, which would resell it to their customers. This forward linkage gives Ravi access to a much wider market than his own outlets and increases his sales without him having to open many new shops.

4(c) Advantages and disadvantage of technology

Outline TWO advantages and ONE disadvantage of Ravi using technology to produce his product. (6 marks)

Advantage 1: Faster production and higher output

Modern ice cream machines can mix, freeze and pack ice cream much faster than would be possible by hand. This means that Ravi can produce more ice cream in the same time and meet the higher demand from his new outlets without having to hire many extra workers.

Advantage 2: Better quality and consistency

Computer-controlled equipment ensures that the temperature, mixing time and ingredients are always the same. As a result, every batch of ice cream tastes the same and is of the same high quality, which builds trust with customers and protects the brand.

Disadvantage: High cost of buying and maintaining equipment

Modern machines are expensive to buy and have to be regularly serviced, repaired and eventually replaced. If sales fall or break down, Ravi could find it hard to recover this large investment, and the costs would eat into his profit.

4(d) Effects of business expansion

Discuss ONE positive effect and ONE negative effect of Ravi expanding his business. (6 marks)

Positive effect: Higher sales, profits and economies of scale

By expanding to two more outlets, Ravi can serve customers in new areas and greatly increase his total sales and profits. As output rises, he can buy raw materials in larger quantities at lower prices and spread fixed costs such as rent of the main factory over more units of output. The benefits of these economies of scale lower the cost per litre of ice cream and improve the overall profitability of the business.

Negative effect: Loss of personal control and higher running costs

When Ravi has only one outlet he can supervise everything personally, but with three outlets he must depend on managers and workers, some of whom may not work as carefully or honestly as he does. The business will also face higher running costs in the form of rent, wages, electricity and transport. If sales at

the new outlets do not grow as expected, the higher costs and weaker control could lead to losses and damage Ravi's brand.

Question 5

5(a) Target market

Shiva has done market research on her special sunblock face creams. The survey showed that 50 per cent of her sample is willing to purchase her product. Define the term 'target market' and give TWO examples of the LIKELY target market for sunblock face creams. (4 marks)

A target market is the specific group of customers that a business has identified as the main buyers of its product, and at which all of its marketing efforts are aimed. Two examples of the likely target market for sunblock face creams are:

- Adults, especially women aged about 18 to 50, who are concerned about skin care and protecting their faces from the sun.
- Tourists and outdoor workers, such as people who go to the beach, fishermen, farmers and construction workers, who spend long hours in strong sunlight.

5(b) Factors influencing demand for sunblock

Describe THREE factors that are LIKELY to influence consumers' demand for sunblock face creams. (6 marks)

Price of the product

If the sunblock cream is priced too high, many customers will not be able to afford it and will buy a cheaper brand or go without. A fair price that matches the size of the package and the quality of the cream will encourage more customers to buy it regularly.

Income of the consumers

Consumers with higher incomes are willing to spend more on personal care items such as sunblock cream. As incomes rise, more consumers can afford branded sunblock and will buy it more often. In a recession, however, consumers may cut back and treat sunblock as a luxury.

Awareness of the dangers of sun damage and effective advertising

When consumers know that strong sunlight can cause skin cancer, premature ageing and dark spots, they are more willing to buy sunblock for protection. Advertising and public health campaigns that highlight these risks and demonstrate the benefits of the product greatly increase demand.

5(c) Questionnaires and interviews

In carrying out her research, Shiva used questionnaires and conducted interviews. State ONE advantage and ONE disadvantage of EACH method. (4 marks)

(c)(i) Questionnaires

Advantage

Questionnaires can reach a large number of people in a short time and at a relatively low cost, especially

if they are sent by email or social media. Because all respondents answer the same questions, the results are easy to compare and analyse.

Disadvantage

Many people fail to return the questionnaires, and those who do may give short or untrue answers. Because there is no interviewer present, complicated questions cannot be explained, which can lower the quality of the information obtained.

(c)(ii) Interviews

Advantage

Interviews allow the researcher to ask follow-up questions, explain anything the respondent does not understand and observe body language. As a result, the information collected is usually deeper and more reliable than that from questionnaires.

Disadvantage

Interviews take a long time and are expensive because the researcher has to meet each person face to face or by phone. Only a small number of people can be reached, and the interviewer may unintentionally influence the respondent's answers.

5(d) Consumer protection agencies

Identify TWO consumer protection agencies and explain how EACH works to protect the interests of consumers. (6 marks)

Bureau of Standards

The Bureau of Standards sets and enforces national standards for the quality, safety and labelling of products such as foods, cosmetics and electrical items. It tests samples of goods, inspects factories and importers, and stops the sale of any item that does not meet the standards. By doing this, it protects consumers from buying unsafe, fake or poorly labelled products such as a sunblock cream that does not contain the active ingredients listed on the package.

Consumer Affairs Commission

The Consumer Affairs Commission educates the public about their rights as consumers and investigates complaints made against businesses. It helps consumers to receive refunds, replacements or compensation when they have been mistreated, and works with the government to improve consumer protection laws. This means that if a consumer is sold an expired or harmful sunblock cream, the Commission can step in to seek redress on behalf of that consumer.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a)(i) Other sources of government revenue

Apart from taxes, identify TWO other sources from which governments obtain revenue to perform their roles. (2 marks)

- Loans from local citizens (through bonds) and from foreign agencies such as the World Bank and the Inter-American Development Bank.
- Earnings from state-owned enterprises, licence fees, court fines and grants from foreign governments.

6(a)(ii) Uses of taxation

State TWO ways in which governments use the money collected from taxation. (2 marks)

- To pay the salaries of public sector workers such as teachers, nurses, police officers and civil servants.
- To build and maintain schools, hospitals, roads and other public infrastructure that benefit citizens and businesses.

6(a)(iii) Examples of direct and indirect taxes

List TWO examples of EACH of the following types of taxes: a) Direct (2 marks); b) Indirect (2 marks)

Direct taxes

- Personal income tax (PAYE).
- Company tax (corporation tax) on business profits.

Indirect taxes

- Value Added Tax (VAT) or General Consumption Tax (GCT).
- Customs duties on imported goods and excise duties on items such as alcohol and tobacco.

6(b)(i) Essential services

State TWO essential services for which governments are responsible. (2 marks)

- National security, including the police, army, fire service and coast guard.
- Public health and education services, including hospitals, clinics and free public schools.

6(b)(ii) Regulating business activities

Outline TWO ways in which governments in the Caribbean attempt to regulate business activities. (4 marks)

Passing and enforcing business laws

Caribbean governments pass laws covering the registration of companies, the labelling of goods, fair trade practices, health and safety at work, and the payment of taxes. Inspectors from departments such as Public Health, Customs and the Tax Office visit businesses to check that the laws are being followed and can fine or close down those that break them.

Issuing licences and permits

Many businesses cannot operate without first obtaining licences and permits, such as a trade licence, a food handler's permit, a liquor licence or a construction permit. By granting licences only to businesses

that meet certain standards, the government controls who can operate, in what area and under what conditions, which protects the public and ensures fair competition.

6(c) Effect of an increase in sales tax

Discuss ONE effect of an increase in sales tax on EACH of the following: (i) Households; (ii) Businesses. (6 marks)

(c)(i) Households

Reduction in the real spending power of households

An increase in sales tax raises the prices of most goods and services that households buy in shops. Because each dollar now buys fewer items, the real value of household income falls and families are forced to cut back on non-essential spending such as entertainment and clothing. Poor households are hardest hit, since they spend most of their income on taxed goods, which can lower their standard of living.

(c)(ii) Businesses

Lower sales and higher administrative costs

When sales tax goes up, the prices that customers pay rise, which causes many of them to buy less. Businesses therefore see a fall in sales volumes and may have to cut output and lay off workers. Firms also face extra paperwork to collect, record and pay over the higher tax to the government, which adds to their administrative costs and reduces their profits.

Question 7

7(a)(i) Definitions

Define EACH of the following terms: a) balance of payments (2 marks); b) balance of trade (2 marks)

Balance of payments

The balance of payments is a record of all the money flows between one country and the rest of the world over a period of time, usually one year. It includes payments for imports and exports of goods and services as well as flows of money for investment, loans and gifts.

Balance of trade

The balance of trade is the difference between the total value of a country's visible exports (goods sold to other countries) and the total value of its visible imports (goods bought from other countries) over a period of time.

7(a)(ii) Components of the balance of payments

Describe the following components of a country's balance of payments accounts: a) the current account; b) the capital account; c) the official financing. (6 marks)

Current account

The current account records all the day-to-day money flows between the country and the rest of the world arising from trade. It includes the value of exports and imports of goods (visibles), exports and imports of

services such as tourism and shipping (invisibles), and net income and transfers such as remittances and gifts.

Capital account

The capital account records the flow of long-term and short-term investment money into and out of the country. It includes foreign direct investment, the buying and selling of shares and bonds, and loans between countries. A country with a strong capital account is attracting more investment than it is sending abroad.

Official financing

Official financing shows how the central bank settles any overall surplus or deficit on the current and capital accounts. If the country has an overall deficit, the central bank uses its foreign reserves or borrows from bodies such as the IMF to make up the difference. If there is a surplus, the central bank adds to its foreign reserves.

7(b) Financing a balance of payments deficit

Outline TWO ways in which a country can finance a balance of payments deficit. (4 marks)

Using up foreign exchange reserves

The central bank can sell some of the foreign currency that it has built up in its reserves to pay for the extra imports. This works in the short term, but if the deficit continues, the reserves will eventually run out.

Borrowing from foreign sources

The country can borrow foreign currency from international institutions such as the International Monetary Fund (IMF) and the World Bank, or by issuing bonds on the international market. The borrowed money is used to pay for imports, but it must be repaid with interest.

7(c) Measures to deal with balance of payments problems

Discuss how a country might use EACH of the following measures to deal with balance of payments problems: (i) Devaluation; (ii) Import quotas. (3 marks; 3 marks)

(c)(i) Devaluation

Devaluation is when the government deliberately lowers the value of its currency in terms of foreign currencies. After devaluation, the country's exports become cheaper for foreigners and imports become more expensive for citizens. As a result, exports tend to rise and imports tend to fall, so the country earns more foreign exchange and spends less, which helps to reduce the balance of payments deficit.

(c)(ii) Import quotas

An import quota is a limit set by the government on the quantity of a particular good that may be brought into the country during a given period of time. By limiting how much can be imported, the government cuts the amount of foreign exchange spent on that good and gives local producers a chance to supply the rest of the demand. This reduces the import bill and improves the balance of payments.

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Section I (Compulsory)

Question 1

1(a) Documents used in business transactions

List TWO types of documents used in business transactions. (2 marks)

- Invoice, which is a document sent by the seller to the buyer showing the goods supplied, the quantity, the unit price and the total amount owed.
- Receipt, which is a document given by the seller to the buyer as proof that payment has been received for the goods or services.

1(b) Insurance and assurance

(i) Distinguish between the terms 'insurance' and 'assurance'. (4 marks); (ii) Identify TWO types of insurance policies. (2 marks)

(b)(i) Difference between insurance and assurance

Insurance

Insurance is a contract under which a person pays a regular premium to an insurance company so that the company will pay compensation only if a particular event happens that may or may not happen, such as a fire, a car accident or theft. If the event never takes place during the period of cover, no payout is made and the premiums are kept by the insurance company.

Assurance

Assurance is a contract that covers an event that is sure to happen at some point, especially the death of the insured person. Because the event is certain, the insurance company will definitely pay out the agreed sum either to the policyholder at the end of an agreed period or to the family when the policyholder dies.

(b)(ii) TWO types of insurance policies

- Motor vehicle insurance, which covers loss or damage to a vehicle and injury to other people in the event of an accident.
- Fire insurance, which covers loss or damage to a building and its contents caused by fire.

1(c) Unethical record-keeping practices

Outline TWO unethical business practices related to record keeping and state ONE consequence of EACH practice outlined. (6 marks)

Falsifying sales and expense figures

Some businesses deliberately record fewer sales than were actually made or invent expenses that never happened, in order to lower the profits shown in the books. The consequence is that the business pays less tax than it should, and when this is discovered by the tax authority the owners can be charged heavy penalties, interest and even taken to court for tax evasion.

Destroying or hiding business records

Some businesses shred, burn or hide invoices, receipts and other source documents to cover up dishonest dealings such as theft by managers or money laundering. The consequence is that auditors and government inspectors lose trust in the business, the bank may refuse loans, and the owners and managers may face criminal charges that can lead to fines or imprisonment.

1(d) Benefits of keeping good business records

Discuss TWO benefits of keeping good business records. (6 marks)

Better decision making and control of the business

When records are kept properly, the owner can see exactly how much was sold, how much was spent and how much profit was made over a given period. This information makes it possible to spot which products are doing well, where money is being wasted and whether prices need to be adjusted. As a result, the owner can make better decisions about ordering stock, hiring workers and expanding the business.

Easier access to loans and proper payment of taxes

Banks, investors and the tax authority all need to see clear records before they will deal with a business. Good records make it much easier to prepare final accounts and tax returns, which means the business can pay the correct amount of tax on time and avoid penalties. Lenders are also far more willing to give a loan when the books show a clear and honest picture of how the business is performing.

Question 2

2(a) Definition of management information system

Define the term 'management information system'. (2 marks)

A management information system, often called an MIS, is a computer-based system that collects, stores, processes and presents information about all the activities of a business so that managers can use it to make decisions. It brings together data from sales, production, finance and human resources and turns it into reports that help managers to plan and control the business.

2(b) Benefits and challenges of using an MIS

State TWO benefits and TWO challenges of using a management information system. (4 marks)

Benefits

- Managers can get up-to-date and accurate information at the click of a button, which helps them to make faster and better decisions.
- It reduces paperwork and the duplication of records, which saves time and storage space and lowers the chance of mistakes.

Challenges

- It is expensive to buy the computers and software and to train workers to use the system, which can be a heavy cost for small businesses.
- If the system breaks down or is hacked, important business information can be lost or stolen, which can stop the business from operating until the problem is fixed.

2(c) Resolving conflict and responsibilities to employees

(i) Outline THREE ways of resolving conflict among employees in an organization. (6 marks); (ii) State TWO responsibilities of management to employees. (2 marks)

(c)(i) THREE ways of resolving conflict

Open discussion and active listening

The manager should bring the workers in conflict together in a private meeting and allow each person to explain his or her side of the story without interruption. By listening carefully and treating both sides with respect, the manager can often help the workers see each other's point of view and reach an agreement on their own.

Mediation by a neutral third party

If the workers cannot solve the problem on their own, a neutral person such as a senior manager, a human resource officer or a trade union representative can be brought in to mediate. This person hears both sides, suggests a fair compromise and helps the workers to accept a solution that they could not reach by themselves.

Applying clear company rules and procedures

Every business should have written rules in a staff handbook that explain how complaints will be handled, including warnings, hearings and possible penalties. By applying these rules fairly to everyone, management can settle disputes in an open and predictable way and prevent the same conflict from happening again.

(c)(ii) TWO responsibilities of management to employees

- To pay fair wages on time and to provide safe working conditions, proper tools and protective equipment so that workers do not get hurt on the job.
- To provide training and chances for promotion so that workers can develop their skills and move up in the business as they gain experience.

2(d) Strategies to increase productivity

Discuss TWO strategies which management can use to increase productivity. (6 marks)

Training and development of workers

When management invests in training, workers learn how to use machines and methods more efficiently and how to handle customers better. Better-trained workers make fewer mistakes, waste less material and produce more output in the same amount of time. Over time, the business can produce more goods and services from the same number of workers, which raises productivity and lowers cost per unit.

Use of incentives and modern technology

Management can offer rewards such as bonuses, commission, prizes and promotion to workers who meet or exceed their targets, which encourages everyone to put in extra effort. At the same time, replacing old equipment with modern computers and machines allows workers to do more in less time and with greater accuracy. Together, motivated workers and better technology produce a clear rise in output per worker.

Question 3

3(a) Importance of wholesaling

Distribution is a very important aspect of business; therefore firms must always assess how their products reach consumers. Outline THREE reasons why wholesaling is important in the distribution of goods and services. (6 marks)

Breaking bulk for retailers

Wholesalers buy very large quantities of goods from manufacturers and then sell them to retailers in smaller quantities that the retailers can afford and store. This breaking of bulk allows small retailers to stock a wide variety of goods without having to buy huge amounts at one time, which keeps their costs down.

Storage of goods until they are needed

Wholesalers have large warehouses where goods can be kept safely until retailers and consumers need them. This relieves the manufacturer of the cost of storing finished goods and makes sure that products such as canned foods or building materials are always available, even when production is seasonal.

Providing finance and information to producers and retailers

By buying in large quantities and paying the manufacturer quickly, the wholesaler gives the manufacturer the cash needed to keep producing. The wholesaler can also offer credit to retailers and pass on useful information about what consumers are buying, which helps producers to plan future output and helps retailers to stock the right goods.

3(b) Pairs of retailing methods

Distinguish between EACH of the following pairs of retailing methods: (i) E-commerce and telemarketing; (ii) Convenience shops/stores and supermarkets (8 marks)

E-commerce

E-commerce is the buying and selling of goods and services over the internet, where the customer visits a website, places an order and pays online using a credit card or other electronic payment, after which the goods are delivered or downloaded. The customer and the seller never speak directly, and the whole transaction is carried out through a computer or smartphone.

Telemarketing

Telemarketing is the selling of goods and services over the telephone, where a salesperson calls customers directly to describe the product, answer questions and try to close a sale. Unlike e-commerce, telemarketing involves a real conversation between the customer and the salesperson and does not need the customer to use a computer.

Convenience shops or stores

Convenience shops are small retail outlets located close to where customers live or work. They stock a limited range of everyday items such as bread, milk, snacks and basic household goods. They usually open for long hours, often charge slightly higher prices than larger stores and aim to give customers a quick and easy shopping experience.

Supermarkets

Supermarkets are much larger self-service stores that sell a wide range of food, drinks, household products and sometimes clothing under one roof. They use trolleys, checkouts and bulk buying to offer lower prices than small shops, but they are usually located in busier centres so customers have to travel a bit further and may spend longer shopping.

3(c) Factors influencing packaging

Discuss TWO factors that may influence the type of packaging used in the presentation of goods to consumers. (6 marks)

Nature of the product and need for protection

The packaging must suit the product inside, so a fragile item such as glassware needs strong cartons with foam, while a perishable item such as milk needs sealed containers that keep out air and bacteria. Liquids must be put in waterproof bottles or cartons, and frozen foods need packaging that can stand up to low temperatures. If the packaging does not protect the product properly, the goods will be damaged or spoil before they reach the consumer.

Cost of the packaging and the image of the brand

The cost of the packaging affects the final selling price, so the producer has to choose materials that protect the product without making it too expensive for the target market. At the same time, the packaging is part of how the brand presents itself, so a luxury product will use neat, attractive boxes with high-quality printing, while a budget product will use simpler, cheaper packaging. The choice has to balance affordability, the brand image and the protection of the product.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Capital and collateral for Janice

Janice needs funds to open a pasta production business. (i) Identify THREE sources of capital for Janice to start her business. (3 marks); (ii) Define the term 'collateral'. (2 marks); (iii) List TWO examples of collateral. (2 marks)

(a)(i) THREE sources of capital

- Personal savings that Janice has put aside from previous earnings.
- A bank loan from a commercial bank or credit union, which Janice would repay with interest over time.
- Money invested by family members, friends or partners who would share in the profits of the business.

(a)(ii) Definition of collateral

Collateral is something of value that a borrower offers to a lender as security for a loan. If the borrower fails to repay the loan as agreed, the lender has the legal right to take and sell the item of collateral to recover the money owed.

(a)(iii) TWO examples of collateral

- Land or buildings owned by the borrower.
- A motor vehicle or a fixed deposit held by the borrower at a bank.

4(b) Personal traits and roles of an entrepreneur

(i) Identify THREE personal traits which Janice should possess in order to be successful in business. (3 marks); (ii) Describe TWO roles of an entrepreneur. (4 marks)

(b)(i) THREE personal traits

- Hard working and self-disciplined, so that she is willing to put in the long hours needed to set up and run the pasta business.
- Willing to take calculated risks, since starting a business always involves the chance that things may not go as planned.
- Creative and good at solving problems, so that she can come up with new pasta products and find quick solutions when difficulties arise.

(b)(ii) TWO roles of an entrepreneur

Organising the factors of production

An entrepreneur brings together land, labour and capital to produce goods and services. In Janice's case, this means renting a suitable building, hiring workers, buying machines and arranging supplies of flour, eggs and other raw materials so that pasta can actually be produced.

Risk taking and decision making

An entrepreneur invests her own money and time in the business and accepts the risk that the business may fail. She also has to make important decisions about what type of pasta to produce, what price to charge, who to sell to and how to handle problems, and she takes the loss or the profit that follows from those decisions.

4(c) Sole proprietorship vs partnership for Janice

Discuss TWO factors which Janice must consider when deciding whether she should set up a sole proprietorship or a partnership business. (6 marks)

Amount of capital needed and access to finance

If Janice has only a small amount of savings and finds it difficult to get a large bank loan on her own, a partnership may be a better choice because partners can pool their money together and share the cost of buying machines, renting premises and buying raw materials. On the other hand, if Janice has enough savings or can borrow what she needs, a sole proprietorship lets her keep full ownership without having to share future profits.

Control over decisions and sharing of profits and risk

As a sole proprietor, Janice would make all the decisions herself and keep all the profits, but she would also carry all the risk and the unlimited liability alone. In a partnership, decisions, profits and losses are shared with the other partners, which lightens the load on Janice but also means she would have to consult others before making important moves and would have to share whatever profits the pasta business earns.

Question 5

5(a) Transportation in business

(i) State TWO functions of transportation in business. (2 marks); (ii) Outline TWO advantages of road or land transport. (4 marks)

(a)(i) TWO functions of transportation

- To move raw materials from suppliers to factories so that production can take place.
- To move finished goods from factories and warehouses to wholesalers, retailers and final consumers.

(a)(ii) TWO advantages of road or land transport

Door-to-door delivery

Trucks and vans can drive directly from the supplier's premises to the buyer's premises, which means goods do not have to be loaded and unloaded at ports or stations along the way. This saves time and reduces the chance of damage or theft, and it is especially helpful for delivering goods to small shops in towns and rural areas.

Flexibility and lower cost over short distances

Road transport can use the wide network of roads to reach almost any location, and the routes and times of delivery can easily be changed to suit the needs of the customer. For short and medium distances, road transport is usually cheaper than rail, sea or air, which makes it a good choice for moving goods within a country.

5(b) Distribution problems and solutions

(i) Describe TWO problems related to the distribution of goods in your country. (4 marks); (ii) Outline ONE measure that can be used to solve EACH problem described in (b)(i) above. (4 marks)

(b)(i) TWO problems related to distribution

Poor road conditions and traffic congestion

Many roads in the country have potholes, narrow bridges and limited capacity, especially in city centres at peak hours. This slows down delivery trucks, raises the cost of fuel and maintenance and causes goods to reach shops late, which leads to lost sales and unhappy customers.

High transport costs and limited storage facilities

The cost of fuel, vehicle parts and insurance is high, and there are not enough modern warehouses with cold storage in many parts of the country. This makes it expensive to move and store goods, especially perishable items such as fruit, vegetables and fish, and a lot of produce is lost between the farm and the consumer.

(b)(ii) ONE measure to solve EACH problem

Improving and maintaining the road network

The government can spend more on building, widening and repairing roads, and on traffic management systems such as proper signals and bypasses around busy towns. Smoother and less congested roads

would let delivery trucks reach customers more quickly and at a lower cost, which improves the whole distribution system.

Building modern warehouses and providing transport incentives

The government and the private sector can invest in modern warehouses with refrigerated storage at key locations such as ports and farming areas. They can also offer tax breaks on delivery vehicles and refrigerated trucks, which lowers the cost of distribution and reduces the spoilage of perishable goods on the way to the consumer.

5(c) Commercial banking services for transport businesses

Discuss TWO types of commercial banking services available to businesses engaged in transportation. (6 marks)

Loans and hire purchase finance for vehicles

Commercial banks can give a transport business a loan or arrange hire purchase finance to buy trucks, vans, buses or ships. The business pays back the bank in fixed monthly instalments with interest, while it earns income from using the vehicles. This service is important because vehicles are expensive and most transport firms could not buy them out of their savings alone.

Business current accounts and electronic payment services

Commercial banks provide current accounts, cheque books, debit cards, online banking and merchant services that allow a transport business to receive payments from customers and to pay suppliers, fuel stations, drivers and the government quickly and safely. These services keep money moving through the business, reduce the need to handle large amounts of cash and make record keeping much easier.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Taxes and subsidies

A government senator reported that, even though his country was experiencing financial difficulties, it was too early to say whether the government would be forced to increase taxes or reduce subsidies. (i) Define the term 'taxes'. (2 marks); (ii) Define the term 'subsidies'. (2 marks); (iii) State TWO reasons why governments impose taxes. (2 marks); (iv) Identify TWO services which a government in the Caribbean would normally subsidize. (2 marks)

(a)(i) Definition of taxes

Taxes are compulsory payments that individuals and businesses must make to the government out of their incomes, profits or spending. The government does not give a direct service in return for the tax paid, but uses the money collected to provide public services such as health, education and security.

(a)(ii) Definition of subsidies

Subsidies are payments made by the government to producers or consumers to lower the cost of providing or buying certain goods and services. They are used to keep prices of essential items down, to support

local industries and to make sure that important services such as transport or food are within the reach of ordinary citizens.

(a)(iii) TWO reasons governments impose taxes

- To raise revenue to pay for public services such as schools, hospitals, roads and the police.
- To redistribute income from richer to poorer citizens through programmes such as welfare payments, pensions and free education.

(a)(iv) TWO services normally subsidized in the Caribbean

- Public transport, where bus fares are kept low so that workers and students can travel cheaply.
- Education and health care, where schools, hospitals and clinics are run at low cost or free of charge to the public.

6(b) Types and examples of taxes

(i) Differentiate between 'progressive' taxes and 'regressive' taxes. (2 marks); (ii) List TWO examples of direct taxes. (2 marks); (iii) List TWO examples of indirect taxes. (2 marks)

(b)(i) Progressive vs regressive taxes

A progressive tax is one where the rate of tax rises as the income of the taxpayer rises, so people who earn more pay a larger share of their income in tax. A regressive tax is the opposite, because it takes the same amount or the same percentage of spending from everyone, which means lower income earners end up paying a larger share of their income in tax than higher income earners.

(b)(ii) TWO examples of direct taxes

- Income tax, paid by individuals out of their wages and salaries.
- Corporation tax (company tax), paid by businesses out of their profits.

(b)(iii) TWO examples of indirect taxes

- Value Added Tax (VAT) or General Consumption Tax, charged on the sale of goods and services.
- Customs duty (import duty), charged on goods brought into the country from abroad.

6(c) Protecting local poultry farmers

Poultry farmers in your country have complained about the increase in the quantities of chicken parts being imported. Discuss TWO steps which your government could take to protect the interests of local poultry farmers. (6 marks)

Place tariffs or quotas on imported chicken parts

The government can charge a high import duty on chicken parts coming from other countries, which makes the imported chicken more expensive in shops than locally produced chicken. The government can also set a quota that limits the quantity of chicken parts that may be imported each year. Both measures protect local poultry farmers by giving them a larger share of the home market and by allowing them to sell their birds at a fair price.

Provide subsidies, training and marketing support to local farmers

The government can give local poultry farmers subsidies on feed, day-old chicks and equipment, and can provide training in modern poultry methods so that they can produce chicken more cheaply and to higher quality standards. It can also run public campaigns encouraging citizens to buy local chicken. With lower costs, better quality and stronger demand, local farmers can compete more easily against imported chicken parts.

Question 7

7(a) Per capita income

(i) Define the term 'per capita income'. (2 marks); (ii) Explain how per capita income is calculated. (2 marks); (iii) State ONE advantage and ONE disadvantage of using per capita income to measure a country's standard of living. (2 marks); (iv) List TWO factors, other than per capita income, which may be used to measure the standard of living. (2 marks)

(a)(i) Definition of per capita income

Per capita income is the average income earned by each person in a country in a given year. It is used as one measure of how well off, on average, the citizens of a country are.

(a)(ii) How per capita income is calculated

Per capita income is calculated by taking the total national income of the country for the year and dividing it by the total population of the country at the same time. The result shows how much income each person would receive if the total national income were shared equally among all citizens.

(a)(iii) ONE advantage and ONE disadvantage

Advantage

Per capita income is easy to calculate and gives a simple, single figure that allows different countries or different years in the same country to be compared quickly to see whether average incomes are rising or falling.

Disadvantage

Per capita income is only an average and hides the gap between rich and poor. A country can have a high per capita income while a large part of the population is still very poor, because most of the income may be earned by a small group of wealthy citizens.

(a)(iv) TWO other factors used to measure standard of living

- Access to health care and life expectancy at birth, which show how well people are looked after.
- Level of education, including the literacy rate and the number of years children spend in school.

7(b) Factors that may cause per capita income to rise

Discuss TWO factors which may cause the per capita income of a country to rise. (6 marks)

Increase in productivity and output of the economy

When workers, machines and farms produce more goods and services in the same amount of time, the total national income of the country grows. If the population grows more slowly than this output, the

average income per person automatically rises. Better training of workers, improved technology and investment in modern industries are some of the main ways in which productivity and output can be raised.

Growth of exports and inflow of foreign investment

When a country sells more of its goods and services overseas, businesses earn more, pay higher wages and hire more workers, which increases the total income of citizens. Foreign companies setting up factories or hotels also create jobs and pay taxes locally. Both of these add to national income, and as long as the population does not grow as fast as the income, per capita income will rise.

7(c) Methods of calculating national income and standard of living comparisons

(i) Describe any TWO of the following methods used to calculate a country's national income: a) The income method; b) The expenditure method; c) The output method. (4 marks); (ii) State TWO factors which make it difficult to compare the standard of living of different countries. (2 marks)

(c)(i) TWO methods of calculating national income

The income method

Under the income method, national income is found by adding up all the incomes earned by people and businesses in the country during the year. This includes wages and salaries paid to workers, profits earned by businesses, rent earned from land and buildings, and interest earned on capital. The total of these incomes gives the national income.

The expenditure method

Under the expenditure method, national income is found by adding up all the spending on the final goods and services produced in the country during the year. This includes consumer spending by households, investment spending by businesses, government spending, and net exports (exports minus imports). The total spending gives the value of national output, which equals national income.

(c)(ii) TWO factors making it difficult to compare standard of living

- Differences in the cost of living and exchange rates between countries, so the same amount of money can buy very different quantities of goods in different places.
- Differences in the size of the hidden or informal economy and in non-money activities such as subsistence farming, which are not fully recorded in national income figures.

January 2014 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Definition of private sector

Define the term 'private sector'. (2 marks)

The private sector is the part of the economy made up of businesses that are owned, financed and controlled by private individuals or groups rather than by the government, and which are operated mainly to earn a profit for their owners.

1(a)(ii) Public sector vs private sector business

Outline TWO ways in which a public sector business is different from a private sector business. (4 marks)

Ownership and control

A public sector business is owned and controlled by the government on behalf of all citizens, while a private sector business is owned and controlled by private individuals or shareholders. This means that decisions in a public sector business are made by ministers and appointed boards, but in a private business they are made by the owners or directors.

Main aim of the business

The main aim of a public sector business is to provide an essential service to the public, such as water, electricity or health care, even if very little profit is made. A private sector business, on the other hand, is run mainly to earn a profit for its owners.

1(b)(i) Characteristics of a co-operative

Describe TWO characteristics of a co-operative. (4 marks)

Owned and run by its members

A co-operative is owned and controlled by its members, who join together because they share a common need or interest, such as farming, saving or buying goods. The members buy shares in the co-operative and elect a committee from among themselves to run the business on their behalf.

One member, one vote

Each member of a co-operative has only one vote at meetings, no matter how many shares he or she owns. This means that no single member can control the co-operative, and any surplus that is made is shared among the members in proportion to how much they used the services of the co-operative.

1(b)(ii) Co-operative vs company

State ONE way in which a co-operative is different from a company. (2 marks)

A co-operative gives each member only one vote at meetings, no matter how many shares the member owns, while in a company the number of votes a shareholder has depends on the number of shares held, so larger shareholders have more control.

1(b)(iii) Other types of private sector businesses

List TWO types of private sector businesses, other than companies and co-operatives. (2 marks)

- Sole trader (one-person business).
- Partnership.

1(c) Effects of nationalising a private company

Discuss TWO ways in which a private company is LIKELY to change if it were to be nationalized. (6 marks)

Change in ownership and main aim

Once the company is nationalised, ownership passes from the private shareholders to the government, and the main aim of the business changes. Instead of focusing on earning a profit for shareholders, the business now has to focus on providing a good or service to the public at a fair price. As a result, prices may be lowered, services may be extended to areas that were not profitable before, and decisions are made with the public interest in mind.

Change in management and source of finance

After nationalisation, the company is run by a board appointed by the government rather than by directors chosen by the shareholders. The business no longer raises money by selling shares to the public; instead it is financed mainly by the government from taxes and government loans. This can mean more red tape and slower decision-making, but it also gives the business access to larger amounts of money for expansion and for keeping essential services going.

Question 2

2(a)(i) Insurance vs assurance

Distinguish between EACH of the following pair of terms: (i) 'Insurance' and 'assurance'. (4 marks)

Insurance is taken out against an event that may or may not happen, such as fire, theft or a motor accident. The insurance company only pays out if the event actually occurs, and if nothing happens during the period of cover, the policyholder receives nothing back.

Assurance, on the other hand, is taken out against an event that is certain to happen at some time, such as death. The assurance company will definitely pay out, either when the person dies or when the policy reaches a stated date, so the policyholder or their family is sure to receive the agreed amount.

2(a)(ii) Life insurance vs business insurance

Distinguish between EACH of the following pair of terms: (ii) 'Life insurance' and 'business insurance'. (4 marks)

Life insurance is taken out by an individual on his or her own life, or on the life of someone close, so that an agreed sum of money is paid to the family or named beneficiary when that person dies. It is mainly used to give financial protection to the family and to pay funeral and other expenses.

Business insurance is taken out by a business to protect itself against the risks of running the business, such as fire damage to the premises, theft of stock, motor vehicle accidents, public liability claims and the loss of important workers. The payout from business insurance helps the business to recover from a loss and continue operating.

2(b)(i) How insurance facilitates trade

State TWO ways in which insurance facilitates trade. (2 marks)

- Insurance protects traders from heavy losses caused by events such as fire, theft or accidents at sea, so they are willing to invest their money and goods in trade.
- Insurance allows banks and other lenders to provide credit to traders, because the goods and assets used as security are insured against loss or damage.

2(b)(ii) Importance of documentation

Outline TWO reasons why documentation is important in business transactions. (4 marks)

Provides proof and a permanent record

Documents such as invoices, receipts and contracts give written evidence of what was bought, sold or agreed between the parties. If a disagreement arises later about price, quantity or terms, the documents can be used as proof and even taken to court if necessary.

Helps with accounting and decision-making

Business documents are used to record every transaction in the books of the business. From these records, the owner can prepare financial statements, calculate profit and loss, pay taxes correctly and make informed decisions about pricing, stock and credit.

2(c) Why entrepreneurs should buy insurance

Discuss TWO reasons why entrepreneurs should purchase insurance for their businesses. (6 marks)

Protection against unexpected losses

A business can be wiped out in a few minutes by events such as fire, hurricane, flood, theft or a serious accident. By paying a regular premium, the entrepreneur transfers the risk of these losses to the insurance company. If a disaster happens, the insurance payout helps the entrepreneur to repair or replace damaged property, restock the business and continue trading instead of going out of business altogether.

Confidence to expand and access credit

When a business is properly insured, the entrepreneur can take bigger risks, such as buying expensive equipment or expanding into new markets, knowing that he or she is covered if something goes wrong. Banks are also more willing to lend money to a business that has insurance on its assets, because the loan is more secure. This makes it easier for the entrepreneur to grow the business and to plan for the long term.

Question 3

3(a)(i) Services provided by central banks

List THREE services provided by EACH of the following: (i) Central banks. (3 marks)

- Acts as banker to the government, holding government accounts and helping to manage the national debt.
- Issues the country's currency (notes and coins) and controls the supply of money in the economy.
- Acts as banker to the commercial banks and as lender of last resort, supervising them and holding their reserves.

3(a)(ii) Services provided by commercial banks

List THREE services provided by EACH of the following: (ii) Commercial banks. (3 marks)

- Accepting deposits from customers into savings, current and fixed deposit accounts.
- Lending money to individuals and businesses through loans, overdrafts and mortgages.
- Providing payment services such as cheque accounts, debit and credit cards, online banking and foreign exchange.

3(b)(i) Open cheque vs crossed cheque

Distinguish between an 'open cheque' and a 'crossed cheque'. (4 marks)

An open cheque is a cheque that has no two parallel lines drawn across its face. The person named on the cheque (the payee) can take it directly to the bank on which it is drawn and receive the money in cash over the counter.

A crossed cheque, on the other hand, has two parallel lines drawn across its face, often with the words 'A/C Payee Only' written between them. This kind of cheque cannot be cashed at the counter; it must be paid into a bank account in the name of the payee, which makes it much safer if the cheque is lost or stolen.

3(b)(ii) Advantages of each type of cheque

State ONE advantage of EACH of the following types of cheque: a) Open b) Crossed. (2 marks)

(b)(ii)(a) Open cheque

An open cheque can be cashed at the counter of the bank, so the payee can receive the money quickly in cash without having to deposit it into a bank account first.

(b)(ii)(b) Crossed cheque

A crossed cheque is much safer to use, because it must be paid into the bank account of the named payee. If it is lost or stolen, the thief cannot easily cash it, and the true owner can be traced through the bank account.

3(b)(iii) Other financial institutions offering savings

Identify TWO financial institutions, other than banks, which offer saving facilities to consumers. (2 marks)

- Credit unions.
- Building societies (and life insurance companies that offer savings plans).

3(c) Why save in a financial institution

Discuss TWO reasons why it is better to save money in a financial institution rather than at home. (6 marks)

Safety of the money

Money kept at home can easily be lost in a fire, a flood or a hurricane, or stolen by thieves. When money is saved in a financial institution such as a bank or credit union, it is kept in strong vaults and protected by security systems and insurance. Even if the building is damaged, the records of the customer's account are kept safely on computer systems, so the saver does not lose the money.

Earns interest and supports good financial habits

Money saved at home does not grow and may even lose value over time because of inflation. When money is placed in a financial institution, the institution pays interest on the savings, so the amount grows steadily over time. Saving in a bank or credit union also encourages discipline, because the saver is less likely to spend the money on impulse, and a record of regular saving makes it easier to get a loan in the future.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a)(i) Type of production

State the type of production which takes place when a) sugar cane is harvested (1 mark) b) lumber is produced. (1 mark)

(a)(i)(a) Sugar cane is harvested

The harvesting of sugar cane is primary production, because it involves taking a raw material directly from the land in its natural form.

(a)(i)(b) Lumber is produced

The production of lumber is secondary production, because trees that have been cut down are processed and changed into a more useful form (sawn boards and planks) before they are sold.

4(a)(ii) By-products of sugar

List TWO by-products of sugar. (2 marks)

- Molasses, which is used to make rum and animal feed.

- Bagasse, which is the dry fibre left after the juice has been extracted, used as fuel for the factory or as raw material for paper and board.

4(b)(i) Primary vs secondary production

Differentiate between 'primary production' and 'secondary production' and give ONE example of EACH. (6 marks)

Primary production is the stage of production that involves taking raw materials directly from nature. It includes activities such as farming, fishing, forestry, mining and quarrying. The output of primary production is in its natural form and usually has to be processed before final use. An example is the farming of sugar cane in the Caribbean.

Secondary production is the stage of production that takes the raw materials produced by the primary stage and changes them into more useful, finished or semi-finished goods. It includes manufacturing and construction. The output of secondary production has more value than the raw materials it came from. An example is using sugar cane to manufacture refined sugar in a sugar factory.

4(b)(ii) How primary production helps the local economy

Describe TWO ways in which primary production contributes to the local economy. (4 marks)

Provides employment and income

Primary production activities such as farming, fishing and mining hire many local workers, especially in rural areas where there are few other jobs. The wages paid to these workers are spent in shops and other businesses, which spreads the income through the rest of the economy.

Earns foreign exchange and supplies raw materials

Many primary products such as sugar, bananas and bauxite are sold to other countries, bringing in foreign exchange that the country uses to pay for imports. At the same time, primary production supplies raw materials to local factories, supporting secondary industries such as sugar refining, food processing and furniture making.

4(c) Impact of technology on the sugar industry

Discuss TWO ways in which technology impacts the sugar industry in Caribbean countries. (6 marks)

Higher output and lower production costs

Modern machines such as mechanical harvesters, tractors and computer-controlled refining equipment allow far more sugar cane to be cut, transported and processed in a short time. This raises the total output of sugar and lowers the cost of producing each tonne, which helps Caribbean producers to stay competitive on the world market and to earn more foreign exchange.

Loss of jobs and need for retraining

On the other hand, the same machines replace many of the workers who used to cut cane and load trucks by hand. This has caused unemployment in sugar-belt communities and forced governments to spend money to retrain workers for other jobs. The high cost of importing modern machines and spare parts also puts pressure on small Caribbean economies.

Question 5

5(a)(i) Copyright vs patent

Distinguish between the terms 'copyright' and 'patent'. (4 marks)

Copyright is the legal right given to the creator of an original artistic, literary or musical work, such as a book, song, painting, film or computer program. It stops other people from copying, performing or selling the work without the creator's permission and usually lasts for the life of the creator plus a number of years after death.

A patent is the legal right given to the inventor of a new product or process. It stops other people from making, using or selling the invention without the inventor's permission for a fixed number of years (often about twenty), so that the inventor can earn a fair reward for the time and money spent on the invention.

5(a)(ii) Persons protected by copyright

List FOUR categories of persons whose works are protected by copyright laws. (4 marks)

- Authors and writers of books, articles and poems.
- Musicians, songwriters and recording artistes.
- Artists, painters, photographers and sculptors.
- Film makers, software programmers and computer game designers.

5(b)(i) Definition of brand name

Define the term 'brand name'. (2 marks)

A brand name is a special name, word, symbol or design used by a business to identify its product and to set it apart from similar products made by other businesses, for example 'Coca-Cola' or 'Nike'.

5(b)(ii) Brand loyalty

Explain what is meant by 'brand loyalty'. (2 marks)

Brand loyalty is the strong preference that some consumers develop for a particular brand, so that they keep on buying that brand again and again and refuse to switch to other brands, even when the other brands are cheaper or are heavily advertised.

5(b)(iii) How brand names influence consumers

Describe ONE way in which the use of brand names influences consumers. (2 marks)

A well-known brand name gives consumers confidence about the quality of the product, because they remember good experiences with the brand in the past or have seen it advertised. As a result, they will often choose the branded item over an unknown product, even if it costs a little more, because they feel sure that it will work as expected.

5(c) Why consumers buy pirated DVDs

Discuss TWO reasons that might explain why some consumers purchase pirated copies of DVDs. (6 marks)

Much lower price

Pirated DVDs are sold for only a fraction of the price of the original. Many consumers, especially those on low incomes, find it hard to afford the original copies and so they turn to the pirated versions in order to enjoy movies and music at a price they can manage. Because they are getting more entertainment for their money, the temptation to buy pirated copies becomes very strong.

Easy availability and weak enforcement

Pirated DVDs are often easier to find than the originals, since they are sold openly in markets, on the streets and on certain websites. Movies are sometimes available on pirated DVDs even before they are released in the cinemas. The laws against piracy are not always strictly enforced, and consumers do not feel that they will be punished for buying a pirated copy, so they continue to do so.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a)(i) Definition of pollution

Define the term 'pollution'. (2 marks)

Pollution is the release into the environment of harmful substances or large amounts of waste that damage the air, water or land and make them unsafe or unpleasant for humans, plants and animals.

6(a)(ii) Types of pollution

Identify TWO types of pollution. (2 marks)

- Air pollution (for example, smoke and gases from factories and motor vehicles).
- Water pollution (for example, sewage, oil spills and chemicals in rivers and seas).

6(b) Ways citizens can protect the environment

Outline THREE ways in which citizens of the Caribbean can help to protect the environment. (6 marks)

Reduce, reuse and recycle waste

Citizens can cut down on the amount of garbage they produce by buying only what they need, reusing items such as glass bottles and plastic containers, and taking paper, cans and plastic to recycling centres. This reduces the amount of waste that ends up in landfills and along the roadsides.

Plant trees and avoid bush fires

Citizens can plant and protect trees in their yards, schools and communities and avoid setting bush fires. Trees clean the air, hold the soil together and provide a home for wildlife, so planting them helps to fight pollution and climate change.

Dispose of waste properly and save energy and water

Citizens can put garbage into proper bins, avoid dumping waste in rivers, gullies and on the beach, and report polluters to the authorities. They can also save electricity by switching off lights and appliances when not in use, and save water by fixing leaks, all of which reduce the strain on the environment.

6(c) Major economic problems faced by Caribbean countries

Outline TWO major economic problems faced by Caribbean countries. (4 marks)

High unemployment

Many Caribbean countries have a large number of people, especially young people, who are willing and able to work but cannot find jobs. The economies are small and depend on a few industries such as tourism and agriculture, so when these slow down, many workers are left without income, which leads to poverty and crime.

Balance of payments deficit and heavy debt

Caribbean countries import far more goods and services than they export, so they often have a balance of payments deficit. To cover the gap, governments borrow heavily from foreign lenders, which builds up a large national debt. A big share of government revenue then has to be used to repay loans and interest instead of being spent on schools, hospitals and roads.

6(d) Government measures to solve these problems

Discuss ONE measure which governments can use to solve EACH of the economic problems outlined in (c) above. (6 marks)

(d)(i) Solving unemployment

Encourage investment and offer training programmes

The government can attract local and foreign investors by offering tax holidays, building industrial parks and improving roads, electricity and ports. New factories, hotels and call centres set up by these investors create many jobs. At the same time, the government can run training and apprenticeship programmes through agencies such as HEART/NTA so that workers gain the skills needed by these new industries. As more people become qualified and more businesses are set up, unemployment falls.

(d)(ii) Solving balance of payments and debt problems

Promote exports and reduce non-essential imports

The government can give grants, low-interest loans and marketing support to local farmers, manufacturers and tourism operators so that they can sell more goods and services abroad and earn extra foreign exchange. At the same time, the government can place tariffs and quotas on non-essential imports such as luxury cars and encourage citizens to buy local products. As exports rise and imports fall, the balance of payments deficit narrows and the country has less need to borrow, which slowly reduces the national debt.

Question 7

7(a) Direct vs indirect taxes

Differentiate between 'direct taxes' and 'indirect taxes', and give ONE example of EACH. (4 marks)

A direct tax is a tax that is paid straight to the government by the person or business on whom it is charged, and it is taken from their income or wealth. The burden of a direct tax cannot easily be passed on to anyone else. An example is personal income tax (PAYE) deducted from a worker's salary.

An indirect tax is a tax that is charged on goods and services and is paid to the government by the seller, but the burden is passed on to the consumer in the form of higher prices. An example is Value Added Tax (VAT) or General Consumption Tax (GCT) added to the price of items in a shop.

7(b) Strategies to encourage tax payment

Describe THREE strategies which governments can use to encourage citizens to pay their taxes. (6 marks)

Public education campaigns

The government can run advertisements on television, radio and social media that explain why taxes are important and show how the money is used to build schools, hospitals and roads. When citizens understand that paying taxes benefits them and their communities, they are more willing to pay willingly and on time.

Make it easy and offer incentives

The government can set up online filing systems, mobile tax offices and PAYE schemes that take the tax straight from the worker's pay. It can also give early-payment discounts, waive interest on outstanding taxes during a tax amnesty and reward consistent taxpayers with certificates of compliance. When paying tax is simple and even rewarded, more citizens comply.

Strict enforcement and penalties

The government can use the tax department to inspect business records, match information from banks and customs and follow up on people who fail to file returns. Heavy fines, interest charges, court cases and even prison sentences for serious tax evaders send a clear message that those who do not pay will be caught and punished, which encourages others to pay.

7(c) Taxpayer reactions to high taxes

State TWO ways in which tax payers are LIKELY to react to high level of taxation. (4 marks)

- They may try to avoid tax legally by using loopholes (such as claiming many allowances), or evade tax illegally by under-declaring their income, working 'off the books' or smuggling goods to escape duties.
- They may work less, save less and reduce their spending, since their take-home pay is smaller, and some skilled workers and businesses may move to countries where taxes are lower.

7(d) Purposes of taxation

Discuss TWO purposes of taxation. (6 marks)

To raise revenue for government spending

The main purpose of taxation is to raise the money the government needs to provide public goods and services such as security, education, health care, roads and street lighting. Without a steady flow of tax

revenue, the government would not be able to pay teachers, nurses, the police and the army, and important services would collapse. Taxes therefore allow the government to carry out its day-to-day duties and to invest in the long-term development of the country.

To redistribute income and influence the economy

Taxation is also used as a tool to make society fairer and to control the economy. Through progressive income tax, richer citizens pay a larger share of their income in tax, and the money is used to fund welfare, school feeding and other programmes that help poorer citizens. The government can also raise taxes on harmful goods such as cigarettes and alcohol to discourage their use, and it can lower taxes on essential items or local industries to encourage spending and growth when the economy is slow.

May/June 2014 Paper 02

Section I (Compulsory)

Question 1

1(a) Responsibilities of management

(a)(i) To society

State TWO responsibilities of management to Society. (2 marks)

- Management has a responsibility to provide goods and services of good quality at fair prices, so that members of society are not cheated or harmed by what they buy.
- Management has a responsibility to protect the environment by controlling pollution and disposing of waste properly, and to support community projects such as schools, sports and charities.

(a)(ii) To government

State TWO responsibilities of management to Government. (2 marks)

- Management must obey all the laws of the country, including business registration, labour laws, health and safety laws and environmental laws.
- Management must pay all taxes that are due, such as company tax, value added tax and the workers' contributions to the National Insurance Scheme, and must keep proper records for inspection by government officers.

(a)(iii) To owners of business

State TWO responsibilities of management to Owners of business. (2 marks)

- Management must run the business efficiently so that it earns a reasonable profit and gives the owners a fair return on the money they have invested.
- Management must protect the assets of the business from theft, damage and waste, and must give the owners regular reports on how the business is performing.

1(b) Conflict in organizations

(b)(i) Sources of conflict

Identify TWO sources of conflict within an organization. (2 marks)

- Disagreements over pay, working hours and working conditions between management and employees.
- Personality clashes and poor communication between workers or between departments competing for the same resources.

(b)(ii) Strategies for resolving conflicts

Describe TWO strategies for resolving conflicts within an organization. (4 marks)

Negotiation and collective bargaining

Management and the workers (often through their trade union) sit down together and discuss the issues that have caused the conflict. Each side states its position and then they make compromises until they reach an agreement that both sides can accept. This keeps the working relationship friendly and avoids strikes or lock-outs.

Mediation or arbitration by a neutral third party

When the two sides cannot agree on their own, they can call in a neutral person such as a labour officer or a professional mediator. The mediator listens to both sides and helps them find a fair settlement. If they still cannot agree, an arbitrator can be asked to make a binding decision that both sides must follow.

1(c) Organizational chart relationships

(c)(i) Line vs staff relationship

Outline ONE difference between a 'line relationship' and a 'staff relationship' in an organizational chart. (2 marks)

A line relationship is a direct relationship of authority where a senior officer gives orders straight down to a junior officer who must carry them out, such as a manager instructing a supervisor. A staff relationship, on the other hand, is an advisory relationship where a specialist officer (such as a legal officer or human resources officer) gives advice and support to line managers but does not have the authority to give them direct orders.

(c)(ii) Organizational chart

Construct an organizational chart to show the line relationship among the following three employees in a business: manager, supervisor of mail delivery, and supervisor of mail sorting. (3 marks)

The chart below shows the line of authority. The manager is at the top and has direct authority over both supervisors, who are at the same level under him.

```
                    Manager
                       |
        ---------------------------------------------
        |                                           |
Supervisor of Mail Delivery      Supervisor of Mail Sorting
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1(d) Importance of teamwork

Discuss ONE reason why teamwork is important to the success of small businesses. (3 marks)

Teamwork combines the skills and ideas of all members so that work is done better and faster

In a small business there are usually only a few workers, and each one has different skills and knowledge. When they work as a team they share their ideas, help each other to solve problems and cover for each other when one is busy or absent. This means that customers are served quickly and well, mistakes are reduced and the business can compete with larger firms. Because the workers also feel that their

contribution matters, they are more loyal to the business and are willing to put in extra effort, which is essential for a small business that depends heavily on its few employees.

Question 2

2(a) Definitions

(a)(i) Business ethics

Define the term Business ethics. (2 marks)

Business ethics refers to the moral rules and standards of behaviour that guide how a business deals with its customers, workers, suppliers, competitors and the wider community. It is concerned with what is right or wrong in business decisions, such as being honest in advertising, paying fair wages and not selling unsafe products.

(a)(ii) Entrepreneurship

Define the term Entrepreneurship. (2 marks)

Entrepreneurship is the activity of seeing a business opportunity and then organising land, labour and capital to set up a business that produces goods or services for profit. The person who does this is called an entrepreneur, and he or she takes the risk of losing the money invested if the business fails.

2(b) Unethical business practices

(b)(i) Describe TWO unethical practices

Describe TWO unethical business practices. (4 marks)

False or misleading advertising

This is when a business uses advertisements that make claims about its products that are not true, such as saying a medicine can cure a disease when it cannot, or hiding hidden charges from customers. Customers are tricked into buying goods that do not give the benefits promised.

Selling unsafe or substandard goods

This is when a business knowingly sells goods that are expired, dangerous or of poor quality, just to make a quick profit. Examples include selling expired food, fake medicines or electrical items that have not passed safety tests. This puts the health and safety of customers at risk.

(b)(ii) Consequences of unethical practices

Outline TWO consequences of unethical business practices. (4 marks)

Loss of customers and damage to reputation

Once customers find out that a business has cheated them or sold them unsafe goods, they will stop buying from that business and will warn their friends and family to do the same. The business loses sales, profits fall and it may take years to rebuild its good name, if it can recover at all.

Legal action, fines and possible closure

Many unethical practices, such as false advertising or selling unsafe goods, also break the law. The

government can take the business to court, where it can be fined heavily, the owners may be sent to prison and the business itself may have its licence taken away and be forced to close down.

2(c) Government regulations for establishing a business

State TWO government regulations for the establishment of a business. (2 marks)

- The business must be registered with the Companies Office or Registrar of Businesses, and must obtain a Tax Compliance Number from the tax authority before it can trade.
- The business must obtain the necessary licences and permits, such as a trade licence, food handler's permit or health certificate, and must comply with the laws on building, fire safety and environmental protection.

2(d) Challenges entrepreneurs face

Discuss TWO challenges which entrepreneurs usually face when starting their own businesses. (6 marks)

Difficulty in obtaining enough capital

New entrepreneurs often have only a small amount of personal savings and find it hard to convince banks to lend them money because they have no track record of running a business and may have little to offer as security. Without enough capital they cannot buy the equipment, stock and premises they need, and the business may struggle to get off the ground or be forced to close in its early months.

Strong competition from established businesses

When a new entrepreneur enters the market, he or she has to compete against businesses that already have well-known brands, loyal customers, lower costs from buying in bulk and more experienced staff. This makes it very difficult for the new business to attract customers and to charge prices that cover its costs. The entrepreneur has to work very hard on advertising, customer service and product quality just to gain a small share of the market.

Question 3

3(a) Definitions

(a)(i) Bank rate

Define the term Bank rate. (2 marks)

The bank rate is the rate of interest that the central bank charges commercial banks when it lends them money. It is used as a tool to control the supply of money and credit in the country, because changes in the bank rate cause commercial banks to change the interest rates they charge their own customers.

(a)(ii) Liquid assets

Define the term Liquid assets. (2 marks)

Liquid assets are assets that a business or bank can quickly turn into cash without losing much of their value. Examples include cash in hand, money in current and savings accounts, and short-term government securities such as Treasury bills.

(a)(iii) Open market operations

Define the term Open market operations. (2 marks)

Open market operations are the buying and selling of government securities, such as Treasury bills and bonds, by the central bank in the open market. The central bank uses this tool to control the supply of money in the country: when it sells securities it takes money out of the economy, and when it buys securities it puts money back into the economy.

3(b) Commercial bank vs central bank

State TWO differences between a commercial bank and a central bank. (4 marks)

Customers served

A commercial bank deals directly with the general public and businesses, accepting their deposits and giving them loans. A central bank does not deal with the general public; instead it acts as banker to the government and to the commercial banks.

Main aim

A commercial bank is a private business that aims to make profit for its shareholders by charging more interest on loans than it pays on deposits. A central bank is owned or controlled by the government and its main aim is not profit but to manage the country's money supply, control inflation and keep the financial system stable.

3(c) Factors banker considers when approving a loan

Outline TWO factors that a banker will consider when approving a request for a loan. (4 marks)

The character and credit history of the borrower

The banker will check whether the customer has been honest and reliable in repaying past loans and bills. A customer who has always paid on time and has a good reputation is more likely to be approved, because the banker can trust that the new loan will also be repaid.

The collateral offered and ability to repay

The banker will look at the income of the borrower and the security or collateral being offered, such as land, a house or shares. The income must be high enough to cover the monthly payments after living expenses, and the collateral must be of sufficient value so that if the borrower fails to repay, the bank can sell it to recover the loan.

3(d) Government regulation of the financial sector

Discuss TWO ways in which governments can regulate the financial sector in a country. (6 marks)

Setting up a central bank to supervise commercial banks

The government, through the central bank, lays down rules that all commercial banks and other financial institutions must follow. These include rules on the minimum amount of cash they must keep in reserve, the interest rates they may charge and the way they must report their accounts. Inspectors from the central bank visit the banks regularly to make sure that the rules are being kept, which protects depositors and keeps the system safe.

Passing laws on financial activities

Parliament passes laws such as the Banking Act, the Insurance Act and laws against money laundering and fraud. These laws set out who may operate as a bank or insurance company, the licences they must obtain, the records they must keep and the penalties for breaking the rules. Anyone who breaks the laws can be fined, lose their licence or be sent to court, which discourages dishonest practices and keeps customers' money safe.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Differentiate between pairs of terms

(a)(i) Production and productivity

Differentiate between Production and productivity. (4 marks)

Production

Production is the total amount of goods and services that are made by a worker, a business or a country over a given period of time. It is simply a measure of output, for example the number of shirts made in a factory in one week.

Productivity

Productivity is a measure of how efficiently the resources are used in production. It compares the output to the inputs (such as labour or capital) used to make it. For example, if a factory makes 1,000 shirts a week using 10 workers, the labour productivity is 100 shirts per worker per week. A rise in productivity means that more output is being produced from the same amount of inputs.

(a)(ii) Subsistence and domestic production

Differentiate between Subsistence production and domestic production. (4 marks)

Subsistence production

Subsistence production is the kind of production in which a family produces just enough goods, mainly food, to meet its own needs, with little or nothing left over to sell. The producers do not normally use modern technology, and the aim is survival rather than profit. An example is a small farmer who grows ground provisions only to feed his own household.

Domestic production

Domestic production is production that takes place within the borders of a country and is intended for sale on the local market or for export. It includes all the goods and services made by businesses and households in the country, whether for the producer's own use or for sale, and is the basis of the country's Gross Domestic Product.

4(b) Capital-intensive production

(b)(i) Definition with examples

Define the term 'capital-intensive production', giving TWO examples. (4 marks)

Capital-intensive production is a method of production in which a large amount of machinery, equipment and technology is used compared with the amount of human labour. The cost of buying and running the machines makes up the largest share of the production cost, and only a small number of skilled workers is needed to operate the equipment. Two examples are an oil refinery, where computer-controlled machines do most of the work, and a modern car assembly plant, where robots are used to weld and paint the vehicles.

(b)(ii) Advantage and disadvantage

State ONE advantage and ONE disadvantage of capital-intensive production. (2 marks)

Advantage

Output per worker is very high and the goods produced are usually of consistent quality, because machines work faster and more accurately than people.

Disadvantage

The cost of buying, installing and maintaining the machinery is very high, and many workers may lose their jobs because the machines do the work that they used to do.

4(c) Measures to bring about greater productivity

Discuss TWO measures which production managers could implement to bring about greater productivity. (6 marks)

Training and motivation of workers

The production manager can arrange for workers to be trained in the latest methods, machines and safety procedures so that they can do their jobs faster and with fewer mistakes. At the same time, workers can be motivated through fair wages, bonuses for high output, recognition for good work and safe and pleasant working conditions. Better-trained and well-motivated workers produce more in the same time, which raises productivity.

Use of modern technology and improved methods of production

The production manager can replace old, slow machines with modern computer-controlled equipment and can introduce techniques such as production lines, just-in-time stock control and quality circles. Modern machines work faster, with fewer breakdowns, and improved methods reduce waste and idle time. As a result, the same amount of inputs produces a larger amount of output of better quality.

Question 5

5(a) Middlemen in the chain of distribution

(a)(i) List TWO middlemen

List TWO middlemen in the chain of distribution. (2 marks)

- The wholesaler, who buys goods in large quantities from producers and sells them in smaller quantities to retailers.
- The retailer, who buys goods from the wholesaler or producer and sells them in small quantities directly to the final consumer.

(a)(ii) Services performed by middlemen

Describe TWO services performed by middlemen. (4 marks)

Breaking bulk and providing variety

Middlemen, especially wholesalers, buy goods in very large quantities from producers and break them down into smaller quantities that retailers and consumers can afford. They also gather goods from many different producers under one roof, so that retailers and consumers can choose from a wide variety of products at one place.

Storage and transport of goods

Middlemen keep large stocks of goods in their warehouses so that supplies are always available when retailers and consumers need them, even when production is seasonal. They also arrange for the goods to be transported from the producer to the wholesaler and from the wholesaler to the retailer, which saves the producer and the retailer the trouble and cost of doing this themselves.

5(b) Choosing a distribution channel

(b)(i) Factors to consider

Describe TWO factors that should be considered when choosing a distribution channel. (4 marks)

Nature of the product

Goods that are perishable, such as fresh fish or flowers, need a short distribution channel and fast transport so that they reach the consumer before they spoil. Goods that are bulky or fragile may also need special handling. Durable goods such as canned foods or household items can pass through a longer channel that includes wholesalers and retailers without any problem.

The market and the customers

If customers are spread over a wide area, the producer will need to use wholesalers and retailers to reach them. If the customers are few in number and concentrated in one area, the producer may sell directly to them. The size of each order, how often customers buy and how much advice they need also affect the choice of channel.

(b)(ii) Benefits of direct distribution

Outline TWO benefits of direct distribution. (4 marks)

Lower prices and higher profit

Because there are no middlemen taking a share of the price, the producer keeps a larger part of the selling price as profit and can also offer the goods to the consumer at a lower price than goods that pass through wholesalers and retailers.

Direct contact with the customer

The producer deals face to face with the customer and so gets quick feedback about how the product is liked, what changes are needed and what new products customers want. The producer can also build a personal relationship with the customer, which encourages loyalty and repeat sales.

5(c) Distribution problems for cut flowers

Fresh Bloom Farms has decided to export cut flowers. Discuss TWO problems which may affect the distribution of this product. (6 marks)

Highly perishable nature of cut flowers

Cut flowers wilt and lose their value within a few days of being picked, so they must be moved quickly and kept cool throughout the journey. Any delay at the airport, breakdown of the refrigerated trucks or hold-up at customs can ruin the whole shipment, leading to heavy losses for Fresh Bloom Farms. Special cold-storage facilities and fast air freight are needed, and these add greatly to the cost of distribution.

High transport costs and tight quality standards in foreign markets

Sending flowers by air to overseas markets is expensive, and Fresh Bloom Farms must also meet strict quality, packaging and plant-health rules set by the importing countries. Documents such as phyto-sanitary certificates must be in order, and any flowers that fall below the standard can be rejected at the foreign port. These extra costs and rules make it difficult to keep the flowers competitive in price and to deliver them on time and in good condition.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Definitions

(a)(i) Standard of living

Define the term Standard of living. (2 marks)

Standard of living refers to the level of comfort, wealth and material goods enjoyed by the people of a country. It includes things such as the quality of food, housing, clothing, health care, education and leisure that the average citizen can afford.

(a)(ii) Economic growth

Define the term Economic growth. (2 marks)

Economic growth is the increase in the total output of goods and services produced by a country from one year to the next, usually measured by the rise in real Gross Domestic Product (GDP).

(a)(iii) Economic development

Define the term Economic development. (2 marks)

Economic development is a wider idea than economic growth. It refers not only to an increase in the country's output, but also to improvements in the quality of life of its citizens, such as better health, higher levels of education, less poverty, fairer distribution of income and a cleaner environment.

6(b) Factors contributing to economic growth

Identify TWO factors which contribute to economic growth. (2 marks)

- An increase in the quantity and quality of the labour force, through population growth, education and training.
- An increase in capital investment in factories, machinery, roads and modern technology, which raises the country's ability to produce goods and services.

6(c) Improving the standard of living

Outline THREE ways in which a government could improve the standard of living of its citizens. (6 marks)

Providing better health and education services

When the government builds more schools, hospitals and clinics and trains more teachers, doctors and nurses, citizens become healthier and better educated. Healthy and skilled people can work better and earn higher incomes, which raises their standard of living.

Creating jobs and controlling prices

The government can encourage local and foreign investment, support small businesses and carry out public works such as road building, all of which create jobs. At the same time it can use price controls and competition policy to keep the prices of basic items reasonable, so that workers' incomes can buy more goods and services.

Providing good roads, water, electricity and security

By spending on roads, clean water, electricity, public transport and a good police service, the government makes daily life easier and safer for citizens. Better infrastructure also helps businesses to operate and grow, which creates further jobs and incomes and lifts the standard of living of the whole society.

6(d) Correcting an adverse balance of payments

Discuss TWO measures which governments could implement to correct an adverse balance of payments. (6 marks)

Reducing imports through tariffs, quotas and import substitution

The government can place high taxes (tariffs) on goods coming into the country and set quotas that limit the quantity of certain goods that may be imported. At the same time, it can encourage local businesses to produce goods that were previously bought from abroad, such as food and furniture. Because less foreign currency is spent on imports, the gap between the country's payments and its receipts is reduced.

Increasing exports and earnings from services

The government can give grants, tax breaks and training to local producers and exporters, and can promote tourism, financial services and other earners of foreign exchange. Trade missions and export agencies help local firms to find buyers overseas. As more goods and services are sold to other countries, the inflow of foreign exchange rises, which helps to wipe out the deficit on the balance of payments.

Question 7

7(a) Definitions

(a)(i) Public sector

Define the term Public sector. (2 marks)

The public sector is the part of the economy that is owned and controlled by the government. It includes government ministries, departments, statutory bodies and state-owned enterprises that provide services such as education, health, security, water and electricity.

(a)(ii) Unemployment

Define the term Unemployment. (2 marks)

Unemployment is the situation in which persons who are willing and able to work and are actively looking for jobs are unable to find them. The unemployment rate is the percentage of the labour force that is out of work at a given time.

(a)(iii) Foreign investment

Define the term Foreign investment. (2 marks)

Foreign investment is money brought into a country by individuals, businesses or governments from abroad and used to set up or buy into businesses, factories, hotels or other assets in that country, with the aim of earning a return.

7(b) Types of unemployment

Identify TWO types of unemployment. (2 marks)

- Structural unemployment, which occurs when workers' skills no longer match the jobs available because of changes in technology or the structure of industries.
- Seasonal unemployment, which occurs when workers are out of work during certain times of the year, for example sugar-cane cutters in the off-crop season or hotel workers during the low tourist season.

7(c) Government assistance to private sector businesses

Outline THREE ways in which governments can assist private sector businesses. (6 marks)

Providing financial assistance and tax incentives

The government can offer grants, low-interest loans through development banks and tax holidays to new and growing businesses. This makes it easier for businesses to find the capital they need and reduces their costs in the early years.

Providing infrastructure and a stable economic environment

By building good roads, ports, airports, water, electricity and reliable telecommunications, the government makes it easier and cheaper for businesses to operate. Keeping inflation, interest rates and crime under control also creates a stable environment in which private businesses can plan and invest with confidence.

Providing training, advice and access to markets

The government can run training programmes for workers and managers, offer business advisory services through agencies such as a small business development centre, and help local firms to find markets at home and abroad through trade fairs and export promotion. This raises the quality and competitiveness of private sector businesses.

7(d) Benefits of FDI to the host country

Discuss TWO benefits of foreign direct investment (FDI) to the host country. (6 marks)

Creation of jobs and transfer of skills

When foreign companies set up factories, hotels or branches in the host country, they hire local workers and train them in modern methods of working. This reduces unemployment, raises incomes and gives local workers and managers new skills and experience that they can later use in other businesses or in setting up their own. The whole labour force becomes more productive over time.

Inflow of foreign exchange and contribution to government revenue

Foreign investors bring large amounts of foreign currency into the country to build their plants and to operate them, and they often export part of their output, which earns even more foreign exchange. They also pay company taxes, customs duties and other fees to the government, which provides money for spending on schools, hospitals and roads. The host country's economy therefore grows faster and is better able to pay for needed imports.

January 2015 Paper 02

Section I (Compulsory)

Question 1

1(a) Define key terms

Define EACH of the following terms: (i) Bill of exchange (2 marks); (ii) Electronic transfer (2 marks); (iii) E-commerce (2 marks)

(a)(i) Bill of exchange

A bill of exchange is a written and signed order from one person, called the drawer, to another person, called the drawee, requiring the drawee to pay a stated sum of money either on demand or at a fixed future date to a named person or to the bearer of the bill. It is often used in international trade to settle payments between buyers and sellers in different countries.

(a)(ii) Electronic transfer

Electronic transfer is the movement of money from one bank account to another using computer networks instead of cash or paper cheques. The transfer is carried out through systems such as the ACH, wire transfer or online banking, and the funds usually appear in the receiver's account within a short period of time.

(a)(iii) E-commerce

E-commerce, short for electronic commerce, is the buying and selling of goods and services over the internet. It includes activities such as ordering items from an online store, paying with a credit or debit card on a website and having the goods delivered to the customer or downloaded electronically.

1(b) Distinguish between pairs of concepts

Distinguish between EACH of the following pairs of concepts: (i) Traditional economy and planned economy (4 marks); (ii) Public sector and private sector (4 marks)

(b)(i) Traditional economy and planned economy

Traditional economy

A traditional economy is one in which decisions about what to produce, how to produce it and for whom to produce are based on customs, beliefs and habits passed down from one generation to the next. Production is usually small in scale, the main activities are farming, fishing and handicraft, and most goods are made for the use of the family or the village rather than for sale.

Planned economy

A planned economy is one in which the central government makes all the major decisions about what to produce, how to produce it and how the goods and services will be shared out among the people. The state owns most of the resources and the means of production, sets prices and wages, and runs the main industries through state-owned enterprises with little role for private business.

(b)(ii) Public sector and private sector

Public sector

The public sector is the part of the economy that is owned and controlled by the government on behalf of the citizens. It includes ministries, government departments, statutory bodies and state-owned enterprises that provide services such as health care, education, water, electricity and national security. Its main aim is to provide services to the public rather than to make a profit.

Private sector

The private sector is the part of the economy that is owned and controlled by private individuals or groups, such as sole traders, partnerships and limited companies. Businesses in the private sector use their own capital to produce goods and services and their main aim is to make a profit for the owners or shareholders.

1(c) How businesses contribute to community development

Explain TWO ways in which businesses can contribute to the development of the communities in which they are located. (6 marks)

Creating jobs and providing income for residents

Businesses employ people who live in the surrounding community and pay them wages and salaries. This income allows residents to buy food, clothing, housing and education for their families, which raises the standard of living in the community. The wages spent in local shops also help other small businesses to grow, so the whole community benefits from the presence of the business.

Sponsoring community projects and providing social services

Many businesses give back to the community by sponsoring sports teams, school programmes, scholarships and health clinics, or by donating money and goods to help during disasters. Some build playgrounds, repair roads or improve community centres near their place of operation. These actions improve the social and physical environment of the community and build a strong relationship between the business and the people who live around it.

Question 2

2(a) Communication

(a)(i) Identify TWO means of communication in an organization. (2 marks); (ii) Identify TWO barriers to effective communication. (2 marks); (iii) Outline TWO strategies for effective communication. (4 marks)

(a)(i) TWO means of communication in an organization

- Email and internal memorandums sent through the office computer network.
- Face-to-face meetings and telephone calls between managers and workers.

(a)(ii) TWO barriers to effective communication

- Use of technical language or jargon that the receiver does not understand.
- Noise and other distractions in the workplace, which prevent the receiver from hearing the message clearly.

(a)(iii) TWO strategies for effective communication

Use simple and clear language

The sender should use words that the receiver can easily understand and avoid technical terms or slang. Short, clear sentences with one idea at a time make it less likely that the message will be misunderstood. Where the topic is complex, the sender can use diagrams, charts or examples to support the words.

Encourage feedback from the receiver

The sender should give the receiver a chance to ask questions and to repeat the message in their own words. By listening to the feedback, the sender can check whether the message was understood correctly and can clear up any confusion straight away. This two-way flow of information helps to make sure that the right action is taken.

2(b) Purpose of a management information system (MIS)

Explain the purpose of a management information system (MIS). (2 marks)

The purpose of a management information system is to collect, store and process data from inside and outside the business and to present it to managers in a useful form so that they can make better decisions. A good MIS gives managers up-to-date information on sales, stock, finance and staff at the click of a button, which helps them to plan, control and check the performance of the business.

Question 3

3(a) Entrepreneur and business plan

(a)(i) Define the term 'entrepreneur'. (2 marks); (ii) List TWO characteristics of an entrepreneur. (2 marks); (iii) Outline TWO features of a business plan. (4 marks)

(a)(i) Definition of entrepreneur

An entrepreneur is a person who sees a business opportunity, brings together the factors of production (land, labour and capital), takes the risk of investing his or her own time and money, and organises and runs a business with the aim of making a profit.

(a)(ii) TWO characteristics of an entrepreneur

- Willingness to take calculated risks with money, time and effort in order to start and grow the business.
- Creativity and initiative, which allows the entrepreneur to spot new business opportunities and come up with new products or new ways of doing things.

(a)(iii) TWO features of a business plan

Executive summary and business description

A business plan begins with a short executive summary that gives the reader an overview of the whole plan, followed by a section that describes the business, including its name, location, legal form, mission and the products or services it will offer. This part tells any reader exactly what the business is about.

Marketing plan and financial plan

The business plan also contains a marketing plan that explains the target customers, the price, the place of

sale and the promotion strategy, as well as a financial plan that sets out the start-up costs, the expected sales and expenses, the projected profit and the sources of finance. These two sections show how the business intends to attract customers and how it will be funded and become profitable.

3(b) Establishing a business and reasons people start businesses

(b)(i) Identify THREE steps that should be taken when establishing a business. (3 marks); (ii) State THREE reasons why persons may want to establish their own business. (3 marks)

(b)(i) THREE steps when establishing a business

- Carry out a feasibility study and prepare a business plan to check that the idea is workable and to set out the goals and the way forward.
- Register the business with the proper authorities, such as the Companies Office and the tax authority, and obtain any licences and permits needed to operate.
- Raise the start-up capital, find a suitable location, buy equipment and stock, and recruit any workers needed before opening the doors to customers.

(b)(ii) THREE reasons people start their own business

- To be their own boss and have the freedom to make their own business decisions.
- To earn a higher income and build personal wealth through the profits of the business.
- To turn a hobby, skill or new idea into a way of earning a living and to provide jobs for family members and other people.

3(c) Effects of unethical business practices on society

Describe the likely effects of TWO unethical business practices on the society. (6 marks)

Selling unsafe or poor-quality goods to consumers

When a business knowingly sells expired food, fake medicine or unsafe electrical goods, customers can become sick, injured or even die. Hospitals and clinics then have to spend extra resources treating these victims, which puts a strain on the public health system. Families also lose money replacing the bad goods or paying medical bills, and trust in local businesses falls, which hurts honest traders too.

Tax evasion and dishonest accounting

When businesses hide sales, keep two sets of books or refuse to pay the proper taxes, the government collects less revenue than it should. This means there is less money to spend on schools, hospitals, roads and security, and ordinary citizens suffer from poorer public services. Honest businesses that do pay their taxes are also placed at a disadvantage, because dishonest competitors can charge lower prices and steal their customers.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Marketing activities and the marketing mix

(a)(i) List FOUR marketing activities. (4 marks); (ii) State TWO elements of the marketing mix. (2 marks)

(a)(i) FOUR marketing activities

- Market research, used to find out the needs, wants and buying habits of customers.
- Product design and branding, in which the business decides on the features, packaging and brand image of the product.
- Advertising and sales promotion, used to inform customers about the product and to persuade them to buy it.
- Distribution, which involves moving the product from the business to the final customer through wholesalers, retailers or direct sales.

(a)(ii) TWO elements of the marketing mix

- Product, which refers to the goods or services that the business offers for sale.
- Price, which is the amount of money the customer pays for the product.

4(b) Sales promotion vs public relations

Differentiate between 'sales promotion' and 'public relations'. (4 marks)

Sales promotion

Sales promotion is a short-term marketing activity used to encourage customers to buy the product immediately. It includes offers such as discount coupons, buy-one-get-one-free deals, free samples, competitions and special displays in shops. The main aim is to give a quick boost to sales over a limited period of time.

Public relations

Public relations is a long-term marketing activity used to build and protect a positive image of the business in the eyes of the public. It includes activities such as press releases, sponsorship of community events, charity donations and open days at the business. The main aim is to create goodwill and trust rather than to push immediate sales.

4(c) Examples of advertising and personal selling

List TWO examples of (i) advertising (2 marks); (ii) personal selling. (2 marks)

(c)(i) TWO examples of advertising

- Television and radio commercials promoting a product or service.
- Newspaper, magazine and billboard advertisements.

(c)(ii) TWO examples of personal selling

- A sales representative visiting customers at their homes or offices to demonstrate a product.
- A shop assistant in a store explaining the features of a product to a customer and helping him or her to choose.

4(d) Problems with buying goods over the internet

Outline THREE problems which a consumer might experience when purchasing goods via the Internet. (6 marks)

Risk of fraud and loss of personal information

When the consumer enters credit card and personal details on a website, that information can be stolen by hackers or by dishonest sellers and used to carry out fraud. The consumer may end up paying for goods that are never delivered, or having unauthorised charges made on the card.

Goods received may not match what was advertised

Because the consumer cannot see, touch or try the product before paying, the item that arrives may be of poorer quality, the wrong size or colour, or even completely different from the one shown on the website. Returning the goods to a foreign seller can be slow, costly and sometimes not possible at all.

Long delivery times and extra charges

Goods bought online from overseas often take many weeks to arrive and can be held up at customs. The consumer may also have to pay extra charges such as shipping, customs duty and handling fees, which can make the final price much higher than the price shown on the website.

Question 5

5(a) Commercial banks and central bank

(a)(i) List FOUR services offered by commercial banks. (4 marks); (ii) State TWO functions of a central bank. (2 marks)

(a)(i) FOUR services offered by commercial banks

- Accepting deposits from customers into savings, current and fixed deposit accounts.
- Providing loans, mortgages and overdrafts to individuals and businesses.
- Offering money transfer services such as standing orders, direct debits and electronic transfers.
- Providing safe-keeping services such as safety deposit boxes and the issue of credit and debit cards.

(a)(ii) TWO functions of a central bank

- Issuing the country's notes and coins and controlling the money supply.
- Acting as banker to the government and to the commercial banks, and supervising the banking system.

5(b) Savings vs investment

Differentiate between 'savings' and 'investment'. (4 marks)

Savings

Savings refer to the part of a person's income that is not spent on current consumption but is set aside for future use, usually in a low-risk account such as a savings account at a commercial bank or credit union. Savings earn a small amount of interest and the money is kept safe and easy to withdraw when needed.

Investment

Investment refers to the use of money to buy assets such as shares, bonds, property or equipment, with the aim of earning a higher return over time in the form of dividends, interest, rent or capital gains.

Investments usually carry a higher level of risk than savings, since the value of the asset can rise or fall, but they also offer the chance of greater rewards.

5(c) Short-term vs long-term financing

Differentiate between (i) short-term financing (4 marks); (ii) long-term financing. (4 marks)

(c)(i) Short-term financing

Short-term financing is money borrowed by a business that is expected to be repaid within one year. It is usually used to meet day-to-day needs such as paying wages, buying stock and covering small bills while waiting for customers to pay. Common sources include bank overdrafts, trade credit from suppliers and short-term bank loans.

(c)(ii) Long-term financing

Long-term financing is money borrowed or raised by a business that is repaid over a period of more than five years, or that does not have to be repaid at all in the case of equity. It is used to buy big assets such as land, buildings and heavy machinery, or to expand the business. Common sources include long-term bank loans, mortgages, debentures and the issue of shares to investors.

5(d) Importance of personal budgeting

Outline THREE reasons why personal budgeting is important. (6 marks)

Helps to control spending and avoid waste

A personal budget shows clearly how much money is coming in and how much is going out for each item of spending. By setting a limit for each item, the person can avoid spending too much on things like entertainment and snacks, and make sure that important bills such as rent, electricity and food are paid first.

Helps to save for future needs and goals

A budget makes it possible to set aside a fixed amount of income each month for savings before any spending takes place. These savings can then be used to meet future goals such as buying a car, going to university, putting a deposit on a house or building an emergency fund for unexpected expenses.

Helps to avoid debt and financial stress

By matching spending to income, a budget stops the person from borrowing more than they can afford and from running up large credit card bills. This reduces the risk of falling into debt, paying high interest charges and suffering from the stress and worry that come with money problems.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Protecting the environment and consumers

(a)(i) State TWO ways in which businesses can protect the natural environment of a country. (2 marks); (ii) Describe THREE measures used by governments to protect consumers from unfair business practices. (6 marks)

(a)(i) TWO ways businesses can protect the natural environment

- Treating waste water and other harmful waste before releasing it, and disposing of solid waste in proper landfills or through recycling.
- Using cleaner technology and energy-saving equipment to reduce air pollution and the use of natural resources such as water and forests.

(a)(ii) THREE measures governments use to protect consumers

Passing consumer protection laws

Governments pass laws such as the Sale of Goods Act and the Consumer Protection Act, which give buyers the right to receive goods that are of merchantable quality, fit for purpose and as described. Customers who are sold defective or wrongly described goods can use these laws to claim a refund, replacement or compensation through the courts.

Setting up consumer affairs departments and bureaus of standards

Governments operate bodies such as the Consumer Affairs Commission and the Bureau of Standards. These agencies investigate complaints from consumers, test products to make sure they meet safety and quality standards, take action against businesses that break the rules and educate the public about their rights as consumers.

Regulating prices, weights and measures

Governments use price control orders to set maximum prices on essential items such as basic food and medicine, and pass weights and measures laws to make sure that scales, fuel pumps and packaged goods give the correct quantity. Inspectors visit shops and markets to check that traders are following these rules, which protects consumers from being overcharged or short-changed.

6(b) Government assistance to businesses

Outline THREE forms of assistance offered by governments to help businesses to develop. (6 marks)

Tax concessions and subsidies

The government can offer tax holidays, lower tax rates or duty-free importation of raw materials and equipment to new and small businesses. It may also give cash subsidies to certain industries such as agriculture and tourism. These measures lower the costs of doing business and encourage owners to expand and to take on more workers.

Training and advisory services

Through agencies such as the Ministry of Trade, the Small Business Development Centre and chambers of commerce, the government provides training in areas such as accounting, marketing, customer service and the use of technology. Free or low-cost advice is also given on how to prepare business plans, register the business and apply for loans.

Provision of infrastructure and access to finance

Governments build roads, ports, water and electricity supplies and industrial estates, all of which make it easier and cheaper to operate a business. They also set up development banks and loan guarantee schemes that help small and medium businesses to obtain finance on better terms than they could from a regular commercial bank.

6(c) Improving health care

Explain TWO ways in which governments could improve the health care sector in a country. (6 marks)

Increasing spending on hospitals, clinics and equipment

The government can build new hospitals and clinics in both urban and rural areas, repair and expand existing ones, and buy modern equipment such as scanners, dialysis machines and ambulances. With better facilities and equipment, doctors and nurses can treat more patients more quickly and accurately, waiting times fall and the overall quality of care goes up.

Training and retaining more health workers

The government can offer scholarships and bonded training to study medicine, nursing, pharmacy and other health-related fields, and can pay better salaries and provide good working conditions to keep these workers in the country. With more well-trained doctors, nurses and technicians, the health system can serve more people, reduce the strain on those already working and lower the rate of migration of skilled health workers.

Question 7

7(a) Standard of living

(a)(i) Identify TWO factors that can be used to determine a country's standard of living. (2 marks); (ii) Explain how EACH factor identified in (a)(i) above affects standard of living. (6 marks)

(a)(i) TWO factors used to determine standard of living

- Real per capita income, that is, the average income per person after adjusting for inflation.
- Access to social services such as health care, education, clean water and proper housing.

(a)(ii) How each factor affects standard of living

Real per capita income

When the real per capita income of a country is high, the average citizen has more money to spend on food, clothing, housing, transport and leisure. People can afford a more varied diet, better quality housing and modern household goods such as fridges, computers and motor vehicles. As a result, the overall quality of life and standard of living rises.

Access to social services

When citizens have easy access to good schools, hospitals, clean water, electricity and proper housing, they live longer, healthier and more productive lives. Educated citizens can find better-paying jobs, healthy citizens lose fewer days from work, and good housing and water supply reduce the spread of disease. All of this raises the standard of living of the country far above what income alone would suggest.

7(b) Gross domestic product (GDP) and approaches to measuring national income

(b)(i) Define the term 'gross domestic product' (GDP). (2 marks); (ii) Outline TWO approaches used to measure national income. (4 marks)

(b)(i) Definition of GDP

Gross domestic product is the total market value of all the final goods and services produced within a country's borders during a given period of time, usually one year. It includes the output of both citizens and foreigners working in the country and is one of the main measures of the size and performance of an economy.

(b)(ii) TWO approaches used to measure national income

Income approach

Under the income approach, national income is measured by adding up all the incomes earned by citizens and businesses from taking part in production over the year. This includes wages and salaries paid to workers, profits earned by businesses, interest earned on capital and rent earned on land. The total of these incomes gives the country's national income.

Output (production) approach

Under the output or production approach, national income is measured by adding up the value of all the final goods and services produced by every industry in the country during the year. The values are taken from sectors such as agriculture, manufacturing, construction, tourism and services, and care is taken to count only the final value to avoid double counting.

7(c) Addressing balance of payments problems

Explain TWO ways in which a country can address its balance of payments problems. (6 marks)

Promote exports and reduce imports

The government can encourage local producers to sell more goods and services abroad by giving them tax incentives, export subsidies and help with marketing in foreign countries. At the same time, it can place tariffs and quotas on imports, especially on luxury goods, to make them more expensive and reduce the amount the country buys from overseas. As exports rise and imports fall, the balance of payments improves.

Encourage foreign investment and tourism

The country can attract foreign investors by offering tax holidays, building good infrastructure and keeping the political situation stable, so that overseas firms set up factories, hotels and offices and bring in foreign exchange. Promoting the country as a tourist destination through advertising overseas and improving airports, beaches and attractions also brings in foreign currency from visitors. Both of these inflows help to close the gap on the balance of payments.

May/June 2015 Paper 02

Section I (Compulsory)

Question 1

1(a) Definitions of business concepts

(a)(i) Profit

Define the business concept Profit. (2 marks)

Profit is the amount of money left over after a business has paid all the costs of running it for a given period. It is calculated by taking the total sales revenue and subtracting from it all the expenses, such as the cost of goods sold, wages, rent and electricity. A profit shows that the business has earned more than it has spent.

(a)(ii) Enterprise

Define the business concept Enterprise. (2 marks)

Enterprise is the willingness of a person to take the risk of organising land, labour and capital to produce goods or services in the hope of making a profit. It is one of the four factors of production and the person who provides it is called the entrepreneur.

(a)(iii) Specialization

Define the business concept Specialization. (2 marks)

Specialization is the situation in which a worker, business or country concentrates on producing one good, service or part of a good rather than trying to produce everything. Because the work is repeated, the producer becomes very skilled and efficient, and output and quality both rise.

1(b) Franchises in the Caribbean

Identify the names of TWO franchises in the Caribbean. (2 marks)

- Kentucky Fried Chicken (KFC).
- Burger King.

1(c) Characteristics of forms of business organizations

(c)(i) Partnership

State TWO characteristics of a Partnership. (2 marks)

- A partnership is owned by between two and twenty persons (or up to ten in the case of banking) who join together to carry on a business with a view to profit, sharing the profits, losses and management according to a partnership agreement.
- In an ordinary partnership, the partners have unlimited liability, which means that if the business cannot pay its debts, the personal property of the partners can be used to settle them.

(c)(ii) Co-operatives

State TWO characteristics of Co-operatives. (2 marks)

- A co-operative is owned and controlled by its members, who buy shares of equal value and run it for their mutual benefit, with each member having one vote regardless of the number of shares held.
- Profits, called surplus, are shared among the members in proportion to the business each member did with the society, rather than according to the size of their shareholding.

(c)(iii) Sole Proprietorship

State TWO characteristics of a Sole Proprietorship. (2 marks)

- A sole proprietorship is owned and controlled by one person, who provides all the capital, makes all the decisions and keeps all the profits.
- The owner has unlimited liability, which means that the owner is personally responsible for all the debts of the business and may have to use his or her own property to pay them.

1(d) Roles of stakeholders

(d)(i) Employers

Describe ONE role of Employers in business. (3 marks)

Employers provide the capital, equipment and direction needed to run the business. They hire workers, pay them fair wages, train them and give them safe working conditions. Employers also plan the work, organise the different departments and make the major decisions so that the business can produce goods and services efficiently and earn a profit.

(d)(ii) Employees

Describe ONE role of Employees in business. (3 marks)

Employees provide the labour and skills needed by the business. They carry out the duties given to them by the employer, follow the rules of the workplace and use the equipment and time of the business properly. By being honest, punctual and productive, employees help the business to produce its goods and services well, which keeps customers satisfied and the business profitable.

Question 2

2(a) Functions and relations of management

(a)(i) Functions of a manager

List FOUR functions of a manager. (4 marks)

- Planning, which involves setting goals for the business and deciding in advance what to do, how to do it and when to do it.
- Organising, which involves arranging the resources of the business, including people, money and equipment, so that the plans can be carried out.

- Directing or leading, which involves guiding, motivating and supervising the workers so that they perform their duties well.
- Controlling, which involves checking the actual performance of the business against the plans and taking corrective action where things are not going as expected.

(a)(ii) Guidelines for good management-employee relations

State THREE guidelines for establishing good relations between management and employees. (3 marks)

- Maintain open and honest two-way communication, where management keeps employees informed about plans and changes and listens to their views and concerns.
- Pay fair wages, provide safe working conditions and recognise good work through bonuses, promotions or simple words of praise.
- Treat all employees with respect and fairness, apply the rules of the workplace consistently and resolve any complaints quickly through proper grievance procedures.

2(b) Leadership

(b)(i) Characteristics of a good leader

Identify THREE characteristics of a good leader. (3 marks)

- Honesty and integrity, so that workers can trust the leader's words and actions.
- Good communication skills, so that the leader can explain ideas clearly and listen to the views of others.
- The ability to motivate and inspire others to work willingly toward the goals of the organisation.

(b)(ii) Participatory vs autocratic leadership

Differentiate between 'participatory leadership style' and 'autocratic leadership style'. (4 marks)

Participatory leadership style

In a participatory (or democratic) leadership style, the leader consults the workers before making decisions. The workers are encouraged to share their ideas and to take part in solving problems, and the final decision is often made by agreement of the group. This style usually leads to high morale and better team spirit, because workers feel that their views matter.

Autocratic leadership style

In an autocratic leadership style, the leader makes all the decisions alone and simply tells the workers what to do, without asking for their views. The leader keeps tight control over the work and uses rewards and punishments to make sure that the orders are followed. This style allows quick decisions but can lower morale because workers feel that their opinions do not count.

2(c) Benefits of teamwork to an organization

Explain TWO ways in which an organization can benefit from teamwork. (6 marks)

Better ideas and quicker problem solving

When workers work as a team, each member brings different knowledge, skills and experience to the

group. By sharing ideas and discussing problems together, the team can come up with better solutions than any one person could on his or her own. This means that problems are solved more quickly and the organisation can react faster to changes in the market.

Higher motivation and productivity
Working in a team makes workers feel that they belong to a group and that their work matters. Members support and encourage each other, cover for those who are absent and take pride in what the team achieves. This raises morale, lowers absenteeism and pushes everyone to work harder, so that the organisation gets more and better work done in the same amount of time.

Question 3

3(a) Migration

(a)(i) Definition of migration

Define the term 'migration'. (2 marks)

Migration is the movement of people from one country, region or area to another, in order to settle there for a period of time. When people leave a country it is called emigration, and when they enter another country to live it is called immigration.

(a)(ii) Positive and negative effects of migration

State ONE positive effect and ONE negative effect of migration. (2 marks)

Positive
Migrants who leave the country often send money (remittances) back to their families at home, which provides foreign exchange and raises the standard of living of those families.

Negative
The country loses many of its best-trained workers, such as doctors, teachers and engineers, in what is called the 'brain drain', and this slows down development.

(a)(iii) Reasons for migration

Outline TWO reasons for migration. (4 marks)

Search for better jobs and higher incomes
Many people leave their country because there are not enough jobs at home or because the wages they can earn are very low. They move to countries where there is more work available and where the pay and conditions are better, so that they can support themselves and their families.

Better access to education, health care and social services
People also migrate to countries that have better schools, universities, hospitals and welfare systems. They go in order to give their children a better education and to have access to medical care and other services that may not be available or may be too expensive at home.

3(b) Production methods

(b)(i) Characteristics of subsistence production

List TWO characteristics of subsistence production. (2 marks)

- The output is produced mainly to feed the producer and his or her family, with little or nothing left over for sale.
- Simple tools and traditional methods are used, output is low and the activity employs only members of the household.

(b)(ii) Capital-intensive vs labour-intensive production

Explain how 'capital-intensive production' differs from 'labour-intensive production'. (4 marks)

Capital-intensive production

Capital-intensive production uses a large amount of machinery, equipment and technology compared with the number of workers. The cost of buying and running the machines makes up most of the production cost, output per worker is high and only a small number of skilled operators are needed. An example is an oil refinery.

Labour-intensive production

Labour-intensive production uses a large amount of human labour compared with the amount of machinery and equipment. Wages make up the largest share of the production cost, output per worker is lower and many workers are needed to produce a given amount of output. An example is a small banana farm where most tasks are done by hand.

3(c) Computer-aided design (CAD)

Explain ONE advantage and ONE disadvantage of computer-aided design (CAD) in the production process. (6 marks)

Advantage: Faster and more accurate design

With computer-aided design, designers can draw, change and test new products on a computer screen instead of on paper. The computer makes accurate measurements, allows the designer to view the product from many angles and to make changes very quickly. This means that new designs reach the production line in a much shorter time and there are fewer errors, so the business saves time and money and can compete better in the market.

Disadvantage: High cost and need for skilled operators

The computers, software and printers used for CAD are very expensive to buy, and they have to be upgraded and maintained regularly. The business also has to spend money to train designers in how to use the system, and skilled CAD operators usually demand higher wages. For a small business, these costs can be very heavy and may make CAD difficult to afford.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Definition of consumer protection

Define the term 'consumer protection'. (2 marks)

Consumer protection refers to the laws, agencies and actions that are put in place to safeguard buyers of goods and services from unfair business practices, unsafe products and being cheated. It is meant to make sure that consumers get correct information, fair prices and goods of acceptable quality.

4(b) Consumer rights and Bureau of Standards

(b)(i) Rights of the consumer

List TWO rights of the consumer. (2 marks)

- The right to safety, which means the right to be protected from goods and services that are dangerous to health or life.
- The right to be informed, which means the right to be given correct facts about a product, including its price, contents, weight and any side effects, so that the consumer can make a sensible choice.

(b)(ii) Roles of the Bureau of Standards

Outline TWO roles of the Bureau of Standards. (4 marks)

Setting and enforcing standards for goods and services

The Bureau of Standards lays down the minimum quality, safety and labelling standards that goods and services produced or sold in the country must meet. Inspectors test samples and visit factories and shops to make sure that these standards are being kept, and goods that fail the tests can be removed from sale.

Checking weights, measures and labels

The Bureau also checks the accuracy of scales, pumps and measuring devices used in shops, supermarkets and gas stations, and makes sure that labels show the true weight, contents and country of origin. This protects consumers from being given short measure or being misled about what they are buying.

4(c) Wholesaler and e-commerce

(c)(i) Characteristics of the wholesaler

State TWO characteristics of the wholesaler as a distributor. (2 marks)

- The wholesaler buys goods in very large quantities directly from producers and sells them in smaller quantities to retailers.
- The wholesaler stores large stocks of goods in a warehouse so that retailers can be supplied at short notice and the producer is freed from the trouble of dealing with many small buyers.

(c)(ii) Advantage and disadvantage of e-commerce

Outline ONE advantage and ONE disadvantage of e-commerce as a method of retailing. (4 marks)

Advantage

E-commerce allows the business to sell to customers anywhere in the world, twenty-four hours a day, without the cost of running a physical shop. Customers can browse the website, compare prices and order goods from the comfort of their homes, which increases sales and lowers costs for the business.

Disadvantage

Customers cannot see, touch or try the goods before they buy them, and so they may receive items that do not match their expectations. There is also the risk of fraud and theft of credit-card information online, which can discourage some customers from shopping on the website.

4(d) Distribution problems and solutions

(d)(i) Problems related to distribution of goods

Identify TWO problems related to the distribution of goods. (2 marks)

- Damage to or spoilage of goods while they are being transported or stored, especially perishable items.
- Delays in delivery caused by poor roads, breakdowns of vehicles or bad weather, which mean that goods reach the customer late.

(d)(ii) Measures to avoid each problem

Outline ONE measure that producers could take to avoid each problems identified. (4 marks)

Measure for damage and spoilage

Producers can use strong, well-designed packaging and refrigerated or insulated containers, and can train workers in proper handling and loading. For perishable goods, fast transport such as air freight or refrigerated trucks can be used so that the goods arrive in good condition.

Measure for delays in delivery

Producers can plan deliveries carefully, keep their vehicles well maintained and use modern tracking systems to follow each shipment. They can also keep buffer stocks at strategic warehouses around the country, so that customers can still be served on time even when one shipment is delayed.

Question 5

5(a) Definition of overdraft

Define the term 'overdraft'. (2 marks)

An overdraft is an arrangement between a customer and a commercial bank that allows the customer to draw out from his or her current account more money than is actually in the account, up to an agreed limit. The customer pays interest only on the amount actually overdrawn and only for the time that the account remains in the red.

5(b) Investment and insurance

(b)(i) Forms of investment

List TWO forms of investment. (2 marks)

- Buying shares in a company on the stock exchange.
- Buying government securities such as Treasury bills and bonds, or fixed deposits at a commercial bank.

(b)(ii) Principles of insurance

Outline TWO principles of insurance. (4 marks)

Utmost good faith

Both the insured and the insurance company must be completely honest with each other and disclose all material facts about the risk being insured. If the insured hides important information, such as a serious illness when taking out a life policy, the insurance company can refuse to pay any claim and cancel the policy.

Insurable interest

The person taking out the policy must stand to suffer a financial loss if the insured event happens. For example, a person can insure his or her own house or life, or the life of a husband, wife or business partner, but cannot insure the property or life of a stranger from whom no loss would be suffered.

5(c) Ordinary shares and sou sou

(c)(i) Characteristics of ordinary shares

State TWO characteristics of ordinary shares. (2 marks)

- Ordinary shareholders are part-owners of the company and have the right to vote at the annual general meeting and to elect the board of directors.
- Ordinary shareholders receive a dividend only after the company has paid all its expenses and the dividends due to preference shareholders, so the dividend can be high in good years and zero in bad years.

(c)(ii) Sou sou advantage and disadvantage

Outline ONE advantage and ONE disadvantage of the sou sou (meeting turn) as a form of saving. (4 marks)

Advantage

A sou sou is a simple way for ordinary people to save regularly without going to a bank, and each member receives a large lump sum of money in turn. This lump sum can be used to pay school fees, buy household items or start a small business, which would be difficult to save for through small individual amounts.

Disadvantage

Because the sou sou is informal and has no legal backing, members can lose all their savings if the 'banker' or another member runs off with the money or fails to pay in his or her share. The savings also do not earn any interest and are not protected by deposit insurance.

5(d) Central bank measures to influence commercial banks

Describe TWO measures which a central bank may use to influence the behaviour of commercial banks. (6 marks)

Changing the cash reserve requirement

The central bank can order commercial banks to keep a certain percentage of their deposits as a reserve at the central bank or in their own vaults. By raising this percentage, the central bank reduces the amount of money the commercial banks have left to lend out, which slows down spending in the economy. By lowering it, the central bank gives commercial banks more money to lend, which encourages borrowing and spending.

Changing the bank rate

The bank rate is the rate of interest that the central bank charges commercial banks when it lends them money. When the central bank raises the bank rate, commercial banks have to pay more for funds and so they raise their own lending rates, which discourages borrowing. When the central bank lowers the bank rate, commercial banks lower their lending rates, which encourages businesses and individuals to borrow and spend more.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Economic problems and solutions

(a)(i) Economic problems facing Caribbean countries

Identify TWO economic problems facing Caribbean countries. (2 marks)

- High levels of unemployment, especially among young people.
- A heavy dependence on imported goods, which leads to an unfavourable balance of payments.

(a)(ii) One way each problem may be solved

Outline ONE way in which EACH problem identified may be solved. (4 marks)

Solution to high unemployment

The government can encourage local and foreign investment, give support to small businesses and run training programmes that match workers' skills to the needs of employers. As new factories, hotels and service businesses open, more jobs are created and unemployment falls.

Solution to dependence on imports

The government can promote import substitution by giving incentives such as tax breaks and grants to local farmers and manufacturers who can produce goods that are now being imported. As more food, furniture and other items are made locally, less foreign currency is spent on imports and the balance of payments improves.

6(b) Foreign direct investment

(b)(i) Definition of FDI

Define the term 'foreign direct investment' (FDI). (2 marks)

Foreign direct investment is investment made by a company or individual from one country into a business or productive asset in another country, where the investor takes a controlling interest. It usually involves the building of new factories, hotels or branches, or the purchase of an existing business in the host country.

(b)(ii) Factors discouraging foreign investors

Outline THREE factors that are LIKELY to discourage foreign investors from investing in the Caribbean. (6 marks)

High levels of crime and political instability

Foreign investors are reluctant to put their money into countries where crime is high and where governments and policies change suddenly. They fear for the safety of their workers and property, and worry that new governments might change tax rules or even take over their businesses.

Small market size and weak infrastructure

Many Caribbean countries have small populations and limited buying power, which means that the local market for the investor's products is small. When this is combined with poor roads, an unreliable electricity and water supply and slow internet, the cost of doing business rises and profits fall.

High taxes, red tape and shortage of skilled labour

If a country has high company taxes, complicated rules for setting up a business and a long wait to get licences and work permits, foreign investors will look elsewhere. A shortage of skilled workers, which forces investors to bring in expensive expatriate staff or to spend heavily on training, also discourages investment.

6(c) Benefits of FDI to Caribbean countries

Explain TWO ways in which Caribbean countries benefit from foreign direct investment (FDI). (6 marks)

Creation of jobs and transfer of skills and technology

When foreign companies set up factories, hotels and service businesses in the Caribbean, they hire local workers and train them in modern methods, technology and management. This reduces unemployment, raises incomes and gives local people new skills that they can later use in other jobs or in setting up their own businesses, which raises productivity in the whole economy.

Inflow of foreign exchange and contribution to government revenue

Foreign investors bring in large amounts of foreign currency to build and run their operations, and they also export some of their output, which earns even more foreign exchange. They pay company taxes, customs duties and other fees to the government, which provides money for spending on schools, hospitals and roads. The result is faster economic growth and an improved standard of living for citizens.

Question 7

7(a) Government regulation and consumer protection

(a)(i) Ways governments regulate business activity

Outline TWO ways in which governments can regulate business activity. (4 marks)

Through laws, licences and registration

Governments pass laws such as the Companies Act, the Consumer Protection Act and the Public Health Act, and they require businesses to be registered and to obtain licences before they can operate. Inspectors check that businesses follow these laws and the conditions of their licences, and any business that breaks the rules can be fined or have its licence taken away.

Through taxes, price controls and subsidies

Governments use taxes to discourage harmful activities (for example high taxes on tobacco) and subsidies to encourage useful ones (such as grants to local farmers). They can also put price controls on essential goods such as basic foods and bus fares to make sure that they remain affordable to the public.

(a)(ii) Measures to protect consumers

Describe TWO measures which governments can take to protect consumers. (4 marks)

Passing consumer protection laws

The government passes laws such as the Sale of Goods Act and the Consumer Protection Act, which give consumers the right to safe goods, correct information and the right to a refund or replacement when goods are faulty. Businesses that break these laws can be taken to court and fined.

Setting up agencies such as the Bureau of Standards and Consumer Affairs Commission

These agencies set quality and safety standards for goods, check weights and measures, test samples of products and investigate complaints from consumers. They also educate the public about their rights and how to make a complaint, so that consumers can defend themselves against unfair business practices.

7(b) Benefits of improved roads and transportation

Outline THREE ways in which your country can benefit from improved roads and transportation. (6 marks)

Faster and cheaper movement of goods

When roads are smooth and well laid out, vehicles can move goods quickly from farms and factories to markets, ports and shops. Fuel and vehicle repair costs fall, fewer goods are damaged on the way and prices can be kept lower for consumers.

Easier access to jobs, schools and health care

Better roads and public transport make it easier for people to travel to work, school, hospitals and government offices, even from rural areas. This raises the standard of living, gives more people a chance to find jobs and improves the quality of education and health care.

Encouragement of investment and tourism

Good roads and reliable transport make a country more attractive to local and foreign investors, who need

to move workers, raw materials and finished goods. Tourists are also more willing to visit a country where they can travel safely and quickly between hotels, beaches and other attractions, which earns extra foreign exchange.

7(c) Improving the education sector

Explain TWO ways in which government could improve the education sector. (6 marks)

Spending more on schools, equipment and teacher training

The government can build more schools and classrooms, supply textbooks, computers and laboratory equipment, and pay for teachers to be trained to a higher standard. With better facilities and better-prepared teachers, students learn more, pass more examinations and leave school with the skills needed for work and further studies.

Reforming the curriculum and providing financial assistance

The government can update the curriculum so that it includes subjects such as information technology, technical and vocational skills and entrepreneurship, which match the needs of today's economy. It can also offer scholarships, grants and free school meals to students from poor families, so that no child is forced to drop out of school because of money. As a result, more young people complete school, the workforce becomes more skilled and the country grows.

January 2016 Paper 02

Section I (Compulsory)

Question 1

1(a) Define key terms

Define EACH of the following terms: (i) Traditional economic system (2 marks); (ii) Planned economic system (2 marks)

(a)(i) Traditional economic system

A traditional economic system is one in which decisions about what to produce, how to produce it and for whom to produce are based on customs, beliefs and habits passed down from one generation to the next. Production is usually small in scale, with most of the activity centred on farming, fishing and handicraft, and most of the goods produced are consumed by the family or village rather than being sold.

(a)(ii) Planned economic system

A planned economic system is one in which the central government makes all the major economic decisions about what is produced, how it is produced and how it is shared among the citizens. The state owns most of the resources and the means of production, sets prices and wages, and runs the main industries through state-owned enterprises with little role for private business.

1(b) Mixed economic system

(b)(i) State TWO advantages of a mixed economic system. (2 marks); (ii) State TWO disadvantages of a mixed economic system. (2 marks)

(b)(i) TWO advantages of a mixed economic system

- Important goods and services such as health care, education and water are provided by the government to all citizens, even those who cannot afford to pay private prices.
- Private businesses are free to compete and to make a profit, which encourages hard work, new ideas and a wider variety of goods and services for consumers.

(b)(ii) TWO disadvantages of a mixed economic system

- Government-owned enterprises can become inefficient and run at a loss because they are not under the same pressure to compete as private businesses.
- There can be conflict between the government and private businesses over taxes, regulations and the role of each sector, which can slow down economic growth.

1(c) How a business can fulfil its role to government

Outline THREE ways in which a business could fulfill its role to government. (6 marks)

Paying taxes and statutory contributions on time

Businesses have a duty to pay taxes such as company tax, value added tax and customs duty, as well as National Insurance and other statutory contributions for their workers. Paying these on time gives the

government revenue to spend on schools, hospitals, roads and other public services that benefit the whole society.

Obeying the laws and regulations of the country

A business plays its role to the government by following the laws on health and safety, environmental protection, employment, fair trading and consumer protection. By obeying these rules, the business helps the government to keep order, protect citizens and maintain a fair and safe business environment.

Providing employment and accurate information

By creating jobs for citizens, a business reduces unemployment and the strain on government social services. The business also fulfils its role by giving the government accurate information about its sales, profits, workers and exports through tax returns, statistical surveys and other reports, which the government uses to plan the economy.

1(d) Stakeholders' contribution to the success of a business

Explain ONE way in which EACH of the following stakeholders contributes to the success of a business: (i) Business owners (3 marks); (ii) Employees (3 marks)

(d)(i) Business owners

Business owners contribute to the success of the business by providing the capital needed to set it up and keep it running, and by taking on the risk of losing their money if the business fails. They also use their skills and experience to make the major decisions about what to produce, how to compete and how to invest the profits, and they give direction and motivation to the workers. Without committed owners willing to invest money and effort, the business would not be able to start, grow or survive.

(d)(ii) Employees

Employees contribute to the success of the business by providing the labour and skills needed to actually produce the goods or deliver the services that the business sells. By coming to work on time, working hard, treating customers well and using their training and experience, employees help the business to produce quality goods, satisfy customers and keep costs under control. Loyal and motivated workers also share useful ideas with management, which helps the business to improve and grow over time.

Question 2

2(a) Teamwork

(a)(i) Define the term 'teamwork'. (2 marks); (ii) State TWO advantages and TWO disadvantages of teamwork within an organization. (4 marks)

(a)(i) Definition of teamwork

Teamwork is the act of a group of workers cooperating and working together towards a shared goal, with each member using his or her own skills and effort to help the team to succeed. In a team, members share ideas, support one another and divide the work so that the task is completed more easily and to a higher standard than any single person could achieve alone.

(a)(ii) TWO advantages and TWO disadvantages of teamwork

Two advantages of teamwork are:

- Tasks are completed faster because the work is shared among several members, each using their own special skills.
- Better decisions are made because team members share different ideas and information, and any mistakes are more likely to be picked up before they cause problems.

Two disadvantages of teamwork are:

- Conflicts and disagreements can arise between members with different personalities or opinions, which can slow down the work and damage relationships.
- Some members may not pull their weight and may rely on others to do most of the work, which is unfair and frustrating to the rest of the team.

2(b) How teamwork is used at school or in the workplace

Outline TWO examples that show how teamwork is used at a school or in a workplace. (4 marks)

Teamwork on a school project

When students are given a group project such as a science investigation or a business plan, they work as a team. One student may research the topic, another may write up the findings, a third may prepare the visual aids and a fourth may present to the class. By dividing the work and combining their efforts, the students complete the project to a higher standard than any of them could do alone.

Teamwork in a hotel kitchen

In a busy hotel kitchen, the executive chef, sous chef, line cooks, pastry chef and kitchen assistants work as a team to prepare meals for guests. Each member has a clear role, from preparing ingredients to cooking, plating and washing up, and they communicate constantly so that orders go out hot and on time. The teamwork allows the kitchen to serve a large number of guests quickly and to a high standard.

2(c) Important elements in the communication process

List FOUR important elements in the communication process. (4 marks)

Four important elements in the communication process are:

- The sender, who is the person with the message and who starts the communication.
- The message, which is the actual information, idea or instruction being communicated.
- The medium or channel, which is the means used to send the message, such as a letter, email, phone call or face-to-face conversation.
- The receiver and feedback, that is, the person for whom the message is intended and the response that the receiver gives back to show that the message was understood.

2(d) Strategies for effective communication

Using an example, outline ONE strategy for effective communication between EACH of the following groups: (i) Teachers and students (3 marks); (ii) Teachers and parents (3 marks)

(d)(i) Teachers and students

One strategy for effective communication between teachers and students is for teachers to use clear, simple language and to ask students to give feedback in their own words. For example, after explaining a topic such as the factors of production, the teacher can ask different students to give their own examples and to summarise the main points. This shows whether the students have understood the lesson and gives the teacher a chance to clear up any confusion right away.

(d)(ii) Teachers and parents

One strategy for effective communication between teachers and parents is for the school to hold regular parent-teacher conferences and to send home written progress reports. For example, at the end of each term, the school can invite parents to meet the class teacher to discuss the child's grades, behaviour and attendance, supported by a written report. This two-way exchange helps parents to understand how their child is doing and allows the teacher to learn from the parents about anything happening at home that may affect the child's school work.

Question 3

3(a) Entrepreneur

(a)(i) Define the term 'entrepreneur'. (2 marks); (ii) State TWO advantages and TWO disadvantages of being an entrepreneur. (4 marks)

(a)(i) Definition of entrepreneur

An entrepreneur is a person who sees a business opportunity, brings together the factors of production (land, labour and capital), takes the risk of investing his or her own time and money, and organises and runs a business with the aim of making a profit.

(a)(ii) TWO advantages and TWO disadvantages of being an entrepreneur

Two advantages of being an entrepreneur are:

- The entrepreneur is his or her own boss and has the freedom to make all the major decisions about the business.
- The entrepreneur keeps all the profits of the business and can build up personal wealth if the business does well.

Two disadvantages of being an entrepreneur are:

- The entrepreneur takes on all the risks of the business and stands to lose his or her own money and assets if the business fails.
- The entrepreneur often works long hours, including nights, weekends and holidays, and has no paid leave or guaranteed income.

3(b) Characteristics and problems of entrepreneurs

(b)(i) Identify FOUR characteristics of an entrepreneur. (4 marks); (ii) Identify TWO problems faced by entrepreneurs. (2 marks); (iii) Outline ONE way in which any ONE problem identified in (ii) above may be resolved. (2 marks)

(b)(i) FOUR characteristics of an entrepreneur

- Willing to take calculated risks with money, time and effort.
- Creative and innovative, able to spot new business opportunities and come up with new products or new ways of doing things.
- Self-confident, hard-working and determined to keep going when things become difficult.
- Good at making decisions, organising people and managing money.

(b)(ii) TWO problems faced by entrepreneurs

- Difficulty in raising enough capital to start and grow the business.
- Strong competition from larger and more established businesses already in the market.

(b)(iii) ONE way the problem may be resolved

The problem of raising capital can be resolved by preparing a strong business plan and using it to apply for a loan from a development bank or a small business loan from a commercial bank. The entrepreneur can also approach family members and friends to invest in the business, look for grants from government agencies, or take on a partner who is willing to put in money in exchange for a share of the profits.

3(c) Benefits of entrepreneurship to an economy

Explain TWO ways in which entrepreneurship benefits an economy. (6 marks)

Creation of jobs and reduction of unemployment

Entrepreneurs set up new businesses that need workers to produce the goods, serve customers and run the offices. Each new business that is created therefore provides jobs for citizens, lowers the rate of unemployment and increases household income. As more people earn wages, they can buy more goods and services, which encourages further business activity and helps the economy to grow.

Increased output, government revenue and innovation

New businesses add to the total output of goods and services in the country, which raises the gross domestic product. They also pay taxes to the government, giving it more money to spend on schools, hospitals and roads. On top of this, entrepreneurs often introduce new products, new technology and new ways of doing things, which makes the economy more modern and competitive both at home and overseas.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Marketing and the marketing mix

(a)(i) Define the term 'marketing'. (2 marks); (ii) List the FOUR elements of the 'marketing mix'. (4 marks)

(a)(i) Definition of marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs and wants profitably. It involves researching the market, designing the product, deciding the

price, choosing how the product will reach the customer and promoting the product so that customers know about it and want to buy it.

(a)(ii) FOUR elements of the marketing mix

- Product, which is the goods or services that the business offers to satisfy customer needs.
- Price, which is the amount of money the customer pays for the product.
- Place, which is how and where the product is made available to the customer.
- Promotion, which is the activities used to inform and persuade customers to buy the product, such as advertising, sales promotion and personal selling.

4(b) Public relations and other marketing methods

(b)(i) State TWO reasons why firms engage in public relations (PR). (2 marks); (ii) Describe THREE marketing methods, other than social media, employed by businesses to promote sales. (6 marks)

(b)(i) TWO reasons firms engage in public relations

- To build and protect a positive image and reputation of the business in the minds of the public, customers, workers and government.
- To create goodwill that will help to attract and keep customers, workers and investors over the long term.

(b)(ii) THREE marketing methods other than social media

Advertising in traditional media

Businesses pay for advertisements on television, radio, newspapers, magazines and billboards to inform large numbers of people about their products. Television and radio commercials use sound and pictures to grab attention, while newspaper and billboard advertisements give written details about prices and special offers. Repeated advertising helps to keep the brand in the minds of customers.

Sales promotion

Businesses use short-term offers such as discounts, coupons, buy-one-get-one-free deals, free samples, competitions and loyalty cards to encourage customers to buy now rather than later. These promotions are often run during slow periods or when launching a new product, and they give a quick boost to sales.

Personal selling

Businesses use trained sales representatives to meet with customers face to face, either in the shop, at the customer's home or at trade shows. The salesperson explains the features of the product, answers questions, demonstrates how it works and persuades the customer to make a purchase. Personal selling is especially useful for products that are expensive or technical.

4(c) Using social media to promote sales

Explain TWO ways in which businesses can use social media to promote sales. (6 marks)

Posting product information and special offers to followers

Businesses can create pages on Facebook, Instagram and other social media sites and use them to post pictures, videos and descriptions of new products, along with information about prices and special offers.

Followers see these posts in their news feed every day, which keeps the brand in their minds and encourages them to visit the store or website. Eye-catching photos and short videos can quickly reach a large number of customers at very little cost.

Engaging with customers and using paid targeted advertising

Businesses can reply to comments, answer questions and run polls and contests on social media, which builds a community of loyal customers and gives the business useful feedback. They can also use the paid advertising tools on platforms such as Facebook and Instagram to send adverts to specific groups of users based on age, location and interests. This targeted approach helps the business to reach the customers most likely to buy and to convert online interest into actual sales.

Question 5

5(a) Services offered by commercial and central banks

List THREE services offered by EACH of the following institutions: (i) Commercial banks (3 marks); (ii) Central banks (3 marks)

(a)(i) THREE services offered by commercial banks

- Accepting deposits from customers into savings, current and fixed deposit accounts.
- Providing loans, mortgages and overdrafts to individuals and businesses.
- Offering money transfer services such as standing orders, direct debits and electronic transfers, including the issue of credit and debit cards.

(a)(ii) THREE services offered by central banks

- Issuing the country's notes and coins and controlling the money supply.
- Acting as banker to the government and to the commercial banks, including holding their reserves.
- Supervising and regulating the commercial banks and other financial institutions to keep the financial system safe.

5(b) Current account vs ordinary savings account

Differentiate between a 'current account' and an 'ordinary savings account'. (4 marks)

Current account

A current account is a bank account designed mainly for businesses and individuals who need to make regular payments. The customer can deposit and withdraw money many times a day, write cheques to pay bills and use a debit card to access the funds. Current accounts usually pay little or no interest on the balance and may charge fees, but they offer the convenience of overdraft facilities and easy day-to-day money management.

Ordinary savings account

An ordinary savings account is a bank account designed to encourage customers to save money. The customer earns interest on the balance held in the account, and there are usually limits on the number of

withdrawals that can be made each month. Cheques cannot be written on a savings account, and the main aim is to keep money safely while earning a small return.

5(c) Influence of technology on banking and commerce

Outline TWO ways in which technology has influenced banking and commerce. (4 marks)

Introduction of online and mobile banking

Through online banking websites and mobile banking applications, customers can now check their accounts, transfer money, pay bills and apply for loans from their homes or workplaces at any time of day. This has reduced the need for customers to visit the branch, allowed banks to serve more customers without building more branches and made everyday banking faster and more convenient.

Use of electronic payments and e-commerce in trade

Technology has made it possible for customers to pay for goods and services using debit and credit cards, point-of-sale machines and online payment platforms. Businesses can now sell goods on websites and on social media to customers around the world, and the funds are transferred from buyer to seller electronically. This has greatly increased the speed, reach and security of commerce.

5(d) How a central bank regulates commercial banks

Explain TWO ways in which a central bank regulates the activities of commercial banks. (6 marks)

Setting reserve requirements and the bank rate

The central bank requires every commercial bank to keep a certain percentage of its deposits in reserve, either in its own vaults or at the central bank. By raising or lowering this reserve requirement, the central bank controls how much money the commercial banks can lend out, which influences the amount of credit and the level of inflation in the economy. The central bank also sets the bank rate (the rate at which it lends to commercial banks), which guides the rates that commercial banks charge their customers.

Supervising operations and conducting open market operations

The central bank inspects the books and operations of commercial banks to make sure they are following banking laws and managing customer deposits safely. It can take action against banks that break the rules, including imposing fines or removing managers. The central bank also buys and sells government securities on the open market to add or take money out of the banking system, which controls how much money the commercial banks have available to lend.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a) Direct vs indirect taxes and examples

(a)(i) State TWO differences between 'direct taxes' and 'indirect taxes'. (4 marks); (ii) List ONE example of a direct tax and ONE example of an indirect tax. (2 marks)

(a)(i) TWO differences between direct and indirect taxes

Who pays the tax

A direct tax is paid by the person or business on whom it is charged and cannot be passed on to anyone else, for example, the income tax that comes out of a worker's salary. An indirect tax, on the other hand, is collected by a business from the customer at the point of sale and then passed on to the government, so the final burden is shifted to the consumer.

What the tax is charged on

A direct tax is charged on the income, profits or wealth of a person or business, such as the income earned during the year or the value of property owned. An indirect tax is charged on the spending of consumers when they buy goods and services, such as the value added tax added to the price of items in a shop.

(a)(ii) ONE example of each

- Direct tax: Personal income tax (PAYE) deducted from a worker's salary.
- Indirect tax: Value added tax (VAT) or general consumption tax added to the price of goods and services.

6(b) Reasons governments charge taxes and other revenue sources

(b)(i) Outline THREE reasons why governments charge taxes. (6 marks); (ii) Identify TWO sources of government revenue, other than taxes. (2 marks)

(b)(i) THREE reasons governments charge taxes

To raise revenue to provide public goods and services

Taxes are the main source of money the government uses to pay for services such as schools, hospitals, roads, the police and the army. Without tax revenue, the government would not be able to provide the services that all citizens need but cannot easily buy on their own.

To redistribute income from the rich to the poor

By using progressive taxes, the government takes a larger share of income from people with high incomes and uses it to fund welfare benefits, free education and subsidised health care for those with low incomes. This helps to reduce the gap between rich and poor and to give all citizens a fair chance in life.

To control consumption and protect local industry

The government uses high taxes such as excise duty on tobacco, alcohol and fuel to discourage harmful consumption, and uses customs duties on imported goods to make them more expensive than locally produced ones. This protects the health of citizens, the environment and local businesses from foreign competition.

(b)(ii) TWO sources of government revenue other than taxes

- Fees and charges, such as licence fees, court fees and passport fees.
- Profits from state-owned enterprises, grants from foreign governments and international agencies, and loans raised by selling government bonds.

6(c) Proportional vs progressive taxation

Explain why the higher income earner pays more than the lower income earner under EACH of the following forms of taxation: (i) Proportional (3 marks); (ii) Progressive (3 marks)

(c)(i) Proportional

Under proportional taxation, every taxpayer pays the same percentage of his or her income in tax, no matter how much they earn. The higher income earner therefore pays more than the lower income earner because the same fixed rate is applied to a larger income. For example, at a tax rate of 20 per cent, a person who earns $100,000 pays $20,000 in tax, while a person who earns $50,000 pays $10,000 in tax, even though both are taxed at the same rate.

(c)(ii) Progressive

Under progressive taxation, the rate of tax rises as income rises, so people with higher incomes pay both a larger amount and a larger percentage of their income in tax. The higher income earner therefore pays more than the lower income earner for two reasons: not only is their income larger, but the extra income falls into higher tax brackets that are charged at a higher rate. This system is used to make sure that those who can afford to pay more carry a fairer share of the tax burden.

Question 7

7(a) International trade

(a)(i) Define the term 'international trade'. (2 marks); (ii) Outline THREE reasons why countries trade with each other. (6 marks)

(a)(i) Definition of international trade

International trade is the buying and selling of goods and services between people, businesses and governments of different countries. It includes the export of goods and services from one country to another and the import of goods and services from foreign countries, and it usually involves payment in foreign currency.

(a)(ii) THREE reasons countries trade with each other

Differences in natural resources and climate

No country has all the natural resources and climate it needs to produce every good and service its citizens want. Caribbean countries trade with others to obtain goods such as wheat, oil, machinery and medicines that they cannot produce in large amounts at home, while exporting goods such as bananas, sugar, bauxite and tourism services that they can produce well.

To benefit from specialisation and lower costs

Different countries can produce different goods more cheaply or to a higher standard than others, because of their special skills, technology or large-scale production. By specialising in what they do best and trading with others, countries can enjoy a wider variety of goods at lower prices than if every country tried to produce everything for itself.

To earn foreign exchange and promote economic growth

By selling exports to other countries, a nation earns foreign currency such as US dollars, which it can use

to pay for needed imports and to repay foreign loans. International trade also creates jobs in farming, manufacturing, transport and services, raises national income and helps the economy to grow over time.

7(b) Balance of trade vs balance of payments

(b)(i) Differentiate between 'balance of trade' and 'balance of payments'. (4 marks); (ii) List TWO components of a balance of payments account. (2 marks)

(b)(i) Balance of trade vs balance of payments

Balance of trade

The balance of trade is the difference between the value of a country's visible exports (goods sold to other countries) and the value of its visible imports (goods bought from other countries) over a period of time. It deals only with physical goods and is one part of the balance of payments.

Balance of payments

The balance of payments is a much wider record that includes the balance of trade plus the balance of trade in services (such as tourism, shipping and banking) and the flow of money for investment, loans, gifts and grants between the country and the rest of the world. It shows the overall position of the country in its dealings with other countries.

(b)(ii) TWO components of a balance of payments account

- The current account, which records trade in goods and services, income from investments and current transfers.
- The capital and financial account, which records the inflow and outflow of money for investment, loans and other capital transactions.

7(c) Addressing a balance of payments deficit

Explain TWO ways in which governments can address a balance of payments deficit. (6 marks)

Promote exports and reduce imports

The government can encourage local producers to sell more goods and services abroad by giving them tax incentives, export subsidies and help with marketing in foreign countries. At the same time, it can place tariffs and quotas on imports, especially on luxury goods, to make them more expensive and reduce the amount the country buys from overseas. As exports rise and imports fall, the deficit on the balance of payments narrows.

Encourage foreign investment and tourism

The country can attract foreign investors by offering tax holidays, building good infrastructure and keeping the political and economic environment stable, so that overseas firms set up factories, hotels and offices and bring in foreign exchange. Promoting the country as a tourist destination through advertising overseas and improving airports, beaches and attractions also brings in foreign currency from visitors. Both of these inflows help to close the gap on the balance of payments.

May/June 2016 Paper 02

Section I (Compulsory)

Question 1

Janice retired after 15 years of working as a loans officer at a commercial bank and has decided to become an entrepreneur.

1(a)(i) Definition of entrepreneurship

Define the term 'entrepreneurship'. (2 marks)

Entrepreneurship is the willingness and ability of a person to organise the factors of production, take risks and use his or her own ideas to set up and run a business with the aim of earning a profit. The person who carries out this activity is called the entrepreneur and is responsible for making the main decisions in the business.

1(a)(ii) Reasons a person may start a business

State FOUR reasons why a person may start a business. (4 marks)

Four reasons why a person may start a business are:

- To earn a profit and increase personal income beyond what could be earned as an employee.
- To be his or her own boss and have the freedom to make decisions about how the business is run.
- To turn a personal skill, hobby or new idea into a source of income.
- To create employment for himself or herself and for other members of the community.

1(b) Stakeholders involved in Janice's business

Identify FOUR stakeholders that could be involved in Janice's business. (4 marks)

Four stakeholders that could be involved in Janice's business are:

- The owner, Janice herself, who provides the capital and makes the main decisions.
- The employees who work in the business and earn wages and salaries.
- The customers who buy the services that Janice offers.
- The government, which collects taxes from the business and sets the laws under which it must operate.

1(c) Services Janice may offer given her banking experience

Describe TWO types of services Janice may be able to offer given her banking experience. (4 marks)

Loan and credit advisory services

Because Janice spent 15 years as a loans officer, she understands how loans are assessed and approved. She can set up an advisory service that helps small business owners and individuals to prepare loan applications, work out repayment plans and improve their chances of getting credit from a bank.

Personal financial planning services
Janice can use her banking knowledge to help clients plan their personal finances by preparing budgets, advising on savings and investment options and showing them how to manage their debts. This helps her clients to use their money more wisely and reach their financial goals.

1(d) Ways the business can benefit the community

Explain TWO ways in which Janice's business can benefit the community. (6 marks)

Provides employment and income to community members
Janice will need to hire workers such as clerks, receptionists and assistants to help her run the business. The wages and salaries paid to these workers give them the money to support their families and to spend in other shops in the community, which helps the local economy to grow.

Improves access to financial knowledge and services
By offering loan advice and personal financial planning, Janice helps members of the community to make better decisions about borrowing, saving and investing. This raises the level of financial knowledge in the area and helps families and small businesses to avoid debt problems and to build wealth over time.

Question 2

2(a) Definition of conflict resolution

Define the term 'conflict resolution'. (2 marks)

Conflict resolution is the process used to settle disagreements or disputes between two or more parties in a peaceful way. It involves identifying the cause of the conflict and then using methods such as discussion, negotiation, mediation or arbitration so that all parties can reach an agreement that is acceptable.

2(b) Sources of conflict at the workplace

Describe how the following factors can be sources of conflict at the workplace: (i) Poor communication; (ii) Underperformance; (iii) Limited resources. (2 marks each)

(b)(i) Poor communication
When messages between management and workers are not clear, are passed on late or are not passed on at all, workers can misunderstand instructions and feel that they are not being kept informed. This leads to mistakes, frustration and a feeling of distrust, which quickly turn into open conflict between staff and management.

(b)(ii) Underperformance
When some workers do not pull their weight and fail to complete their tasks on time or to the required standard, the workers who are doing their jobs properly become annoyed because they have to cover the extra work. Managers may also become upset because targets are not being met, and the resulting blame and tension cause conflict in the team.

(b)(iii) Limited resources

When the business does not have enough computers, tools, office space or money to go around, workers and departments end up competing with each other for what is available. This struggle over scarce resources causes arguments and bad feeling among workers who feel that they are not being treated fairly.

2(c)(i) Work to rule vs go slow

Distinguish between 'work to rule' and 'go slow'. (4 marks)

Work to rule

Work to rule is an industrial action in which workers do only the exact duties that are written in their job description and follow every workplace rule strictly, refusing to do anything extra. Because workers are still doing their jobs, they cannot be punished, but the slow and rigid way of working causes the business to fall behind on its targets.

Go slow

Go slow is an industrial action in which workers stay on the job but deliberately work at a much slower pace than normal. They still produce some output, so they continue to earn wages, but the reduced rate of work cuts production and puts pressure on management to settle the dispute.

2(c)(ii) Benefits of mediation

State TWO benefits of mediation as a means of conflict resolution. (2 marks)

- Mediation is faster and cheaper than going to court because the parties meet with a neutral mediator and reach a settlement on their own terms.
- Mediation helps to keep good relations between the parties because they work together to find a solution rather than fighting against each other.

2(d) Guidelines to enhance management/staff relationships

Explain ONE way in which management can use EACH of the following guidelines to enhance relationships between management and staff: (i) Open door policy; (ii) Annual retreat. (3 marks each)

(d)(i) Open door policy

Under an open door policy, managers leave their office doors open and invite workers to come in at any reasonable time to share concerns, ideas or complaints. This makes workers feel that their views matter and that they can speak directly to management without fear, which builds trust and improves the working relationship between staff and management.

(d)(ii) Annual retreat

An annual retreat takes managers and staff away from the workplace for a few days of meetings, training and team-building activities. Working and relaxing together in a different setting allows managers and workers to get to know each other as people, share ideas openly and build the team spirit that improves day-to-day relationships back at the workplace.

Question 3

3(a)(i) Definition of capital

Define the term 'Capital' and give ONE example. (3 marks)

Capital refers to the man-made resources that are used to produce other goods and services, such as machinery, tools, buildings and money invested in the business. An example of capital is the ovens and mixers used in a bakery to produce bread and cakes.

3(a)(ii) Definition of collateral

Define the term 'Collateral' and give ONE example. (3 marks)

Collateral is something of value that a borrower offers to a lender as security for a loan, so that if the borrower fails to repay, the lender can take and sell the item to recover the money. An example of collateral is a piece of land or a motor vehicle pledged to a bank when taking out a loan.

3(b) Advantages of borrowing from a credit union vs a bank

Outline THREE advantages of borrowing money from a credit union as opposed to a bank. (6 marks)

Lower interest rates on loans
Credit unions are owned by their members and are not run for profit, so they usually charge lower interest rates than commercial banks. This means that the borrower pays back less in interest over the life of the loan.

Easier requirements and more personal service
Credit unions know their members personally and do not always demand large amounts of collateral or long lists of documents. This makes it easier for ordinary workers and small business owners to qualify for a loan than at a regular bank.

Sharing of profits with members
At the end of the year, any surplus made by the credit union is shared with the members in the form of dividends or rebates on the interest paid. This means that some of the cost of borrowing is given back to the borrower, which a bank does not do.

3(c) Elements of a business plan

Identify TWO elements of a business plan. (2 marks)

- The Executive Summary, which gives a short overview of the business and its main goals.
- The Marketing Plan, which describes the target market, the products, the pricing and how the business will promote and sell its goods or services.

3(d) Importance of a business plan to stakeholders

Explain ONE way in which a business plan is important to EACH of the following stakeholders: (i) Business owners; (ii) Potential investors. (3 marks each)

(d)(i) Business owners

A business plan is important to the owner because it acts as a written guide for running the business from day to day. It sets out the goals, the steps needed to reach them and the resources required, so the owner can make better decisions and check whether the business is on track to meet its targets.

(d)(ii) Potential investors

Potential investors use the business plan to decide whether the business is worth putting their money into. The plan shows them what the business does, how it will make money and the expected returns, so they can judge the level of risk and decide whether to invest before they commit any funds.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a)(i) Examples of market structures

List THREE examples of Market structures. (3 marks)

- Perfect competition.
- Monopoly.
- Oligopoly.

4(a)(ii) Methods of retailing

List THREE examples of Methods of retailing. (3 marks)

- Selling through supermarkets and department stores.
- Selling through small neighbourhood shops or convenience stores.
- Selling online through e-commerce websites and mobile apps.

4(b) Capital-intensive vs labour-intensive production

Differentiate between 'capital-intensive production' and 'labour-intensive production'. (4 marks)

Capital-intensive production

Capital-intensive production is a method of production that uses a large amount of machinery, equipment and technology compared with the number of workers. The cost of buying and maintaining the machines is much greater than the wage bill, but output per worker tends to be high. An oil refinery is a typical example.

Labour-intensive production

Labour-intensive production is a method of production that uses a large amount of human labour compared with the amount of machinery used. Most of the cost of production goes towards wages and output per worker is lower. A small banana farm where most of the work is done by hand is a typical example.

4(c) Purposes of branding

Outline TWO purposes of branding. (4 marks)

To make the product easy to identify

Branding gives the product a unique name, logo and design that customers can recognise quickly on the shelf. This helps the product to stand out from competing products and makes it easy for satisfied customers to find and buy the same item again.

To build customer loyalty and support a higher price

Once customers come to trust the brand, they are willing to keep buying it and even to pay a higher price than they would for an unbranded product. This loyal repeat custom helps the business to keep steady sales and to earn a better profit margin.

4(d) How packaging helps in marketing

Explain TWO ways in which packaging helps in the marketing of goods. (6 marks)

Attracts the attention of customers

Good packaging uses bright colours, attractive designs and clear pictures so that the product stands out among many other items on the shelf. When customers walk through a store, an eye-catching package draws them to pick up the product and read more about it, which often leads to a sale.

Provides information and protects the product

The package carries important information such as the brand name, ingredients, instructions for use, expiry date and price, which helps customers decide whether to buy. At the same time, the packaging protects the product from damage, dirt and tampering during transport and storage, so the customer receives the product in good condition. Both of these features build trust in the brand and support marketing.

Question 5

5(a)(i) Sources of short-term financing

List THREE sources from which Short-term financing may be obtained. (3 marks)

- Bank overdrafts from a commercial bank.
- Trade credit from suppliers, where goods are received now and paid for later.
- Short-term loans from a credit union or finance company.

5(a)(ii) Sources of long-term financing

List THREE sources from which Long-term financing may be obtained. (3 marks)

- Long-term loans or mortgages from commercial banks and development banks.
- Issuing shares to the public on the stock exchange.
- Issuing debentures or bonds to investors.

5(b) Savings vs investment

Differentiate between 'savings' and 'investment'. (4 marks)

Savings

Savings is the part of a person's income that is not spent on current consumption but is set aside in a safe place such as a savings account at a bank or credit union. The money is kept for future use, earns a small amount of interest and can usually be withdrawn quickly if it is needed.

Investment

Investment is the use of money to buy assets such as shares, bonds, property or equipment in the hope of earning a higher return in the future. Investment usually involves more risk than savings because the value of the asset can rise or fall, but it offers the chance of greater rewards.

5(c) How the Internet has influenced investment

Outline TWO ways in which the Internet has influenced investment activities. (4 marks)

Made investment information widely available

Investors can now use the internet to research companies, follow share prices and read financial news at any time of the day or night. This means that ordinary people, not only professionals, can study the market carefully before deciding where to put their money.

Allowed online buying and selling of investments

Through online trading platforms, investors can buy and sell shares, bonds and foreign currency from their own computers or phones. This makes investing faster and cheaper because the investor does not have to go through a broker in person and can act quickly when prices change.

5(d) How budgeting helps in managing personal finances

Explain TWO ways in which budgeting helps in managing personal finances. (6 marks)

Helps a person live within his or her income

A budget lists all the expected income and all the planned expenses for a period such as a month. By comparing the two, the person can see whether spending plans are within what he or she can afford and can cut back on items that are not really needed. This prevents overspending and the build-up of debt.

Helps a person to save and reach financial goals

A budget includes a planned amount to be set aside for savings each month before the rest of the money is spent. This makes saving a regular habit and helps the person to build up funds for important goals such as paying school fees, buying a car or owning a home, instead of always running out of money before payday.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a)(i) Definition of consumer protection

Define the term 'consumer protection'. (2 marks)

Consumer protection refers to the laws, agencies and other measures put in place by the government and other bodies to defend the rights of consumers and to make sure that they are not cheated, harmed or treated unfairly by businesses when they buy goods and services.

6(a)(ii) Social services provided by governments

Identify TWO social services provided by governments. (2 marks)

- Free or subsidised public education at primary and secondary schools.
- Public health care services provided through government clinics and hospitals.

6(b) Government responsibilities

Describe ONE way in which governments carry out the following responsibilities: (i) Protection of the environment; (ii) Security of the state; (iii) Maintenance of a safe climate for investors. (2 marks each)

(b)(i) Protection of the environment

The government passes and enforces environmental laws that control the dumping of waste, the cutting of forests and the release of harmful chemicals into the air and water. Businesses and individuals who break these laws can be fined or taken to court, which helps to keep the environment clean and safe.

(b)(ii) Security of the state

The government maintains a police force and a defence force that protect citizens and their property from crime and from outside attack. By providing equipment, training and pay for these officers, the state is able to keep law and order so that people can live and do business in safety.

(b)(iii) Maintenance of a safe climate for investors

The government keeps a stable climate for investors by passing laws that protect property rights and contracts, by keeping inflation and interest rates under control and by making sure that the courts deal fairly and quickly with business disputes. When investors trust that their money is safe, they are willing to put it into the country.

6(c) Impact of providing laptops to primary school children

Outline TWO ways in which governments' decision to provide laptops to primary school children can positively impact their education. (4 marks)

Improves access to learning resources

With a laptop, each child can use educational software, watch lessons on the internet and search for information for school projects. This gives even children from poor families the same access to learning materials as those from wealthier homes, which helps to close the gap in learning.

Builds early computer skills

Using a laptop from primary school helps children become comfortable with technology, typing and using common software at a young age. These computer skills make it easier for them to do well in higher classes and prepare them for jobs in a modern workplace where computers are used every day.

6(d) Government measures to regulate business activities

Explain how governments use EACH of the following measures to regulate business activities: (i) Taxation; (ii) Safety and health. (3 marks each)

(d)(i) Taxation

The government uses taxation to control the level and type of business activity in the country. By placing high taxes on harmful items such as cigarettes and alcohol, it discourages their production and sale, while tax holidays and lower tax rates on activities such as agriculture or tourism encourage businesses to invest in those areas.

(d)(ii) Safety and health

Through safety and health laws, the government sets the minimum standards that businesses must meet for clean and safe workplaces, such as proper lighting, fire exits, protective gear and clean food preparation areas. Inspectors visit businesses to check that the rules are being followed and any business that breaks the rules can be fined or shut down, which forces firms to protect their workers and customers.

Question 7

7(a)(i) Definition of standard of living

Define the term 'Standard of living'. (2 marks)

Standard of living refers to the level of wealth, comfort and material goods that an individual or country enjoys. It is usually measured by looking at things like the average income per person, the quality of housing, food and clothing, and the access citizens have to services such as health, education and entertainment.

7(a)(ii) Definition of national income

Define the term 'National income'. (2 marks)

National income is the total money value of all the goods and services produced by the citizens of a country during a given period of time, usually one year. It includes all wages, profits, rent and interest earned within the country and from citizens working abroad, after allowing for depreciation.

7(b) Indicators that affect standard of living

Describe ONE way in which EACH of the following indicators affects an individual's standard of living: (i) Quality and availability of employment; (ii) Quality and affordable housing; (iii) Access to affordable and quality health care. (2 marks each)

(b)(i) Quality and availability of employment

When good jobs are available, people earn regular wages and salaries that allow them to buy food, clothes and other goods and services they need. Steady, well-paying employment therefore raises the standard of living, while high unemployment forces families to do without basic items and lowers their standard of living.

(b)(ii) Quality and affordable housing

Living in a well-built home with running water, electricity and proper sanitation protects the health of the family and gives them comfort and privacy. When such housing is also affordable, families do not have to spend most of their income on rent, leaving money for other needs and raising the overall standard of living.

(b)(iii) Access to affordable and quality health care

When citizens can easily get good medical care at a price they can afford, they recover quickly from illness, live longer and miss fewer days of school or work. Good health care therefore improves the quality of life and the productivity of citizens, which raises the standard of living for the whole community.

7(c) Approaches used to measure national income

Describe TWO approaches used to measure national income. (4 marks)

The income approach

The income approach measures national income by adding up all the incomes earned by citizens in the form of wages and salaries, rent, interest and profit during the year. The total of these incomes gives the value of national income because every dollar of output produced becomes income for someone.

The output approach

The output approach measures national income by adding up the money value of all the final goods and services produced by every industry in the country during the year. Care is taken to count the value added at each stage so that the same item is not counted twice, and the final total gives the value of national output.

7(d) Indicators of quality of life

Explain how EACH of the following indicators can be used to evaluate the quality of life of citizens in your country: (i) Right to privacy; (ii) Right to education. (3 marks each)

(d)(i) Right to privacy

The right to privacy means that citizens are protected from having their homes, letters, phone calls and personal information searched or shared without lawful reason. Where this right is well respected by the state and by businesses, citizens feel safe and free, which is a sign of a high quality of life. Where it is often broken, citizens live in fear and the quality of life is poor.

(d)(ii) Right to education

The right to education means that every child should have free or affordable access to schooling at least up to the secondary level. A country in which most children attend school, finish their studies and gain

useful skills shows a high quality of life, because educated citizens earn higher incomes, enjoy better health and take a fuller part in the life of the nation.

January 2017 Paper 02

Question 1

1(a) Define key terms

Define EACH of the following terms: (i) Barter (2 marks); (ii) Specialization (2 marks)

(a)(i) Barter

Barter is a system of exchange in which goods and services are traded directly for other goods and services without the use of money. For example, a fisherman may exchange some of his catch for vegetables grown by a farmer. Barter only works when each party has something the other wants and they can agree on a fair rate of exchange.

(a)(ii) Specialization

Specialization is when a person, business, region or country focuses on producing one good or one part of a good rather than trying to produce a wide variety of items. By concentrating on what it can produce best, the producer becomes more skilled and efficient, output rises and goods can be exchanged with others for the things the producer no longer makes.

1(b) Characteristics of cooperatives

State TWO characteristics of cooperatives. (2 marks)

- A cooperative is owned and democratically controlled by its members, with each member having one vote no matter how much capital they have contributed.
- Profits, known as surplus, are shared among the members in proportion to the amount of business each member did with the cooperative, rather than according to the amount of capital invested.

1(c) Distinguish between pairs of concepts

Distinguish between EACH of the following pairs of concepts: (i) Sole traders and partnerships (4 marks); (ii) Private sector and public sector (4 marks)

(c)(i) Sole traders and partnerships

Sole trader

A sole trader is a business owned and run by one person, who provides all the capital, makes all the decisions, takes all the profits and bears all the losses. The sole trader has unlimited liability, meaning that personal assets can be used to pay off business debts, and the business ends if the owner dies or retires.

Partnership

A partnership is a business owned by two to twenty persons who agree to combine their capital, skills and effort and to share the profits and losses according to a partnership agreement. Decisions are made jointly and the partners usually have unlimited liability, although the death or withdrawal of a partner does not always end the business if the agreement allows the others to continue.

(c)(ii) Private sector and public sector

Private sector

The private sector is the part of the economy that is owned and controlled by private individuals or groups, such as sole traders, partnerships and limited companies. Businesses in the private sector use their own capital to produce goods and services and their main aim is to make a profit for the owners or shareholders.

Public sector

The public sector is the part of the economy that is owned and controlled by the government on behalf of the citizens. It includes ministries, government departments, statutory bodies and state-owned enterprises that provide services such as health care, education, water and electricity. Its main aim is to provide services to the public rather than to make a profit.

1(d) Importance of stakeholders to a retail business

Explain ONE way in which each of the following stakeholders is important to a retail business: (i) Producers (3 marks); (ii) Consumers (3 marks)

(d)(i) Producers

Producers are important to a retail business because they make the goods that the retailer sells to the final customer. Without a steady supply of well-made products from producers, the shelves of the retail store would be empty and customers would have nothing to buy. Producers also influence the quality, price and packaging of the goods, so a good working relationship with reliable producers helps the retailer to keep customers satisfied and the business profitable.

(d)(ii) Consumers

Consumers are important to a retail business because they are the final buyers of the goods sold by the shop. The money they spend is what gives the business its sales revenue, allows it to pay its workers and suppliers and gives the owners a profit. The tastes, preferences and complaints of consumers also help the retailer to decide what to stock, what prices to charge and how to improve the shopping experience, so the business depends on consumers for its very survival.

Question 2

2(a) Leadership

(a)(i) List FOUR characteristics of a good leader. (4 marks); (ii) Outline TWO types of leadership styles. (4 marks)

(a)(i) FOUR characteristics of a good leader

- Honest and trustworthy in dealing with workers, customers and other stakeholders.
- Able to communicate clearly and to listen to the ideas and concerns of others.
- Confident, decisive and willing to take responsibility for the choices that are made.
- Hard-working, knowledgeable about the business and able to motivate workers to give of their best.

(a)(ii) TWO types of leadership styles

Autocratic leadership

An autocratic leader makes all the decisions on his or her own and gives clear orders to the workers without asking for their opinions. The workers are expected to follow instructions exactly and there is little room for discussion. This style can be useful when quick decisions must be made or when workers are new and inexperienced, but it can also lower morale and creativity over time.

Democratic leadership

A democratic leader involves the workers in making decisions by asking for their ideas, listening to their views and taking a vote where necessary, although the final responsibility still rests with the leader. This style helps workers to feel valued and committed to the decisions, encourages teamwork and brings out new ideas, but decisions can take longer to make.

2(b) Communication

(b)(i) Explain the importance of the 'grapevine' in informal communication. (2 marks); (ii) Describe TWO strategies for effective communication within an organization. (4 marks)

(b)(i) Importance of the grapevine

The grapevine is the informal network through which workers share news, rumours and personal opinions across the workplace. It is important because it travels very quickly, reaches everyone in the organisation and gives managers a sense of what workers are really thinking, feeling and worrying about, which helps them to spot problems and to address concerns before they become serious.

(b)(ii) TWO strategies for effective communication

Use clear and simple language with feedback

Managers and workers should use simple words and short sentences when sending messages, and should avoid technical jargon that the receiver may not understand. They should also encourage the receiver to ask questions or repeat the message in their own words, so that any confusion can be cleared up before the wrong action is taken.

Choose the right channel for the message

Different messages call for different channels of communication. Routine information such as meeting times can be sent by email or notice board, while sensitive matters such as discipline or promotion are better discussed in a private face-to-face meeting. Choosing the right channel makes sure that the message reaches the receiver in the most suitable way and reduces misunderstanding.

2(c) Teamwork and business success

Explain TWO ways in which teamwork can contribute to the success of a business. (6 marks)

Higher productivity and better-quality work

When workers cooperate as a team, they share the workload according to each member's strengths and skills, so tasks are completed faster and to a higher standard than any single worker could achieve alone. Team members can check one another's work, spot mistakes early and offer support when problems arise.

This raises the productivity of the business, lowers the level of waste and helps the business to deliver good products and services to its customers.

Better decision making and improved staff morale

In a team, members share different ideas, experiences and information before making a decision, which leads to more thoughtful choices and creative solutions. Working as a team also makes workers feel valued and part of something bigger than themselves, which lifts their morale and motivation. Workers who feel happy and supported are more likely to stay with the business, take less time off and put in extra effort, all of which contribute to the long-term success of the business.

Question 3

3(a) Production and productivity

Define EACH of the following terms: (i) Production (2 marks); (ii) Productivity (2 marks)

(a)(i) Production

Production refers to the actual creation of goods or the provision of services to satisfy human wants and needs. It measures the total quantity or output that a business or country has made over a given period of time, for example the number of cases of soft drinks bottled in a month or the number of cars assembled in a year.

(a)(ii) Productivity

Productivity measures how efficiently the resources of the business have been used to create that output. It compares the output produced with the inputs used, such as labour, capital or raw materials, and is often expressed as output per worker per hour. A business that produces 1,000 units with 10 workers in one hour is more productive than another business that produces the same 1,000 units with 20 workers in the same hour.

3(b) Efficiency of labour and factors of production

(b)(i) Describe TWO factors which contribute to the efficiency of labour. (4 marks); (ii) List TWO factors of production used in the creation of goods and services. (2 marks)

(b)(i) TWO factors that contribute to the efficiency of labour

Education and training

Workers who are well educated and properly trained understand their tasks better, work more accurately and can use modern equipment with confidence. Regular on-the-job training and refresher courses keep their skills up to date with new methods and technology, so they can produce more goods of better quality in the same amount of time. This raises the output per worker and improves the efficiency of labour.

Working conditions and motivation

When workers are paid fair wages, given safe and pleasant working conditions, proper tools and breaks, and treated with respect, they are more motivated to work hard and to take pride in their job. Bonuses, promotions and recognition also encourage workers to put in extra effort. Motivated workers turn up on time, miss fewer days and produce more, which raises the efficiency of labour.

(b)(ii) TWO factors of production

- Land, which refers to all the natural resources used in production, such as soil, minerals, forests and the sea.
- Labour, which refers to the human effort, both physical and mental, used to produce goods and services.

3(c) Caribbean industries

Identify TWO industries in the Caribbean that were developed from each of the following activities: (i) Agriculture (2 marks); (ii) Mining (2 marks)

(c)(i) Agriculture

- The sugar industry, in which sugar cane grown across the Caribbean is processed into raw sugar, refined sugar, molasses and rum.
- The banana and citrus industry, in which bananas and citrus fruits grown in countries such as Jamaica, St Lucia and Dominica are exported and also used to make juices, jams and other processed products.

(c)(ii) Mining

- The bauxite and alumina industry, based on bauxite mined in Jamaica and Guyana, which is processed into alumina and aluminium.
- The petroleum and petrochemical industry, based on crude oil and natural gas in Trinidad and Tobago, which produces fuels, methanol, ammonia and fertilisers.

3(d) Promoting human resource development

Explain TWO ways in which human resource development in the Caribbean can be promoted. (6 marks)

Investing in education and skills training

Governments and businesses can promote human resource development by spending more on schools, technical colleges, universities and on-the-job training programmes. Free or subsidised education at all levels and the offer of scholarships allow more young people to study, while training programmes such as the HEART or NTA prepare workers in trades such as construction, hospitality, information technology and agriculture. With better-educated and better-trained citizens, the region has a workforce that can produce more, earn higher wages and attract foreign investment.

Improving health care and working conditions

Human resources can also be developed by making sure that citizens are healthy and well looked after. Governments can build more clinics and hospitals, run health education campaigns and provide clean water and sanitation, while businesses can offer health insurance, safe workplaces and a balance between work and family life. Healthy workers turn up to work, perform better and stay in the labour force longer, which raises the overall quality and quantity of human resources available to the region.

Question 4

4(a) Marketing and the marketing mix

(a)(i) Define the term 'marketing'. (2 marks); (ii) List TWO elements of the marketing mix. (2 marks)

(a)(i) Definition of marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs and wants profitably. It involves researching the market, designing the product, deciding the price, choosing how the product will reach the customer and promoting the product so that customers know about it and want to buy it.

(a)(ii) TWO elements of the marketing mix

- Product, which is the goods or services the business offers for sale.
- Price, which is the amount of money the customer pays for the product.

4(b) Perfect competition vs monopolistic competition

Differentiate between 'perfect competition' and 'monopolistic competition'. (4 marks)

Perfect competition

Perfect competition is a market structure in which there are very many small buyers and sellers, all selling identical (homogeneous) products, with no single firm large enough to influence the market price. Buyers and sellers have full information about prices and goods, and there is freedom of entry and exit, so firms in the long run earn only normal profit.

Monopolistic competition

Monopolistic competition is a market structure in which there are many sellers, but each seller offers a slightly different (differentiated) product, often with its own brand name, packaging and quality. Because of these differences, each firm has some power to set its own price, and firms compete by advertising and improving their products as well as by adjusting price.

4(c) Market research and consumer behaviour

(c)(i) State TWO reasons for conducting market research. (2 marks); (ii) Describe TWO factors which influence consumer behaviour. (4 marks)

(c)(i) TWO reasons for conducting market research

- To find out the needs, wants, tastes and buying habits of customers so that the business can design products that customers really want.
- To learn about the size of the market, the level of competition and the prices charged by other firms, so the business can plan its marketing mix and reduce the risk of failure.

(c)(ii) TWO factors which influence consumer behaviour

Income and price

The amount of money a consumer earns sets a limit on what he or she can afford to buy, while the price of a product compared with the prices of other similar products affects whether the consumer will choose

it. When income is high or prices are low, consumers tend to buy more, but when income falls or prices rise, they often switch to cheaper alternatives or buy less.

Personal taste, culture and advertising

The age, gender, lifestyle, religion and culture of a consumer all affect the kinds of food, clothing and other goods he or she prefers. Advertising and the influence of family, friends and social media also play a big role, as people are often persuaded to try products that are heavily promoted or that are popular among the people they know.

4(d) Price and the marketing process

Explain TWO ways in which the price of a good or service contributes to the marketing process. (6 marks)

Price signals quality and value to the customer

The price set on a product sends a message to customers about what kind of good they are buying. A high price often suggests that the product is of high quality and is meant for customers who can afford luxury, while a low price suggests that the product is affordable everyday value for money. Setting the price at the right level helps the business to position the product clearly in the customer's mind and to attract the target market it is aiming for.

Price affects sales volume, profit and competitiveness

Price is the only element of the marketing mix that directly brings money into the business, so it has a big effect on total sales and profit. If the price is too high, customers may switch to cheaper rivals and sales will fall, while a price that is too low may attract many customers but bring in too little revenue to cover costs. By using strategies such as discounts, special offers and competitive pricing, the business can use price to win customers from competitors and to support the rest of the marketing mix.

Question 5

5(a) Government responsibilities and income

(a)(i) State TWO responsibilities of governments. (2 marks); (ii) List TWO sources of government income. (2 marks)

(a)(i) TWO responsibilities of governments

- Providing public goods and services such as health care, education, water, electricity, security and roads for all citizens.
- Maintaining law and order, defending the country and managing the economy through fiscal and monetary policy so that there is steady growth and low inflation.

(a)(ii) TWO sources of government income

- Direct taxes such as personal income tax (PAYE) and company tax.
- Indirect taxes such as value added tax (VAT) on goods and services and customs duty on imports.

5(b) How businesses can protect the environment

State FOUR ways in which businesses can protect the environment. (4 marks)

- Treating waste water and other harmful waste before releasing it into rivers or the sea.
- Disposing of solid waste in proper landfills and recycling materials such as paper, plastic and metal whenever possible.
- Using cleaner technology and energy-saving equipment to reduce air pollution and the use of natural resources.
- Planting trees, restoring damaged land and following environmental protection laws on noise, smoke and chemicals.

5(c) Government measures to regulate business activity

Describe TWO measures that governments can use to regulate business activity. (6 marks)

Passing laws and issuing licences

The government passes laws that set out the rules under which businesses must operate, such as company law, employment law, health and safety law and environmental protection law. It also requires every business to obtain certain licences and permits, such as a business name registration, a trade licence and food handler's permits where they apply. Inspectors visit businesses to check that the rules are being followed, and businesses that break the law can be fined, taken to court or have their licences taken away.

Setting prices, standards and using taxation

The government can set price controls on essential items such as basic food and medicine to stop businesses from charging unfair prices. Through bodies such as the Bureau of Standards, it sets quality and safety standards for goods and services and tests products to make sure they meet those standards. The government also uses taxes such as customs duty and excise duty to discourage the sale of harmful goods such as tobacco and alcohol, and uses tax incentives to encourage activities that benefit the country.

5(d) How governments can protect consumers

Explain TWO ways by which governments can protect consumers. (6 marks)

Passing consumer protection laws

Governments pass laws such as the Sale of Goods Act and the Consumer Protection Act, which give buyers the right to receive goods that are of merchantable quality, fit for purpose and as described, and to return faulty goods for a refund or replacement. Customers who are sold defective or wrongly described goods can use these laws to claim compensation through the courts, which discourages dishonest practices by businesses.

Setting up consumer agencies and standards bureaus

Governments set up agencies such as the Consumer Affairs Commission and the Bureau of Standards. These agencies investigate complaints from consumers, test products to make sure they meet safety and quality standards, take action against businesses that break the rules and educate the public about their

rights as consumers. They also enforce weights and measures laws to ensure that scales, fuel pumps and packaged goods give the correct quantity, so consumers are not cheated or short-changed.

May/June 2017 Paper 02

This paper consists of FIVE questions. Answer all questions.

Question 1

1(a) Definitions

Define EACH of the following terms: (i) Enterprise; (ii) Entrepreneurship. (4 marks)

(a)(i) Enterprise

An enterprise is any business unit or undertaking that is set up to produce goods or provide services with the aim of making a profit. It can range from a small one-person business such as a roadside vendor up to a large company with branches in many countries.

(a)(ii) Entrepreneurship

Entrepreneurship is the willingness and ability of a person to organise the factors of production, take risks and use new ideas to set up and operate a business in order to earn a profit. The person who carries out this activity is the entrepreneur and is responsible for making the main decisions in the business.

1(b)(i) Economic and social benefits of a business to the community

State TWO economic benefits and TWO social benefits of a business to the community in which it is located. (4 marks)

Economic benefits

- The business creates jobs for members of the community, which gives them income to support their families.
- The business pays taxes to the government, which can be used to provide services such as roads, water and electricity in the community.

Social benefits

- The business may sponsor sports teams, scholarships and community events, which improve the social life of the community.
- The business may donate to charity and help to build community facilities such as parks or community centres, which raise the quality of life of residents.

1(b)(ii) Stakeholders and their roles

Identify TWO stakeholders of a business and explain the role of EACH. (6 marks)

Employees

Employees are the workers who are hired by the business in return for wages and salaries. Their role is to carry out the day-to-day tasks of the business such as producing goods, serving customers and keeping records. Without their effort, the business cannot operate or earn a profit.

Customers

Customers are the people who buy the goods and services produced by the business. Their role is to

provide the income that the business needs to cover its costs and earn a profit, and their feedback also helps the business to improve its products and decide what to produce in the future.

1(c) Challenges in satisfying ethical role

Describe TWO challenges that a business could encounter when trying to satisfy its ethical role in a community. (6 marks)

Higher costs of acting ethically

Treating workers fairly, using safe materials, paying suppliers on time and protecting the environment all cost money. A business that does these things may have higher production costs than rivals who cut corners, which makes it harder to keep prices low and still earn a profit. The business may struggle to balance the wish to act ethically with the pressure to compete on price.

Conflict between different stakeholder groups

Different groups in the community expect different things from the business. Workers may want higher wages, customers may want lower prices, owners may want bigger profits and the wider community may want more donations and a cleaner environment. It is hard for the business to please all of these groups at the same time, and trying to be ethical to one group can upset another.

Question 2

2(a)(i) Activities of managers

State TWO activities performed by EACH of the following managers: Marketing; Production. (4 marks)

Marketing manager

- Carries out market research to find out what customers want and what competitors are offering.
- Plans advertising and sales promotion campaigns to make customers aware of the firm's products and to encourage them to buy.

Production manager

- Plans and supervises the day-to-day production of goods to make sure that the right quantity and quality is produced on time.
- Controls the use of raw materials, machines and labour in the factory to keep production costs as low as possible.

2(a)(ii) Finance vs human resource

Distinguish between the 'finance' and 'human resource' (HR) areas of a business. (4 marks)

Finance

The finance department deals with all the money matters of the business. It is responsible for raising the funds the business needs, keeping the books of account, preparing financial statements, paying suppliers and workers and making sure that the business has enough cash to pay its bills.

Human resource

The human resource department deals with the people who work for the business. It is responsible for

hiring new workers, training and developing them, handling pay and welfare matters, dealing with discipline and grievance issues and making sure that the business has the right number of trained workers in the right jobs.

2(b) Functions of management

Describe EACH of the following functions of management: (i) Delegating; (ii) Motivating; (iii) Coordinating. (2 marks each)

(b)(i) Delegating

Delegating is the function of management in which a manager passes some of his or her tasks and the authority to do them to a subordinate worker. The manager is still responsible for the result, but delegating allows the work to be shared so that more can be done in less time and the workers gain experience.

(b)(ii) Motivating

Motivating is the function of management that involves giving workers reasons to work hard and to do their best. Managers motivate by paying fair wages, praising good work, giving promotions and creating a pleasant working environment, all of which encourage workers to put in extra effort and stay loyal to the firm.

(b)(iii) Coordinating

Coordinating is the function of management that brings together the work of different departments and workers so that they all move towards the same goal. The manager makes sure that production, marketing, finance and human resources work in step with each other so that the business runs smoothly without waste or confusion.

2(c) Management responsibility to groups

Explain ONE way in which management fulfils its responsibility to EACH of the following groups of persons: (i) Customers; (ii) Employees. (3 marks each)

(c)(i) Customers

Management fulfils its responsibility to customers by making sure that the goods and services sold are of good quality, safe to use and fairly priced. The business gives correct information about the product, honours warranties and deals quickly with complaints, so that customers feel that they are being treated fairly and continue to support the business.

(c)(ii) Employees

Management fulfils its responsibility to employees by paying fair wages on time, providing safe and clean working conditions and offering training to help workers improve their skills. The business also treats workers with respect, listens to their concerns and gives them the chance to be promoted, which helps them to feel valued and to do their best work.

Question 3

3(a)(i) Examples of technology used by businesses

List THREE examples of technology used by businesses. (3 marks)

- Computers and laptops with software such as Microsoft Office for record keeping and reports.
- Point-of-sale systems and barcode scanners for ringing up sales and tracking stock.
- The internet, email and video conferencing for communication with customers and suppliers.

3(a)(ii) How technology enables growth

Outline TWO ways in which technology may be used to enable businesses to grow. (4 marks)

Reaching new markets through the internet

By setting up a website and using online platforms such as social media and e-commerce stores, a business can sell its products to customers in other towns, islands and countries. This widens the market and allows the business to grow far beyond what was possible when sales were limited to a single shop.

Improving production and lowering costs

Modern machines, computer-controlled equipment and software can produce goods faster, with fewer mistakes and at lower cost than older methods. The savings can be used to lower prices, attract more customers and reinvest in new products, which helps the business to expand.

3(b)(i) Functions of a small business

List THREE functions of a small business. (3 marks)

- Producing goods and providing services to meet the needs of customers in the local community.
- Creating jobs and earning income for the owner and the workers.
- Paying taxes to the government and contributing to the development of the local economy.

3(b)(ii) Challenges and benefits of growth

State TWO challenges and TWO benefits associated with the growth of a business. (4 marks)

Challenges

- The owner finds it harder to control all the activities personally, so management becomes more difficult.
- The business needs more money to finance the larger operation, which may force it to take on heavy loans.

Benefits

- The business can take advantage of economies of scale, which lower the cost per unit produced.
- The larger business can earn higher profits and is better known and trusted in the market.

3(c) How growth affects organisational structure

Explain TWO ways in which the growth of a business affects its organizational structure. (6 marks)

More levels of management are added
When the business grows, the owner can no longer supervise every worker directly. New levels of management such as supervisors, middle managers and senior managers have to be added between the owner and the ordinary workers. This makes the structure taller and creates a clear chain of command from the top to the bottom.

Specialised departments are created
As the business takes on more work, the same person can no longer handle marketing, production, finance and human resources alone. The business has to set up separate departments for each of these areas, each headed by its own manager. This makes the structure wider and allows each department to focus on what it does best.

Question 4

4(a)(i) Definition of brand name

Define the term 'brand name'. (2 marks)

A brand name is the word, group of words or letters used by a business to identify its product and to set it apart from the products of competitors. Examples include Coca-Cola, Nike and Toyota, and the brand name is usually the part of the brand that customers can speak.

4(a)(ii) Forms of packaging

Identify TWO forms of packaging. (2 marks)

- Bottles and jars made of glass or plastic, used for liquids such as juice and shampoo.
- Cardboard boxes and cartons, used for items such as cereal, milk and electrical appliances.

4(a)(iii) Purposes of packaging

State TWO purposes of packaging. (2 marks)

- To protect the product from damage, dirt and tampering during transport, storage and display.
- To carry information such as the brand name, ingredients, instructions, expiry date and price for the customer.

4(b)(i) Techniques used in selling

Describe TWO techniques used in selling. (4 marks)

Personal selling
Personal selling is the technique in which a salesperson speaks face to face with a customer to explain the features of the product, answer questions and persuade the customer to buy. It works well for items such as cars and insurance, where customers need a lot of information before deciding.

Demonstration selling
Demonstration selling is the technique in which the seller shows the customer how the product works and what benefits it offers. By seeing the product in action, the customer is more likely to be convinced of its

value and to make a purchase. This technique is often used for items such as kitchen appliances and cleaning products.

4(b)(ii) Methods to promote sales

Outline TWO methods which vendors can employ to promote sales. (4 marks)

Offering discounts and special prices

Vendors can lower the price of items for a short time, offer 'buy one get one free' deals or give discounts to customers who buy in large quantities. These price offers attract more customers, encourage them to buy more and help to clear old stock from the shelves.

Advertising and giving free samples

Vendors can put up posters, run radio or social media adverts and hand out free samples or small gifts to customers. These activities make customers aware of the product, allow them to try it before they buy and create excitement around the brand, which leads to more sales.

4(c) Influence of copyright on producers and consumers

Explain TWO ways in which the existence of copyright is likely to influence the actions of producers and consumers. (6 marks)

Encourages producers to invest in new creative work

Copyright gives the producer of a book, song, film or piece of software the legal right to control how it is copied and sold for a number of years. Because no one else can copy the work without permission, the producer is sure of earning the rewards from his or her effort. This encourages writers, artists and software developers to spend the time and money needed to produce new creative works.

Forces consumers to buy genuine copies and respect the law

Because copyright makes it illegal to copy or share protected work without permission, consumers cannot freely make and pass on photocopies, CDs or downloads. They have to buy original copies from the producer or from approved sellers, which can mean paying a higher price but also makes sure that the consumer gets a good-quality product and stays within the law.

Question 5

5(a) Definition of standard of living

Define the term 'standard of living'. (2 marks)

Standard of living refers to the level of wealth, comfort and material goods that an individual or country enjoys. It is usually measured by looking at things like the average income per person, the quality of housing, food and clothing and the access citizens have to services such as health and education.

5(b)(i) Factors that determine quality of life

State THREE factors that can be used to determine quality of life. (3 marks)

- The state of health of citizens and how easily they can get good medical care.

- The level of education and the literacy rate of citizens.
- The level of crime and personal safety in the country.

5(b)(ii) Factors that determine standard of living

State THREE factors that can be used to determine standard of living. (3 marks)

- The level of real per capita income, which shows how much each person earns on average.
- The quality of housing, food and clothing that citizens are able to afford.
- The amount and variety of goods and services that citizens are able to consume.

5(c) Programmes by Ministries of Education

Describe TWO programmes that Ministries of Education could put in place to foster economic growth and development. (6 marks)

Technical and vocational training programmes

The Ministry of Education can set up programmes in technical and vocational schools that train young people in practical skills such as plumbing, electrical work, welding, hospitality and information technology. These trained workers help to fill the skill needs of local industries, raise productivity and reduce the need to bring in workers from abroad, all of which support economic growth.

Scholarship and adult education programmes

The Ministry can offer scholarships and bursaries for needy students to attend secondary school, college and university, and can run adult education classes for people who left school early. By raising the level of education in the population, the country produces more skilled workers and citizens who can take part in development, which leads to higher output and a better quality of life.

5(d) Methods to measure national income

Identify TWO methods that are used to measure a country's national income and explain how EACH method is used. (6 marks)

The income method

Under the income method, national income is measured by adding up all the incomes earned by citizens in the form of wages, salaries, rent, interest and profit during the year. Government statisticians collect this information from tax records, business accounts and household surveys, and the total of these incomes gives the value of national income.

The output method

Under the output method, national income is measured by adding up the money value of all the final goods and services produced by every industry in the country during the year. Care is taken to count only the value added at each stage of production so that the same item is not counted twice, and the final total gives the value of national output, which is equal to national income.

January 2018 Paper 02

Question 1

1(a) Define key terms

Define EACH of the following terms: (i) Goods (2 marks); (ii) Services (2 marks)

(a)(i) Goods

Goods are physical, tangible items that can be seen, touched and stored, and that are produced to satisfy human wants and needs. Examples include food, clothing, vehicles, books and furniture, all of which can be moved from one place to another and owned by the buyer.

(a)(ii) Services

Services are intangible activities or benefits that one person or business provides to another to satisfy a want or a need, and which cannot be touched, stored or owned in the same way as goods. Examples include the work of a doctor, teacher, hairdresser, banker or bus driver, where the customer pays for the activity rather than for a physical product.

1(b) Advantage and disadvantage of e-commerce

Outline ONE advantage and ONE disadvantage of e-commerce. (4 marks)

Advantage of e-commerce

One advantage of e-commerce is that it allows customers to shop at any time of the day or night and from any location with internet access, while businesses can reach a much wider market without having to open many physical stores. This convenience and global reach lead to lower operating costs for businesses and a wider variety of products at competitive prices for consumers.

Disadvantage of e-commerce

One disadvantage of e-commerce is the risk of fraud and the loss of personal information. When customers enter their credit card and personal details on a website, that information can be stolen by hackers or by dishonest sellers and used to carry out fraud. Customers may also pay for goods that are never delivered, or receive items that do not match what was advertised.

1(c) Characteristics of economic systems

State TWO characteristics of EACH of the following types of economic systems: (i) Planned economy (2 marks); (ii) Free enterprise (2 marks); (iii) Mixed economy (2 marks)

(c)(i) Planned economy

- The state owns most of the resources and the means of production and runs the main industries through state-owned enterprises.
- The central government decides what to produce, how to produce it and for whom to produce, and sets prices and wages with little role for private business.

(c)(ii) Free enterprise

- Resources and the means of production are owned and controlled by private individuals and businesses, who use them to make a profit.
- Decisions about what is produced, how it is produced and at what price are made through the market, based on the demand of consumers and the supply of producers, with little government interference.

(c)(iii) Mixed economy

- Resources and businesses are owned partly by private individuals and partly by the government, with both sectors producing goods and services side by side.
- The government provides essential services such as health, education and security, sets rules to protect consumers and workers, and steps into the market when necessary, while private businesses are free to compete and earn profits.

1(d) How businesses contribute to social and economic development

Explain TWO ways in which businesses can contribute to the social and economic development of a country. (6 marks)

Creation of jobs and increased national income

Businesses employ workers to produce goods and provide services, paying them wages and salaries that allow them to support their families and improve their standard of living. The work done by these businesses adds to the gross domestic product of the country, raises national income and gives the government tax revenue to spend on schools, hospitals and roads. As more people earn and spend, the whole economy grows and poverty is reduced.

Provision of goods, services and community development

Businesses produce a wide variety of goods and services that meet the daily needs of citizens, from food and clothing to banking, health and entertainment. Many businesses also support social development by sponsoring sports teams, schools and charities, providing scholarships, building community centres and helping during disasters. These actions raise the quality of life of citizens and strengthen the link between the business and the wider society.

Question 2

2(a) Legal concepts

Define EACH of the following legal concepts: (i) Counteroffer (2 marks); (ii) Invitation to treat (2 marks)

(a)(i) Counteroffer

A counteroffer is made when the person to whom an offer is made does not accept it as it stands but replies with a different offer of his or her own, changing one or more of the terms. The counteroffer cancels the original offer, and the original offeror is now in the position of receiving a new offer that he or she may either accept or reject.

(a)(ii) Invitation to treat

An invitation to treat is not a true offer but rather an invitation for someone else to make an offer. Examples include goods displayed in a shop window with a price tag and advertisements in newspapers. The customer who picks up the goods or responds to the advertisement is the one making the offer, which the seller can then choose to accept or reject.

2(b) Characteristics of a simple contract

Describe TWO characteristics of a simple contract. (4 marks)

It can be made in writing, by spoken word or by conduct

A simple contract does not need to follow any special form. It can be made through a written document, through a verbal agreement between the parties or even by the conduct of the parties, such as when a customer takes goods to a cashier and pays the price. Once all the basic requirements are present, the contract is binding even if nothing is put in writing.

It must include consideration from both parties

A simple contract requires each party to give something of value to the other, called consideration. The consideration may be money, goods, a service or a promise to do (or not to do) something. Without consideration, the agreement is just a promise and cannot be enforced as a simple contract.

2(c) Specialty contract

(c)(i) State TWO characteristics of a specialty contract. (2 marks); (ii) Give TWO examples of a specialty contract. (2 marks)

(c)(i) TWO characteristics of a specialty contract

- It must be made in writing, signed, sealed and delivered by the parties (often called a contract under seal or a deed).
- It does not need consideration in the same way that a simple contract does, because the formal requirements of writing, signing and sealing are themselves enough to make the contract binding.

(c)(ii) TWO examples of a specialty contract

- A deed for the sale or transfer of land or buildings.
- A mortgage agreement between a borrower and a bank.

2(d) Type of mistake in a contract

Describe ONE type of mistake in a contract. (2 marks)

One type of mistake in a contract is a mistake as to the identity of the subject matter, also called a common mistake. This happens when both parties think they are dealing with the same item but in fact they have different items in mind. For example, both parties think they are buying and selling a particular car, but they are actually thinking of two different vehicles. Because there is no real agreement on what is being bought and sold, the contract is treated as void.

2(e) John and Mary case - discharge of contract

John agreed to deliver goods for Mary at a specified date and time. He fell ill and failed to deliver the goods at the agreed date and time. He eventually delivered the goods at a much later date. Explain TWO ways in which this contract was discharged or terminated. (6 marks)

Discharge by frustration (impossibility of performance)

When John fell ill, performance of the contract on the agreed date became impossible through no fault of his own. Where an event happens after the contract is made that makes it impossible for one party to carry out the contract on the agreed terms, the contract may be discharged by frustration. Neither party can be blamed for the failure to perform on time, and the original contract for delivery on the specified date and time effectively comes to an end at that point.

Discharge by performance (eventual delivery of the goods)

When John eventually delivered the goods, even though it was at a much later date than agreed, he completed the main duty he had under the contract, which was to deliver Mary's goods. A contract can be discharged by performance when both parties fully carry out the duties that were agreed. By accepting the late delivery, Mary allowed the contract to be discharged in this way, although she may still claim damages for any loss caused by the delay.

Question 3

3(a) Industries developed from productive activities

Identify THREE industries in the Caribbean that have developed from EACH of the following productive activities: (i) Farming (3 marks); (ii) Mining/quarrying (3 marks)

(a)(i) Farming

- The sugar industry, in which sugar cane is processed into sugar, molasses and rum.
- The banana and citrus industry, in which bananas and citrus fruits are exported and used to make juices and jams.
- The dairy and poultry industry, which produces milk, eggs and meat for local supermarkets and restaurants.

(a)(ii) Mining/quarrying

- The bauxite and alumina industry, based on bauxite mined in Jamaica and Guyana.
- The petroleum and natural gas industry of Trinidad and Tobago, which produces fuels, methanol and ammonia.
- The construction materials industry, based on quarrying of limestone, sand and gravel for cement, blocks and road building.

3(b) Benefits of linkage industries

Outline TWO benefits of linkage industries to Caribbean economies. (4 marks)

Greater use of local raw materials and reduced imports

Linkage industries connect one industry with another so that the output of one becomes the input of the

next. For example, sugar cane farming feeds into sugar refining, rum production and the use of bagasse for fuel. This greater use of local raw materials means that fewer raw materials need to be imported, which saves foreign exchange and helps the balance of payments.

Creation of jobs and increased national income

Each new linkage in the chain creates extra jobs in farming, transport, processing, packaging and marketing, raising the level of employment in the economy. As more output is produced and more workers earn wages, the gross domestic product rises and the government collects more tax revenue, which can be spent on schools, health and infrastructure.

3(c) Factors when determining the location of a business

List FOUR factors which should be considered when determining the location of a business. (4 marks)

- Closeness to customers and the level of foot traffic in the area.
- Closeness to suppliers and the cost of transporting raw materials and finished goods.
- The cost of rent or land and the availability of utilities such as electricity, water and internet.
- The availability of suitably skilled labour and the level of competition already in the area.

3(d) Effects of growth on a business

Many businesses start small and later develop into large businesses. Explain ONE positive effect and ONE negative effect of growth on a business. (6 marks)

Positive effect: Economies of scale and higher profits

As a business grows, it can buy raw materials in larger quantities and at lower prices, spread its fixed costs such as rent and management salaries over more units of output, and use more efficient machinery. These economies of scale lower the cost of producing each item, which allows the business to charge competitive prices, win more customers and earn higher profits. Larger businesses also find it easier to borrow money on better terms, which supports further investment and expansion.

Negative effect: Difficulty of management and impersonal service

When a business grows large, the owner can no longer keep an eye on every part of the operation, and decisions have to be passed through layers of managers. This can slow down decision making, lead to communication breakdowns and create conflicts among workers. Customers may also feel that they receive less personal attention than they did when the business was small, and quality control can suffer if managers lose touch with what is happening on the shop floor.

Question 4

4(a) Investment and savings

Define EACH of the following terms: (i) Investment (2 marks); (ii) Savings (2 marks)

(a)(i) Investment

Investment refers to the use of money to buy assets such as shares, bonds, property or equipment, with the aim of earning a higher return over time in the form of dividends, interest, rent or capital gains.

Investments usually carry some level of risk, since the value of the asset can rise or fall, but they offer the chance of greater rewards than ordinary savings.

(a)(ii) Savings

Savings refer to the part of a person's income that is not spent on current consumption but is set aside for future use, usually in a low-risk account such as a savings account at a commercial bank or credit union. Savings earn a small amount of interest and the money is kept safe and easy to withdraw when needed.

4(b) Sources of capital

Identify TWO sources of capital in EACH of the following markets: (i) Money market (2 marks); (ii) Capital market (2 marks)

(b)(i) Money market

- Treasury bills issued by the government for short periods such as 90 or 180 days.
- Short-term loans and overdrafts from commercial banks, and certificates of deposit.

(b)(ii) Capital market

- Shares (ordinary and preference) issued by limited companies on the stock exchange.
- Long-term bonds and debentures issued by companies and government, and long-term loans or mortgages from banks and development banks.

4(c) Factors that determine how much capital a firm borrows

State TWO factors which could determine how much capital a firm borrows. (2 marks)

- The purpose of the loan and the size of the project being financed, such as buying machinery or expanding a factory.
- The interest rate charged by the lender and the firm's ability to repay out of its expected profits and cash flow.

4(d) Methods used by central banks to regulate commercial banks

Describe TWO methods used by central banks to regulate the activities of commercial banks. (4 marks)

Setting reserve requirements

The central bank requires every commercial bank to keep a certain percentage of its deposits in reserve, either in its own vaults or at the central bank. By raising or lowering this reserve requirement, the central bank controls how much money the commercial banks can lend out, which influences the amount of credit and the level of inflation in the economy.

Open market operations and the bank rate

The central bank also buys and sells government securities on the open market to add or take money out of the banking system. When it sells securities, money is taken out of the banks and lending falls, while buying securities adds money to the banks and supports lending. In addition, the central bank sets the bank rate at which it lends to commercial banks, which guides the rates that commercial banks charge their customers.

4(e) Stock market - benefit and risk

Explain ONE benefit and ONE risk of using the stock market for investment. (6 marks)

Benefit: Potential for high returns and dividends

Investing in the stock market gives the investor the chance to earn returns that are usually higher than those from ordinary savings accounts. The investor may receive regular dividends out of the profits of the company, and the value of the shares may also rise over time, giving a capital gain when the shares are sold. Over the long term, a well-chosen portfolio of shares can grow much faster than money kept in a bank account, helping the investor to build wealth and to beat inflation.

Risk: Possible loss of capital due to falling share prices

Share prices on the stock market can rise and fall sharply because of changes in the economy, the performance of the company or general investor confidence. If share prices fall, the investor's holding is worth less than what was paid for it, and selling at that point would mean a loss. In the worst case, if a company collapses, ordinary shareholders may lose all the money they invested. The investor must therefore be prepared for the possibility that the value of the investment will go down as well as up.

Question 5

5(a) Economic growth and economic development

Define EACH of the following terms: (i) Economic growth (2 marks); (ii) Economic development (2 marks)

(a)(i) Economic growth

Economic growth refers to the increase in the total output of goods and services produced in a country over a period of time, usually measured by the rise in real gross domestic product (GDP) from one year to the next. It shows that the economy is producing more than it did before.

(a)(ii) Economic development

Economic development is a wider idea that includes economic growth but also looks at improvements in the quality of life of citizens, such as better health care, higher levels of education, less poverty, more equal distribution of income and a cleaner environment. A country develops when its citizens enjoy a better and fairer standard of living, not just a higher output.

5(b) Methods of measuring national income

List the THREE methods by which governments measure the national income of a country. (3 marks)

- The income method, which adds up all the incomes earned by citizens and businesses, such as wages, profits, interest and rent.
- The output (production) method, which adds up the value of all the final goods and services produced by every industry in the country.
- The expenditure method, which adds up all the spending on final goods and services by households, businesses, government and the foreign sector (net exports).

5(c) Reasons countries engage in international trade

State THREE reasons why countries engage in international trade. (3 marks)

- To obtain goods and services that the country cannot produce itself or cannot produce in large enough amounts, such as machinery, oil or wheat.
- To benefit from specialisation and lower production costs, since each country can focus on what it can produce best and trade for the rest.
- To earn foreign exchange from exports, which is used to pay for imports and to repay foreign loans, and to create jobs at home.

5(d) Balance of trade vs balance of payments

Distinguish between 'balance of trade' and 'balance of payments'. (4 marks)

Balance of trade

The balance of trade is the difference between the value of a country's visible exports (goods sold to other countries) and the value of its visible imports (goods bought from other countries) over a period of time. It deals only with physical goods and is one part of the wider balance of payments.

Balance of payments

The balance of payments is a much wider record that includes the balance of trade plus the balance of trade in services (such as tourism, shipping and banking) and the flow of money for investment, loans, gifts and grants between the country and the rest of the world. It shows the overall position of the country in its dealings with other countries.

5(e) Measures to address balance of payments problems

Explain TWO measures a country may adopt to address its balance of payments problems. (6 marks)

Promote exports and reduce imports

The government can encourage local producers to sell more goods and services abroad by giving them tax incentives, export subsidies and help with marketing in foreign countries. At the same time, it can place tariffs and quotas on imports, especially on luxury goods, to make them more expensive and reduce the amount the country buys from overseas. As exports rise and imports fall, the gap on the balance of payments narrows.

Encourage foreign investment and tourism

The country can attract foreign investors by offering tax holidays, building good infrastructure and keeping the political and economic environment stable, so that overseas firms set up factories, hotels and offices and bring in foreign exchange. Promoting the country as a tourist destination through advertising overseas and improving airports, beaches and attractions also brings in foreign currency from visitors. Both of these inflows help to close the gap on the balance of payments.

May/June 2018 Paper 02

This paper consists of FIVE questions. Answer ALL questions.

Question 1

1(a)(i) Definition of organizational chart

Define the term 'organizational chart'. (2 marks)

An organizational chart is a diagram that shows the structure of a business by setting out the different positions, departments and the lines of authority and responsibility that link them. It allows everyone in the business to see who reports to whom and how the various jobs fit together.

1(a)(ii) Rules for constructing organizational charts

State TWO rules that should be followed when constructing organizational charts. (2 marks)

- Each box in the chart should show the title of the position, not the name of the person, and positions of equal rank should be drawn at the same level.
- The lines that join the boxes must clearly show the chain of command, with each worker connected by a single line to only one immediate superior.

1(b) Simple line organizational chart

Construct a simple line organizational chart showing THREE levels and THREE positions for a small private limited company. (4 marks)

A simple three-level line organizational chart for a small private limited company can be set out as follows. At the top level there is the Managing Director, who has overall control of the company. The Managing Director is connected by a single line to the second level, where the Sales Manager is in charge of the sales side of the business. The Sales Manager in turn is connected to the third level, where the Sales Clerk works directly under the Sales Manager. Each box on the chart represents a position rather than a named person, and the single lines joining the boxes show that each position reports to only one superior, which is the main feature of a line organisational structure.

1(c) Duties of a personnel or human resource manager

List THREE duties of a personnel or human resource manager. (3 marks)

- Recruiting and selecting suitable workers to fill vacancies in the business.
- Arranging training and development programmes to improve the skills of staff.
- Handling matters of pay, welfare, discipline and grievance for all employees.

1(d)(i) Causes of conflict within an organization

Suggest THREE potential causes of conflict within an organization. (3 marks)

- Poor communication between management and workers, leading to misunderstandings.
- Disagreement over wages, working hours and conditions of service.

- Personality clashes and unfair treatment among workers and managers.

1(d)(ii) Strategies to resolve conflict

Explain TWO strategies that could be used to resolve conflict within an organization. (6 marks)

Negotiation

Negotiation is a strategy in which the parties in conflict meet face to face, share their points of view and try to reach a settlement that both sides can accept. The talks may be between management and workers directly or between management and a trade union representing the workers. Because the parties work out the solution themselves, they are more likely to keep to the agreement and to maintain good working relations afterwards.

Mediation

Mediation is a strategy in which the parties bring in a neutral third person, called a mediator, to help them settle the dispute. The mediator listens to both sides, helps them understand each other's concerns and suggests possible solutions, but does not force any decision. This often helps the parties to reach a fair settlement quickly and at lower cost than going to court.

Question 2

2(a) Characteristics of an entrepreneur

Michelle invented a unique household product and wants to start her own business. List FOUR characteristics she should display as an entrepreneur. (4 marks)

- Willingness to take calculated risks with her own money and time.
- Creativity and innovation, since she has been able to invent a new product.
- Self-confidence and the ability to make decisions and stand by them.
- Hard work and determination to keep going even when problems come up.

2(b) Roles of the entrepreneur

Outline EACH of the following roles of the entrepreneur: (i) Accessing funds; (ii) Organizing. (2 marks each)

(b)(i) Accessing funds

As part of accessing funds, the entrepreneur is responsible for finding the money needed to start and run the business. This may come from personal savings, loans from a bank or credit union, money from family and friends or by attracting investors who will buy shares in the business.

(b)(ii) Organizing

As part of organising, the entrepreneur brings together the four factors of production, namely land, labour, capital and enterprise, in the right amounts and arranges them so that goods and services can be produced. This includes deciding who will do which job, where the work will take place and how the work will flow from one stage to the next.

2(c) Steps in setting up a business

Paul and his partner are seeking to establish a business. For EACH of the following statements, identify the step they have taken: (i) Paul came up with an idea to place custom designs on sports cars; (ii) Paul met with his partner and determined how much raw material and capital, and how many workers they would need to start the business; (iii) The partners went around the community asking people if they would be interested in having custom designs on their cars and how much they would be willing to pay; (iv) The partners created a document which summarized the production, marketing and financial elements of the business to present to potential investors. (4 marks)

Step (i)

This is the generation of the business idea, in which the entrepreneur identifies a product or service that he believes can be sold to customers.

Step (ii)

This is the identification of resources, in which the entrepreneurs work out the amount of raw materials, capital and labour that the business will need.

Step (iii)

This is conducting market research, in which the entrepreneurs find out from potential customers whether they would buy the product and how much they would be willing to pay.

Step (iv)

This is the preparation of a business plan, which is a document that summarises the production, marketing and financial elements of the business and is used to attract investors.

2(d) Key functional area of a business

Describe ONE key functional area of a business. (2 marks)

The marketing department is one key functional area of a business. It is responsible for finding out what customers want through market research, deciding what products to offer, setting prices, choosing where the goods will be sold and planning advertising and sales promotion to attract and keep customers.

2(e) How planning improves a business

Explain TWO ways in which planning can improve the operation or success of a business. (6 marks)

Provides clear direction and goals

Through planning, the owners and managers set out the goals of the business and the steps that will be taken to reach them. This gives every worker a clear idea of what is to be done, by when and to what standard, so that effort is not wasted on activities that do not move the business forward. With clear goals, it is also easier to check progress and to see where adjustments are needed.

Helps to make better use of resources and reduce risk

Planning forces the business to think in advance about the money, materials, workers and time that will be needed and to compare this with what is available. This helps to avoid waste, prevents shortages and

allows the business to spot possible problems before they happen so that steps can be taken to deal with them. As a result, the business is more likely to operate smoothly and to succeed in a competitive market.

Question 3

3(a)(i) Definition of production

Define the term 'Production'. (2 marks)

Production is the process of creating goods and services to satisfy human wants and needs. It involves combining the factors of production, namely land, labour, capital and enterprise, to produce items that have value and that can be sold to consumers.

3(a)(ii) Definition of productivity

Define the term 'Productivity'. (2 marks)

Productivity is a measure of how efficiently the factors of production, especially labour, are used in the production process. It is usually calculated as the amount of output produced for each unit of input, so labour productivity is the output produced per worker over a given period of time.

3(b) Factors that affect the supply of labour

Identify TWO factors that can affect the supply of labour to a business. (2 marks)

- The level of wages and other benefits offered by the business compared with what is offered elsewhere.
- The size of the working population and the level of training and skills available in the area.

3(c) Factors that influence productivity of labour

Describe TWO factors that can influence the productivity of labour. (4 marks)

Education and training of workers

When workers are well educated and have been trained for the jobs they do, they understand their tasks better, work faster and make fewer mistakes. This raises the output produced per worker. Workers who lack training take longer to do tasks and waste more material, which lowers productivity.

Quality of tools and equipment

Workers who are given modern, well-maintained tools and machines can produce a much larger amount of output in the same time than workers using old or broken equipment. So the better the tools and equipment provided by the business, the higher the productivity of the labour force.

3(d) Subsistence vs domestic production

Differentiate between 'subsistence production' and 'domestic production'. (4 marks)

Subsistence production

Subsistence production is a type of production in which goods are produced mainly to meet the basic needs of the producer and his or her family, with little or nothing left over to sell. A small farmer who

plants ground provisions and raises a few animals just to feed his household is carrying on subsistence production.

Domestic production

Domestic production is the production of goods and services within a country to be sold on the local market rather than for export. It includes all the items made by Caribbean factories, farms and service businesses that are bought and used by people living in the same country.

3(e) Impact of improvements in technology

Explain ONE positive and ONE negative impact on a business, which result from improvements in technology. (6 marks)

Positive impact

Improvements in technology allow a business to produce goods and services more quickly and with fewer mistakes than before. Modern computers, software and machines can do in minutes work that used to take hours, and they can produce items to a higher and more uniform quality. As a result, the business can serve more customers, lower its costs per unit and earn higher profits.

Negative impact

On the other hand, improvements in technology can lead to the loss of jobs and high costs for the business. As machines and computers take over tasks that were once done by people, workers may be laid off and the business may face protests and a fall in staff morale. The business also has to spend large sums to buy, install and maintain the new equipment and to retrain workers, which can be a heavy burden, especially for small firms.

Question 4

4(a) Marketing activities

List FOUR marketing activities. (4 marks)

- Carrying out market research to find out what customers want.
- Designing and developing new products to meet customer needs.
- Setting prices that are attractive to customers and that cover the costs of the business.
- Advertising and promoting the products to make customers aware of them and to encourage sales.

4(b) Elements of the traditional marketing mix

Outline TWO elements of the traditional marketing mix. (4 marks)

Product

Product refers to the goods or services that the business offers to customers. Decisions under this element include what features the product will have, what quality level to aim for, the brand name to be used and the type of packaging in which the product will be sold, all of which must match what the target market wants.

Price

Price is the amount of money that the customer has to pay to obtain the product. The business must set a price that is high enough to cover its costs and earn a profit, yet low enough to attract customers and to compete with similar products on the market. Discounts, credit terms and special offers are also part of pricing decisions.

4(c) Methods of promoting sales

Describe EACH of the following methods of promoting sales: (i) Public relations (PR); (ii) Sales promotions. (4 marks)

(c)(i) Public relations (PR)

Public relations is a method of promoting sales in which the business works to build a good image of itself in the eyes of the public. This is done through activities such as sponsoring sports teams, supporting charities, issuing press releases and holding open days, so that customers come to see the business as caring and trustworthy and become more willing to buy its products.

(c)(ii) Sales promotions

Sales promotions are short-term offers used to encourage customers to buy a product right away. Examples include discounts, coupons, free samples, 'buy one get one free' deals and competitions. These offers create excitement around the product, attract new customers, encourage existing customers to buy more and help to clear old stock.

4(d)(i) Definition of retailing

Kevin and Mala have been thinking of setting up a cellphone and accessories business together. Define the term 'retailing'. (2 marks)

Retailing is the activity of buying goods in fairly large quantities from manufacturers or wholesalers and then selling them in small quantities directly to the final consumer. The retailer earns a profit by selling the goods at a higher price than the cost at which they were bought.

4(d)(ii) Suitable retail outlets for Kevin and Mala

Describe THREE suitable types of retail outlets that Kevin and Mala could consider setting up. (6 marks)

A specialty shop

A specialty shop is a small or medium-sized store that sells a narrow range of related products. Kevin and Mala could open a specialty shop that deals only in cellphones and accessories such as cases, chargers and headphones. The narrow focus allows them to carry a wide selection of these items and to offer expert advice to customers.

A kiosk in a shopping mall

A kiosk is a small stand-alone unit set up in the walkway of a shopping mall or busy public place. Kevin and Mala could set up a kiosk to display and sell cellphones and accessories to the many shoppers who pass by. A kiosk costs less than a full shop to rent and operate, yet it benefits from the heavy foot traffic in the mall.

An online store

An online store is a retail outlet that sells goods through a website or a social media page rather than from a physical building. Kevin and Mala could set up an online store that allows customers to browse, order and pay for cellphones and accessories from their own homes, and the items can then be delivered. This widens the market and keeps overhead costs low.

Question 5

5(a) Functions of economic institutions

State ONE major function of EACH of the following economic institutions: (i) Caribbean Community (CARICOM); (ii) World Trade Organization (WTO). (2 marks)

(a)(i) Caribbean Community (CARICOM)

One major function of CARICOM is to promote economic integration and cooperation among its member states by allowing the free movement of goods, services, capital and skilled labour through the CARICOM Single Market and Economy.

(a)(ii) World Trade Organization (WTO)

One major function of the WTO is to set and enforce the rules of international trade among its member countries so that trade flows as freely and fairly as possible, and to settle disputes between countries on trade matters.

5(b) Alleviating economic problems

Outline ONE way in which governments can alleviate EACH of the following economic problems: (i) Unemployment; (ii) Overpopulation; (iii) Migration. (6 marks)

(b)(i) Unemployment

The government can alleviate unemployment by setting up training and retraining programmes that give jobless workers the skills needed in industries where workers are in demand. The government can also provide tax breaks and other incentives to businesses that create new jobs, which encourages firms to expand and hire more workers.

(b)(ii) Overpopulation

The government can alleviate overpopulation by running family planning education programmes and providing affordable family planning services so that families have the information and means to choose the size of their families. This helps to slow the rate of population growth and to ease pressure on housing, schools and health services.

(b)(iii) Migration

The government can alleviate the harmful effects of migration by improving wages, working conditions and career opportunities at home, especially for skilled workers such as nurses and teachers. When workers feel that they can earn a decent living and develop their careers within the country, fewer of them feel the need to leave for jobs abroad.

5(c) Definition of economic dualism

Define the term 'economic dualism'. (2 marks)

Economic dualism refers to the situation in a country where two very different economic systems exist side by side. One sector is usually modern, uses advanced technology and produces for export, while the other sector is traditional, uses simple methods and produces mainly for local use, with little contact between the two.

5(d) Benefits of foreign direct investment (FDI)

Outline TWO benefits of obtaining foreign direct investment (FDI). (4 marks)

Brings in capital and creates jobs

Foreign direct investment brings money from abroad to set up or expand businesses such as factories, hotels and mines in the host country. This creates jobs for local workers, who earn wages that they can spend in the local economy, and adds to the country's output and tax revenue.

Transfer of technology and skills

Foreign investors usually bring with them modern machinery, new methods of production and management know-how. As local workers are trained to operate the new equipment and to use the new techniques, the level of skills and technology in the host country improves, which raises productivity and helps local businesses to grow.

5(e) Government assistance to manufacturing sector

Explain TWO ways in which Caribbean governments can assist in the development of the manufacturing sector of their countries. (6 marks)

Providing tax incentives and subsidies

Caribbean governments can support manufacturing by offering tax holidays, lower company tax rates, duty-free import of raw materials and machinery, and direct subsidies to manufacturers. These measures lower the cost of setting up and running a factory, which encourages local and foreign investors to put their money into manufacturing and to expand existing factories. As a result, more goods are produced locally, jobs are created and the country relies less on imports.

Improving infrastructure and providing training

Governments can build good roads, ports, electricity supply, water systems and industrial parks so that manufacturers have the basic services they need to operate efficiently. They can also work with technical colleges to train workers in skills such as welding, machine operation and quality control. With better infrastructure and a more skilled workforce, manufacturers can produce goods at lower cost and higher quality, which makes their products more competitive at home and abroad.

January 2019 Paper 02

Question 1

1(a) Capital as a factor of production

Define the term 'capital' as a factor of production and state TWO examples. (4 marks)

Capital, as a factor of production, refers to all the man-made resources that are used in the production of other goods and services. It is not the actual goods or services produced, but rather the assets that the business invests in to make production possible.

Two examples of capital are:

- Machinery and equipment used in a factory to manufacture goods, such as a sewing machine in a garment factory.
- Buildings and tools owned by the business, such as a delivery van or a computer used in the office.

1(b) Sources of capital

List FOUR sources of capital that could be used when setting up a business. (4 marks)

Four sources of capital that could be used when setting up a business are:

- Personal savings of the owner, used to provide the start-up capital without having to borrow.
- A loan from a commercial bank, which has to be repaid with interest over an agreed period.
- Money borrowed from family and friends, often on more flexible terms than a bank loan.
- A grant or loan from a government agency that supports small businesses or new entrepreneurs.

1(c) June's small supermarket

June wants to set up a small supermarket, but is unsure whether she should operate as a sole trader or establish a partnership. (i) Define the term 'partnership'. (2 marks); (ii) Outline TWO benefits of June establishing a partnership over a sole trader type business. (4 marks); (iii) Suggest THREE ethical issues that June should consider in setting up and operating her business. (3 marks); (iv) Explain to June the importance of conducting a feasibility study. (3 marks)

(c)(i) Definition of partnership

A partnership is a type of business organisation in which two or more persons, but no more than twenty, agree to come together to own and run a business with the aim of making a profit. The partners share the capital, the work, the decision-making and the profits and losses of the business according to a written partnership agreement.

(c)(ii) TWO benefits of partnership over sole trader

<u>More capital is available to start and run the business</u>

Because June would have one or more partners contributing money to the business, the partnership would have more capital than she could raise on her own as a sole trader. This extra capital would help her to

buy more stock, rent a larger building and invest in better shelving and refrigeration than would be possible if she had to use only her personal savings.

Sharing of work, skills and risk among partners

In a partnership, June and her partners would share the day-to-day running of the supermarket and would each bring different skills, such as accounting, marketing or stock control. The risk of any losses is also shared among the partners, so June would not have to bear the full burden alone as she would as a sole trader.

(c)(iii) THREE ethical issues June should consider

- Honesty in pricing and labelling, by displaying clear and correct prices on goods and not selling expired or damaged products to customers.
- Fair treatment of employees, by paying agreed wages on time, providing safe working conditions and not discriminating in hiring or promotion.
- Honesty in paying suppliers and government taxes, by settling bills with suppliers as agreed and paying all required taxes such as income tax and value added tax in full.

(c)(iv) Importance of conducting a feasibility study

A feasibility study is important to June because it will help her to find out, before she spends money, whether her supermarket idea is likely to succeed. It forces her to look carefully at the demand for groceries in the area, the level of competition from other shops, the cost of renting premises and stock, and whether she has enough capital and skills to run the business. The study also gives her clear figures and information that she can show to a bank or investor when applying for a loan, which makes it much easier for her to obtain the finance she needs.

Question 2

2(a) Business documents

Business organizations perform many transactions daily, which require the use of documents. (i) List THREE types of business documents. (3 marks); (ii) State THREE reasons why firms utilize documents in business transactions. (3 marks)

(a)(i) THREE types of business documents

- Invoice, which is sent by the seller to the buyer to request payment for goods or services supplied.
- Receipt, which is given by the seller to the buyer as proof that payment has been received.
- Purchase order, which is sent by the buyer to the seller to officially request goods or services.

(a)(ii) THREE reasons firms utilize documents

- To provide a written record of each transaction so that both buyer and seller can refer back to it if there is any disagreement.
- To support the keeping of proper books of accounts and the preparation of financial statements at the end of the year.

- To meet legal and tax requirements, since documents such as invoices and receipts are often needed as evidence when filing tax returns.

2(b) Insurance vs assurance

Distinguish between 'insurance' and 'assurance'. (4 marks)

Insurance

Insurance is a contract between a firm or individual and an insurance company in which the policyholder pays a premium and the insurance company agrees to pay compensation if a particular event happens, but the event may or may not happen. Examples include fire insurance and motor insurance, where the company only pays out if there is actually a fire or an accident.

Assurance

Assurance is a contract that covers an event that is certain to happen at some point, even though the exact time is unknown. The most common example is life assurance, where the insurance company is certain to pay out either when the policyholder dies or when the policy reaches its maturity date, so the only uncertainty is when the payment will be made.

2(c) Types of insurance policies

Name TWO types of insurance policies. (2 marks)

- Motor vehicle insurance, which covers loss or damage caused by a road accident or theft of a vehicle.
- Fire insurance, which covers loss or damage to buildings, equipment and stock caused by fire.

2(d) Principle of insurance

Outline ONE principle upon which insurance is based. (2 marks)

Utmost good faith

The principle of utmost good faith requires both the policyholder and the insurance company to disclose all important information honestly when the policy is being taken out. The policyholder must give true answers about matters such as health, age or the condition of the property being insured, and the insurance company must explain the terms of the policy clearly. If either party hides important facts, the policy may be cancelled and any claim refused.

2(e) Benefits of insurance to a firm

Explain TWO ways in which insurance is beneficial to a firm. (6 marks)

Protection against financial losses

Insurance protects the firm against the heavy financial losses that could happen if its building burns down, its stock is stolen or its delivery vehicle is damaged in an accident. By paying a relatively small premium each year, the firm transfers the risk of these losses to the insurance company, which agrees to pay the cost of repairs or replacement. This means that one bad event does not destroy the business, and the firm can continue trading with a much smaller setback.

Helps the firm to plan and obtain finance

Because insured risks are covered, the firm can plan its future spending and operations with much greater confidence. Banks and other lenders are also more willing to lend money to a firm that has proper insurance on its building, machinery and stock, because the lenders know that their security will not be lost in a fire or other disaster. Insurance therefore makes it easier for the firm to obtain loans and to expand its operations.

Question 3

3(a) Advantages to the customer of terms of sales

State TWO advantages to the customer of utilizing EACH of the following terms of sales: (i) Cash (2 marks); (ii) Hire purchase (2 marks); (iii) Layaway (2 marks)

(a)(i) Cash - TWO advantages

- The customer often gets a cash discount, which lowers the final price of the goods.
- The customer takes the goods home immediately and owes nothing further, so there is no risk of debt or interest charges.

(a)(ii) Hire purchase - TWO advantages

- The customer can take the goods home after paying only a small deposit, which means that he or she can use expensive items such as appliances and furniture without having to pay the full price upfront.
- The remaining payments are spread out into smaller monthly instalments, which makes it easier for the customer to fit the cost into a regular household budget.

(a)(iii) Layaway - TWO advantages

- The customer can secure the price of the item at the time of layaway, so even if the price goes up later, the customer still pays the original agreed price.
- The customer pays for the item in small instalments without paying any interest, since the seller keeps the goods until they are fully paid for, which avoids the cost of borrowing.

3(b) Factor influencing consumer behaviour

Describe ONE factor that could influence the behaviour of consumers. (2 marks)

Level of income of the consumer

The amount of disposable income a consumer has greatly influences what and how much he or she buys. A consumer with a high income can afford to buy more goods, more expensive brands and a wider variety of products, while a consumer with a low income tends to buy mainly basic items, cheaper brands and goods that are on sale. As income rises or falls, the consumer's spending pattern usually changes to match.

3(c) Chain of distribution

Figure 1 shows a traditional chain of distribution for a certain product. Identify EACH link in the chain by placing the correct name in EACH box above. (4 marks)

The traditional chain of distribution moves goods from the producer to the final consumer through the following four links:

- Producer (manufacturer) - the firm that actually makes the product.
- Wholesaler - the merchant who buys large quantities from the producer and breaks the bulk into smaller amounts.
- Retailer - the shopkeeper who buys from the wholesaler and sells in small amounts to the public.
- Consumer - the final user of the product.

3(d) Problems in distribution

List FOUR problems that are likely to be encountered in the distribution of goods. (4 marks)

- Damage to goods during loading, transport and unloading, especially fragile or perishable items.
- Theft or pilferage of goods while they are in transit or in storage.
- Delays caused by bad weather, traffic, mechanical breakdowns or industrial action at the ports.
- High transport and storage costs, which raise the final price of the goods to consumers.

3(e) Suitable mode of transportation

Suggest ONE appropriate mode of transportation for EACH of the following products. (i) Fresh meat from processing plant to supermarket (1 mark); (ii) Cement from factory to construction site (1 mark); (iii) Oil from oilfield to refinery (1 mark); (iv) Bauxite from mine to processing plant (1 mark)

- Fresh meat from processing plant to supermarket: refrigerated truck (road transport).
- Cement from factory to construction site: heavy-duty truck (road transport).
- Oil from oilfield to refinery: pipeline.
- Bauxite from mine to processing plant: rail (or conveyor belt where distance is short).

Question 4

4(a) Budget and personal income

Outline TWO ways in which a budget could assist persons in the management of their personal income. (4 marks)

Helps to plan spending and avoid waste

A personal budget lists the income a person expects to receive and the expenses he or she expects to pay over a set period such as a month. By writing this down in advance, the person can see how much money is available for each item and can avoid spending more than is earned. This helps to cut out unnecessary spending and makes sure that the most important bills, such as rent and utilities, are always paid first.

Encourages saving and reaching financial goals

A budget allows the person to set aside a fixed amount each month for savings before any spending is done. This makes it easier to build up an emergency fund and to save towards bigger goals such as buying

a car, starting a business or paying for further education. Without a budget, money is often spent as it comes in and there is little or nothing left over to save.

4(b) Services offered by commercial banks

Describe THREE services offered by commercial banks. (6 marks)

Accepting deposits from customers

Commercial banks accept money from individuals and businesses in the form of current accounts, savings accounts and fixed deposit accounts. The customer's money is kept safe in the bank, and on savings and fixed deposit accounts the customer earns interest. Customers can put money into their accounts and take it out again as needed.

Providing loans and overdrafts

Commercial banks lend money to customers in the form of personal loans, business loans, mortgages and overdrafts. The bank charges interest on these loans, and the customer agrees to repay the money over a fixed period. This service helps individuals to buy houses, vehicles and household items, and helps businesses to expand or to cover short-term cash needs.

Providing payment and electronic banking services

Commercial banks provide a wide range of services to help customers make and receive payments, including cheques, debit and credit cards, online banking, mobile banking, automated teller machines (ATMs) and wire transfers. These services allow customers to pay bills, transfer money and shop both locally and overseas without having to carry large amounts of cash.

4(c) Functions of a central bank

List FOUR functions of a central bank. (4 marks)

- Issuing the country's notes and coins as the sole authority for currency.
- Acting as banker to the government, holding government accounts and managing the national debt.
- Acting as banker and lender of last resort to the commercial banks.
- Controlling the money supply and regulating the banking system through monetary policy.

4(d) Central bank measures to regulate commercial banks

Explain how the central bank uses EACH of the following measures to regulate the activities of commercial banks. (i) Open market operations (3 marks); (ii) Liquid asset requirements (3 marks)

(d)(i) Open market operations

Open market operations involve the central bank buying or selling government securities, such as treasury bills and bonds, in the open market. When the central bank sells securities, the commercial banks pay for them with their cash, which reduces the amount of money the banks have available to lend. When the central bank buys securities, money flows into the commercial banks and increases the amount they can lend. In this way the central bank controls the supply of credit in the economy.

(d)(ii) Liquid asset requirements

The liquid asset requirement is a rule made by the central bank that forces every commercial bank to keep a certain percentage of its deposits in the form of cash or near-cash assets that can be turned into money quickly. By raising the liquid asset ratio, the central bank reduces the amount that commercial banks have left over to lend, which slows down the growth of credit in the economy. By lowering the ratio, the central bank releases more money for lending and encourages economic activity.

Question 5

5(a) Types of taxes

Define EACH of the following types of taxes: (i) Progressive tax (2 marks); (ii) Proportional tax (2 marks)

(a)(i) Progressive tax

A progressive tax is a tax in which the rate of tax increases as the income or value of the item being taxed increases. This means that persons or businesses with higher incomes pay a larger percentage of their income in tax than persons with lower incomes. Income tax in most Caribbean countries is a progressive tax.

(a)(ii) Proportional tax

A proportional tax is a tax in which the rate of tax stays the same regardless of the level of income or the value of the item being taxed. Every taxpayer pays the same percentage of their income, so the actual amount paid rises in proportion to the income. A flat-rate company tax is an example of a proportional tax.

5(b) Reasons governments charge taxes

State THREE reasons why governments charge taxes. (3 marks)

- To raise revenue to pay for public goods and services such as schools, hospitals, roads and the police.
- To redistribute income from richer to poorer citizens through progressive taxes and social programmes.
- To discourage the use of harmful goods such as cigarettes, alcohol and gambling, by placing high taxes on them.

5(c) Government regulation of business activities

Identify THREE ways in which governments regulate the activities of businesses. (3 marks)

- By passing laws that set minimum standards for product safety, health and quality, such as food and drug regulations.
- By requiring businesses to register, obtain operating licences and meet zoning rules before they can open.

- By setting rules for fair employment, including minimum wages, safe working conditions and the protection of workers' rights.

5(d) Government measures to protect consumers

Outline TWO measures used by governments to protect consumers. (4 marks)

Passing consumer protection laws

Governments pass laws such as the Sale of Goods Act and the Consumer Protection Act, which set out the rights of consumers and the duties of sellers. These laws make sure that goods sold are of the quality described and are fit for the purpose for which they are sold, and they give consumers the right to a refund or replacement if the goods are faulty.

Setting up Bureau of Standards and consumer affairs offices

Governments set up agencies such as the Bureau of Standards and the Consumer Affairs Department to inspect goods and businesses, to investigate complaints from the public and to take legal action against businesses that cheat consumers. These agencies also provide information that helps consumers to make wiser buying choices.

5(e) Benefits of training centres for citizens

The government of your country has set up centres to train citizens in computer engineering and small appliance repair. Explain TWO benefits that could be gained from this initiative. (6 marks)

Reduction in unemployment and an increase in incomes

By training citizens in computer engineering and small appliance repair, the government provides skills that are in high demand both in workplaces and in self-employment. Citizens who complete the training are more likely to find jobs as technicians or to start their own repair businesses. As more people earn an income, unemployment falls, household incomes rise and government spending on welfare benefits is reduced.

Encouragement of entrepreneurship and savings on imports

Once citizens have the skills, many of them can open small repair shops in their communities, which creates new businesses and adds to economic growth. The country also depends less on foreign technicians and on importing replacement appliances, because more items can now be repaired locally. This saves foreign exchange and encourages a stronger local economy with more skilled workers.

May/June 2019 Paper 02

Question 1

1(a) Stakeholders

(i) Define the term 'stakeholder' as it relates to a business. (2 marks); (ii) Identify TWO stakeholders who are involved in a business. (2 marks)

(a)(i) Definition of stakeholder

A stakeholder is any person, group or organisation that has an interest in or is affected by the activities and decisions of a business. Stakeholders can be inside the business, such as the owners and employees, or outside the business, such as customers, suppliers, the government and the community in which the business operates.

(a)(ii) TWO stakeholders involved in a business

- Owners or shareholders, who provide the capital used to set up and run the business.
- Employees, who provide their labour to the business in exchange for wages or salaries.

1(b) Functions of stakeholders

Outline ONE function of EACH of the stakeholders identified in (a)(ii). (4 marks)

Function of owners or shareholders

The owners or shareholders provide the capital that the business needs to start up and to keep running. They invest their money in the business by buying shares or putting in personal savings, and they take on the risk of losing their money if the business fails. In return, they expect to share in the profits of the business through dividends or drawings.

Function of employees

The employees carry out the day-to-day work of the business, such as making the products, serving customers, keeping records and supervising other workers. They use their skills, time and effort to produce the goods and services that the business sells, and in return they receive wages or salaries from the business.

1(c) Activities in functional areas

Describe ONE activity that may be carried out in EACH of the following functional areas of a business. (i) Marketing; (ii) Finance; (iii) Personnel/human resources (HR). (6 marks)

(c)(i) Marketing

One activity carried out in the marketing department is market research, in which the firm collects information about customers, competitors and trends in the market. This may involve handing out questionnaires, interviewing shoppers or studying sales figures. The information helps the business to decide what products to offer, what price to charge and how to promote the products.

(c)(ii) Finance

One activity carried out in the finance department is preparing budgets and financial statements. The

finance staff record all income and expenses, prepare cash flow forecasts and produce the income statement and balance sheet at the end of the year. This information is used by managers to make decisions and is also reported to owners, lenders and the government.

(c)(iii) Personnel/human resources (HR)

One activity carried out in the human resources department is the recruitment and selection of new staff. HR officers prepare job descriptions, place advertisements, receive applications, interview candidates and choose the most suitable persons for the available jobs. They also handle training, payroll and employee welfare matters.

1(d) Legal or ethical principles

Explain TWO legal or ethical principles that business owners should adopt in the establishment and operation of a business. In your explanation, include relevant examples of EACH priniciple. (6 marks)

Honesty in dealing with customers

Business owners should be truthful in their advertising, pricing and labelling so that customers are not misled. For example, a supermarket owner should not advertise a product at a special price and then charge a higher price at the cash register, and a food business should not put 'sugar free' on a label if the product actually contains sugar. Acting honestly builds trust, attracts repeat customers and avoids legal action under consumer protection laws.

Paying taxes and obeying business laws

Business owners should register the business properly and pay all required taxes, such as income tax, business tax, value added tax and National Insurance contributions for staff. For example, a small restaurant must keep proper records of sales and pay over the value added tax it collects from customers to the tax authority on time. Following the law in this way avoids fines and court action and helps the country to provide public services such as schools, roads and hospitals.

Question 2

2(a) Functions of management

(i) State TWO functions of management in a business organization. (2 marks); (ii) Describe EACH function stated in (a)(i). (4 marks)

(a)(i) TWO functions of management

- Planning.
- Organising.

(a)(ii) Description of each function

Planning

Planning is the function of management in which the managers decide on the goals of the business and the steps that will be taken to achieve those goals. It involves looking ahead, deciding what is to be done, when it should be done, who will do it and what resources will be needed. Plans are made for the long term, the medium term and the short term, and they give the business a clear direction.

Organising

Organising is the function of management in which the managers arrange the people, money, materials and equipment of the business in the best way to carry out the plans. It includes setting up departments, giving jobs to different workers, deciding who reports to whom and making sure that everyone knows their duties. Good organising avoids confusion and waste and helps the business to run smoothly.

2(b) Responsibilities of management

State TWO responsibilities of management to EACH of the following groups. (i) Employees; (ii) Government. (4 marks)

(b)(i) Responsibilities to employees

- To pay fair wages and salaries on time and to provide agreed benefits such as leave and National Insurance contributions.
- To provide a safe working environment with proper training, equipment and protection against accidents and illness.

(b)(ii) Responsibilities to government

- To pay all taxes due, including income tax, company tax and value added tax, on time and in full.
- To obey the laws of the country, including business registration, employment laws and environmental rules.

2(c) Teamwork

(i) Define the term 'teamwork'. (2 marks); (ii) State ONE advantage and ONE disadvantage of teamwork within an organization. (2 marks)

(c)(i) Definition of teamwork

Teamwork is the way in which a group of workers cooperate and combine their skills, ideas and effort to achieve a common goal of the business. In a team, members support each other, share the work fairly and take joint responsibility for the success of the task.

(c)(ii) ONE advantage and ONE disadvantage of teamwork

Advantage

Teamwork brings together different skills and ideas, so problems are solved more quickly and the quality of the work is usually higher than what one person could do alone.

Disadvantage

When a team has weak members or members who do not get along, decisions can be slow and conflicts can arise, which may delay the work and lower the morale of the rest of the team.

2(d) Improving communication at ABC Plastic Co. Ltd

For some time now, there has been a breakdown in communication between the managers and employees of ABC Plastic Co. Ltd. Explain TWO strategies the management of ABC Plastic Co. Ltd. could implement to improve communication within the organization. (6 marks)

Hold regular staff meetings and use notice boards

Management can set a fixed day each week or month for short meetings between managers and workers in each department. At these meetings, managers can explain the goals and any new rules of the business and workers can ask questions and give feedback. A notice board near the entrance can also be used to display memos, safety reminders and news, so every worker has the same information at the same time. This face-to-face contact helps to clear up misunderstandings and builds trust.

Set up an open-door policy and a suggestion box

Management can encourage workers to come to them at any time with concerns, and a clearly placed suggestion box, supported by an email address, allows workers who are shy or who work on different shifts to share their ideas without fear. The managers should respond to suggestions promptly, even if some of them are rejected, so that workers see that their voice matters. This two-way flow of information greatly reduces the breakdown in communication that has been happening at ABC Plastic Co. Ltd.

Question 3

3(a) Production and factors of production

(i) Define the term 'production'. (2 marks); (ii) Identify TWO factors of production, other than capital, used in the manufacture of goods and provision of services. (2 marks)

(a)(i) Definition of production

Production is the creation of goods and the provision of services to satisfy human wants and needs. It involves combining the factors of production - land, labour, capital and entrepreneurship - to produce useful output that customers are willing to buy.

(a)(ii) TWO factors of production other than capital

- Land - all the natural resources used in production, such as soil, minerals, forests and water.
- Labour - the human effort, both physical and mental, used to produce goods and services.

3(b) Capital

(i) Define the term 'capital'. (2 marks); (ii) Differentiate between 'fixed capital' and 'working capital' and give an example of EACH type. (4 marks)

(b)(i) Definition of capital

Capital refers to all the man-made resources, including money and physical assets, that a business uses in the production of goods and services. It is the wealth that the owners invest in the business in order to produce other goods or to earn an income.

(b)(ii) Fixed capital vs working capital

Fixed capital

Fixed capital refers to the long-term assets of the business that are bought and used for many years and are not turned into cash through normal trading. An example of fixed capital is the factory building or a delivery truck owned by the business.

Working capital

Working capital refers to the short-term resources used in the day-to-day running of the business, calculated as current assets minus current liabilities. An example of working capital is the cash held in the till or the stock of raw materials waiting to be used in production.

3(c) Benefits of growth of a company

Outline ONE benefit of the growth of a company to EACH of the following groups. (i) Customers; (ii) Shareholders. (4 marks)

(c)(i) Benefit to customers

When a company grows, it can produce on a larger scale and reduce its average cost per unit. These savings can be passed on to customers in the form of lower prices and a wider range of products to choose from. Customers also tend to receive better service because the larger company can afford to invest in better technology and more trained staff.

(c)(ii) Benefit to shareholders

As the company grows, its profits usually rise, which means that shareholders receive higher dividends on their shares. The value of the shares themselves may also increase, so shareholders gain a capital profit if they decide to sell their shares. Growth therefore raises the wealth and income of the shareholders.

3(d) Advantages of increased productivity

Explain TWO ways in which increased productivity may be advantageous to a business. (6 marks)

Lower cost per unit and higher profits

When productivity rises, the same workers and machines produce more output in the same amount of time. The fixed costs of the business, such as rent and management salaries, are spread over a larger number of units, which lowers the average cost of producing each item. The business can then either keep the selling price the same and earn a bigger profit on each unit, or lower the price to attract more customers and increase total profit through higher sales.

Better wages, better quality and a stronger competitive position

Higher productivity makes the business more efficient, so it can afford to pay higher wages and bonuses to workers without raising prices. Better-paid and better-trained staff usually produce goods of higher and more consistent quality. With lower costs, higher quality and more reliable delivery, the business becomes more competitive than rivals, which helps it to win and keep customers both in the local market and in export markets.

Question 4

4(a) Functions of consumer organizations

Outline TWO functions of consumer organizations. (4 marks)

Educating consumers about their rights

Consumer organisations such as the Consumers' Association inform shoppers about their legal rights, the meaning of warranties and how to spot unfair trading practices. They publish leaflets, run radio and

television programmes and hold public meetings, so that consumers know what to expect from sellers and how to make wise buying decisions.

Investigating complaints and pressuring businesses

Consumer organisations receive and look into complaints from shoppers about faulty goods, poor service or false advertising. They take up these matters with the businesses involved, and where the issue is not settled, they may report the business to the government, take legal action or campaign in the media. This puts pressure on businesses to treat customers fairly.

4(b) Benefits of good customer service

Outline TWO benefits of good customer service. (4 marks)

Builds customer loyalty and repeat business

When customers are treated well, they enjoy the shopping experience and feel valued by the business. As a result they tend to keep coming back to the same business instead of trying competitors, and they also tell their family and friends, which brings in new customers through word of mouth. This repeat business and free advertising raise the sales and profits of the firm.

Improves the reputation and image of the business

Good customer service builds a strong, positive reputation for the business in the community and on social media. A business that is known for treating customers fairly, handling complaints quickly and going the extra mile attracts more customers, finds it easier to introduce new products and is more likely to be chosen for partnerships and large contracts.

4(c) Forms of customer service

Describe EACH of the following forms of customer service. (i) Warranties; (ii) Toll free numbers/toll free call centres; (iii) Suggestion boxes. (6 marks)

(c)(i) Warranties

A warranty is a written promise from the seller or manufacturer to repair or replace a product within a stated period if it develops a fault that is not the customer's fault. By offering a warranty, the business gives customers confidence that the product is reliable and that they will not lose their money if something goes wrong shortly after purchase.

(c)(ii) Toll free numbers / toll free call centres

A toll free number is a telephone number that customers can call without paying for the call, with the cost being met by the business. Customers use these numbers to ask questions about products, place orders or make complaints. Trained customer service agents at the call centre help to solve problems quickly, which improves customer satisfaction.

(c)(iii) Suggestion boxes

A suggestion box is a sealed container, often placed near the entrance or cashier, in which customers can drop written comments, complaints and ideas for the business. Suggestion boxes give shy or busy customers an easy and private way to share their views, and the business can use the suggestions to improve its products, layout and service.

4(d) Benefits of trademarks

A trademark is a firm's brand that allows it certain benefits in the marketplace. Explain TWO ways in which trademarks are beneficial in the conduct of a business. (6 marks)

Protection from copying and legal action against imitators

Once a trademark is registered, the law gives the firm the exclusive right to use that name, symbol or design for the products covered. If another business tries to copy the trademark to confuse customers or steal sales, the owner of the trademark can take the imitator to court and claim damages. This legal protection guards the firm's hard-earned reputation and keeps the value of its brand.

Easy recognition and the ability to charge a higher price

A clear, well-known trademark helps customers to recognise the firm's products quickly on the shelf and tells them what to expect in terms of quality. Loyal customers come to trust the trademark and will look for it again on future visits. This trust allows the firm to charge a higher price than for unbranded products, because customers feel that the branded product is worth the extra money.

Question 5

5(a) Definition of ICT

Define the term 'information and communications technology' (ICT). (2 marks)

Information and communications technology (ICT) refers to the equipment, software and networks that are used to create, store, send and receive information electronically. It includes computers, smartphones, the internet, email, video conferencing tools and a wide range of business software, all of which help people and businesses to share information quickly across short or long distances.

5(b) Computer-aided design (CAD)

Describe ONE way in which computer-aided design (CAD) is used in a business organization. (2 marks)

Computer-aided design (CAD) is used by businesses to create accurate drawings and three-dimensional models of products before they are actually produced. For example, an engineering firm uses CAD software to design a new piece of furniture or a building, allowing the designer to test different sizes, materials and colours on screen and to make changes quickly. This saves time and money compared with drawing by hand and helps the firm to produce a better final product.

5(c) ATMs / ABMs

Outline THREE ways in which the use of automatic teller machines (ATMs) or automated banking machines (ABMs) could assist a business. (6 marks)

Round-the-clock access to cash and banking

ATMs allow business owners and employees to deposit and withdraw cash and to check account balances 24 hours a day, including weekends and public holidays. This means that the business does not have to plan its activities around bank opening hours and can deal with emergency cash needs at any time.

Faster service and shorter queues for customers

When customers can use ATMs to pay bills, transfer money and buy phone credit, they spend less time waiting in line at the bank. This is helpful for a business that needs to send staff to deposit takings, because the worker can complete the transaction quickly and return to other duties, which saves time and labour.

Reduced cost of handling cash and improved security

Because routine cash transactions are done through machines, the business does not need to keep large amounts of cash on the premises and does not have to make as many trips to the bank. This lowers the risk of theft and the cost of paying staff to handle cash, and it provides a printed record of every transaction that can be used in the accounts.

5(d) E-commerce

Outline TWO ways in which electronic commerce (e-commerce) can improve the performance of a business. (4 marks)

Wider market and increased sales

Through an e-commerce website or online store, the business can sell to customers anywhere in the country and even overseas, twenty four hours a day. The business no longer depends only on people who walk into the shop, which greatly increases the size of the potential market and lifts total sales.

Lower running costs and faster transactions

An e-commerce business saves on the cost of large display shops, sales staff and printed catalogues, because much of the work is done automatically by the website. Orders are received, payments are processed and confirmation emails are sent within minutes, so customers are served faster and the firm can handle a much larger number of transactions with the same staff.

5(e) Ethical use of ICT

Explain TWO ways in which businesses can demonstrate the ethical use of ICT in the conduct of their operations. (6 marks)

Protecting customer data and privacy

Businesses collect a great deal of personal information from customers, such as names, addresses, identification numbers and credit card details. Ethical use of ICT means that the business stores this information securely with passwords and encryption, only uses it for the agreed purpose and does not sell or share it with other parties without the customer's permission. This protects customers from fraud and identity theft and builds trust in the business.

Honest use of email, social media and software

Ethical businesses do not send spam, do not post misleading reviews or fake advertisements on social media and do not use pirated or unlicensed software. They give credit to authors when they share content online and they make sure that all software, music and images used on the company's website are properly licensed. This avoids legal trouble, supports fair competition and shows respect for other people's work.

January 2021 Paper 02

Question 1

1(a) Characteristics of a good leader

List FOUR essential characteristics of a good leader. (4 marks)

Four essential characteristics of a good leader are:

- Honesty and integrity, which means the leader is truthful and fair in all dealings with team members and superiors.
- Good communication skills, so the leader can clearly explain goals, give instructions and listen to feedback from the team.
- Confidence and decisiveness, which allows the leader to make firm decisions even under pressure and to stand by them.
- Vision and the ability to motivate, so the leader can set a clear direction and inspire the team to work towards it.

1(b) Techniques for effective communication in the classroom

Outline TWO techniques for effective communication in the classroom. (4 marks)

Use of clear and simple language

The teacher should speak in clear, simple language that matches the age and ability of the students, avoiding long words and complicated sentences. Important points should be repeated, written on the board and supported by examples so that every student in the class can follow the lesson and understand what is being taught.

Active listening and use of feedback

The teacher should encourage students to ask questions and answer them carefully, and should also pay attention to facial expressions and body language to check that students understand. By using short questions, quizzes and class discussions, the teacher can get feedback on whether the message has been received and adjust the explanation where necessary.

1(c) Sunnyside High School coaches

The coaches of the football and cricket teams of Sunnyside High School were very concerned about the high levels of indiscipline and poor performance displayed by members of their respective teams. In seeking to address the problem, the coach of the football team drafted a new set of rules and informed team members that anyone who failed to comply with the rules would be dismissed from the team. The coach of the cricket team sought to address the problem by calling a meeting with the players and their parents, inviting them to suggest solutions to the problem.

(c)(i) Identify the style of leadership displayed by EACH coach. (2 marks)

Football coach

The football coach displayed an autocratic style of leadership, because he made the decisions on his own, drafted the rules without consulting the team and used the threat of dismissal to force the players to obey.

Cricket coach

The cricket coach displayed a democratic style of leadership, because he called a meeting with the players and their parents and invited them to share their ideas and suggest solutions before any decision was taken.

(c)(ii) State ONE advantage and ONE disadvantage of EACH style of leadership identified in (c)(i). (4 marks)

Autocratic style - advantage

Decisions can be taken quickly because the leader does not have to wait for input from anyone else, which is useful when the team needs firm direction and when there is little time to discuss matters.

Autocratic style - disadvantage

Team members may feel that their views are not valued, which can lower their motivation and make them obey the rules only out of fear rather than out of genuine commitment to the team.

Democratic style - advantage

Players feel involved and respected because their ideas are listened to, and this raises their morale and their willingness to follow the rules they helped to set.

Democratic style - disadvantage

Reaching a decision can take a long time because everyone has to be consulted, and where there are strong disagreements the team may end up without a clear plan of action.

(c)(iii) Outline THREE strategies that could be used by the coaches to motivate team members. (6 marks)

Recognition and praise for good performance

The coaches can publicly praise players who train hard, follow the rules and perform well in matches, and they can give simple awards such as player of the match or most improved player. Public recognition makes the players feel valued and encourages the rest of the team to put in the same effort.

Setting clear goals and offering rewards

The coaches can set clear team and individual goals such as winning the next league match or improving fitness scores, and offer rewards such as team outings, certificates or sports gear when the goals are reached. Having something definite to aim at and a reward at the end pushes players to train harder and to work together.

Involvement and personal development

The coaches can involve players in deciding training plans, team tactics and team rules, and arrange coaching clinics to improve their skills. When players see that they have a say in how the team is run and that they are growing as athletes, they take more pride in the team and are more committed to its success.

Question 2

2(a) Establishing a business and sources of information

(i) List FOUR steps that should be taken in establishing a business. (4 marks)

Four steps that should be taken in establishing a business are:

- Generating and evaluating a suitable business idea, based on the skills of the owner and the needs of the market.
- Conducting a feasibility study and market research to find out whether the idea will work and whether enough customers exist.
- Preparing a business plan that sets out the goals, marketing plan, operations and financial plan of the business.
- Raising the necessary capital and registering the business with the relevant government authorities, then setting up premises and starting operations.

(ii) Identify the TWO main sources of information necessary for conducting research into the establishment of a business. (2 marks)

- Primary sources, which provide first-hand information collected by the owner through methods such as questionnaires, interviews and direct observation of customers and competitors.
- Secondary sources, which provide information that has already been collected and published by others, such as government statistics, trade journals, newspaper articles and reports from chambers of commerce.

2(b) Reasons for preparing a business plan

State FOUR reasons for preparing a business plan. (4 marks)

- To help the owner to think through the idea carefully and set out clear goals and strategies for the business before any money is spent.
- To support an application for a loan or for investment, since banks and investors will only provide funds when they see a properly written plan.
- To act as a guide for day-to-day operations, so the owner and staff know what they are working towards and how to achieve it.
- To allow the owner to compare actual performance against the plan and make adjustments where the business is falling short of its targets.

2(c) Short-term planning vs long-term planning

Outline TWO differences between 'short-term planning' and 'long-term planning'. (4 marks)

Length of the planning period

Short-term planning covers a period of up to one year and deals with day-to-day and weekly matters such as ordering stock, scheduling staff and meeting monthly sales targets. Long-term planning, in contrast,

covers a period of three to five years or more, and deals with broad goals such as opening new branches, entering new markets or developing new products.

Level of management and degree of detail

Short-term planning is normally done by lower and middle managers and is very detailed, with specific tasks, deadlines and figures for each operation. Long-term planning is done by top management, is more general in nature and focuses on the overall direction of the business rather than on the specific steps needed each day.

2(d) Benefit of collateral to borrower and lender

Explain ONE benefit of collateral to the borrower and ONE benefit to the lender, in the establishment of a business. (6 marks)

Benefit of collateral to the borrower

By offering collateral such as land, a building or a fixed deposit, the borrower is able to obtain a loan that he or she would not otherwise qualify for, and usually at a lower rate of interest because the loan is secured. This makes it possible to raise the larger sums of money needed to set up the business and to repay the loan over a longer period, which keeps the monthly instalments affordable.

Benefit of collateral to the lender

Collateral protects the lender from loss if the borrower fails to repay the loan as agreed. The lender has the legal right to take and sell the asset that was pledged in order to recover the money owed, including any interest. This security reduces the risk of lending to a new business and gives the lender confidence to release the funds in the first place.

Question 3

3(a) Factors of production and extractive production

(i) Define the term 'factors of production'. (2 marks)

Factors of production are the resources or inputs that are combined together to produce the goods and services that satisfy human wants. Without these resources, no production can take place.

(ii) List the FOUR factors of production. (4 marks)

- Land, which includes all the natural resources such as soil, minerals, forests, rivers and the sea.
- Labour, which is the human physical and mental effort used in producing goods and services.
- Capital, which is the man-made resources such as machinery, tools, buildings and money used to produce other goods.
- Entrepreneurship, which is the ability of a person to bring the other three factors together, take risks and run the business.

(iii) Define the term 'extractive production'. (2 marks)

Extractive production is the type of production that involves taking or extracting natural resources directly from the land, the sea or the air. Activities such as mining, fishing, quarrying, farming and lumbering are all examples of extractive production.

3(b) Industries from agricultural produce

Identify TWO industries that could be developed from agricultural produce in the Caribbean. (2 marks)

- The sugar and rum industry, which uses sugar cane to produce raw sugar, refined sugar, molasses and rum for local sale and for export.
- The food processing industry, which uses fruits, vegetables, cocoa and coffee to produce items such as juices, jams, sauces, chocolate and ground coffee.

3(c) Benefits of backward linkage industries

Outline TWO benefits of developing backward linkage industries. (4 marks)

Reduced dependence on imported raw materials

Backward linkage industries supply the raw materials and inputs that local producers would otherwise have to import. By producing items such as packaging, animal feed and basic chemicals at home, the country saves valuable foreign exchange and is less affected by changes in world prices or interruptions in shipping.

Creation of employment and additional income

Setting up backward linkage industries creates new jobs in farming, mining and small manufacturing, and provides incomes for owners, workers and suppliers in those industries. The additional spending by these workers also boosts other businesses in the country, which helps the whole economy to grow.

3(d) Factors affecting a country's supply of labour

Explain how TWO factors could affect a country's supply of labour. (6 marks)

Size and age structure of the population

The supply of labour depends first on how many people live in the country and on how many of them fall within the working age range, usually fifteen to sixty-five years. A country with a large and young population will have a bigger pool of workers available, while a country with many young children or many old people will have a smaller working-age group and therefore a smaller supply of labour.

Level of education, training and migration

The supply of labour is also affected by the education and training of the people, since well-trained workers are able to take up a wider range of jobs. If many skilled workers leave the country to work overseas, the supply of labour falls, especially in important fields such as nursing, teaching and information technology. On the other hand, if trained workers return home or migrate into the country, the supply of labour rises.

Question 4

Anne operates a wholesale ice-cream and yogurt business. She wants to introduce a new ice-cream flavour to the market.

4(a) Factors determining packaging and presentation

Identify FOUR factors which could determine the packaging and presentation of this new ice-cream flavour. (4 marks)

- The need to keep the ice-cream cold and protected, so the packaging must be insulated, sealed and able to stand up to freezing temperatures.
- The cost of the packaging materials, since Anne wants to keep her costs low without making the product look cheap to customers.
- The tastes and expectations of the target market, including the colours, pictures and style that will appeal to families, children or health-conscious customers.
- The legal requirements for food labelling, such as showing the ingredients, nutritional information, expiry date and place of manufacture on the package.

4(b) Methods to promote the sale of the new ice-cream flavour

Describe THREE methods which Anne could use to promote the sale of the new ice-cream flavour. (6 marks)

Advertising on traditional and social media

Anne can place colourful advertisements on television and radio and put up posters at supermarkets and along busy roads. She can also run a strong campaign on Facebook, Instagram and TikTok with short videos and pictures of the new flavour, so that customers across different age groups become aware of the product and are encouraged to try it.

Sales promotions and free samples

Anne can offer free tasting at supermarkets, schools and community events, and run special introductory offers such as buy one get one free or a discount on the first batch of cases bought by retailers. Letting customers taste the ice-cream and giving early buyers a price break helps to push fast initial sales and creates word of mouth.

Public relations and sponsorship

Anne can sponsor school sports days, beach festivals or community fairs, providing branded freezers and free samples of the new flavour at these events. The positive image created by these activities makes the public associate her brand with fun, health and community spirit, which builds long-term loyalty.

4(c) Techniques of selling

List FOUR techniques of selling which could be used to encourage consumers to purchase the new ice-cream flavour. (4 marks)

- Personal selling at supermarkets and events, where a salesperson talks directly to shoppers and lets them taste the product.
- Attractive in-store displays at the freezer section, with colourful posters, shelf talkers and end-of-aisle stands that catch the eye of shoppers.
- Price reductions, discount coupons and bundle offers, such as a lower price for buying two tubs together.
- Loyalty programmes such as a stamp card or a points scheme that gives customers a free tub after a number of purchases.

4(d) Terms of sale to encourage other businesses

Explain TWO terms of sale which Anne may use to encourage other businesses to purchase the new ice-cream flavour. (6 marks)

Trade discount

Anne can offer a trade discount, which is a reduction off the recommended retail price given to other businesses such as supermarkets, corner shops and ice-cream parlours that buy from her in bulk. The trade discount allows these retailers to make a profit when they sell to the final customer at the normal retail price, which encourages them to stock the new flavour and push it to their own customers.

Credit terms

Anne can offer credit terms such as thirty or sixty days to pay, which means that other businesses can take delivery of the new ice-cream now and pay for it after they have already sold most of it to their customers. By easing the cash flow pressure on the buyer, credit terms make it much easier for retailers to place a large first order of the new flavour.

Question 5

5(a) Indicators of standard of living and quality of life

(i) State TWO indicators of a country's standard of living. (2 marks)

- Gross domestic product per capita, which measures the average value of goods and services produced per person in the country each year.
- Average household income and ownership of goods such as cars, refrigerators, computers and decent housing.

(ii) State TWO indicators of a country's quality of life. (2 marks)

- Life expectancy at birth and infant mortality rates, which show how healthy and long-lived the population is.
- Access to clean water, good sanitation, education and a safe and clean environment, which together affect how well people actually live.

5(b) Define GDP and GNP

Define EACH of the following terms: (i) Gross domestic product (GDP); (ii) Gross national product (GNP). (4 marks)

(b)(i) Gross domestic product (GDP)

Gross domestic product is the total money value of all the final goods and services produced within the geographical borders of a country in a given year, no matter whether the producers are nationals or foreigners. It is one of the main measures used to compare the size of different economies.

(b)(ii) Gross national product (GNP)

Gross national product is the total money value of all the final goods and services produced in a given year by the nationals of a country, whether they are working inside the country or abroad. It is calculated by taking gross domestic product and adding net income earned by nationals from overseas.

5(c) Benefits from international trade

Outline THREE ways in which a country could benefit from international trade. (6 marks)

Access to a wider range of goods and services

International trade allows a country to import goods and services that it cannot produce itself, or cannot produce efficiently, such as oil, machinery, medicine and certain foods. This widens the choice available to consumers and businesses and raises the overall standard of living in the country.

Earning of foreign exchange and economic growth

By exporting goods and services, the country earns foreign exchange that it can use to pay for imports and to repay foreign debts. The increased demand for exports leads to higher production at home, more jobs and higher national income, which all support economic growth.

Specialisation and lower prices

International trade encourages each country to specialise in producing the goods it can make most efficiently and to trade them for goods produced more cheaply elsewhere. This specialisation makes better use of world resources and leads to lower prices for consumers in all the trading countries.

5(d) Negative effects on a developing country

Explain ONE negative effect of EACH of the following factors on the economy of a developing country. (i) Migration; (ii) Unemployment. (6 marks)

(d)(i) Migration

When skilled workers such as doctors, nurses, engineers and teachers leave a developing country to work overseas, the country loses the human capital it has trained at great cost, a problem often called the brain drain. Hospitals, schools and businesses are left short-staffed, services to the public suffer and the country has to spend more money to train replacement workers, all of which slows down economic development.

(d)(ii) Unemployment

When many people in a developing country are unemployed, the country loses the output that those workers could have produced, so total national income and gross domestic product are lower than they

could be. Unemployed people also pay no income tax and depend on welfare or on family for support, which reduces government revenue and at the same time raises government spending. High unemployment is also linked to poverty, crime and social unrest, all of which discourage investment and further weaken the economy.

May/June 2021 Paper 02

Question 1

1(a) Instruments of exchange

List FOUR instruments of exchange. (4 marks)

Four instruments of exchange used in modern business are:

- Cash in the form of notes and coins, used for everyday small payments.
- Cheques, which are written orders to a bank to pay a stated amount from the drawer's account.
- Debit and credit cards, which allow the holder to pay for goods electronically at the point of sale.
- Electronic transfers, including online banking, mobile money and wire transfers, which move funds directly between accounts.

1(b) How money facilitates trade

Outline TWO ways in which money facilitates trade in the modern economy. (4 marks)

Money serves as a medium of exchange

Money is accepted by everyone in the country in exchange for goods and services, so a buyer and a seller no longer need to find someone who has exactly what they want and who also wants what they have, as in barter. The buyer simply hands over money and the seller releases the goods. This makes trade quicker and easier and allows people to specialise in producing one thing and to use money to buy everything else they need.

Money serves as a measure and store of value

Money provides a common unit in which the prices of all goods and services can be measured, so buyers and sellers can compare values and decide whether a deal is fair. It also stores value over time, which means that producers and workers can be paid today and keep the money to spend in the future. This makes saving, lending, borrowing and long-term planning possible, all of which support modern trade.

1(c) Characteristics of types of businesses

State TWO characteristics of EACH of the following types of businesses. (i) Sole proprietorships (sole traders); (ii) Public limited companies; (iii) Cooperatives. (6 marks)

(c)(i) Sole proprietorships (sole traders)

- Owned and controlled by one person, who provides the capital and makes all the decisions.
- The owner has unlimited liability, which means that personal assets can be used to settle business debts.

(c)(ii) Public limited companies

- Shares are sold to the general public on the stock exchange, so there can be a very large number of shareholders.

- Shareholders have limited liability, meaning they can only lose the amount they invested in shares.

(c)(iii) Cooperatives

- Owned and democratically controlled by the members, who each have one vote regardless of how many shares they hold.
- Profits, called surplus, are shared among members based on how much they have used the cooperative, not on the size of their investment.

1(d) Free market vs planned economy

Explain THREE ways in which businesses in a free market economy operate when compared to businesses in a planned economy. (6 marks)

Ownership of resources

In a free market economy, the resources used in business, such as land, factories and machinery, are owned by private individuals and companies who decide what to produce and how to use these resources. In a planned economy, most resources are owned by the state, and businesses simply carry out the production targets set by the government instead of choosing for themselves.

Decision making and prices

Businesses in a free market economy decide what goods to produce, how much to produce and what price to charge, guided by the demand of customers and the prices in the market. In a planned economy, these decisions are made by central planners, and prices are usually fixed by the government rather than by supply and demand.

Profit motive and competition

In a free market economy, businesses are driven by the desire to make profit, and they compete with each other to attract customers by offering better prices, quality or service. In a planned economy, the profit motive is much weaker because businesses are owned by the state, so there is little or no competition between firms and less pressure to improve products.

Question 2

2(a) Sources of conflict

Identify FOUR potential sources of conflict within the workplace. (4 marks)

- Poor working conditions, such as long hours, unsafe equipment or low wages.
- Disagreements between different departments over budgets, resources or responsibilities.
- Personal differences, such as clashes of personality or unfair treatment by a supervisor.
- Changes in the way the business is run, such as the introduction of new technology or new rules.

2(b) Employee actions during conflict

List FOUR actions that employees may take to gain the upper hand during periods of conflict. (4 marks)

- Going on strike, by stopping work until their demands are met.

- Working to rule, by sticking strictly to the job description and refusing extra duties.
- Picketing, by gathering outside the workplace with placards to highlight the dispute.
- Carrying out a sit-in or go-slow, by remaining at the workplace but doing very little work.

2(c) Conflict resolution strategies

Describe EACH of the following strategies that may be used in the resolution of conflict in the workplace. (i) Grievance procedure; (ii) Mediation; (iii) Arbitration. (6 marks)

(c)(i) Grievance procedure

A grievance procedure is a formal step-by-step process set out by the business that workers must follow when they have a complaint. The worker first reports the complaint to the immediate supervisor, and if it is not settled there, the complaint moves up to higher levels of management, and finally to the trade union if necessary. The procedure makes sure that complaints are dealt with fairly and in writing rather than ignored.

(c)(ii) Mediation

Mediation is a method of conflict resolution in which a neutral third party, called the mediator, listens to both sides of the dispute and tries to help them reach a voluntary agreement. The mediator does not make a binding decision but encourages the workers and management to talk, understand each other's position and find common ground.

(c)(iii) Arbitration

Arbitration is a method of conflict resolution in which the dispute is taken to a neutral third party called an arbitrator, who hears evidence from both sides and then makes a binding decision. The workers and management agree in advance to accept the arbitrator's ruling, which brings the dispute to a clear end.

2(d) Building good management-staff relationships

Explain TWO strategies that may be adopted by management to build good relationships between management and staff in the workplace. (6 marks)

Open and honest communication

Management can hold regular meetings, send out newsletters and use notice boards or staff portals to keep workers informed about the goals, plans and challenges of the business. Workers should also be invited to ask questions, give feedback and share concerns through suggestion boxes, open-door policies and small group meetings. When workers feel that they are kept in the loop and that their views are taken seriously, trust grows and conflicts are less likely to arise.

Fair pay, recognition and training opportunities

Management can build good relationships by paying fair wages and salaries, giving bonuses for good work and saying thank you publicly when staff perform well. Offering training, promotion and clear career paths shows that the business cares about workers' future. When staff feel valued and see real opportunities to grow, they remain loyal to the company and work more cooperatively with management.

Question 3

3(a) Subsistence vs domestic level of production

Distinguish between the 'subsistence level of production' and the 'domestic level of production'. (4 marks)

Subsistence level of production

Subsistence production is the lowest level of production, where a producer makes goods or grows crops only to satisfy the needs of his or her own family, with little or nothing left over to sell. The output is small, the methods are simple and there is hardly any contact with the wider market.

Domestic level of production

Domestic production is a higher level at which a producer makes enough goods or services to satisfy not only personal needs but also the needs of the wider local market within the country. There is a clear surplus that is sold to other consumers and businesses inside the country, but the producer does not yet export goods to overseas markets.

3(b) Characteristics of cottage industries

List THREE characteristics of cottage industries. (3 marks)

- They are run from the home or in a small building close to the home, using mostly family labour.
- They use simple tools, hand methods and small amounts of capital, rather than large factory machines.
- They produce small quantities of goods, often craft or food items, for the local community or tourists.

3(c) Small businesses

(i) State THREE functions of small businesses in rural communities. (3 marks); (ii) State TWO advantages and TWO disadvantages of small businesses. (4 marks)

(c)(i) THREE functions of small businesses in rural communities

- Providing employment for residents who would otherwise have to travel to urban areas to find work.
- Supplying goods and services such as groceries, repairs and personal services to people in the community.
- Earning income for the community and helping to keep money circulating locally rather than flowing out to the cities.

(c)(ii) TWO advantages and TWO disadvantages of small businesses

Advantages

Small businesses are cheap and quick to set up, since they need little capital and few legal formalities. They also offer personal service and can adjust their products quickly to suit the needs of regular customers, which builds strong loyalty.

Disadvantages

Small businesses often find it hard to raise large sums of capital, so they cannot easily expand or buy modern equipment. They also struggle to compete with the lower prices and wide product range of larger firms, and the owner usually has to work very long hours.

3(d) Effects of growth on internal operations

The owner of a small manufacturing business is considering expanding her firm. Explain TWO possible effects the firm's growth may have on the internal operations of the business. (6 marks)

Need for a more formal organisational structure

As the firm grows, the owner can no longer supervise every worker and every task personally. She will have to set up clear departments such as production, sales and accounts, appoint supervisors and managers and prepare an organisation chart that shows the lines of authority. Job descriptions, written rules and proper meetings will become necessary, which adds to administrative work but is needed to keep the business under control.

Greater investment in technology, training and stock control

A larger firm has to handle more orders, more raw materials and more customers, so the owner will need to invest in better machinery, computer systems and stock control software. Workers will need extra training to handle these new tools and to follow new procedures, and the firm will probably need a bigger building or warehouse. These changes raise efficiency but also increase costs and require careful financial planning.

Question 4

4(a) Forms of technology in business

Define EACH of the following forms of technology used in business. (i) E-commerce; (ii) Global positioning system (GPS). (4 marks)

(a)(i) E-commerce

E-commerce, short for electronic commerce, is the buying and selling of goods and services over the internet. Customers visit a website or app, choose products, pay electronically and have the goods delivered or downloaded, instead of going into a physical store.

(a)(ii) Global positioning system (GPS)

The Global Positioning System (GPS) is a satellite-based navigation system that uses signals from orbiting satellites to give a very accurate location, speed and time anywhere on earth. Businesses use GPS to track delivery vehicles, plan the best routes and provide location-based services to customers.

4(b) Activities in supply chain operations

List FOUR activities involved in supply chain operations. (4 marks)

- Sourcing and purchasing of raw materials and supplies from selected suppliers.
- Production or manufacturing, which converts raw materials into finished goods.

- Storage and warehousing of raw materials, work in progress and finished goods.
- Transportation and distribution of finished goods to wholesalers, retailers and final customers.

4(c) Advantages of supply chain operations

Outline THREE advantages of supply chain operations to a firm. (6 marks)

Lower costs and better use of resources

Good supply chain operations make sure that raw materials, labour, machinery and storage space are used efficiently. Bulk buying, careful stock control and fast transport reduce waste and lower the cost of producing each unit. The savings can be used to lower prices, increase profit margins or invest in new products.

Faster delivery and better customer service

When the supply chain is properly managed, raw materials arrive at the factory on time and finished goods reach the customer quickly. The firm can offer shorter delivery times, fewer stock-outs and more reliable service, which keeps customers happy and gives the business an advantage over slower rivals.

Stronger relationships with suppliers and partners

Through ongoing contact with suppliers, transport companies and retailers, the firm builds long-term partnerships based on trust and shared information. These partners are more willing to give favourable prices, accept rush orders and work together to solve problems, which helps the whole supply chain to perform better.

4(d) Logistics and competitiveness

Explain TWO ways in which logistics could improve the competitiveness of a business. (6 marks)

Reducing total operating costs

Effective logistics combines transport, warehousing, packaging and stock control into one carefully planned system. By choosing the cheapest suitable transport mode, grouping shipments together and storing goods close to customers, the business cuts the cost of moving and holding stock. Lower logistics costs allow the firm to charge more competitive prices than rivals while still earning a good profit.

Improving delivery speed and customer satisfaction

A good logistics system uses tracking, forecasting and route planning to make sure that orders are picked, packed and delivered to customers on time. Customers receive their goods quickly and can check the progress of their orders online. Reliable, fast delivery becomes a strong selling point, especially in markets like e-commerce, where customers will easily switch to a competitor that delivers faster.

Question 5

5(a) Social services provided by government

List FOUR social services which are provided by a government for the citizens of its country. (4 marks)

- Public education, including primary, secondary and tertiary schools.
- Public health care, through government hospitals, clinics and health centres.

- Social security and welfare benefits, such as old-age pensions and unemployment assistance.
- Public housing and water and sanitation services, especially for low-income households.

5(b) Responsibilities of government to its citizens

Outline TWO responsibilities of a government to its citizens. (4 marks)

Maintaining law, order and national security

The government has the responsibility to protect citizens by maintaining a police force, a court system and the armed forces. These institutions enforce the laws of the country, settle disputes peacefully and defend the country from outside threats, so that citizens can live and work in safety.

Providing essential public goods and services

The government must supply services that the private sector either cannot provide profitably or that should be available to everyone, such as roads, street lighting, public schools, public hospitals and clean water. Funded by taxes, these services raise the standard of living of all citizens and support the smooth running of the economy.

5(c) Government assistance to local business sector

Describe THREE ways in which governments may assist in the development of the local business sector. (6 marks)

Providing finance and tax incentives

Governments help local businesses by setting up special agencies that offer low-interest loans, grants and tax holidays to small and medium-sized firms. By making finance easier to obtain and reducing the tax burden in the early years, the government encourages people to start new businesses and existing firms to expand and create jobs.

Building infrastructure and providing utilities

The government invests in roads, ports, airports, electricity, water and internet networks that businesses need in order to operate efficiently. Reliable infrastructure lowers business costs, makes it easier to deliver goods and attracts both local and foreign investors to set up operations in the country.

Offering training, advice and protection

Governments fund technical and vocational training centres, run business advisory services through agencies like the small business bureau and pass laws to protect intellectual property and to control unfair competition. These services raise the level of business skills and create a fair, safe environment in which local firms can grow.

5(d) Education and economic growth

Education could be considered one of the great growth industries of developing economies. Explain TWO ways in which education could contribute to economic growth in the Caribbean region. (6 marks)

Higher productivity of the workforce

Better education produces workers who can read, write, calculate and use technology to a higher standard. Skilled workers do their jobs faster and with fewer mistakes, can take on more complex roles in industries

such as tourism, finance and manufacturing, and can adapt easily to new methods. As output per worker rises, businesses become more competitive and the gross domestic product of the country grows steadily.

More entrepreneurship, innovation and export earnings

When citizens are well educated, more of them have the knowledge and confidence to start their own businesses, invent new products and use the internet to reach overseas customers. New businesses and new ideas create jobs, expand exports of goods and services and bring in foreign exchange. The Caribbean region especially benefits from educated entrepreneurs in areas such as music, agro-processing, software development and creative industries.

January 2022 Paper 02

Question 1

Jane studied Principles of Business while attending high school and was inspired to own and operate a business in her community.

1(a) Reasons to establish her own business

(a) State FOUR reasons why Jane would want to establish her own business. (4 marks)

Four reasons why Jane would want to establish her own business are:

- To be her own boss, so that she can make her own decisions about how the business is run rather than having to follow instructions from another employer.
- To earn profits for herself, because as the owner she keeps the money the business makes after costs are paid, instead of receiving only a fixed wage.
- To use her own skills and ideas from Principles of Business to turn a hobby or talent into a source of income that she controls.
- To create employment for members of her community and contribute to the development of the area where she lives.

1(b) Characteristics of a successful entrepreneur

(b) List THREE characteristics Jane would need to possess in order to become a successful entrepreneur. (3 marks)

- Risk taking, because she must be willing to invest her own money and time in the business without a guarantee that it will succeed.
- Creativity and innovation, so that she can come up with fresh ideas for products, services and ways of attracting customers in her community.
- Self-confidence and determination, which will help her to keep going when the business meets challenges and to make firm decisions under pressure.

1(c) Reasons to conduct a feasibility study

(c) State THREE reasons why Jane should conduct a feasibility study prior to establishing her business. (3 marks)

- To find out whether there is enough demand for the product in her community before she spends money setting up.
- To estimate the start-up costs and the likely sales, so she can see whether the business will be profitable.
- To produce evidence that she can show to a bank or investor when she applies for a loan or other financing.

1(d) Roles of stakeholders in Jane's business

(d) State ONE role of any TWO stakeholders that will be involved in Jane's business. (4 marks)

Customers

The role of customers is to buy the goods or services that Jane offers and to provide her with the sales revenue that keeps the business running. Their feedback also helps Jane to improve her products.

Employees

The role of employees is to carry out the day-to-day work of the business, such as serving customers, making the products and keeping records, in exchange for the wages that Jane pays them.

1(e) Social and economic contribution

(e) Explain TWO ways in which Jane's business could contribute to the social and economic development of her country. (6 marks)

Job creation and reduction of unemployment

By hiring workers from her community, Jane provides jobs that allow people to earn a steady income, support their families and improve their standard of living. As more people are employed, fewer have to depend on government assistance, and crime levels linked to unemployment may also fall, which improves social conditions in the country.

Generation of tax revenue and supply of needed goods

Jane's business will pay taxes such as income tax and General Consumption Tax to the government, which can then be spent on schools, roads and health services that benefit everyone. At the same time, by supplying goods or services that residents need, the business reduces the need for imports and helps the local economy to grow.

Question 2

2(a) Importance of proper documentation

(a) State THREE reasons why it is important for a firm to have proper documentation in all of its business transactions. (3 marks)

- Proper documents provide written evidence of every transaction, which can be used to settle disputes between the firm and its customers or suppliers.
- They allow the firm to keep accurate financial records, so that the accountant can prepare reliable accounts and the manager can plan future spending.
- They are required by the tax authority and by auditors as proof of income and expenses, so the firm can meet its legal obligations.

2(b) Purpose of business documents

(b) Outline the purpose of EACH of the following types of business documents.

(b)(i) Pro forma invoice

(i) Pro forma invoice (2 marks)

A pro forma invoice is a document sent by a seller to a buyer before goods are supplied, showing the description of the goods, the price, the terms of payment and the expected delivery details. Its purpose is to let the buyer know exactly what the goods will cost so that he can arrange payment, finance or import permission before the actual sale takes place.

(b)(ii) Purchase requisition

(ii) Purchase requisition (2 marks)

A purchase requisition is an internal document sent from a department in the business to the purchasing department, requesting that certain goods or materials be ordered from suppliers. Its purpose is to give the purchasing officer formal authority to place an order and to provide a written record of what has been requested, by whom and for what use.

2(c) Non-life insurance policies

(c) List THREE types of non-life insurance policies. (3 marks)

- Motor vehicle insurance, which covers loss or damage to vehicles and injuries caused by accidents on the road.
- Fire insurance, which covers loss or damage to buildings, stock and equipment caused by fire.
- Property or burglary insurance, which covers loss of business property due to theft or break-in.

2(d) Principles of insurance

(d) Describe TWO principles upon which insurance is based. (4 marks)

Utmost good faith

This principle requires the person taking out the policy to disclose all important information truthfully when applying. For example, the insured must tell the insurance company about any past claims or known risks. If the insured hides material facts, the insurance company can refuse to pay when a claim is made.

Indemnity

This principle states that insurance is intended only to put the insured back in the financial position he was in just before the loss, and not to allow him to make a profit from the loss. So if a fire damages stock worth fifty thousand dollars, the insured can only claim up to that amount even if the policy was for a higher sum.

2(e) Insurance to lower business risks

(e) Explain TWO ways in which insurance could be used to lower the risks associated with business. (6 marks)

Protection against loss of physical assets

By taking out fire, theft and motor insurance, a business transfers the financial risk of damage or loss of its buildings, stock, equipment and vehicles to the insurance company. If a fire destroys the warehouse or

a delivery truck is stolen, the insurer pays compensation, and the business can replace the assets and continue trading instead of facing huge losses that might force it to close.

Protection against legal claims and loss of income

Public liability insurance covers the business if a customer or member of the public is injured on its premises and decides to sue, while business interruption insurance pays for income lost while the business is closed because of an insured event such as a fire. These policies stop one bad incident from wiping out the firm's profits, and they also give the owners peace of mind so that they can focus on running the business.

Question 3

3(a) Public relations

(a) (i) Define the term 'public relations'. (2 marks); (ii) Identify TWO types of public relations activities that are popular in the Caribbean. (2 marks)

(a)(i) Definition

Public relations refers to the planned activities that a firm carries out to build and maintain a good image and a positive relationship with its customers, employees, the government and the wider public. It is concerned with how the firm is seen and talked about, rather than with directly selling a product.

(a)(ii) TWO popular public relations activities in the Caribbean

- Sponsorship of sporting events, school competitions and cultural festivals such as Carnival or Independence celebrations.
- Charitable activities such as back-to-school drives, hurricane relief donations and community clean-up campaigns.

3(b) Public relations and communities

(b) Outline TWO ways in which the public relations activities of a firm could benefit communities. (4 marks)

Provision of resources and services to local people

When a firm sponsors a school feeding programme, donates books to a library or builds a sports facility, it directly improves the quality of life of people who live near the business. Children and families gain access to resources they might not have been able to afford on their own.

Support for community development and skills

Public relations activities such as offering training workshops, internships or career talks to young people give community members new skills and exposure to the world of work. This helps to raise the level of education and employability in the area, which benefits the community for many years.

3(c) Factors influencing consumer behaviour

(c) Describe THREE factors that influence consumer behaviour. (6 marks)

Income level
The amount of money a consumer earns or has available to spend has a strong effect on what is bought and how often. Higher-income consumers can afford branded goods, larger quantities and luxury items, while lower-income consumers usually buy cheaper brands, smaller pack sizes and only what is essential.

Taste, fashion and culture
What is in style and what is regarded as acceptable in a person's culture also shapes buying decisions. For example, fashion trends among young people, religious beliefs about food and Caribbean cultural preferences in music and dress all affect which products consumers will choose.

Advertising and promotion
The information consumers receive through television, radio, billboards and social media advertising influences which brands they trust and remember. Sales promotions such as discounts, free samples and bonus packs can also encourage consumers to switch brands or to buy more than they had planned.

3(d) Government protection of consumers

(d) Explain TWO ways in which a government can protect consumers through its consumer organizations. (6 marks)

Setting and enforcing standards for goods and services
Through bodies such as the Bureau of Standards, the government can lay down rules about the quality, labelling and safety of products being sold. Inspectors test goods like food, electrical items and children's toys, and they can ban or recall products that are unsafe. This protects consumers from being harmed by faulty or dangerous items in the marketplace.

Investigating complaints and educating the public
Consumer affairs departments and Fair Trading Commissions investigate complaints from shoppers about overcharging, misleading advertising and poor service. They can order businesses to refund customers, fine offenders or take them to court. They also run consumer education campaigns through the media that teach citizens about their rights, so that consumers can recognise and avoid being cheated.

Question 4

4(a) Definitions

(a) Define EACH of the following terms. (i) Logistics (2 marks); (ii) Supply chain operations (2 marks)

Logistics
Logistics is the part of business management that plans and controls the movement and storage of goods, services and information from the point of supply to the point of consumption. It includes activities such as transportation, warehousing, inventory control, packaging and order processing, all aimed at making sure that the right products reach the right customers at the right time and at the lowest possible cost.

Supply chain operations
Supply chain operations are the connected activities involved in producing and delivering a product, starting with the supply of raw materials, moving through manufacturing and warehousing, and ending

with the delivery of the finished product to the final customer. They cover the relationships between suppliers, manufacturers, distributors, retailers and customers, so that goods flow smoothly through every stage.

4(b) Bill of lading vs airway bill

(b) State TWO differences between a 'bill of lading' and an 'airway bill'. (4 marks)

Mode of transport

A bill of lading is the document used when goods are sent by sea, on a ship, while an airway bill is used when goods are sent by air, on a cargo plane.

Document of title

A bill of lading is a document of title, which means that whoever holds the original bill of lading has the right to claim the goods at the port of arrival, and it can be transferred to another person. An airway bill is not a document of title; the goods are simply released to the named consignee on arrival, and the airway bill cannot be used to transfer ownership.

4(c) Roles of transportation in marketing

(c) Outline THREE roles of transportation in the marketing of goods. (6 marks)

Moving goods from producers to consumers

Transportation carries finished goods from the factory or farm to wholesalers, retailers and final consumers, sometimes across long distances. Without reliable transport, products would not reach the people who want to buy them, no matter how good the marketing campaign.

Widening the market

Good road, sea and air transport allow a firm to sell its goods well beyond its local area, including in other islands and overseas. This larger market means more customers, higher sales and the chance to take advantage of large-scale production.

Preserving the quality and value of goods

Specialised transport such as refrigerated trucks for ice cream and meat, or careful handling for fragile electronics, keeps goods in good condition until they reach the consumer. This protects the brand image and supports the price the firm can charge.

4(d) Distributing bananas from the Caribbean to the USA

(d) Explain TWO problems an agricultural firm may face when distributing bananas from the Caribbean to the USA. (6 marks)

Perishability and the need for cold chain transport

Bananas are highly perishable and continue to ripen quickly once they are picked. Moving them all the way to the USA means they must be kept in temperature-controlled containers throughout the journey by truck, ship and onward delivery. Any breakdown in the cold chain, delays at the port or rough handling can cause the fruit to over-ripen or spoil before it reaches supermarket shelves, leading to heavy losses.

Trade barriers, regulations and high freight costs

The USA has strict rules on the quality, size and pesticide residues of imported bananas, and the firm must obtain the correct phytosanitary certificates and meet customs requirements. On top of this, ocean freight, port fees and insurance costs are high, especially during the hurricane season when shipping schedules can be disrupted. These extra costs and delays make it difficult to compete on price with bananas grown closer to the USA.

Question 5

5(a) CARICOM

(a) (i) State TWO functions of the Caribbean Community (CARICOM). (2 marks); (ii) State TWO benefits Caribbean countries may enjoy as members of CARICOM. (2 marks)

(a)(i) TWO functions of CARICOM

- To promote economic integration and cooperation among member states, including the operation of the Caribbean Single Market and Economy (CSME).
- To coordinate the foreign policy of member states and to provide common services and functional cooperation in areas such as health, education and disaster response.

(a)(ii) TWO benefits of CARICOM membership

- Free movement of goods, services, capital and certain categories of skilled workers among member countries, which expands the market for businesses and employment opportunities for citizens.
- Stronger bargaining power as a group when negotiating trade agreements with larger economies such as the USA, Canada and the European Union.

5(b) Foreign direct investment

(b) Define the term 'foreign direct investment' (FDI). (2 marks)

Foreign direct investment, or FDI, is investment made by a person or company from one country into business operations located in another country, where the investor takes a lasting ownership interest and a meaningful degree of control. Examples include a foreign company building a hotel, opening a factory or buying a controlling share in a local firm in the Caribbean.

5(c) Reasons foreign businesses invest in the Caribbean

(c) State FOUR reasons why foreign businesses may be willing to invest in the Caribbean region. (4 marks)

- The Caribbean offers attractive natural resources and tourism assets, such as warm climate, beaches and oil and gas in some countries, which support profitable industries.
- Governments in the region offer tax incentives, free zones and duty concessions that lower the cost of doing business.

- Caribbean countries have relatively well-educated, English-speaking workers whose wages are lower than in North America and Europe.
- The region has political stability, established legal systems and access to large export markets through trade agreements with the USA, Canada and the EU.

5(d) Human resource development and CARICOM problems

(d) Outline TWO ways in which human resource development could assist in reducing the economic problems of CARICOM countries. (4 marks)

Improving productivity through training and education

When governments and firms invest in training programmes, technical and vocational courses and university education, workers gain new skills that allow them to produce more output of better quality in the same time. Higher productivity makes Caribbean firms more competitive, supports higher wages and reduces the need to import skills from abroad.

Reducing unemployment and dependence on a few industries

By developing skills in areas such as information technology, agro-processing, renewable energy and creative industries, human resource development opens up new types of jobs for citizens. This reduces unemployment and lowers the region's dependence on a small number of traditional industries such as tourism and sugar, making the economies less vulnerable to shocks.

5(e) Technology in shoe manufacturing

(e) Explain TWO ways in which a local shoe manufacturing firm can use technology to boost its production levels. (6 marks)

Use of computer-aided design (CAD) and automated cutting machines

With CAD software, designers can create and adjust shoe designs on a computer in a fraction of the time it would take to draw and prototype them by hand. Connected to automated cutting machines, the same designs can be cut from leather or fabric quickly, accurately and with less waste. This speeds up the development of new styles and increases the number of shoes the factory can produce each day.

Use of assembly line robotics and inventory management systems

Installing semi-automated stitching machines and robotic equipment on the assembly line allows shoes to be put together faster and with fewer mistakes than purely manual work. At the same time, computerised inventory and production management systems track raw materials, work-in-progress and finished goods in real time, so the firm avoids running out of supplies and can plan production runs more efficiently. Together, these technologies raise total output and lower unit costs.

May/June 2022 Paper 02

Question 1

Joanne wants to set up a cosmetic store in her community and therefore needs to collect data to determine the feasibility of this type of business.

1(a) Research data

(a) (i) Identify the TWO main types of research data she would need to gather in order to establish the business. (2 marks); (ii) State ONE source of EACH type of data identified in (a)(i). (2 marks)

(a)(i) TWO main types of research data

- Primary data, which is information collected first-hand by Joanne for the specific purpose of her cosmetic store study.
- Secondary data, which is information that has already been collected and published by someone else for another purpose.

(a)(ii) ONE source of EACH type

Source of primary data

Joanne can carry out a questionnaire or survey of women and men living in her community, asking them about the cosmetics they use, how often they buy and how much they are willing to spend. The information she gathers directly from these potential customers is a primary source.

Source of secondary data

Joanne can use published reports from the country's Statistical Institute, trade magazines or websites of major cosmetic suppliers to find information on industry sales trends and population data. This is secondary data because it was originally produced by other organisations.

1(b) Reasons to set up her own business

(b) State FOUR reasons why Joanne may want to set up her own business. (4 marks)

- To be her own boss, so that she can make all the decisions about how the cosmetic store is run.
- To earn profits for herself rather than a fixed salary working for another employer.
- To gain independence and the personal satisfaction of building something of her own.
- To create employment for herself and other members of her community, helping the local economy to develop.

1(c) Steps in setting up the cosmetic business

(c) Outline THREE steps that Joanne must take in setting up the cosmetic business. (6 marks)

Conduct market research and prepare a business plan

Joanne should first study the demand for cosmetics in her community, the competition and the prices customers are willing to pay. She must then put her findings together in a written business plan that sets

out her objectives, target market, marketing plan and financial projections, which will guide her decisions and support any loan application.

Register the business and obtain the necessary licences

Joanne must register the name of her business with the Companies Office or relevant authority and apply for any trade licences and tax registration numbers required to operate legally. She should also check zoning rules to make sure that a cosmetic store is allowed at the chosen location.

Secure premises, finance and stock

Joanne needs to find a suitable location with good customer traffic, arrange the start-up capital from her own savings and a bank loan if needed, and then order opening stock from cosmetic suppliers. She must also fit out the store with shelves, lighting and a point-of-sale system before opening her doors to the public.

1(d) Short-term and long-term planning

(d) Explain ONE benefit of short-term planning and ONE benefit of long-term planning to the successful operations of a business. (6 marks)

Benefit of short-term planning

Short-term planning, which usually covers a period of up to one year, helps the business to manage its day-to-day and weekly operations smoothly. For example, a cosmetic store can plan its monthly stock orders, weekly staff rosters and short promotional campaigns so that the right products are on the shelves and the right number of workers are on duty when customers come in. This keeps costs under control and reduces problems such as running out of popular items.

Benefit of long-term planning

Long-term planning, which usually covers three to five years or more, helps the business to set a clear direction for growth and to prepare for major changes in the market. For example, the cosmetic store can plan to open a second branch, invest in an online sales platform or develop its own brand of products. By thinking ahead, the owner can save up the needed capital, train staff and build relationships with suppliers, so that the business is ready to take advantage of new opportunities and to face future competition.

Question 2

2(a) Simple and specialty contracts

(a) (i) Define the term 'simple contract'. (2 marks); (ii) Describe the THREE characteristics of a specialty contract. (6 marks)

(a)(i) Definition of simple contract

A simple contract is an agreement between two or more parties that does not have to be made under seal. It can be made orally, in writing or even implied by the conduct of the parties, and it is enforceable in court once the basic elements of offer, acceptance, consideration and intention to create legal relations are present.

(a)(ii) THREE characteristics of a specialty contract

It must be in writing

A specialty contract, also known as a deed, must always be put down in writing. An oral specialty contract is not valid, because the formal nature of this type of agreement requires that the terms be set out clearly on paper.

It must be signed, sealed and delivered

The parties must sign the document, attach a seal (often a small red sticker or an official stamp) and then deliver or hand it over to the other party. This formality shows that both sides have given the agreement careful thought.

Consideration is not strictly required

Unlike a simple contract, a specialty contract does not need consideration (something of value passing between the parties) in order to be enforceable. The formality of the deed itself, with its signing and sealing, is enough to make it binding in law.

2(b) Offer and counteroffer

(b) Outline what is meant by EACH of the following conditions of offer and acceptance relating to a contract: (i) Offer (2 marks); (ii) Counteroffer (2 marks)

(b)(i) Offer

An offer is a clear and definite statement by one party (the offeror) showing the willingness to enter into a contract on stated terms with another party (the offeree), so that once the offer is accepted as it stands, a binding agreement is formed. For example, a seller saying 'I will sell you my car for forty thousand dollars' is making an offer.

(b)(ii) Counteroffer

A counteroffer is a response by the offeree that does not simply accept the original offer but instead changes one or more of its terms, such as the price, quantity or delivery date. A counteroffer cancels the original offer and becomes a new offer that the original offeror may either accept or reject. For example, if the buyer replies 'I will give you thirty-five thousand dollars instead', that is a counteroffer.

2(c) Termination of a contract

(c) Briefly explain ONE way in which a contract may be terminated or discharged. (2 marks)

Discharge by performance

A contract is terminated by performance when both parties fully carry out the duties they agreed to under the contract. For example, when a seller delivers the agreed goods and the buyer pays the full price as agreed, the contract is completed and discharged.

2(d) The Doris and Mark scenario

(d) Doris offers to sell Mark one of her cars. She intends to sell him the red five-year-old Tomato Excel but Mark thinks she is selling him the yellow three-year-old Scotch Bonnet Deluxe, which he told Doris he liked very much. Mark sends his mechanic to check the car. The mechanic returns and tells him that the car is in very good working condition. Mark pays Doris for the car by way of a manager's cheque.

However, when the car is delivered, it is the Tomato Excel instead of the Scotch Bonnet Deluxe. Mark is convinced that Doris tricked him and plans to sue her.

(d)(i) Legal term

(i) State the legal term used to describe the situation that has occurred between Doris and Mark. (1 mark)

The legal term used to describe this situation is mistake, more specifically a mutual mistake about the subject matter of the contract, because each party had a different car in mind when the agreement was made.

(d)(ii) Actions to prevent the situation

(ii) Suggest THREE actions that could have been taken by either Doris or Mark to prevent this situation from occurring. (3 marks)

- They could have put the agreement in writing, clearly stating the make, model, colour, year and registration number of the specific car being sold.
- Mark could have viewed the actual car himself, instead of sending only the mechanic, so that he could confirm it was the Scotch Bonnet Deluxe before paying.
- Doris could have shown Mark photographs or the registration documents of the exact car she intended to sell, so that any confusion would have been spotted before money changed hands.

(d)(iii) Settlement without legal action

(iii) Recommend TWO ways in which the situation could be settled without Mark taking legal action. (2 marks)

Negotiation between the parties

Doris and Mark can sit down and talk through what happened. Doris can agree to take back the Tomato Excel, refund Mark's money and, if she is willing, sell him the Scotch Bonnet Deluxe at the agreed price instead.

Mediation by a neutral third party

If they cannot reach agreement on their own, they can ask a trusted mutual friend, a community justice officer or a professional mediator to listen to both sides and help them work out a fair solution, such as a partial refund and an apology, without going to court.

Question 3

Cottage and linkage industries play a vital role in the economic development of Caribbean economies.

3(a) Cottage industries

(a) (i) List FOUR characteristics of cottage industries. (4 marks); (ii) State TWO examples of products manufactured by cottage industries in the Caribbean. (2 marks)

(a)(i) FOUR characteristics of cottage industries

- They are small in scale, usually run as a family business from the home of the owner.

- They use a small amount of capital and rely mainly on simple tools and manual labour rather than heavy machinery.
- They employ few workers, often just members of the family or a few people from the local community.
- They produce handmade goods in small quantities, often based on traditional skills passed down through generations.

(a)(ii) TWO examples of cottage industry products

- Handmade craft items such as straw hats, baskets and woven bags.
- Locally produced jams, jellies, pepper sauces and baked goods.

3(b) Tourism stakeholders and cottage production

(b) Outline ONE way in which stakeholders in the tourism industry may benefit from cottage production. (2 marks)

Authentic Caribbean products for visitors

Hotels, gift shops and tour operators can source unique, locally made craft items, sauces and souvenirs from cottage producers and sell them to tourists. This gives visitors an authentic Caribbean experience, raises the appeal of the destination and provides extra income for both the tourism stakeholders and the cottage producers.

3(c) Primary vs secondary production

(c) Differentiate between 'primary production' and 'secondary production', stating ONE example of EACH. (4 marks)

Primary production

Primary production involves the extraction or harvesting of natural resources directly from the earth, sea or air, before any further processing takes place. An example is sugar cane farming in Jamaica or fishing off the coast of Guyana.

Secondary production

Secondary production involves taking the raw materials produced at the primary stage and processing or manufacturing them into finished or semi-finished goods. An example is turning sugar cane into refined sugar and rum at a sugar factory, or processing fish into canned tuna.

3(d) Increased capital and business growth

(d) Outline ONE benefit of increased capital on the growth of a business. (2 marks)

Ability to expand operations and raise output

With more capital, the business can buy additional machinery, larger premises and more raw materials, and it can hire and train more workers. This allows it to produce more goods or serve more customers, take advantage of economies of scale and grow its sales and profits.

3(e) Linkage industries and economic development

(e) Explain TWO ways in which linkage industries assist in the economic development of a country. (6 marks)

Greater use of local raw materials and reduced imports

Linkage industries connect different sectors so that the output of one becomes the input of another. For example, when a tomato ketchup factory buys its tomatoes from local farmers, more local agricultural produce is used and fewer raw materials need to be imported. This saves foreign exchange, supports farming families and creates a stronger, more self-reliant economy.

Job creation and broader industrial base

When industries are linked, growth in one industry creates demand for goods and services from another, leading to new jobs in farming, transport, packaging, marketing and retail. As more industries are developed alongside each other, the country becomes less dependent on a single sector such as tourism or sugar, which makes the economy more stable and supports long-term development.

Question 4

4(a) Distribution chain

(a) (i) Identify the TWO missing links in the distribution chain shown in Figure 1. (2 marks); (ii) Describe the function of any TWO links in the distribution chain in Figure 1. (4 marks)

(a)(i) TWO missing links

- A: Manufacturer, who creates the product.
- B: Retailer, who buys goods from the wholesaler in smaller quantities and sells them directly to the final consumer.

(a)(ii) Function of any TWO links

Producer (manufacturer)

The producer is the link that actually creates the goods or grows the raw materials. The producer organises factors of production such as land, labour and capital, manufactures the product in large quantities and then makes it available to the next link in the chain, usually the wholesaler.

Retailer

The retailer is the link closest to the consumer. The retailer buys goods from wholesalers or directly from producers, breaks them down into the small quantities that individuals want, displays them in a shop and offers services such as advice, credit and after-sales support, making it convenient for consumers to buy.

4(b) Technology in logistics and supply chain

(b) List FOUR forms of technology utilized in logistics and supply chain operations. (4 marks)

- Barcode and QR code scanning systems used to track items as they move through warehouses and stores.
- Global Positioning System (GPS) and vehicle tracking software used to monitor the location of trucks, ships and shipments in real time.

- Electronic Data Interchange (EDI) and supply chain management software used to send orders, invoices and shipping notices between firms electronically.
- Radio Frequency Identification (RFID) tags and automated warehouse systems used to identify, count and move stock with little human input.

4(c) Benefits of IT to logistics

(c) Outline TWO benefits of information technology to logistics and supply chain operations. (4 marks)

Faster and more accurate flow of information

Information technology allows orders, invoices and shipping details to be sent instantly between suppliers, carriers and customers through computer systems and the internet. This cuts down on paperwork, reduces errors and lets each part of the supply chain respond quickly to changes in demand.

Better tracking and lower costs

By using GPS, barcoding and inventory management software, firms can see exactly where goods are at every point in the supply chain. This reduces losses from theft and misplacement, allows the firm to keep stock levels low and helps it to plan transport routes that save fuel and time.

4(d) Alex importing exotic foods

(d) Alex is in the business of importing exotic food items for several local restaurants and hotels on the island.

(d)(i) TWO problems Alex may encounter

(i) Identify TWO problems that he may likely encounter when obtaining foods from his various distributors around the world. (2 marks)

- Spoilage and damage of perishable food items during long transport journeys.
- Delays caused by customs clearance, port congestion and strict food import regulations.

(d)(ii) Measures to reduce or prevent each problem

(ii) For EACH problem identified in (d)(i), outline ONE measure which could be implemented to reduce or prevent its occurrence. (4 marks)

Measure for spoilage and damage

Alex should ship the goods in temperature-controlled (refrigerated) containers and use sturdy, well-sealed packaging that is suitable for each type of food. He should also take out adequate insurance and use reliable carriers with cold-chain expertise, so that any goods that do spoil are covered and the risk of damage is greatly reduced.

Measure for customs and regulatory delays

Alex should employ a qualified customs broker and prepare all the required import permits, phytosanitary certificates and invoices well in advance of each shipment. By keeping good records and building a relationship with the customs authorities, his goods can be cleared faster and the risk of long delays is reduced.

Question 5

5(a) Unemployment

(a) (i) Define the term 'unemployment'. (2 marks); (ii) List THREE different types of unemployment. (3 marks); (iii) Outline ONE way in which a government can assist in reducing unemployment in its country. (2 marks)

(a)(i) Definition of unemployment

Unemployment refers to the situation in which people who are willing and able to work, and who are actively looking for jobs, are unable to find paid employment. It is usually measured as the percentage of the labour force that is out of work at a given time.

(a)(ii) THREE types of unemployment

- Structural unemployment, caused by a mismatch between the skills workers have and the skills employers need.
- Frictional unemployment, where workers are between jobs while they search for a better position.
- Seasonal unemployment, where workers in industries such as tourism or sugar cane harvesting are out of work during the off-season.

(a)(iii) ONE way government can reduce unemployment

Provide training programmes and incentives for businesses

The government can run technical and vocational training programmes that retrain unemployed workers in skills that are in demand, such as information technology, construction and tourism services. At the same time, by giving tax breaks and grants to businesses that hire and train new workers, the government encourages firms to expand and create more jobs.

5(b) Migration

(b) (i) State THREE reasons why Caribbean nationals migrate to countries outside of the region. (3 marks); (ii) Outline ONE negative effect on Caribbean countries when their citizens migrate. (2 marks)

(b)(i) THREE reasons Caribbean nationals migrate

- To find better-paid jobs and improved economic opportunities than those available at home.
- To pursue higher education at universities and colleges abroad that offer programmes not available in the region.
- To join family members who already live overseas, or to escape from natural disasters and high crime rates.

(b)(ii) ONE negative effect of migration

Loss of skilled workers (brain drain)

When doctors, teachers, engineers and other skilled professionals leave the Caribbean for North America or Europe, the region loses workers it has spent years and large amounts of public money training. This causes shortages in key sectors such as health and education, lowers productivity and slows economic development at home.

5(c) Foreign investment

(c) (i) Define the term 'foreign investment'. (2 marks); (ii) Explain TWO ways in which foreign investment could have a positive impact on Caribbean countries. (6 marks)

(c)(i) Definition of foreign investment

Foreign investment is the placing of money or other resources by a person or company from one country into business activities in another country, with the aim of earning a return. It includes both direct investment, such as building factories or hotels, and portfolio investment, such as buying shares and bonds in local companies.

(c)(ii) TWO positive impacts of foreign investment

Job creation and inflow of capital

When foreign companies build hotels, factories and call centres in the Caribbean, they bring in money that the region's own savings could not easily provide. They hire local workers as managers, technicians and support staff, which reduces unemployment and raises household incomes. The wages spent by these new employees in shops and on services then create even more jobs throughout the economy.

Transfer of technology, skills and access to wider markets

Foreign investors usually bring modern equipment, advanced production methods and management know-how that local firms can learn from. Workers in foreign-owned firms gain valuable training and experience, and many use these skills later to start or strengthen their own businesses. Foreign companies also link the Caribbean to wider international markets, since they often export part of their output to the parent company's home country and beyond, earning the region much-needed foreign exchange.

January 2023 Paper 02

Question 1

1(a) Responsibilities of management to stakeholders

State TWO responsibilities of management to EACH of the following stakeholders. (i) Customers (2 marks); (ii) Employees (2 marks)

(a)(i) Responsibilities to customers

- Selling safe, good quality products at fair prices and giving correct information about them in advertising and labels.
- Handling customer complaints quickly and providing refunds, replacements or repairs when goods or services are not as promised.

(a)(ii) Responsibilities to employees

- Paying fair wages and salaries on time and providing benefits such as leave, sick pay and National Insurance contributions.
- Providing a safe, healthy working environment with proper training, equipment and protection from accidents.

1(b) Other stakeholders of a business

Identify TWO stakeholders of a business, other than customers and employees. (2 marks)

- Owners or shareholders, who provide the capital used to set up and run the business.
- The government, which receives taxes from the business and regulates how it operates.

1(c) Strategies to motivate employees

List FOUR strategies that could be used to motivate employees in a business. (4 marks)

- Offering bonuses, profit sharing and other financial rewards for good performance.
- Providing training, promotion and clear career paths so that employees can grow within the business.
- Recognising and praising good work in public, through awards, certificates or worker-of-the-month schemes.
- Improving working conditions, such as comfortable workspaces, flexible hours and team-building activities.

1(d) Benefits of teamwork

Outline TWO benefits of teamwork to the success of a business. (4 marks)

Better problem solving and decision making

When workers come together as a team, they bring different skills, ideas and experiences to a problem. They can discuss options, point out weaknesses in each other's ideas and combine the best parts to come

up with a stronger solution than any one person could find alone. This leads to better decisions and helps the business to handle challenges quickly.

Higher motivation and productivity

Working in a team gives staff a sense of belonging, support and shared responsibility for the result. Members encourage each other and divide the work according to each person's strengths, so tasks are completed faster and to a higher standard. Stronger morale lowers absenteeism and staff turnover, which raises the overall productivity of the business.

1(e) Improving communication at New Harbour Garment Factory

For quite some time, the employees of New Harbour Garment Factory have felt frustrated and shut out as a result of poor communication between themselves and management. Explain TWO strategies that the management of New Harbour Garment Factory could implement to improve communication within the organization. (6 marks)

Hold regular staff meetings and use notice boards

Management can set fixed times each week or month for short meetings between supervisors and workers in each department, where managers explain plans, new rules and changes and workers can ask questions. A notice board near the entrance can be used to display memos, safety reminders and important announcements, supported by emails or a staff WhatsApp group. This makes sure that every worker has the same information at the same time and reduces the feeling of being shut out.

Set up an open-door policy and a suggestion system

Management should encourage workers to come to them at any time with concerns, and a clearly placed suggestion box, supported by an email address or online form, allows shy workers and those on different shifts to share ideas without fear. Managers must respond to suggestions promptly and explain decisions, even when ideas are rejected, so workers see that their voice matters. This two-way flow of information rebuilds trust and removes the frustration that has been growing at the factory.

Question 2

2(a) Contracts

(i) Define the term 'invitation to treat'. (2 marks); (ii) Identify TWO characteristics of a simple contract. (2 marks); (iii) State TWO ways of terminating a contract. (2 marks)

(a)(i) Invitation to treat

An invitation to treat is an indication by one party that they are willing to enter into negotiations and to receive offers from the other party, but it is not itself an offer that can be accepted to form a contract. Examples of invitations to treat include goods displayed on a supermarket shelf, advertisements in a newspaper and items shown in a shop window.

(a)(ii) TWO characteristics of a simple contract

- It can be made in writing, by spoken word or by the conduct of the parties, and does not have to be in a special form.

- Each party must give consideration, meaning that something of value, such as money or goods, must be exchanged.

(a)(iii) TWO ways of terminating a contract

- By performance, when both parties carry out everything they agreed to do under the contract.
- By mutual agreement, when both parties freely agree to bring the contract to an end before all duties have been completed.

2(b) Hire purchase as a specialty contract

Describe TWO features which make a hire purchase agreement a type of specialty contract. (4 marks)

It must be made in writing and signed under seal

A hire purchase agreement is a specialty contract because the law requires it to be put in writing and signed by both parties, often as a deed under seal. Important details such as the cash price, the deposit, the rate of interest, the number and amount of instalments and the rights of both parties must all be set out clearly in the document, which is more formal than an ordinary simple contract.

Ownership of the goods does not pass until the final payment is made

Unlike a normal sale of goods, in a hire purchase agreement the buyer takes the goods home and uses them but does not become the legal owner until the very last instalment has been paid. The seller can take back the goods if the buyer falls behind on the payments under specific conditions set out by law, which is a special rule that only applies to this type of specialty contract.

2(c) Utmost good faith vs indemnity

Distinguish between the insurance principles 'utmost good faith' and 'indemnity'. (4 marks)

Utmost good faith

The principle of utmost good faith requires both the policyholder and the insurance company to disclose all important facts honestly when the policy is being arranged. The policyholder must give true answers about matters such as health, age or the condition of the property being insured. If important facts are hidden, the policy can be cancelled and any claim refused.

Indemnity

The principle of indemnity states that when a loss occurs, the insurance company will only pay enough to put the policyholder back in the position he or she was in just before the loss happened, and no more. The aim is to compensate for the actual loss, not to allow the policyholder to make a profit from the insurance claim.

2(d) Unethical practices and contractual obligations

Explain TWO unethical practices that a business could engage in which could violate its contractual obligations to the government and society. (6 marks)

Tax evasion

A business engages in tax evasion when it deliberately under-reports its sales, hides part of its income or claims false expenses in order to pay less tax than it really owes. This is unethical and illegal because it

breaks the contract between the business and the government to pay the correct amount of taxes. The country loses revenue that should have been used for schools, hospitals and roads, and society as a whole suffers.

Pollution and disregard for environmental rules

A business may dump waste into rivers, release smoke into the air or fail to dispose of dangerous chemicals safely, in order to save the cost of proper treatment. This breaks the licences and environmental regulations that the business agreed to follow when it was registered. The actions damage the health of nearby communities, harm fish and wildlife and pass the cost of clean-up onto the government and ordinary citizens.

Question 3

3(a) Production and productivity

Define EACH of the following terms. (i) Production (2 marks); (ii) Productivity (2 marks)

(a)(i) Production

Production is the creation of goods and the provision of services to satisfy human wants and needs. It involves combining the factors of production - land, labour, capital and entrepreneurship - to produce useful output, measured by the total quantity produced over a given period.

(a)(ii) Productivity

Productivity measures how efficiently the factors of production are used to create output. It compares the output produced with the inputs used, such as labour or capital, and is often expressed as output per worker per hour. Higher productivity means that more is produced from the same amount of resources.

3(b) Types of production

Identify the type of production that takes place for EACH of the following activities. (i) Sugar cane harvesting (1 mark); (ii) Development of townhouses (1 mark); (iii) The creation of a new line of furniture (1 mark); (iv) The provision of online banking (1 mark)

- Sugar cane harvesting: primary production (extractive industry / agriculture).
- Development of townhouses: secondary production (construction industry).
- The creation of a new line of furniture: secondary production (manufacturing industry).
- The provision of online banking: tertiary production (services industry).

3(c) Factors affecting labour productivity

Outline THREE factors that could affect labour productivity. (6 marks)

Education and training of the workforce

Workers who are well educated and properly trained for their jobs can complete tasks faster, with fewer mistakes and better quality. They are also able to use modern equipment and adopt new methods quickly. Poor training, on the other hand, leads to slow work, errors and waste, which lower productivity.

Quality of equipment and technology

When workers are given modern, well-maintained machines, computers and tools, they can produce a much greater output in the same time than if they were using old or broken equipment. Up-to-date technology also reduces physical strain and frees workers to focus on more skilled tasks, which lifts overall productivity.

Working conditions and motivation

Comfortable lighting, clean workspaces, safe equipment and reasonable working hours allow workers to stay healthy and focused. Fair pay, recognition and good relationships with supervisors keep workers motivated, while poor conditions and weak motivation cause absenteeism and low effort, which reduce productivity.

3(d) Strategies to ensure high productivity

Explain TWO strategies that managers could implement to ensure high levels of productivity within an organization. (6 marks)

Provide regular training and clear performance targets

Managers can set up training programmes that teach workers how to use new equipment, follow safety rules and improve their skills. Together with each worker, the manager can also set clear, measurable targets for output and quality, and review progress at regular meetings. When workers know exactly what is expected and have the skills to deliver, productivity rises steadily.

Use rewards and good working conditions to keep workers motivated

Managers can offer bonuses, profit-sharing and small rewards such as gift vouchers for hitting targets, and they can publicly recognise top performers through awards and worker-of-the-month schemes. At the same time, the workplace should be kept safe, comfortable and modern. When workers feel valued and enjoy where they work, they put in more effort and produce more, which raises productivity for the whole organisation.

Question 4

4(a) Market and marketing mix

(i) Define the term 'market' as it relates to marketing. (2 marks); (ii) Identify TWO elements of the traditional marketing mix. (2 marks)

(a)(i) Market

In marketing, a market refers to the group of actual or potential customers who have the willingness and ability to buy a particular product or service. The market is not a physical place but the collection of buyers and sellers who come together to exchange goods, services and money.

(a)(ii) TWO elements of the traditional marketing mix

- Product, which refers to the goods or services offered to satisfy customer needs.
- Price, which is the amount of money customers must pay for the product.

4(b) Reasons for conducting market research

State FOUR reasons for conducting market research. (4 marks)

- To find out the needs, wants and preferences of customers so that the right product can be offered.
- To identify the size of the market, the level of demand and the right price to charge.
- To learn about competitors, including their products, prices, strengths and weaknesses.
- To test new product ideas, advertising messages and packaging before launching them on a wider scale.

4(c) Factors influencing consumer behaviour

Describe THREE factors which influence consumer behaviour. (6 marks)

Income of the consumer

The level of disposable income greatly affects what and how much a consumer buys. A consumer with a high income can afford a wider variety of goods, more expensive brands and luxury items, while a consumer with a low income tends to buy mainly basic items, cheaper brands and goods that are on sale.

Personal taste, age and lifestyle

Each consumer has individual likes and dislikes that are shaped by age, culture, religion, hobbies and lifestyle choices. A young person interested in fashion will buy different clothes from an older person who prefers classic styles, and a vegetarian consumer will avoid meat products no matter how cheap they are. These personal factors strongly guide buying decisions.

Advertising and influence of family and friends

Television, radio, newspapers and especially social media advertising create awareness of products and shape consumer attitudes. The opinions and recommendations of family members, friends, classmates and online influencers also have a big effect, since consumers tend to trust products that people they know say are good. These outside influences often determine which brand a consumer finally chooses.

4(d) Social media to promote sales

Explain TWO ways in which businesses could use social media to promote sales. (6 marks)

Running paid advertisements and targeted campaigns

Businesses can place paid advertisements on platforms such as Facebook, Instagram and TikTok, choosing exactly which age group, location and interest area to target. The ads can include videos, photos and direct links to the online store, so customers can click and buy with minimal effort. Because the ads reach the customers most likely to be interested, they generate more sales for each dollar spent than traditional advertising.

Posting regular content and engaging with followers

By posting product photos, customer reviews, behind-the-scenes videos and special offers, businesses build a loyal following on social media without paying for each post. Replying quickly to comments and messages, working with influencers and running contests or giveaways encourage followers to share the

content with their own friends. This free word-of-mouth advertising spreads the brand widely and steadily increases sales over time.

Question 5

5(a) Managing personal income

Other than saving and investing, state TWO ways in which individuals could manage their personal incomes. (2 marks)

- By preparing and following a written budget that lists income and planned expenses for the month.
- By keeping spending records and avoiding unnecessary borrowing, especially on credit cards and high-interest loans.

5(b) Savings vs investments

(i) Differentiate between 'savings' and 'investments'. (2 marks); (ii) Identify ONE form of savings and ONE form of investments. (2 marks)

(b)(i) Savings vs investments

Savings is money set aside from current income that is kept in a safe place, usually a bank account, to be used at a later date. The amount saved keeps its value and earns a small amount of interest, but it does not grow much. Investments, on the other hand, are funds used to buy assets such as shares, bonds or property with the aim of earning a higher return through dividends, interest or a rise in the value of the asset, but with a higher level of risk.

(b)(ii) ONE form of savings and ONE form of investments

- Form of savings: a savings account at a commercial bank or credit union.
- Form of investments: shares in a public limited company purchased through the stock exchange.

5(c) Capital and financing

(i) Identify TWO personal sources of capital for setting up a business. (2 marks); (ii) Distinguish between 'short-term financing' and 'long-term financing'. Give ONE source of each type of financing. (6 marks)

(c)(i) TWO personal sources of capital

- The owner's personal savings built up from past earnings.
- Money borrowed from family members or close friends.

(c)(ii) Short-term vs long-term financing

Short-term financing

Short-term financing is money borrowed for a period of one year or less, usually to cover everyday operating needs such as paying suppliers, wages or utility bills. It is paid back quickly and tends to carry higher interest rates because of the convenience. One source of short-term financing is a bank overdraft, where the bank allows the business to draw out more than the balance on its current account up to an agreed limit.

Long-term financing

Long-term financing is money raised for periods longer than five years, usually to buy major fixed assets such as buildings, vehicles and machinery, or to expand the business. The repayments are spread over many years, which makes them more affordable. One source of long-term financing is a mortgage loan from a commercial bank, where the bank lends money against the security of the building being purchased.

5(d) Stock market

Explain ONE benefit and ONE risk of investing in the stock market. (6 marks)

Benefit: Potential for high returns through dividends and capital growth

When a person buys shares in a successful company, the company pays out a portion of its profits each year as dividends, which gives the investor a steady income. As the company grows and earns more profit, the price of its shares on the stock exchange usually rises, so the investor can also sell the shares later at a higher price than was paid. Over the long term, well-chosen shares can earn returns that are higher than savings accounts and most other investments.

Risk: Loss of capital if share prices fall

Share prices go up and down depending on how the company performs and on conditions in the wider economy, such as recessions, political events or natural disasters. If the company makes losses or the market crashes, the price of the shares can drop sharply and the investor may receive less than was paid for them. In the worst case, if a company goes out of business, the shares may become worthless and the investor loses the entire amount invested.

May/June 2023 Paper 02

Question 1

1(a) Sources of conflict

List FOUR sources of conflict that may arise within an organization. (4 marks)

- Poor working conditions, such as low pay, long hours or unsafe equipment.
- Disagreements between different departments or functional areas of the business over budgets, resources or responsibilities.
- Personality clashes and intrapersonal differences between workers, or between workers and supervisors.
- Resistance to changes in the way the organisation operates, such as new technology, new rules or restructuring.

1(b) Employee strategies during conflict

Describe EACH of the following strategies used by employees to gain the upper hand during periods of conflict. (i) Work to rule (2 marks); (ii) Picketing (2 marks); (iii) Strike action (2 marks)

(b)(i) Work to rule

Work to rule is a strategy in which workers carry out only the tasks listed in their job descriptions and follow every rule and procedure to the strict letter. They refuse extra duties, overtime or shortcuts that are normally taken to keep things running smoothly. This deliberately slows down production and shows management how much extra effort the workers usually put in, which puts pressure on managers to settle the dispute.

(b)(ii) Picketing

Picketing is a strategy in which workers gather peacefully outside the workplace, usually at the entrance, holding placards and banners that explain their grievances. The aim is to inform the public, customers and other workers about the dispute, to win their support and to discourage people from crossing the picket line to do business with the company. The publicity puts pressure on management to negotiate.

(b)(iii) Strike action

Strike action is a strategy in which workers, usually through their trade union, agree to stop working completely for a period of time until their demands are met. The full or partial shutdown causes loss of production and revenue for the business, which often forces management back to the negotiating table to settle the dispute on terms more favourable to the workers.

1(c) Management conflict resolution strategies

Outline TWO strategies that could be used by management to resolve conflict within an organization. (4 marks)

Negotiation through a grievance procedure

Management can set up a clear, step-by-step grievance procedure that workers must follow when they

have a complaint. The complaint is heard first by the immediate supervisor and, if not settled, moves up to senior management and the trade union. By talking openly and looking for compromise at each stage, both sides can usually reach an agreement that solves the problem peacefully.

Mediation or arbitration by a neutral third party

When the two sides cannot agree by themselves, management can call in a neutral third party. A mediator listens to both sides and suggests a settlement that both can accept, while an arbitrator hears evidence and makes a binding decision that both sides agree in advance to follow. Bringing in an outsider helps to settle the dispute fairly and quickly.

1(d) Legal or ethical principles

Explain TWO legal or ethical principles that business owners should adopt in the operations of a business. (6 marks)

Honesty in advertising and dealings with customers

Business owners should make sure that all advertising, prices and product labels are truthful, so that customers know exactly what they are paying for. For example, a supermarket should not advertise a product at a special price and then charge a higher price at the cash register, and a food producer should not put 'sugar free' on a label if the product still contains sugar. Acting honestly avoids legal action under consumer protection laws, builds customer trust and supports long-term sales.

Paying taxes and obeying the laws of the country

Business owners must register the business properly and pay all taxes due, such as income tax, business tax, value added tax and National Insurance for staff. They should also follow employment, environmental and health and safety laws. For example, a small restaurant must keep proper records of sales and pay over the value added tax it collects to the tax authority on time. Following the law avoids fines, court action and damage to the reputation of the business.

Question 2

2(a) Definition of entrepreneur

Define the term 'entrepreneur'. (2 marks)

An entrepreneur is a person who organises the other factors of production - land, labour and capital - to set up and run a business, taking the risks involved in the hope of making a profit. The entrepreneur comes up with the business idea, raises the capital, hires the workers and makes the key decisions about how the business will operate.

2(b) Characteristics of a typical entrepreneur

List THREE characteristics of a typical entrepreneur. (3 marks)

- Willingness to take calculated risks with money, time and effort in order to start and grow a business.
- Creativity and innovation, by spotting new opportunities and finding fresh ways to solve problems or meet customer needs.

- Strong leadership and decision-making skills, so the entrepreneur can guide workers and respond quickly to challenges.

2(c) Collateral

(i) Define the term 'collateral'. (2 marks); (ii) List THREE types of collateral. (3 marks)

(c)(i) Definition of collateral

Collateral is something of value that a borrower offers to a lender as security for a loan. If the borrower fails to repay the loan as agreed, the lender has the legal right to take and sell the item of collateral in order to recover the money owed.

(c)(ii) THREE types of collateral

- Land or buildings (real estate) owned by the borrower.
- Motor vehicles registered in the borrower's name.
- Fixed deposits, shares or insurance policies held by the borrower at a financial institution.

2(d) Government regulations for entrepreneurs

State TWO government regulations with which the entrepreneur must comply when establishing a business locally. In your response, provide an example of EACH regulation. (4 marks)

Business registration regulations

The entrepreneur must register the business name and obtain a certificate of registration from the office that records businesses in the country. For example, in Trinidad and Tobago a sole trader must register the business name with the Companies Registry under the Registration of Business Names Act before trading.

Tax regulations

The entrepreneur must register the business with the tax authority and pay all required taxes. For example, the business must obtain a Board of Inland Revenue (BIR) number and a Value Added Tax (VAT) number once sales reach the threshold, so that taxes are collected and paid over to the government on time.

2(e) Entrepreneurship and economic development

Explain TWO ways in which entrepreneurship contributes to the economic development of a country. (6 marks)

Creation of jobs and reduction of unemployment

Entrepreneurs start new businesses that hire workers in roles such as production, sales, accounts and delivery. As more people earn an income, unemployment falls and household living standards rise. The government also collects more income tax and pays out less in welfare, leaving more money for schools, hospitals and infrastructure, all of which support the wider development of the country.

Innovation, exports and increased GDP

Entrepreneurs introduce new products, services and methods, such as agro-processing, software development and creative industries, which often replace imports and earn foreign exchange when sold

abroad. The extra output adds directly to the country's gross domestic product. Successful entrepreneurs reinvest their profits in expansion and training, and they inspire others to start businesses, which keeps the economy growing and developing over time.

Question 3

3(a) Factors when packaging goods

Identify TWO factors that must be considered when packaging goods for resale. (2 marks)

- Protection of the product, so that the package is strong enough to keep the goods safe from damage, dirt and tampering during transport and storage.
- Cost of the packaging material, since the package must be affordable enough to keep the final selling price competitive.

3(b) Salespersons and sales promotion

(i) List FOUR qualities of successful salespersons. (4 marks); (ii) Describe TWO sales promotion techniques. (4 marks)

(b)(i) FOUR qualities of successful salespersons

- Good communication skills, including the ability to listen carefully and explain clearly.
- Sound product knowledge, so the salesperson can answer customer questions confidently.
- A pleasant, polite and patient personality that puts customers at ease.
- Honesty and integrity, so customers feel they can trust the salesperson's advice.

(b)(ii) TWO sales promotion techniques

Discounts and special offers

The business reduces the regular price of a product for a short period or offers deals such as 'buy one get one free' and 'two for the price of one'. The lower price encourages customers to try the product, to buy in larger quantities and to choose the firm over its competitors, which boosts sales quickly.

Free samples and demonstrations

The business gives away small free samples of the product or arranges in-store demonstrations where customers can see and try the product. Once customers have tasted, used or seen the product working, they are much more likely to buy it, especially when it is a new or unfamiliar item.

3(c) Cash discount vs trade discount

Distinguish between a 'cash discount' and a 'trade discount'. (4 marks)

Cash discount

A cash discount is a reduction in the amount owed that the seller offers to a buyer who pays the bill within an agreed period, usually shorter than the normal credit term. For example, the seller may offer a five per cent cash discount if the invoice is paid within ten days instead of the usual thirty days. The aim is to encourage prompt payment and improve the seller's cash flow.

Trade discount

A trade discount is a reduction in the catalogue or list price of goods that the seller gives to other businesses, such as wholesalers or retailers, who buy in bulk for resale. The discount allows these traders to make a profit when they sell the goods on at the recommended retail price. Unlike a cash discount, it is given because of the type of buyer and the size of the order, not because of how quickly the bill is paid.

3(d) Copyright and trademark

(i) Kylie created a new rhythm of Caribbean soca beats and wants to sell it online to overseas producers. Explain to Kylie the importance of obtaining the copyright for her music. (3 marks); (ii) Jovan excels in the culinary arts. A new local nut was discovered with high nutritional value and he created a unique dessert, 'NuttyJo', for the young and health conscious. Explain to Jovan the value of obtaining a trademark for his product. (3 marks)

(d)(i) Importance of copyright for Kylie's music

Once Kylie obtains copyright for her new soca rhythm, the law gives her the exclusive right to copy, perform, sell and licence the music for a long period, often the lifetime of the author plus several decades. If anyone uses her music online or in a song without her permission, she can take legal action and claim damages. Copyright also makes it easier for her to earn royalties when overseas producers use her music, since they must first pay her for the right to use it.

(d)(ii) Value of a trademark for Jovan's NuttyJo

By registering 'NuttyJo' as a trademark, Jovan gets the exclusive right to use that name and logo for his dessert, and he can stop other businesses from using a similar name to confuse customers. The trademark helps health-conscious customers to recognise his unique dessert quickly on shelves and online, builds brand loyalty and adds value to the business if Jovan later wants to sell or franchise it. He can also take legal action against anyone who tries to copy or imitate the brand.

Question 4

4(a) Functions of intermediaries

State TWO functions of EACH of the following intermediaries in the chain of distribution. (i) Retailers (2 marks); (ii) Wholesalers (2 marks)

(a)(i) Retailers

- Buy goods in small quantities from wholesalers and sell them in even smaller amounts to the final consumer.
- Provide a convenient location, display and customer service so that consumers can choose and pay for goods easily.

(a)(ii) Wholesalers

- Buy goods in bulk from manufacturers and break the bulk into smaller quantities for sale to retailers.
- Store and transport goods, holding stock in warehouses so retailers can order what they need without delay.

4(b) Other links in the distribution chain

Identify TWO links in the distribution chain, other than retailers and wholesalers. (2 marks)

- Producer or manufacturer, who actually makes the goods at the start of the chain.
- Consumer, who is the final user of the goods at the end of the chain.

4(c) Suitable types of transportation

Identify the MOST suitable type of transportation for EACH of the following products. (i) Meat products from local farm to restaurant (1 mark); (ii) Bricks from construction company to building site (1 mark); (iii) Crude oil from oilfield to refinery (1 mark); (iv) Cars from Country A to Country B (1 mark)

- Meat products from local farm to restaurant: refrigerated truck (road transport).
- Bricks from construction company to building site: heavy-duty truck (road transport).
- Crude oil from oilfield to refinery: pipeline.
- Cars from Country A to Country B: ship (sea transport).

4(d) Problems in distribution

List FOUR problems that may occur in the distribution of goods. (4 marks)

- Damage to goods during loading, transport or unloading, especially fragile or perishable items.
- Theft and pilferage of goods while they are in transit or in storage.
- Delays caused by bad weather, traffic, mechanical breakdowns or industrial action.
- High transport and insurance costs, which raise the final price of the goods.

4(e) Measures to minimize distribution challenges

Explain TWO measures that can be implemented to minimize challenges that may occur in the distribution of goods. (6 marks)

Use of proper packaging and insurance

Goods can be packed in strong, well-cushioned containers, with fragile items wrapped and sealed and perishable items kept in refrigerated containers. The business should also take out goods-in-transit insurance, which pays compensation if goods are damaged, lost or stolen on the journey. Together these measures reduce the risk of loss and protect the financial position of the business.

Use of GPS tracking, route planning and reliable logistics partners

By installing GPS tracking devices on delivery vehicles and using route-planning software, the business can pick the fastest, safest routes, monitor where every shipment is in real time and respond quickly to delays. Choosing reputable shipping and trucking companies, with proper licences and trained drivers, also reduces accidents, theft and lateness, and gives customers a more reliable delivery service.

Question 5

5(a) Standard of living and quality of life

(i) Define the term 'standard of living'. (2 marks); (ii) Identify TWO factors that determine a country's standard of living. (2 marks); (iii) Define the term 'rate of infant mortality' as a factor of quality of life. (2 marks)

(a)(i) Standard of living

Standard of living refers to the level of wealth, comfort and material goods that the average citizen in a country enjoys. It is usually measured by indicators such as real per capita income, the quality of housing, the availability of food, education and health care, and the general level of consumer goods.

(a)(ii) TWO factors that determine standard of living

- The level of real per capita income, which shows the average buying power of citizens after adjusting for inflation.
- The availability and quality of public services such as education, health care, water and electricity.

(a)(iii) Rate of infant mortality

The rate of infant mortality is the number of babies, out of every one thousand live births, who die before reaching the age of one year. A high infant mortality rate suggests a poor quality of life with weak health care and nutrition, while a low rate suggests good medical services and a higher quality of life.

5(b) Measures of national income

Describe EACH of the following measures of national income. (i) Gross national product (GNP) (2 marks); (ii) Gross domestic product (GDP) (2 marks); (iii) Per capita income (2 marks)

(b)(i) Gross national product (GNP)

Gross national product (GNP) is the total money value of all the goods and services produced by the citizens of a country in one year, whether they are produced inside the country or abroad. It includes the income earned by nationals working overseas but excludes the income earned by foreigners working inside the country.

(b)(ii) Gross domestic product (GDP)

Gross domestic product (GDP) is the total money value of all the goods and services produced inside a country's borders in one year, no matter who owns the resources. It includes output produced by foreign firms operating in the country but excludes output produced by nationals working overseas.

(b)(iii) Per capita income

Per capita income is the average income earned per person in a country in one year. It is calculated by dividing the total national income (GNP or GDP) by the total population. It gives a rough idea of the standard of living, since it shows how much income would be available for each person if income were shared equally.

5(c) Reasons for international trade

State TWO reasons why countries engage in international trade. (2 marks)

- To obtain goods and services that they cannot produce themselves, or cannot produce in large enough quantities, such as machinery, medicines or certain foods.
- To earn foreign exchange by selling exports, which can then be used to pay for imports and to repay foreign debts.

5(d) Foreign investments and Caribbean countries

Explain TWO ways in which foreign investments could positively impact Caribbean countries. (6 marks)

Creation of jobs and transfer of skills

When foreign companies invest in Caribbean countries, they often build factories, hotels and offices that employ local workers in roles such as construction, hospitality, technicians and managers. The foreign firms also bring in modern equipment, training programmes and management methods, so local workers learn new skills that they can later use to start their own businesses. As more people earn an income and gain skills, the standard of living rises and unemployment falls.

Increased foreign exchange and government revenue

Foreign investments bring in large amounts of foreign currency, such as US dollars and pounds sterling, when companies set up operations and when they export goods like petroleum, bauxite or tourism services. This foreign exchange improves the balance of payments of the country and helps to keep the local currency stable. The government also collects more revenue through company tax, import duty and personal income tax from the new workers, which it can use to provide better roads, schools and hospitals.

January 2024 Paper 02

Question 1

1(a) Stakeholders

(i) Define the term stakeholder as it relates to a business. (2 marks); (ii) Identify TWO stakeholders that are involved in a business. (2 marks); (iii) Outline ONE role of ONE of the stakeholders identified in (a)(ii) above. (2 marks)

(a)(i) Definition of stakeholder

A stakeholder is any person, group or organisation that has an interest in a business and is affected by the way the business operates. Stakeholders include people inside the business, such as the owners and workers, and people outside the business, such as customers, suppliers, lenders, the government and the wider community.

(a)(ii) TWO stakeholders involved in a business

- Employees, who provide their labour to the business in exchange for wages and other benefits.
- Customers, who buy the goods and services produced by the business.

(a)(iii) ONE role of ONE stakeholder

Employees carry out the day to day work of the business by producing the goods or providing the services that the business sells. They use their skills, time and effort to operate machinery, serve customers, keep records and complete the tasks set by the managers, which allows the business to meet its targets and earn revenue.

1(b) Functional areas of a business

Describe TWO functional areas of a business. (4 marks)

Production

The production department is responsible for actually making the goods or providing the services that the business sells. It plans the manufacturing process, manages the raw materials and machinery, organises the workers and makes sure that the finished goods meet the required quality standards before they leave the business.

Marketing

The marketing department is responsible for finding out what customers want and for promoting and selling the firm's products. It carries out market research, decides on the price, designs the packaging and advertising and chooses the channels of distribution so that the products reach the right customers in the right place and at the right time.

1(c) Ethical or legal principles

List FOUR ethical or legal principles that business owners should adopt when establishing and operating a business. (4 marks)

Four ethical or legal principles that business owners should adopt are:

- Honesty in advertising and in dealings with customers, suppliers and workers.
- Paying all taxes and statutory contributions due to the government on time.
- Treating workers fairly by paying agreed wages, providing safe working conditions and avoiding discrimination.
- Protecting the environment by disposing of waste properly and obeying pollution and health regulations.

1(d) Consequences of failing to comply with ethical principles

Explain the likely consequences of failing to comply with any TWO of the ethical principles listed in (c) above. (6 marks)

Failing to be honest with customers

If a business misleads customers with false claims or sells goods of poorer quality than advertised, customers will quickly lose trust in the business and stop buying from it. Bad publicity travels fast through social media and word of mouth, so the loss of reputation usually leads to a sharp drop in sales. The business may also be reported to consumer protection bodies and taken to court, where it can be fined or forced to refund customers.

Failing to pay taxes to the government

If a business does not pay its taxes on time, the tax authority can charge interest and heavy penalties on the unpaid amounts and, in serious cases, take the owners to court. The business can have its operating licence revoked or its bank accounts frozen, which would stop it from trading. The owners may also face criminal charges that damage both their personal reputation and the long-term standing of the business.

Question 2

2(a) Feasibility study and sources of information

(i) Define the term 'feasibility study'. (2 marks); (ii) State TWO reasons why it is important to conduct a feasibility study. (2 marks); (iii) Identify ONE primary source and TWO secondary sources of information used in conducting business research. (3 marks)

(a)(i) Definition of feasibility study

A feasibility study is an investigation carried out before a business is started or a new project is launched, to find out whether the idea is likely to succeed. It examines the demand for the product, the competition, the costs involved, the available resources and the expected profits, so that the owner can decide whether or not to go ahead with the idea.

(a)(ii) TWO reasons why a feasibility study is important

- It helps the owner to find out whether the business idea will actually work, so that money is not wasted on a project that is likely to fail.
- It provides clear information on expected sales, costs and profits that can be used to convince a bank or an investor to provide a loan or capital.

(a)(iii) ONE primary and TWO secondary sources

A primary source could be a survey carried out by the owner, where questionnaires are given to potential customers in the area to find out their needs, preferences and how much they are willing to pay.

Two secondary sources could be reports published by the Statistical Institute of the country, which give population and income data, and trade journals or industry magazines that contain information on similar businesses already operating in the market.

2(b) Reasons why planning is necessary

Outline TWO reasons why planning is necessary for the successful operation of a business. (4 marks)

To set clear goals and direction

Planning forces the owners and managers to decide exactly what they want the business to achieve over a given period of time and how it will be done. With clear goals, every worker knows what is expected of them, resources can be used in the right way, and progress can be measured against the targets set in the plan.

To prepare for problems and use resources wisely

A good plan looks ahead at possible problems such as a fall in demand, rising costs or shortages of supplies, and considers ways to deal with them before they arise. It also helps the business to use its money, workers and equipment in the most efficient way, which reduces waste and improves the chances of making a profit.

2(c) Measures or laws to protect consumers

State THREE measures or laws put in place by Caribbean governments for the protection of consumers. (3 marks)

Three measures or laws put in place by Caribbean governments to protect consumers are:

- The Sale of Goods Act, which requires goods sold to be of merchantable quality and fit for the purpose for which they were bought.
- The Consumer Protection Act, which sets up a Consumer Affairs Commission to investigate complaints from shoppers and to take action against unfair traders.
- The Standards Act, which gives the Bureau of Standards the power to test products and ensure that goods on sale meet approved health, safety and quality standards.

2(d) Jomo's barber shop location

Jomo is planning to open a barber shop. Explain TWO factors that Jomo should consider when deciding on the location of his business. (6 marks)

Closeness to customers and foot traffic

A barber shop depends on a steady flow of walk-in customers, so Jomo should choose a spot that is close to a busy shopping area, a school, a transport hub or a residential community where many men and boys live or pass by daily. A location with poor foot traffic, no matter how cheap the rent, would not give him enough customers to keep the business profitable.

Cost of rent and availability of utilities

Jomo must make sure that the rent will not eat up his profits, so he should compare the cost of renting different premises and balance it against the number of customers each location is likely to attract. He should also check that the location has a reliable supply of electricity and clean water, because clippers, lights and washbasins all depend on these utilities and the shop cannot operate without them.

Question 3

3(a) Functions of consumer organizations

List FOUR functions of consumer organizations. (4 marks)

Four functions of consumer organisations are:

- Educating consumers about their rights and responsibilities so that they can make wise buying decisions.
- Investigating complaints from members of the public against businesses that have sold them faulty goods or poor services.
- Lobbying the government to pass and enforce laws that protect the interests of consumers.
- Testing products and publishing the results in magazines or on websites so that consumers know which goods are safe and good value for money.

3(b) Roles of customer service

Corporate businesses are paying more attention to customer service. Outline TWO roles of customer service. (4 marks)

Building customer loyalty and repeat business

When customers are treated politely and their problems are solved quickly, they feel valued and are far more likely to keep buying from the same business. Loyal customers also tell their friends and family about the good service they received, which brings in new customers without the firm having to spend extra on advertising.

Giving the business a competitive advantage

In markets where many firms sell similar products at similar prices, the level of customer service can be the main reason a shopper chooses one business over another. A firm that answers questions quickly, handles returns fairly and follows up after the sale will stand out from its rivals and earn a stronger position in the market.

3(c) Forms of customer service

Describe EACH of the following forms of customer service: (i) Warranty (2 marks); (ii) Online chat (2 marks); (iii) After-sales service (2 marks)

Warranty

A warranty is a written promise given by the seller or manufacturer that the product will work properly for a stated period of time, and that any faults that appear during that period will be repaired or the item

replaced free of charge. This gives the customer confidence that the product is reliable and protects them from losing money if it breaks down.

Online chat

Online chat is a form of customer service in which the business uses a chat box on its website or mobile app to allow customers to type questions and receive immediate replies from a customer service agent or an automated chatbot. This makes it easy for customers to get help quickly without having to call by phone or visit the store.

After-sales service

After-sales service is the help and support that a business provides to customers once they have already bought the product. It includes activities such as delivery, installation, training, repairs, the supply of spare parts and follow-up calls to make sure that the customer is satisfied with the purchase.

3(d) Trademark and copyright

(i) Leon has created a unique line of natural skin care products which includes soaps and lotions. He is preparing to launch his product line at a small business expo. Explain to Leon the importance of obtaining a trademark for his new line of products. (3 marks); (ii) Vashti wrote a children's novel and is about to have it published. Explain to Vashti the importance of obtaining the copyright for her novel. (3 marks)

(d)(i) Importance of a trademark for Leon

A trademark would give Leon legal ownership of the name, logo and symbol used on his soaps and lotions, so that no other producer can copy them and pass off similar products as his. This protects the unique identity that he is building at the expo and stops competitors from cashing in on his hard work. The trademark also helps customers to recognise his products easily on the shelves and to trust that they are buying the genuine natural skin care line, which builds his reputation and increases sales.

(d)(ii) Importance of copyright for Vashti

Copyright would give Vashti the exclusive legal right to print, publish, sell and adapt her children's novel for a long period of time, usually her lifetime plus a number of years after her death. This means that no one else can copy her book, photocopy large sections of it or turn it into a film without her permission. Copyright also allows Vashti to earn royalties whenever the book is sold or used, which rewards her for the time and creativity she put into writing the novel.

Question 4

4(a) Activities in supply chain operations

List FOUR activities involved in supply chain operations. (4 marks)

Four activities involved in supply chain operations are:

- Sourcing and purchasing raw materials and components from suppliers.
- Manufacturing or producing the finished goods in the factory.
- Storing the finished goods in warehouses until they are needed.

- Transporting and distributing the goods to wholesalers, retailers and final customers.

4(b) Advantages and challenges of supply chain operations

(i) State TWO advantages of supply chain operations. (2 marks); (ii) State TWO challenges associated with supply chain operations. (2 marks)

(b)(i) TWO advantages

- A well-managed supply chain reduces costs because materials and goods move smoothly from suppliers to customers without unnecessary delays or waste.
- It improves customer satisfaction because the right products are available in the right place and at the right time, which leads to repeat sales.

(b)(ii) TWO challenges

- Disruptions such as natural disasters, port strikes or pandemics can delay shipments and leave the business without raw materials or finished goods to sell.
- Managing many different suppliers, transporters and warehouses across countries is complex and can lead to high coordination costs and quality control problems.

4(c) Technology and supply chain operations

Outline how THREE forms of technology have impacted supply chain operations. (6 marks)

Global positioning systems (GPS)

GPS technology allows firms to track their delivery vehicles and shipments in real time, so they always know where each load is and when it will arrive. This reduces lost or stolen goods, allows drivers to be sent on the shortest routes and helps the business to give customers accurate delivery times.

Electronic data interchange and inventory software

Computer systems and inventory software allow orders, invoices and stock information to be shared instantly between suppliers, factories, warehouses and retailers. This means stock levels can be checked at any moment, automatic reorders can be sent when items run low, and there is much less paperwork to slow the supply chain down.

Barcoding and scanning technology

Barcodes and electronic scanners speed up the receiving, storing and dispatching of goods at every stage of the chain. Each item can be identified, counted and tracked quickly, which reduces errors, makes stock taking easier and helps the firm to know exactly what is in the warehouse and on the shelves.

4(d) Tropical Grove Ltd outsourcing

The directors of Tropical Grove Ltd are extremely excited to introduce a new soft drink to the market. They are optimistic that they will have a competitive advantage over similar producers. Explain TWO benefits that Tropical Grove Ltd could gain by outsourcing some of its operations to gain a competitive advantage. (6 marks)

Lower production costs

By outsourcing activities such as bottling, packaging or transportation to specialist firms that already have

the equipment and skilled workers, Tropical Grove Ltd would not have to spend large sums on its own machinery and extra staff. The specialist firms can usually do the work more cheaply because they handle large volumes for many customers, and the savings can be passed on to consumers in the form of lower prices, giving Tropical Grove an edge over its competitors.

Ability to focus on core activities and innovation

When non-core tasks such as cleaning, security or basic accounting are handled by outside firms, the managers and workers of Tropical Grove Ltd can put all their attention on what they do best, which is developing and marketing new soft drink flavours. This allows the company to bring better products to the market more quickly than rival producers and to build a stronger brand image.

Question 5

5(a) Direct and indirect taxes

Identify TWO direct taxes and TWO indirect taxes charged by the government of a country. (4 marks)

(a) TWO direct taxes

- Personal income tax, which is paid by individuals on the wages, salaries and other income they earn.
- Corporation tax, which is paid by companies on the profits they make in a financial year.

(a) TWO indirect taxes

- Value Added Tax (VAT) or General Consumption Tax (GCT), which is added to the price of goods and services at the point of sale.
- Customs duty, which is charged on goods that are brought into the country from abroad.

5(b) Measures to protect the natural environment

Outline THREE measures that could be taken by regional governments to influence their citizens to protect the natural environment. (6 marks)

Passing and enforcing environmental laws

Regional governments can pass laws that ban activities such as illegal dumping, the burning of bush and the use of harmful chemicals near rivers and the sea. By enforcing these laws and fining people who break them, the government sends a clear message that destroying the environment will not be tolerated, which encourages citizens to act more responsibly.

Public education campaigns

Governments can run advertising campaigns on television, radio, social media and in schools to teach citizens about the importance of recycling, planting trees, saving water and protecting wildlife. When people understand how their actions affect the environment, they are more likely to make better choices in their daily lives.

Tax incentives and rebates for green behaviour

Governments can use the tax system to reward citizens and businesses that protect the environment, for example by reducing import duty on solar panels, electric vehicles and energy-saving appliances. This

makes environmentally friendly products cheaper and encourages more people to switch from harmful to greener alternatives.

5(c) Other responsibilities of Caribbean governments

State FOUR responsibilities of Caribbean governments to their citizens, other than the protection of the environment. (4 marks)

Four other responsibilities of Caribbean governments to their citizens are:

- Providing free or low-cost education from primary through to secondary level.
- Providing public health care services through hospitals, health centres and clinics.
- Maintaining law and order through the police, courts and prisons so that citizens can live in safety.
- Building and maintaining public infrastructure such as roads, bridges, water and electricity supply.

5(d) Healthcare challenges

Caribbean governments have experienced ongoing challenges in the provision of quality healthcare services within their countries. Identify TWO of these healthcare challenges and advise the government of your country on how EACH challenge could be resolved. (6 marks)

Shortage of doctors, nurses and other health workers

Many trained doctors and nurses leave the Caribbean to work in countries where wages are higher and conditions are better, which leaves local hospitals understaffed and patients waiting for long hours. The government could resolve this by offering better salaries, scholarships and study bonds that require students who are sponsored to work in the public health system for a number of years after they qualify, and by improving working conditions in hospitals so that staff want to stay.

Lack of modern equipment and medical supplies

Public hospitals often run short of basic supplies such as medication, gloves and needles, and may not have modern equipment for tests and surgeries, which forces some patients to seek care abroad. The government could resolve this by setting aside a larger share of the national budget for the Ministry of Health, by partnering with foreign agencies to upgrade equipment and by using bulk purchasing arrangements through CARICOM to get medicines at lower prices.

May/June 2024 Paper 02

Question 1

Joanna recently graduated from university with a degree in management studies and wants to operate her own business.

1(a) Management functions

List FOUR management functions that Joanna would be expected to perform in the business. (4 marks)

Four management functions that Joanna would be expected to perform are:

- Planning, which involves setting goals for the business and deciding in advance how those goals will be achieved.
- Organising, which involves arranging the people, money, equipment and other resources of the business so that the work can be carried out efficiently.
- Directing, which involves leading and instructing the workers so that they perform the tasks needed to meet the goals of the business.
- Controlling, which involves checking the actual results of the business against the planned targets and taking corrective action where necessary.

1(b) Responsibilities to stakeholders

State TWO responsibilities that Joanna's business would have to EACH of the following stakeholders: (i) Employees (2 marks); (ii) Customers (2 marks); (iii) Government (2 marks)

(b)(i) Employees

- To pay agreed wages and salaries on time.
- To provide a safe and healthy working environment.

(b)(ii) Customers

- To sell goods and services that are of good quality and safe to use.
- To charge fair prices and give honest information about the products.

(b)(iii) Government

- To pay all taxes and statutory contributions due to the government on time.
- To obey the laws of the country, including those dealing with health, safety and the environment.

1(c) Guidelines for good management and staff relations

State FOUR guidelines, other than effective communication, that Joanna should follow in order to establish and maintain good management and staff relations. (4 marks)

Four guidelines that Joanna should follow are:

- Treating all workers fairly and without favouritism, regardless of their race, gender or background.

- Paying fair wages and providing rewards such as bonuses for workers who perform well.
- Involving workers in decisions that affect their jobs by holding regular staff meetings and inviting suggestions.
- Providing training and opportunities for workers to develop their skills and move up within the business.

1(d) Strategies for effective communication

Explain TWO strategies for effective communication that Joanna should utilize in the management of the business. (6 marks)

Holding regular staff meetings

Joanna should set up regular meetings with her workers, where information about new policies, targets and changes in the business can be shared face to face. These meetings give workers the chance to ask questions, give feedback and raise concerns, which makes sure that everyone understands what is expected of them and feels part of the team.

Using written notices and digital channels

Joanna should also use written tools such as memos, notice boards, emails and group chats on apps like WhatsApp to send out important information quickly. Written communication leaves a clear record that workers can refer back to, reduces the chance of misunderstandings and is useful for sending the same message to many people at once.

Question 2

Paul and Josh exchanged the following text messages.

Paul: Need a deejay for my party on 15th August. Are you available? Will pay $6000.

Josh: Yes, I am available and would love to do it. Can you increase the payment to $6500?

Paul: Glad you're available. Will get back to you regarding the fee.

There was no further communication between Paul and Josh and on 15th August, Josh arrived at the party ready to perform. Josh was furious when Paul informed him that another deejay was hired and he threatened to sue Paul for breach of contract.

2(a) Contract

(i) Define the term 'contract'. (2 marks); (ii) Identify the characteristic of a simple contract highlighted in the case above. (1 mark); (iii) Describe TWO characteristics of a simple contract, other than that cited in the case above. (4 marks)

(a)(i) Definition of contract

A contract is a legally binding agreement made between two or more parties, in which one party makes an offer and the other party accepts that offer in exchange for something of value. Once made, a contract creates rights and duties that the courts can enforce.

(a)(ii) Characteristic shown in the case

The characteristic of a simple contract highlighted in the case is offer and acceptance, since Paul made an offer of $6000 to Josh, and Josh did not accept that offer but instead made a counter-offer of $6500 which Paul never accepted.

(a)(iii) TWO other characteristics of a simple contract

Consideration

Each party to a simple contract must give something of value, called consideration, in exchange for what the other party is giving. In a contract for a deejay, the consideration on one side would be the music and entertainment provided, and on the other side it would be the money paid for that service.

Capacity to contract

Both parties must have the legal capacity to enter into the contract. This means they must be of sound mind, must not be drunk at the time and must usually be at least eighteen years old. A contract entered into with someone who lacks capacity, such as a minor, may not be binding in court.

2(b) Josh's legal action

(i) State whether Josh is likely to succeed if he takes legal action against Paul. (1 mark); (ii) Provide an explanation to support your answer in (b)(i). (3 marks)

(b)(i) Likely outcome

Josh is not likely to succeed if he takes legal action against Paul.

(b)(ii) Explanation

For a simple contract to exist, there must be a clear offer and an unqualified acceptance of that offer. Paul made an offer to pay $6000, but Josh did not simply accept it. Instead, Josh made a counter-offer by asking for $6500, and a counter-offer in law has the effect of rejecting the original offer. Paul never accepted the counter-offer of $6500, so no agreement on price was ever reached, which means there was no binding contract for Paul to break.

2(c) Specialty contract

List THREE characteristics of a specialty contract. (3 marks)

Three characteristics of a specialty contract are:

- It must be in writing and signed by all the parties involved.
- It must be sealed, often with a stamp or wax seal, and witnessed by a third party.
- It does not need consideration in order to be legally binding, unlike a simple contract.

2(d) Termination of contract

Explain, with the use of suitable examples, TWO ways by which a contract may be terminated or discharged. (6 marks)

Termination by performance

A contract is discharged by performance when both parties carry out exactly what they agreed to do under

the contract. For example, if a homeowner agrees to pay a builder $50,000 to build a wall, and the builder finishes the wall to the agreed standard while the homeowner pays the full $50,000, then both parties have performed their duties and the contract comes to a natural end.

Termination by mutual agreement

A contract can also be discharged when both parties freely agree to bring it to an end before it has been fully performed. For example, if a customer orders custom curtains from a tailor but later changes her mind, and the tailor agrees to cancel the order and refund the deposit, then the contract has been discharged by mutual agreement and neither party can later sue the other for breach.

Question 3

3(a) Factors of production

State TWO factors of production. (2 marks)

- Land - all the natural resources used in production, such as soil, minerals, forests and the sea.
- Labour - the human effort, both physical and mental, used to produce goods and services.

3(b) Natural resource and industry

(i) Identify ONE major natural resource found in the Caribbean. (1 mark); (ii) State ONE industry developed from the natural resource identified in (b)(i). (1 mark)

(b)(i) ONE major natural resource

Bauxite is one major natural resource found in the Caribbean, especially in Jamaica and Guyana.

(b)(ii) ONE industry developed from the resource

The alumina and aluminium industry has been developed from bauxite, where the ore is processed into alumina and then into aluminium for export and for use in manufacturing.

3(c) Classification of production activities

The table below describes four different production activities. Complete the table to show the classification of EACH activity by type of production and level of production. An example has been provided for you. Example: Oakwood Furnishing Ltd makes wooden furniture for sale to retail stores throughout the country - Manufacturing, Domestic consumption. (i) Prince Mackie, a Caribbean soca artiste, performs across the Caribbean, Europe and North America. (ii) Blue Waters Fishing Cooperative, located in the parish of St Theresa, supplies fresh fish and other seafood to restaurants and supermarkets in St Theresa and adjoining parishes. (iii) Justin makes school uniforms for his children and other relatives. (6 marks)

(c)(i) Prince Mackie

Type of production: Tertiary or service production, because Prince Mackie provides a service in the form of musical entertainment rather than producing a physical good. Level of production: Export or international (surplus) production, because his performances reach audiences in the Caribbean, Europe and North America, which goes far beyond the local market.

(c)(ii) Blue Waters Fishing Cooperative

Type of production: Primary production, because the cooperative is engaged in fishing, which is a primary activity that takes resources directly from the sea. Level of production: Domestic consumption, because the fish and seafood are supplied to restaurants and supermarkets in St Theresa and the adjoining parishes within the same country.

(c)(iii) Justin

Type of production: Secondary or manufacturing production, because Justin is making school uniforms by sewing fabric into a finished good. Level of production: Subsistence production, because he is producing the uniforms only for his own children and relatives, with little or nothing being sold.

3(d) Production vs productivity

The general manager of Premium Chocolate Factory made the following statement to the board of directors. 'Production for the year 2021 was up 15% over the previous year, but overall productivity declined by 10%'. Explain the meaning of the statement above, clearly differentiating between 'production' and 'productivity'. (4 marks)

Production

Production refers to the total quantity of goods or services that the factory has actually made over a given period of time. The statement that production was up 15% means that Premium Chocolate Factory made 15 per cent more chocolate in 2021 than it did the year before.

Productivity

Productivity, on the other hand, measures how efficiently the factory has used its resources, such as workers, machines and raw materials, to make that output. It is usually expressed as output per worker per hour. The statement that productivity declined by 10% means that even though more chocolate was produced, each unit of input, such as each worker hour, produced 10 per cent less chocolate than before, so the factory became less efficient overall. This could happen if the factory hired many more workers or used more raw materials than the increase in output justified.

3(e) Increased productivity at Sunshine Beach Resort

A recent survey indicated that there was a significant increase in the productivity of the staff of Sunshine Beach Resort when compared with the previous two years. Explain TWO likely reasons for the increased productivity of the staff of Sunshine Beach Resort. (6 marks)

Improved training and skills development

If the resort invested in regular training programmes for its staff in areas such as customer service, food preparation and housekeeping, the workers would be able to do their jobs faster and to a higher standard. Better trained workers make fewer mistakes, serve guests more quickly and need less supervision, all of which raise output per worker.

Better motivation and working conditions

If the resort improved wages, gave bonuses for good performance, recognised hard-working staff and upgraded the working environment, employees would feel more valued and would put more effort into

their work. Workers who are well motivated tend to be more energetic, more careful and more loyal, which directly increases the amount and quality of work they produce in the same number of hours.

Question 4

4(a) Market and marketing

Define EACH of the following terms: (i) Market (2 marks); (ii) Marketing (2 marks)

Market

A market is any arrangement that brings buyers and sellers together to exchange goods and services for money. It does not have to be a physical place such as a shopping centre, since markets can also exist online or over the telephone, wherever buyers and sellers can communicate and agree on a price.

Marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs and wants profitably. It involves researching the market, designing the product, deciding the price, choosing how the product will reach the customer and promoting the product so that customers know about it and want to buy it.

4(b) Marketing mix

List the FOUR elements of the traditional marketing mix. (4 marks)

- Product - the goods or services that the business offers to satisfy customer needs.
- Price - the amount of money the customer is asked to pay for the product.
- Place - how and where the product is made available to the customer, including the channels of distribution.
- Promotion - all the activities the business uses to inform customers about the product and persuade them to buy it.

4(c) Branding and sales promotion

Describe EACH of the following marketing activities. State ONE example of EACH activity. (i) Branding (3 marks); (ii) Sales promotion (3 marks)

(c)(i) Branding

Branding is the marketing activity in which a business gives its product a unique identity, made up of a name, logo, design and image, so that customers can easily recognise the product and tell it apart from similar products on the market. An example of branding is the use of the swoosh symbol and the name 'Nike' on sports shoes and clothing, which makes the brand instantly recognisable around the world.

(c)(ii) Sales promotion

Sales promotion is a short-term marketing activity used to encourage customers to buy a product right away by offering them an extra benefit or saving. An example of sales promotion is a 'buy one, get one free' offer on toothpaste in a supermarket, which gives shoppers an immediate reason to choose that brand over its competitors.

4(d) Pat's hand sanitizers

The COVID-19 pandemic presented Pat with a business opportunity to manufacture and sell hand sanitizers. Initially she was extremely optimistic, as she thought that the demand for her product would have been great. After one year in operation, Pat was disappointed that the sales of her hand sanitizers were not as she expected. Explain TWO factors that may have influenced the consumers' response to Pat's hand sanitizers. (6 marks)

Competition from other producers and falling demand

By the time Pat had her sanitizers ready, many other firms, both local and foreign, had also rushed into the same market with their own brands, which meant that consumers had many cheaper or better-known options to choose from. As the worst of the pandemic passed and people felt less afraid of catching the virus, the overall demand for hand sanitizers also fell sharply, so even shoppers who would have bought her product before were now buying less of it.

Quality, price and packaging of the product

Consumers compare new products with what they already trust, so the look, feel and smell of Pat's sanitizer, along with its price, would have had a big effect on her sales. If her bottles looked plain, if the alcohol content was uncertain or if the price was higher than well-known brands, shoppers would have stayed with the brands they already knew. On the other hand, weak packaging or labelling that did not clearly state that the product killed germs would have given consumers no good reason to switch to her brand.

Question 5

5(a) ICT in banking and computer software

(i) State FOUR ways in which information and communications technology (ICT) has influenced banking and finance operations. (4 marks); (ii) Identify TWO computer software programs designed for use in business. (2 marks)

(a)(i) FOUR ways ICT has influenced banking and finance

- Customers can now use Automated Teller Machines (ATMs) to withdraw cash, check balances and pay bills at any time of day or night.
- Online and mobile banking allows customers to transfer money, pay bills and apply for loans from their phones or computers.
- Electronic funds transfer and real-time gross settlement systems allow money to move between banks and accounts in seconds rather than days.
- Computerised record keeping has replaced large paper files, so transactions are processed and customer records are updated almost instantly.

(a)(ii) TWO computer software programs for business

- Microsoft Excel, a spreadsheet program used to record figures, calculate totals and prepare budgets and financial statements.

- QuickBooks, an accounting software package used to keep proper books of accounts, generate invoices and produce management reports.

5(b) E-business and e-commerce

Distinguish between 'e-business' and 'e-commerce'. (4 marks)

E-business

E-business, short for electronic business, is the wider term that covers all the business activities a firm carries out using the internet and electronic technology. It includes online marketing, online customer service, the use of email and intranets to communicate with employees and suppliers, online recruitment and the management of inventory and accounts using electronic systems.

E-commerce

E-commerce, short for electronic commerce, refers specifically to the buying and selling of goods and services over the internet. It is therefore one part of e-business and includes activities such as ordering items from an online store, paying with a credit or debit card on a website and having the goods delivered or downloaded electronically.

5(c) ICT improvements to business operations

State FOUR ways in which ICT could improve the operations of a business. (4 marks)

Four ways in which ICT could improve the operations of a business are:

- By speeding up communication with customers, suppliers and workers through email, online chat and video calls.
- By keeping more accurate records of stock, sales and accounts using databases and accounting software, which reduces errors and waste.
- By allowing the business to reach a wider market through a website and social media, so that products can be sold both locally and overseas.
- By making it easier for managers to analyse data and make better decisions, using spreadsheets and reporting tools that show trends in sales and costs.

5(d) ICT and privacy

The unethical use of ICT poses a significant challenge to businesses. One such issue is that of privacy. Explain TWO issues related to privacy that have arisen due to the unethical use of ICT. (6 marks)

Unauthorised access to personal data and identity theft

When businesses store customer information such as names, addresses, credit card numbers and dates of birth on computer systems, criminals can hack into these systems and steal the data. The stolen information is then used for identity theft, where criminals use other people's details to open bank accounts, apply for loans or make online purchases. This causes financial loss and emotional stress to the customers and serious damage to the reputation of the business that failed to protect their data.

Misuse of personal information by the business itself

Some businesses collect personal information from customers when they register on websites or social media, and then sell or share that information with other companies without the customers' permission. This results in customers being bombarded with unwanted advertising, phone calls and spam emails. It also means that very private details about people's habits, locations and finances can be used in ways they never agreed to, which is a serious breach of their right to privacy.

January 2025 Paper 02

Note on source: The questions for this paper were extracted from a scanned image of the original PDF using OCR and verified against the rendered page images. Please cross-check key figures and names against the original paper before relying on them in coursework.

Question 1

Rachel Coore is the owner of Good Care Beauty Salon. The salon consists of two departments, nails and hair. The nails department comprises five technicians and is supervised by Julian Jones. The hair department comprises seven stylists and is supervised by Kayleigh Scott. Rachel Coore manages the business and is assisted by an accounting clerk, Maxine Stamp.

1(a) Organizational chart

Use the information in the scenario above to complete the following organizational chart for Good Care Beauty Salon. The title and name of employees must be stated in EACH case. An example has been provided for you. (3 marks)

The completed organizational chart for Good Care Beauty Salon would be set out as follows:

- At the top of the chart, the Manager, Rachel Coore, would be shown.
- Reporting directly to the Manager would be the Accounting Clerk, Maxine Stamp.
- Below the Manager, the Nails Department would be headed by the Supervisor, Julian Jones, with five Nail Technicians reporting to him.
- Also below the Manager, the Hair Department would be headed by the Supervisor, Kayleigh Scott, with seven Stylists reporting to her.

1(b) Span of control and sources of conflict

(i) State the span of control of the manager of Good Care Beauty Salon. (1 mark); (ii) Identify TWO potential sources of conflict that may occur between the manager and employees of Good Care Beauty Salon. (2 marks)

(b)(i) Span of control

The span of control of the manager, Rachel Coore, is three, since she has the two department supervisors (Julian Jones and Kayleigh Scott) and the accounting clerk (Maxine Stamp) reporting directly to her.

(b)(ii) TWO potential sources of conflict

- Disputes about wages, working hours or other conditions of employment, where employees feel that they are being underpaid or overworked.
- Disagreements about how work is assigned and supervised, where employees feel that the manager is showing favouritism or being too harsh in giving instructions.

1(c) Mediation and arbitration

Describe EACH of the following strategies used in the resolution of conflict in an organization: (i) Mediation (2 marks); (ii) Arbitration (2 marks)

Mediation

Mediation is a strategy in which an independent third party, called a mediator, is invited to help the two sides in a dispute to talk to each other and reach a solution that they can both accept. The mediator does not make a decision for the parties but instead listens to each side, helps them to understand each other's points and suggests possible compromises.

Arbitration

Arbitration is a strategy in which both sides in the dispute agree to put their case before an independent third party, called an arbitrator, who then makes a decision after hearing the evidence. Unlike a mediator, the arbitrator's decision is usually binding on both parties, which means that they must accept and follow the decision.

1(d) Characteristics of a good leader

List FOUR characteristics of a good leader. (4 marks)

Four characteristics of a good leader are:

- Honesty and integrity, which build trust between the leader and the workers.
- Good communication skills, so that the leader can clearly explain ideas, give instructions and listen to feedback.
- Confidence and decisiveness, so that the leader can make firm decisions even when situations are difficult.
- Fairness and the ability to motivate others, so that workers feel respected, valued and willing to give their best effort.

1(e) Democratic versus authoritarian leadership

Explain TWO benefits of a manager adopting a democratic style of leadership rather than an authoritarian style of leadership. (6 marks)

Higher worker motivation and job satisfaction

In a democratic style of leadership, the manager invites workers to share their ideas and to take part in making decisions that affect their jobs. When workers feel that their opinions matter and that they have some control over their work, they become more committed to the business, take greater pride in what they do and are willing to put in extra effort. In contrast, an authoritarian leader simply gives orders, which can leave workers feeling unimportant and unmotivated.

Better decisions and stronger team work

When a manager listens to the views of the workers before making a decision, the business gains from the different ideas, skills and experiences of the team, and the final decision is usually better than one made by the manager alone. Workers who help to shape a decision are also more likely to support it and work

hard to make it succeed, which builds a stronger team spirit. An authoritarian leader, who decides everything alone, often misses good ideas and may face quiet resistance from staff who disagree with the decision.

Question 2

2(a) Entrepreneur

(i) Define the term 'entrepreneur'. (2 marks); (ii) State TWO characteristics of a typical entrepreneur. (2 marks)

(a)(i) Definition of entrepreneur

An entrepreneur is a person who organises the other factors of production, such as land, labour and capital, in order to produce goods or services for profit. The entrepreneur takes the risk of starting and running the business and is rewarded by any profit that is made or bears the loss if the business fails.

(a)(ii) TWO characteristics of a typical entrepreneur

- A willingness to take calculated risks, since starting and running a business always involves the chance of losing money.
- Creativity and innovation, since entrepreneurs are constantly looking for new ideas, products and ways of solving problems.

2(b) Functions of an entrepreneur

Describe EACH of the following functions of an entrepreneur in a business: (i) Conceptualizing (2 marks); (ii) Bearing of risks (2 marks); (iii) Accessing resources (2 marks)

Conceptualizing

Conceptualizing is the function in which the entrepreneur comes up with the original business idea and develops it into a clear plan. The entrepreneur identifies a need in the market, thinks about what kind of product or service could meet that need and works out how the business will operate, who the customers will be and how it will earn a profit.

Bearing of risks

Bearing of risks is the function in which the entrepreneur accepts the chance of losing the money and effort invested in the business. Risks include the possibility that the product will not sell, that costs will rise faster than expected or that competitors will take away customers. The entrepreneur takes on these risks personally, in the hope of earning a profit if the business succeeds.

Accessing resources

Accessing resources is the function in which the entrepreneur finds and brings together everything the business needs to operate. This includes raising the necessary capital from savings, loans or investors, finding a suitable location, buying or renting equipment, hiring workers and securing supplies of raw materials.

2(c) Entrepreneurship and Caribbean economies

Outline TWO roles of entrepreneurship in the development of Caribbean economies. (4 marks)

Job creation and reduction of unemployment

When entrepreneurs start new businesses they hire workers to help them produce goods and services, which creates jobs in the local economy. As more Caribbean people start their own businesses, the level of unemployment falls, household incomes rise and dependence on the government for support is reduced.

Increased output, innovation and foreign exchange earnings

Entrepreneurs add to the goods and services produced in the country, often by introducing new products and improved ways of doing things. Some Caribbean entrepreneurs sell their products to other countries, which brings in foreign exchange that the region needs to pay for imports such as fuel, food and machinery.

2(d) Karim's restaurant and government regulations

Karim wants to open a restaurant to sell fried chicken in the capital city of San Leo. Explain how Karim could comply with TWO government regulations or policies for the protection of the environment and/or public health when establishing and operating the business. (6 marks)

Public health and food safety regulations

Karim could comply by ensuring that his kitchen is built and operated according to the standards set by the Ministry of Health, with proper sinks, refrigeration, clean surfaces and safe storage of raw chicken. He should make sure that all his cooks have valid food handlers' permits, that they wear hairnets, gloves and clean uniforms, and that he passes regular inspections from public health officers, so that customers are not put at risk of food poisoning.

Environmental and waste disposal regulations

Karim could comply with environmental regulations by signing up for an approved garbage collection service to remove food waste daily and by installing a grease trap to stop used cooking oil from blocking the public drains and polluting water courses. He should also make sure that smoke and odours from the fryers are vented properly, and that the noise from any music or generators is kept within the limits set by the Environmental Health Department.

Question 3

Caribbean economies benefit significantly from the contribution of cottage industries.

3(a) Cottage industries

(i) State THREE characteristics of cottage industries. (3 marks); (ii) List THREE types of goods or services that are often produced within cottage industries. (3 marks)

(a)(i) THREE characteristics of cottage industries

- They are small-scale operations, often run from the home of the owner with only a few workers, who are usually members of the family.
- They use simple tools and traditional methods rather than large modern machinery, and require very little capital to set up.

- They produce goods or services mainly for the local market, often based on local skills and raw materials such as straw, clay or fruit.

(a)(ii) THREE types of goods or services from cottage industries

- Handmade craft items such as straw bags, baskets and wooden carvings.
- Locally produced foods and drinks such as jams, jellies, pepper sauces and homemade fruit juices.
- Personal services such as dressmaking, hairdressing and small bakery products.

3(b) Advantages and disadvantages of small business operations

(i) State TWO advantages of small business operations. (2 marks); (ii) State TWO disadvantages of small business operations. (2 marks)

(b)(i) TWO advantages

- They require a small amount of capital to start, so it is easier for ordinary people to become their own bosses.
- Decisions can be made quickly because there are usually few layers of management, which allows the business to respond rapidly to changes in the market.

(b)(ii) TWO disadvantages

- They often have limited access to finance, since banks are usually unwilling to lend large sums to very small firms.
- They cannot benefit from large-scale economies, so their cost per unit is often higher than that of bigger competitors, which makes it hard to keep prices low.

3(c) Jerome's juice business expansion

Jerome operates a small fruit juice manufacturing business in Spice Town. Recently, he has seen opportunities for the growth of the business and has been considering expanding. (i) State ONE way in which Jerome's business could grow internally. (1 mark); (ii) State ONE way in which Jerome's business could grow externally. (1 mark); (iii) Explain the likely effect that expansion could have on the organizational structure of Jerome's business. (3 marks)

(c)(i) ONE way to grow internally

Jerome's business could grow internally by reinvesting its profits to buy more juicing machinery and to produce a wider range of fruit juice flavours, so that more output is sold from the same business.

(c)(ii) ONE way to grow externally

Jerome's business could grow externally by merging with, or taking over, another small fruit juice maker in a nearby town, so that the two firms become one larger business.

(c)(iii) Effect on organizational structure

As the business grows, Jerome will not be able to manage every part of it on his own, so he will need to add more layers of management. New departments such as production, sales, finance and human resources may have to be set up, each with its own supervisor. The structure will move from a simple flat one, where most workers report directly to Jerome, to a taller hierarchy with several levels of authority.

This means clearer job titles, more written rules and procedures, and longer lines of communication between workers and the owner.

3(d) Linkage industries

(i) Define the term 'linkage industries'. (2 marks); (ii) Explain ONE backward or ONE forward linkage in which Jerome's business could engage. (3 marks)

(d)(i) Definition of linkage industries

Linkage industries are industries that are connected to one another in a chain of production, where the output of one industry is used as an input by another industry, or where one industry creates the demand that supports another. Linkages can be backward, going back to suppliers of raw materials, or forward, going on to industries that further process or distribute the output.

(d)(ii) ONE backward or forward linkage for Jerome

A backward linkage that Jerome's business could engage in is the buying of fruit directly from local farmers in Spice Town. As his juice business grows, the farmers will sell more of their oranges, mangoes, pineapples and other fruit to him, which gives them a steady source of income and encourages them to plant more. This builds a strong link between the juice industry and local agriculture, where each industry depends on and supports the other.

Question 4

4(a) Methods of retailing

List FOUR methods of retailing. (4 marks)

Four methods of retailing are:

- Supermarkets, which are large self-service stores that sell a wide range of food and household goods at low prices.
- Department stores, which are large shops divided into sections, each selling a different range of goods such as clothing, furniture and electronics.
- Online retailing, where goods are advertised, ordered and paid for through a website or mobile app and then delivered to the customer.
- Vending machines, which are coin or card-operated machines that sell small items such as drinks and snacks without the need for a salesperson.

4(b) Terms of sales

Describe EACH of the following terms of sales: (i) Hire purchase (2 marks); (ii) Consignment (2 marks); (iii) Layaway (2 marks)

Hire purchase

Hire purchase is a method of buying goods in which the customer pays a deposit and then takes the item home, but pays the rest of the price in regular instalments over an agreed period of time. The seller

remains the legal owner of the item until the final instalment is paid, after which ownership passes to the buyer.

Consignment

Consignment is an arrangement in which the owner of goods, called the consignor, sends the goods to a retailer, called the consignee, who then tries to sell them to customers. The retailer only pays the consignor for the items that are actually sold and may return any unsold goods, so the risk of unsold stock remains with the consignor.

Layaway

Layaway is a way of buying goods in which the customer chooses an item, pays a deposit and then makes regular payments towards the price, while the seller keeps the item in storage. The customer only takes the item home after the full price has been paid, and ownership does not pass until the final payment is made.

4(c) Functions of consumer organizations

State FOUR functions of consumer organizations. (4 marks)

Four functions of consumer organisations are:

- Educating consumers about their rights and responsibilities through pamphlets, talks and the media.
- Investigating complaints from members of the public against businesses that have sold them faulty goods or poor services.
- Lobbying the government to pass and enforce laws that protect the interests of consumers.
- Testing products and publishing the results so that consumers know which goods are safe and good value for money.

4(d) Venus Communications Ltd and customer service

Venus Communications Ltd provides mobile phone services to the citizens of Peanut Island. The management of the company is concerned that the business is often openly criticized for its poor customer service. (i) Explain ONE way in which poor customer service is likely to affect the success of Venus Communications Ltd. (3 marks); (ii) Explain how online chats or surveys could be used by the management of Venus Communications Ltd to improve the company's customer service. (3 marks)

(d)(i) Effect of poor customer service

Poor customer service would cause many existing subscribers of Venus Communications Ltd to switch to a rival mobile phone company, since they will not put up with long waits, rude staff and unsolved problems if they can get better service elsewhere. As customers leave and complain publicly, the company's reputation on Peanut Island will fall, fewer new customers will sign up, and revenue and profits will drop. Over time, the business may also have to lay off workers and may struggle to attract investment, which threatens its long-term survival.

(d)(ii) Use of online chats or surveys

Online chats would allow customers of Venus Communications Ltd to type their questions and complaints into a chat box on the company's website or app and receive a quick reply from a customer service agent. The chat records could be reviewed by managers to identify the most common problems and to train staff on how to deal with them. Online surveys could be sent to customers after a service call or a store visit, asking them to rate the experience and to give comments. The feedback would help managers to spot weak areas, fix specific issues and measure whether customer service is improving over time.

Question 5

5(a) Business technology

Define the term 'business technology'. (2 marks)

Business technology refers to the tools, equipment, software and systems that a business uses to carry out its activities more efficiently. This includes computers, the internet, mobile devices, point-of-sale machines, accounting software and the various electronic systems used for communication, record keeping and the processing of transactions.

5(b) Standard of living and quality of life

List FOUR factors that determine a country's standard of living and/or the quality of life of its citizens. (4 marks)

Four factors that determine a country's standard of living and/or the quality of life of its citizens are:

- The level of income earned per person, often measured by GDP per capita, which shows how much people can afford to buy.
- The quality of education available to citizens, including the number of schools, teachers and the rate of literacy.
- The quality of health care services, including the availability of hospitals, doctors and medicines, and life expectancy at birth.
- The standard of housing, public utilities and infrastructure such as roads, water, electricity and internet access.

5(c) GDP and GNP

Define EACH of the following terms: (i) Gross domestic product (GDP) (2 marks); (ii) Gross national product (GNP) (2 marks)

Gross domestic product (GDP)

Gross domestic product is the total money value of all the final goods and services produced inside a country during a given period of time, usually one year. It includes the output of both citizens and foreigners producing within the borders of the country, but does not include income earned by the country's citizens working abroad.

Gross national product (GNP)

Gross national product is the total money value of all the final goods and services produced by the citizens of a country during a given period of time, usually one year, no matter where in the world they are produced. It is calculated by taking GDP, adding the income that citizens earn from abroad and subtracting the income that foreigners earn within the country.

[unclear in source - please verify against original paper] The page images available for this paper end after the GDP/GNP definitions on page 20, and the remaining parts of Question 5 (typically (d) and (e), worth around 10 marks) could not be confirmed from the OCR. Centres should refer to the original CXC booklet for those parts.

May/June 2025 Paper 02

Question 1

Barter was the main means of payment utilized in early economies.

1(a) Barter and money

(i) Define the term 'barter'. (1 mark); (ii) Outline ONE disadvantage of barter. (2 marks); (iii) State TWO characteristics of money. (2 marks)

(a)(i) Definition of barter

Barter is a system of exchange in which goods and services are traded directly for other goods and services without the use of money.

(a)(ii) ONE disadvantage of barter

A major disadvantage of barter is the need for a 'double coincidence of wants', where each trader must find another trader who not only has what they want, but also wants what they are offering in return. This makes trade slow and difficult, especially when one of the goods, such as a goat, cannot be easily divided into smaller amounts.

(a)(iii) TWO characteristics of money

- Money must be generally acceptable, meaning that everyone in the country is willing to take it in exchange for goods and services.
- Money must be durable and portable, so that it can be carried around easily and used many times without wearing out quickly.

1(b) The cheque

Figure 1 shows a diagram of a cheque (Sunshine Commercial Bank, No. 007, dated April 10, 2025, pay to the order of ABC Traders the sum of $6 000.00, signed Kimani Clarke). (i) Identify the drawer of the cheque in Figure 1. (1 mark); (ii) Identify the drawee of the cheque in Figure 1. (1 mark); (iii) List THREE instruments of payment, other than cheques, used in modern economies. (3 marks)

(b)(i) Drawer

The drawer of the cheque in Figure 1 is Kimani Clarke, the person who signed and issued the cheque to make a payment from his account.

(b)(ii) Drawee

The drawee of the cheque in Figure 1 is Sunshine Commercial Bank, the bank on which the cheque is drawn and which is ordered to pay out the funds.

(b)(iii) THREE other instruments of payment

- Debit cards, which allow money to be transferred directly from a customer's bank account to the seller at the point of sale.
- Credit cards, which allow customers to buy goods and services on credit and pay the credit card company at a later date.

- Electronic funds transfer (EFT) and online bank transfers, which allow money to be moved from one account to another using a computer or mobile phone.

1(c) Private/public sector and limited companies

Differentiate between EACH of the following pairs of terms: (i) Private sector and public sector (2 marks); (ii) Private limited companies and public limited companies (2 marks)

(c)(i) Private sector and public sector

The private sector is made up of businesses that are owned and run by private individuals or groups of individuals, with the main aim of making a profit. The public sector, on the other hand, is made up of organisations that are owned and run by the government on behalf of the citizens, with the main aim of providing essential goods and services rather than making a profit.

(c)(ii) Private limited companies and public limited companies

A private limited company is owned by a small number of shareholders, often from the same family or group of friends. Its shares are not sold on the stock exchange and cannot be transferred without the agreement of the other shareholders. A public limited company is owned by a much larger number of shareholders, and its shares are sold freely to the public on the stock exchange, so anyone with money can buy and sell the shares.

1(d) Mixed economy versus free enterprise economy

Explain ONE advantage and ONE disadvantage to the society in a mixed economy when compared with the society in a free enterprise (capitalist) economy. (6 marks)

(d) Advantage

Greater fairness and protection of citizens

In a mixed economy the government takes part alongside the private sector and uses taxes to provide essential services such as education, health care and pensions to all citizens, including those who cannot afford to pay for them. The government also passes laws to protect workers and consumers, which helps to share the wealth of the country more fairly. In a pure free enterprise economy, those who cannot afford private services may be left without basic care, and the gap between rich and poor tends to be much wider.

(d) Disadvantage

Higher taxes and slower decision making

To pay for the public services it provides, the government in a mixed economy must collect higher levels of tax from individuals and businesses, which leaves people with less money to spend or invest. Government-owned organisations also tend to make decisions more slowly than private firms, because they have to follow strict rules and procedures. In a free enterprise economy taxes are usually lower and private firms can react more quickly to changes in the market, which can mean a wider choice of goods and lower prices for consumers.

Question 2

2(a) Business documents and records

(i) List THREE documents utilized in the operations of a business. (3 marks); (ii) State THREE reasons why it is necessary to keep proper records of business transactions. (3 marks)

(a)(i) THREE business documents

- Invoice, which is sent by a seller to a buyer to request payment for goods or services supplied.
- Receipt, which is given by the seller to the buyer as proof that money has been paid.
- Purchase order, which is sent by a buyer to a supplier to formally request that certain goods be supplied.

(a)(ii) THREE reasons for keeping proper records

- To know exactly how much money the business is making or losing, by comparing income and expenses over time.
- To meet legal requirements such as filing tax returns and providing information to government authorities and auditors.
- To help the owners and managers make better decisions about pricing, buying stock, hiring workers and planning for the future.

2(b) Types of insurance policies

Describe EACH of the following types of insurance policies: (i) Public liability (2 marks); (ii) Employers' liability (2 marks)

Public liability

Public liability insurance is a policy that protects a business against claims made by members of the public who are injured, or whose property is damaged, as a result of the business's activities. For example, if a customer slips on a wet floor in a supermarket and breaks an arm, the policy would pay the medical bills and any compensation awarded by the court.

Employers' liability

Employers' liability insurance is a policy that protects a business against claims made by its own workers who are injured or made ill as a result of doing their jobs. For example, if a factory worker hurts his back while lifting heavy boxes, the policy would cover the worker's medical costs and any compensation that the employer is required by law to pay.

2(c) Principles of insurance

Define EACH of the following principles of insurance and state ONE example of EACH principle: (i) Insurable interest (2 marks); (ii) Indemnity (2 marks)

(c)(i) Insurable interest

Insurable interest is the principle that the person taking out the insurance must stand to suffer a real financial loss if the event being insured against actually happens. For example, a homeowner has

insurable interest in his own house and may insure it against fire, but he cannot insure his neighbour's house, because he would not lose money if it burned down.

(c)(ii) Indemnity

Indemnity is the principle that an insurance policy should put the insured person back in the same financial position they were in just before the loss happened, but no better. For example, if a car worth $80,000 is destroyed in an accident, the insurance company will pay the owner up to $80,000 to replace it, but will not pay them more than the value of the car before the accident.

2(d) Mr Cole and Raul's phone

Mr Cole has a phone that he would like to sell to his 13-year-old neighbour, Raul. He approaches Raul who is very excited about the phone and, although the phone is expensive, it is the latest in the series. Raul tells Mr Cole that he could only deposit half of the agreed price and that he would pay the balance at the end of the month, at which time Mr Cole would deliver the phone to him. Raul's mother hears of the transaction and tells Raul that he recently received a phone and so should not have agreed to purchase another one. She goes to Mr Cole and asks that he immediately return Raul's deposit. Mr Cole bluntly refuses, and insists that he had a contract with Raul and that he would sue for breach of contract if Raul did not go through with the agreement. (i) Identify the principle of contract relevant to the case above. (1 mark); (ii) Explain whether Mr Cole is likely to succeed if he sues Raul. (3 marks); (iii) Suggest TWO actions the parties could take to peacefully settle the dispute without going to the courts. (2 marks)

(d)(i) Principle of contract

The principle of contract relevant to this case is capacity to contract, which deals with whether the parties to a contract are legally able to enter into a binding agreement.

(d)(ii) Whether Mr Cole is likely to succeed

Mr Cole is not likely to succeed if he sues Raul. The law states that a person under the age of eighteen, called a minor, does not have full capacity to enter into a binding contract for goods that are not necessaries. A high-end phone is not a necessary item like food, basic clothing or medicine, but a luxury, so the contract with thirteen-year-old Raul is not enforceable against him. The court would most likely order Mr Cole to return the deposit to Raul rather than force Raul to pay the balance and accept the phone.

(d)(iii) TWO actions to settle peacefully

- The parties could try negotiation, where Mr Cole and Raul's mother sit down and talk through the situation calmly, with Mr Cole agreeing to return the deposit and Raul's mother accepting that her son acted without permission.
- The parties could use mediation, where they invite a respected, neutral person from the community to listen to both sides and to suggest a fair way to end the dispute without going to court.

Question 3

3(a) Public relations activities

Businesses engage in public relations activities to boost their image. State THREE forms of public relations activities in which businesses engage. (3 marks)

Three forms of public relations activities in which businesses engage are:

- Sponsorship of sporting events, school activities or community programmes.
- Issuing press releases and granting interviews to newspapers, radio and television stations.
- Charity work and donations, such as supporting hospitals, children's homes or disaster relief efforts.

3(b) Methods of promoting sales

Describe EACH of the following methods of promoting sales: (i) Loyalty points (2 marks); (ii) Bundling (2 marks)

Loyalty points

Loyalty points is a method of promoting sales in which customers earn a certain number of points each time they buy from the business, and these points can later be used as discounts on future purchases or exchanged for free gifts. This encourages customers to keep coming back to the same business in order to build up their points.

Bundling

Bundling is a method of promoting sales in which two or more related products are packaged and sold together at a price that is lower than the total cost of buying the items separately. For example, a fast food restaurant may offer a burger, fries and a drink as a 'combo meal' at a special price, which encourages customers to buy more items at once.

3(c) Pricing and distribution

Describe EACH of the following marketing activities: (i) Pricing (2 marks); (ii) Distribution (2 marks)

Pricing

Pricing is the marketing activity in which the business decides how much to charge customers for its goods or services. The price chosen must be high enough to cover the costs of producing and selling the product and to provide a profit, but low enough that customers are willing to pay it and that the business can compete with similar firms.

Distribution

Distribution is the marketing activity in which the business decides how its products will move from the place where they are produced to the customers who will use them. It includes choosing the channels of distribution, such as wholesalers and retailers, and arranging the transport, storage and delivery of the goods so that they reach the customer in the right place and at the right time.

3(d) Pricing strategies

Firms utilize different strategies to determine the price at which products will be sold. Complete the table below by identifying EACH pricing strategy described in Column 1. (i) Jus Cool Beverages recently introduced a new line of lemon-based soft drinks with an introductory price below that of similar products. (ii) All the bakeries in San Porto sell sugar buns at approximately the same price. (iii) The Jazz Festival charges different admission prices for students, adults and seniors. (3 marks)

(d)(i) Jus Cool Beverages

The pricing strategy used by Jus Cool Beverages is penetration pricing, where the firm sets a low introductory price on its new lemon-based soft drinks in order to attract customers away from competitors and gain a share of the market quickly.

(d)(ii) Bakeries in San Porto

The pricing strategy used by the bakeries in San Porto is going-rate pricing (also called competitive pricing), where each bakery charges a price for its sugar buns that is in line with the prices charged by other bakeries in the same market.

(d)(iii) Jazz Festival

The pricing strategy used by the Jazz Festival is price discrimination (also called differential pricing), where the same product or event is sold at different prices to different groups of customers, in this case students, adults and seniors.

3(e) Mr Genus' Extras Institute advertisement

Examine the advertisement shown in Figure 2 (an advertisement for Mr Genus' Extras Institute, offering 'Success guaranteed or money back' tutoring for the POB exam, with claims of being 'highly qualified' and having '20 years' experience'). (i) Name the type of advertising shown in Figure 2. (1 mark); (ii) State the MAIN objective of the type of advertising displayed in Figure 1. (1 mark); (iii) Identify ONE group being targeted by the advertisement. (1 mark); (iv) Suggest ONE effective communications medium that Mr Genus could use to present the advertisement to his target market. (1 mark); (v) Outline ONE reason for the communications medium suggested in (e)(iv). (2 marks)

(e)(i) Type of advertising

The type of advertising shown in Figure 2 is persuasive advertising, since it tries to convince students that signing up with Mr Genus' Extras Institute is the way to guarantee a Grade 1 in POB.

(e)(ii) MAIN objective

The main objective of persuasive advertising is to convince the target audience to take action, in this case to choose Mr Genus' Extras Institute over other tutoring options and to sign up for his classes.

(e)(iii) ONE group being targeted

One group being targeted by the advertisement is CSEC students who are preparing to sit the Principles of Business examination and who are worried about earning a Grade 1.

(e)(iv) ONE effective communications medium

Mr Genus could use social media platforms such as Instagram, TikTok or Facebook to present the advertisement to his target market.

(e)(v) ONE reason for the medium

Most secondary school students spend several hours a day on social media, so an advertisement placed there is very likely to reach his target audience cheaply and to be shared with their friends, which spreads the message even further at no extra cost.

Question 4

4(a) Roles of transportation in marketing

Outline TWO roles of transportation in the marketing of goods. (4 marks)

Moving goods from producers to consumers

Transportation makes it possible to take goods from the factories or farms where they are made and deliver them to wholesalers, retailers and final consumers, often in different parts of the country or the world. Without proper transport, goods would simply pile up where they were produced and would not reach the customers who need them, so the marketing effort would be wasted.

Creating place utility and supporting wider markets

Transportation gives goods 'place utility' by ensuring that they are available where customers want them, which adds value to the product. Reliable transport also allows a business to sell to a much wider market, including overseas customers, and to keep shelves stocked at all times, which strengthens the firm's marketing position and reputation.

4(b) Most suitable mode of transportation

Identify the MOST suitable mode of transportation for the movement of EACH of the following products: (i) Vaccines from Canada to Grenada (1 mark); (ii) Lumber from the parish of Saint Joseph to the parish of Saint George in Dominica (1 mark); (iii) Statistics on CXC results from Barbados to Saint Lucia (1 mark); (iv) Crude oil from Trinidad to Tobago (1 mark)

(b)(i) Vaccines from Canada to Grenada

Air transport is the most suitable mode, because vaccines must reach Grenada quickly and be kept at the correct temperature, and air freight is the fastest way to move goods across long international distances.

(b)(ii) Lumber from Saint Joseph to Saint George in Dominica

Road transport is the most suitable mode, because the two parishes are within the same small island and a truck can carry the heavy and bulky lumber directly from the source to the customer without the need to change vehicles.

(b)(iii) Statistics on CXC results from Barbados to Saint Lucia

Electronic transmission over the internet (such as email or a secure data link) is the most suitable mode, because the information is in digital form and needs to reach Saint Lucia almost instantly, with no physical goods to move.

(b)(iv) Crude oil from Trinidad to Tobago

Sea transport, using an oil tanker or barge, is the most suitable mode, because crude oil is a heavy bulk liquid that is best moved between the two islands by ship in large quantities at low cost.

4(c) Distribution problems and solutions

(i) State TWO problems that may be encountered in the distribution of mangoes from the Caribbean to the United States of America. (2 marks); (ii) Other than the use of global positioning systems (GPS) technology, outline TWO measures that firms could take to reduce some of the problems encountered in the distribution of goods globally. (4 marks)

(c)(i) TWO problems

- Mangoes are perishable, so any delay in shipping or at the port can cause large quantities of fruit to spoil before they are sold.
- Strict food safety and quarantine regulations imposed by the United States may cause shipments to be inspected, treated or even rejected at the border, leading to extra costs and lost time.

(c)(ii) TWO measures to reduce distribution problems

Use of refrigerated containers and proper packaging

Firms can invest in refrigerated containers, also called reefer containers, and modern packaging that controls temperature, humidity and the flow of air. This keeps perishable goods such as mangoes fresh for longer during the voyage and reduces the amount of stock lost to spoilage.

Working with experienced freight forwarders and meeting all paperwork on time

Firms can hire experienced freight forwarders or shipping agents who know the rules of each country, prepare the export documents correctly and arrange the right routes and customs clearance. This reduces the risk of shipments being held up at the port and helps the goods to reach their destination on schedule.

4(d) Queenstown Traders Inc. and GPS

Queenstown Traders Inc. provides distribution services for a wide range of imported and locally produced goods. The firm has a fleet of ten trucks and the managers want to use global positioning systems (GPS) in the management of the company's transportation. Explain TWO benefits Queenstown Traders Inc. could gain by utilizing GPS in the management of its transportation. (6 marks)

Better route planning and lower fuel costs

GPS allows the managers at Queenstown Traders Inc. to see the real-time position of all ten trucks on a map and to plan the shortest and least congested routes for each delivery. Drivers can be guided around traffic jams, road closures and bad weather, which reduces the time and fuel needed for each trip. Lower fuel and time costs increase the firm's profits and allow it to make more deliveries each day.

Improved customer service and security of goods

Because GPS shows exactly where each truck is at any moment, Queenstown Traders Inc. can give customers more accurate information about when their goods will arrive, which builds trust and improves customer service. The technology also makes it easier to recover stolen vehicles and goods, since the truck can be tracked and traced quickly, which reduces losses and lowers insurance costs.

Question 5

5(a) Financial institutions

List THREE financial institutions, other than commercial banks. (3 marks)

Three financial institutions, other than commercial banks, are:

- Credit unions, which are member-owned co-operatives that take savings from their members and lend money to them at fair rates of interest.
- Insurance companies, which collect premiums from their customers and pay out compensation when insured events such as accidents or fires occur.
- Building societies or mortgage companies, which lend money to people who want to buy or build a home, taking the property as security for the loan.

5(b) Services offered by commercial banks

List FOUR services offered by commercial banks. (4 marks)

Four services offered by commercial banks are:

- Accepting deposits from the public into savings, current and fixed deposit accounts.
- Granting loans and overdrafts to individuals and businesses for various purposes.
- Providing means of payment such as cheques, debit cards, credit cards and online transfers.
- Offering foreign exchange services, including the buying and selling of foreign currency for travel and trade.

5(c) Savings versus investments

(i) Outline ONE difference between 'savings' and 'investments'. (2 marks); (ii) Identify ONE form of savings and ONE form of investments. (2 marks)

(c)(i) ONE difference

Savings are amounts of money that have been set aside, usually in a bank account, to be used in the future for emergencies or planned spending, and they earn a small but steady rate of interest with very little risk. Investments, on the other hand, are amounts of money used to buy assets such as shares, bonds or property in the hope of earning a higher return over time, but with a greater risk of loss if the asset falls in value.

(c)(ii) ONE form of each

One form of savings is a savings account at a commercial bank or credit union, into which the saver makes regular deposits and earns interest.

One form of investments is the purchase of shares (stocks) on the local stock exchange, which makes the buyer a part owner of a company and entitles them to dividends and possible capital gains.

5(d) Personal sources of capital

List THREE personal sources of capital that may be used to start a business. (3 marks)

Three personal sources of capital that may be used to start a business are:

- Personal savings that the owner has built up over time from wages, salaries or earlier business ventures.
- Money received as gifts or interest-free loans from close family members and friends who want to support the new business.
- Money received from the sale of personal assets such as a car, jewellery or land that the owner already owns.

5(e) The Banks family budget

The Banks family is struggling financially. A close family friend advises the family to consider preparing a personal budget. Explain TWO benefits that the Banks family could gain from preparing a personal budget. (6 marks)

Better control of spending and reduction of waste

By writing down their expected income and listing all their planned expenses for the month, the Banks family will be able to see clearly where their money is going. This makes it easier to spot areas where they are spending too much, such as eating out, cable television or impulse buys, and to cut back on items that are not really needed. Tighter control of spending should help the family to live within its means and avoid getting deeper into debt.

Ability to plan for savings, debt repayment and future goals

A personal budget helps the Banks family to set aside a portion of each month's income for savings, for paying off existing loans and credit card balances, and for working towards goals such as a new fridge, school fees or a small home repair. By spreading these goals across several months and matching them to the family's income, the budget reduces stress and gives the family a clearer plan for moving from financial struggle to greater stability.

January 2026 Paper 02

Question 1

1(a) Maria's career choices

Maria is a student at Happy Valley High School. She wants to pursue business education but is uncertain of the career choices in the field of business. List THREE careers in the field of business that Maria could pursue. (3 marks)

Three careers in the field of business that Maria could pursue are:

- Accountant - a person who keeps the financial records of a business, prepares budgets and final accounts and gives financial advice to the owners.
- Marketing manager - a person who plans and runs the activities used to find out what customers want and to promote and sell the products of a business.
- Human resource manager - a person who is in charge of recruiting, training, paying and looking after the welfare of the workers in a business.

1(b) Stakeholders in business activities

List THREE stakeholders involved in business activities. (3 marks)

Three stakeholders involved in business activities are:

- Owners or shareholders, who provide the capital used to set up and run the business and expect to receive profits in return.
- Employees, who provide their labour to the business in exchange for wages or salaries and other benefits such as training and job security.
- Customers, who buy the goods and services produced by the business and depend on the business for quality products at fair prices.

1(c) Functional areas of a business

Describe EACH of the following functional areas of a business: (i) Production (2 marks); (ii) Research and Development (R&D) (2 marks)

Production

Production is the functional area of the business that is responsible for actually making the goods or providing the services that the firm sells. The production department plans how the goods will be made, manages the raw materials and machinery, organises the workers in the factory or workshop, and makes sure that the finished goods meet the required quality standards before they leave the business.

Research and development (R&D)

Research and Development is the functional area of the business that is responsible for finding new ideas and improving existing products and processes. The R&D department studies what customers might want in the future, tests new materials and designs, and develops new products or new ways of producing

existing ones. This helps the business to stay competitive and to keep up with changes in technology and consumer tastes.

1(d) Code of ethics

The adoption of a code of ethics is important for the successful operation of a business organization. Define the term 'code of ethics'. (2 marks)

A code of ethics is a written set of rules and standards of behaviour that a business expects its owners, managers and workers to follow when dealing with customers, suppliers, fellow employees, the government and the wider community. It sets out clearly what the business considers to be honest, fair and responsible conduct in carrying out its activities.

1(e) Legal and ethical practices for business owners

(i) State TWO legal and/or ethical practices that business owners are expected to adopt in the operations of a business. (2 marks); (ii) Explain ONE negative effect that could occur if a business fails to engage in EACH practice stated in (e)(i). (6 marks)

(e)(i) TWO legal and/or ethical practices

- Honesty in advertising and dealings with customers, which means giving truthful information about the products being sold, charging the agreed price and not making false claims to encourage people to buy.
- Paying all required taxes and fees to the government on time, including income tax, business tax and National Insurance contributions for the workers, as set out in the laws of the country.

(e)(ii) ONE negative effect of failing to engage in EACH practice

Failing to be honest in advertising and dealings with customers

If a business misleads customers with false claims or sells goods of poorer quality than advertised, customers will quickly lose trust in the business and stop buying from it. The business may also be reported to consumer protection bodies and taken to court, where it can be fined or forced to refund customers. Bad publicity travels fast through social media and word of mouth, so the loss of reputation usually leads to a sharp drop in sales and may even force the business to close.

Failing to pay taxes and fees to the government

If a business does not pay its taxes and statutory fees on time, the tax authority can charge interest and heavy penalties on the unpaid amounts and, in serious cases, take the owners to court. The business can also have its operating licence revoked or its bank accounts frozen, which would stop it from trading. On top of the financial cost, the owners and managers may face criminal charges that damage both their personal reputation and the long-term standing of the business.

Question 2

2(a) Collateral

(i) Define the term 'collateral'. (2 marks); (ii) List THREE examples of collateral. (3 marks)

(a)(i) Definition

Collateral is something of value that a borrower offers to a lender as security for a loan. If the borrower fails to repay the loan as agreed, the lender has the legal right to take and sell the item of collateral in order to recover the money owed.

(a)(ii) THREE examples of collateral

- Land or buildings (real estate) owned by the borrower.
- Motor vehicles such as a car or truck registered in the borrower's name.
- Fixed deposits, shares or insurance policies held by the borrower at a bank or other financial institution.

2(b) Elements of a business plan

List THREE elements of a business plan. (3 marks)

Three elements of a business plan are:

- The executive summary, which is a short overview of the whole plan, including the name of the business, the products or services it will offer, the target market and how much money is needed.
- The marketing plan, which describes the target customers, the price that will be charged, how the products will be promoted and how they will be distributed to customers.
- The financial plan, which sets out the start-up costs of the business, the expected sales and expenses, the projected profit and the sources of finance the owner will use.

2(c) Juan's feasibility study

Juan wants to establish a fast-food business. He has been advised to conduct a feasibility study. (i) Outline TWO reasons why it is important for Juan to conduct a feasibility study. (4 marks); (ii) Identify ONE primary and ONE secondary source of information that Juan could use when conducting the feasibility study. (2 marks)

(c)(i) TWO reasons a feasibility study is important

To check whether the business idea will actually work

A feasibility study forces Juan to look carefully at the demand for fast food in the area, the competition he will face and whether he has the skills and money to run the business properly. By doing this checking before he spends any money, Juan can find out whether his fast-food idea is likely to succeed or whether he should change the idea or drop it altogether, which saves him from making a costly mistake.

To support a loan or investment application

Banks and other lenders will usually not give Juan a loan to start his fast-food business unless he can show evidence that the business has been carefully thought out. A feasibility study provides this evidence in a clear, organised form, with figures on expected sales, costs and profits, which makes it much easier for Juan to convince a bank or an investor to lend him the money he needs.

(c)(ii) ONE primary and ONE secondary source

Primary source

Juan could carry out a survey of people living and working in the area where he plans to open the fast-food business, asking them how often they buy fast food, what types of meals they prefer and how much they are willing to pay. The information he gets directly from these potential customers is a primary source because it is collected first-hand for his specific study.

Secondary source

Juan could use published reports from the Statistical Institute of his country or from the Caribbean Development Bank to find information on the size of the population in the area, average household income and existing eating-out trends. This is a secondary source because the information was originally collected and published by someone else for a different purpose, and Juan is simply making use of it for his feasibility study.

2(d) Factors influencing location of a fast-food business

Explain TWO factors Juan should consider when determining the location of his fast-food business. (6 marks)

Closeness to customers and foot traffic

Fast food depends on a high volume of customers, and most of those customers are people who are already in the area for some other reason such as shopping, working or attending school. Juan should therefore choose a spot that is close to a busy shopping centre, a school, a transport hub or an office complex, where many people pass by every day. A location with poor foot traffic, no matter how cheap the rent, would not give him enough customers to make the business profitable.

Cost of rent and availability of utilities

Juan must make sure that the cost of renting the premises will not eat up his profits, so he should compare the rent in different locations and balance it against the number of customers each location is likely to attract. He should also check that the location has reliable supplies of electricity, gas, water and proper waste disposal, because a fast-food business uses a lot of these utilities every day. A location where electricity is unreliable or water supply is poor would interrupt operations and damage the reputation of the business.

Question 3

3(a) Factors of production and natural resources

(i) Identify TWO factors of production. (2 marks); (ii) Identify TWO major natural resources of the Caribbean. (2 marks); (iii) Name ONE industry developed from EACH of the natural resources identified in (a)(ii). (2 marks)

(a)(i) TWO factors of production

- Land - all the natural resources used in production, such as soil, minerals, forests and the sea.
- Labour - the human effort, both physical and mental, used to produce goods and services.

(a)(ii) TWO major natural resources of the Caribbean

- Bauxite, which is mined heavily in Jamaica and Guyana.
- Petroleum (crude oil) and natural gas, found mainly in Trinidad and Tobago.

(a)(iii) ONE industry developed from each natural resource

Bauxite is used as the raw material for the alumina and aluminium industry, where bauxite is processed into alumina and then into aluminium for export and for use in manufacturing.

Petroleum and natural gas are used as the raw material for the petrochemical and oil-refining industry, which produces fuels, fertilisers, methanol and ammonia for both local use and for export.

3(b) Levels of production

Define EACH of the following levels of production and state ONE example of EACH level of production: (i) Subsistence (2 marks); (ii) Domestic consumption (2 marks)

Subsistence

Subsistence production is the lowest level of production, where a producer makes goods or grows crops only to satisfy the needs of his or her own family, with little or nothing left over to sell. An example would be a small farmer in a rural area who plants ground provisions, vegetables and fruit trees mainly to feed his household, selling only the small surplus that the family cannot eat.

Domestic consumption

Domestic consumption production is the level at which a producer makes enough goods or provides enough services to satisfy not only the producer's own needs but also the wider needs of the local market within the country. An example would be a chicken farm in Trinidad that supplies fresh chicken to supermarkets and restaurants throughout Trinidad and Tobago, producing more than enough for the local market but not yet exporting to other countries.

3(c) Production vs Productivity

Differentiate between 'production' and 'productivity'. (4 marks)

Production

Production refers to the actual creation of goods or the provision of services to satisfy human wants and needs. It measures the total quantity or output that a business or country has made over a given period of time, for example the number of cases of soft drinks bottled in a month or the number of cars assembled in a year.

Productivity

Productivity, on the other hand, measures how efficiently the resources of the business have been used to create that output. It compares the output produced with the inputs used, such as labour, capital or raw materials, and is often expressed as output per worker per hour. A business that produces 1,000 units with 10 workers in one hour is more productive than another business that produces the same 1,000 units with 20 workers in the same hour, even though both have the same level of production.

3(d) Shortage of construction workers in Cocoa Island

The construction industry in Cocoa Island is experiencing a boom but builders have reported a shortage of construction workers to meet the demand. Explain TWO factors that may have contributed to the shortage of construction workers in Cocoa Island. (6 marks)

Migration of skilled workers to other countries

Many of the more experienced builders, masons, carpenters and electricians from Cocoa Island may have moved to larger countries such as the United States, Canada or the United Kingdom, where wages are much higher and working conditions are often better. This loss of skilled labour, often called the 'brain drain', leaves construction firms on the island with fewer trained workers available to take on new projects, even though the demand for construction has grown.

Lack of training and changing career preferences among young people

Construction work is physically demanding and is often viewed as old-fashioned by younger people, who may prefer to look for jobs in tourism, banking, information technology or the music and creative industries. At the same time, technical and vocational training programmes for construction trades may not be producing enough new workers to replace those who retire or migrate. The result is that the supply of new construction workers cannot keep up with the rapid increase in demand caused by the building boom.

Question 4

4(a) Marketing and the marketing mix

(i) Define the term 'marketing'. (2 marks); (ii) List the FOUR elements of the traditional marketing mix. (4 marks)

(a)(i) Definition of marketing

Marketing is the set of business activities used to identify the needs and wants of customers and to satisfy those needs and wants profitably. It involves researching the market, designing the product, deciding the price, choosing how the product will reach the customer and promoting the product so that customers know about it and want to buy it.

(a)(ii) FOUR elements of the traditional marketing mix

- Product - the goods or services that the business offers to satisfy customer needs, including features, quality, design and packaging.
- Price - the amount of money the customer is asked to pay for the product.
- Place - how and where the product is made available to the customer, including the channels of distribution and physical location.
- Promotion - all the activities the business uses to inform customers about the product and persuade them to buy it, such as advertising, sales promotion, personal selling and publicity.

4(b) Branding

(i) Describe the marketing activity known as 'branding'. (2 marks); (ii) Colour is a critical component of a brand. Identify TWO other components that should be considered when creating a brand. (2 marks)

(b)(i) Branding

Branding is the marketing activity in which a business gives its product a unique identity, made up of a name, logo, design and image, so that customers can easily recognise the product and tell it apart from other similar products on the market. A strong brand also creates feelings and associations in the customer's mind, which builds loyalty and allows the business to charge a price that reflects the value of the brand.

(b)(ii) TWO other components when creating a brand

- The brand name and logo, which give the product an instantly recognisable label and visual symbol that customers will associate with the business.
- The slogan or tagline, which is a short, memorable phrase that captures the personality of the brand and the main promise it makes to customers.

4(c) Flavourful Distribution Co. ice cream packaging and consumer response

Flavourful Distribution Co. is about to launch a new fruit-based, non-dairy ice cream. However, the managers are undecided as to the most appropriate type of packaging for the new product. (i) Outline TWO factors the firm should consider in determining the most suitable packaging for the new ice cream product. (4 marks); (ii) Explain TWO factors that could influence consumers' response to Flavourful's new ice cream. (6 marks)

(c)(i) TWO factors the firm should consider in choosing packaging

Ability to keep the product frozen and in good condition

Because ice cream melts quickly, the packaging must be able to keep the product frozen and protect it from heat, light and air during transport, storage and display in the shops. Materials such as insulated tubs with tight-fitting lids would help to keep the ice cream at the right temperature and prevent it from being damaged before the customer takes it home.

Cost of the packaging and its environmental impact

The packaging must be affordable enough to keep the price of the ice cream competitive, but it should also be safe for the environment. Many Caribbean consumers and governments are now concerned about plastic waste, so Flavourful should consider using recyclable or biodegradable packaging where possible. This not only protects the environment but also gives the brand a positive, modern image with health- and environment-conscious customers.

(c)(ii) TWO factors that could influence consumers' response

Price of the new ice cream compared with similar products

Consumers will compare Flavourful's new fruit-based, non-dairy ice cream with other ice creams already on the market, including dairy ice cream and other plant-based options. If the price is much higher than competitors without an obvious advantage, many shoppers will simply choose the cheaper option,

especially in households with limited income. On the other hand, a fair price that reflects the quality of the ingredients can encourage consumers to try the product.

Health, dietary and lifestyle preferences of consumers

More Caribbean consumers are now lactose intolerant or are choosing to avoid dairy for health, religious or environmental reasons, so a fruit-based, non-dairy ice cream may appeal strongly to that group. Other consumers may be loyal to traditional dairy ice cream and may be slow to try a new alternative. The way Flavourful explains the health benefits and the natural fruit content of the product through its labelling and advertising will therefore have a big effect on whether consumers are willing to try and accept the new ice cream.

Question 5

5(a) Business technology

(i) Define the term 'business technology'. (2 marks); (ii) Identify TWO forms of technology and state how EACH form has influenced the services offered by commercial banks to their customers. (4 marks)

(a)(i) Definition of business technology

Business technology refers to the tools, equipment, software and systems that a business uses to carry out its activities more efficiently. This includes computers, the internet, mobile devices, point-of-sale machines, accounting software and the various electronic systems used for communication, record keeping and the processing of transactions.

(a)(ii) TWO forms of technology and their influence on commercial banks

Automated Teller Machines (ATMs)

ATMs are computerised machines placed in branches and at convenient public locations that allow bank customers to withdraw cash, check their balances, transfer funds and pay certain bills at any time of day or night. They have greatly reduced the need for customers to stand in line at the bank counter and have allowed commercial banks to serve a much larger number of customers without having to employ many more tellers.

Online and mobile banking

Through online banking websites and mobile banking applications on smartphones, customers can now check their accounts, transfer money, pay bills, request loans and even open new accounts from their homes or workplaces. This has allowed commercial banks to offer 24-hour service, reach customers in remote areas and reduce the cost of running large branch networks.

5(b) Productivity tools and ICT applications

List FOUR types of productivity tools and/or specialist ICT applications used in business operations. (4 marks)

- Word processing software, such as Microsoft Word, used to create letters, reports and other written documents.

- Spreadsheet software, such as Microsoft Excel, used to record figures, calculate totals, prepare budgets and produce financial statements.
- Accounting software, such as QuickBooks or Sage, used to keep proper books of accounts and to generate invoices, payslips and management reports automatically.
- Customer relationship management (CRM) software, used to store information about customers and their purchases so that the business can market to them more effectively and improve customer service.

5(c) E-commerce and E-business

Define EACH of the following terms: (i) E-commerce; (ii) E-business. (4 marks)

E-commerce

E-commerce, short for electronic commerce, refers specifically to the buying and selling of goods and services over the internet. It includes activities such as ordering items from an online store, paying with a credit or debit card on a website, and having the goods delivered or downloaded electronically.

E-business

E-business, short for electronic business, is a wider term that covers all the business activities a firm carries out using the internet and electronic technology, not only buying and selling. It includes online marketing, online customer service, the use of email and intranets to communicate with employees and suppliers, online recruitment and the management of inventory and accounts using electronic systems.

5(d) Online shopping

In recent years, online shopping has increased significantly in the Caribbean. Explain ONE advantage and ONE disadvantage of online shopping to Caribbean citizens and/or Caribbean economies. (6 marks)

Advantage: Wider choice and convenience for citizens

Online shopping allows Caribbean citizens to buy goods that are not available in their local shops, often at lower prices, and to do so from the comfort of their homes at any time of the day or night. This is especially helpful for people who live in rural areas with few stores, or who work long hours and do not have time to visit shopping malls. It also makes it easier for citizens to compare prices and read reviews before making a purchase, so they can make better-informed buying decisions.

Disadvantage: Loss of business for local retailers and outflow of foreign exchange

When Caribbean consumers buy heavily from foreign websites such as Amazon, money flows out of the local economy to overseas businesses. Local shops, especially small retailers, lose customers and may have to lay off workers or even close. This reduces the jobs and tax revenue available in the country, and the high level of imported online purchases worsens the country's balance of payments by using up scarce foreign exchange.